# India's Money Monarchs

## Conversations with leading investors

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# Preface

Investing as a serious discipline engages the minds and the hearts of the very best. We have attempted to understand from some of India's finest money managers, who we have spoken to, their thought processes which range from a continuum that spans deep value to momentum. These interviews have been conducted over a period of three years. Whilst stock picks change all the time, investment philosophies rarely do.

We took this project up because we knew that the Indian equity markets had certain unique nuances. Having had significant investment success in India ourselves, we felt that we could capture something more incisive when conducting these interviews. Love, not lucre, drove us to making significant time commitments to an endeavour which we believe is the first of its kind in the Indian capital markets.

These interviews have been conducted on behalf of capitalideasonline.com. Capitalideasonline.com has been a site promoted with a mission to further investor education and build a global investor community.

The site has been referred to by
www.beartopia.com
www.smithers.co.uk
www.financialsense.com
www.therealwarrenbuffett.com

and the Berkshire Hathaway forum, the only Indian site to have gained that distinction.

We hope you enjoy and learn from these interviews as much as we have. We wish to thank all these interviewed for their time as also Ms. Paulomi Shah, Mr. Shenvi and Mr. Jagat for their valuable inputs.

**Chetan Parikh**
**Navin Agarwal**
**Utpal Sheth**

# Preface to the kindle edition

It is refreshing to revisit this book, 'India's Money Monarchs', after more than a decade. Investment principles are timeless. We have thus refrained from changing anything other than some spelling mistakes in the previous edition.

We wish to acknowledge the sincere and unstinting efforts of Mr. N. Thanu Subramania Pillai, Mr. Arvind Thanu, Mr. Arpit Ranka, Mr. Prashant Patel and Ms. Divya Nair. This edition would not have been possible without them and so our heartfelt gratitude to them.

**Chetan Parikh**
**Navin Agarwal**
**Utpal Sheth**
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# Thoughts on Investing

At the Wharton School from which I graduated a long time ago, I was taught about ‘efficient’ markets. When I returned to the real world, I paid more tuitions to “Mr. Market” then I ever did to Wharton (and continue doing so). I did not however take a professional interest in investing till I was told about Benjamin Graham and Warren Buffett from one of India’s wisest investors, Professor Russi Jal Taraporevala, in the late Eighties. Ever since then I have believed and attempted to practise value investing as I understood it.

I promoted Jeetay Investments Pvt Ltd. a few years ago as an advisory firm which has recently ventured into portfolio management services. Jeetay is also co-promoting ‘Discover India Fund’, a Mauritius based fund which will invest in Indian equities. The partners of Jeetay adhere to a mindset which believes in buying with a “margin of safety,” identifying catalysts, economic moats and competitive advantage periods and selling when intrinsic value is reached. This philosophy has been articulated by me in various pieces published in Business India and Business World. I reproduce some of them to illustrate what I have adopted as an operating philosophy of investing after having spent many years trying to understand the craft of investing.

**Chetan Parikh**

**November 2005**

**Flawed Temples of Modern India**

December 6th, 2004 – Business World

Economists have stated that many of Nehru's "temples of modern India", the public sector units (PSU), survive only on huge donations from the state. Genuine privatisation, not just listing on the stock exchanges but transfer to private ownership, is an economic necessity and not the political luxury which it has been unfortunately reduced to.

One of the specious arguments made in favour of government ownership is public control on the production of essential goods and services. For instance, the recent statement by the Petroleum Minister only confirms that there is no free pricing of petroleum products despite the formal abolition of the Administered Pricing Mechanism. Price controls, formal or otherwise, only transfer power from free markets to politicians. History has shown that it is an egregious error.

Diocletian, the Emperor of Rome in the Late Third Century AD, first attempted to impose price controls on a large scale. Some of his predecessors had progressively debased the coinage with base metals, setting off unprecedented inflation. Since he lacked precious metals and was forced to continue issuing base metal coins as well, he tried to control inflation through price controls. It was an unmitigated disaster, despite the liberal use of the death penalty as a means of enforcement. Goods simply went into hiding or were traded in the black market.

The original argument for state involvement in industry was the promotion of the public good – the idea that state-controlled industries were to generate resources for redistribution which was not possible through taxation, given the low tax base. The economic compass was set wrong. The redistribution that has taken place is pointed in the opposite direction – from customers and taxpayers to managers and employees of PSUs – due to poor productivity and consequent losses.

This is a throwback to the Dark Ages. The private property that existed in those early agricultural societies was seldom at the bottom of the social pyramid. The primitive organisation of property that evolved in those times increased the chances of survival but at the cost of forgoing the opportunity to accumulate capital and rise in the economic system.

Anthropologists and social historians describe this as 'closed village'. The households in closed village joined together to operate not in the open marketplace but in a closed system where all economic transactions of the village tended to be struck with a single monopolist – usually the village chief. Part of the crop was given to the landlord in exchange for seed. At the cost of buying at monopolised prices and selling cheaply, the peasants increased their chances of survival if the harvest failed. The feudal system that arose was a result of this risk-averse behaviour among groups that operated along the margins of survival. The public sector is reminiscent of that hoary age of feudalism, and is just as anachronistic.

Government ownership also increases the probability of public sector enterprises losing value over time. The private sector is more equipped through the discipline of the capital markets to take the risks and expenses of innovation without which enterprises can become technological backwaters. Operating in oligopolistic markets and protected from foreign competition by ministerial whims and fancies, many public sector enterprises trace a form of evolution which strikingly resembles the tendency of leaving things isolated from competition on lush islands to evolve into giant and often grotesque creatures. Markets are no different from ecosystems, and conditions must be created where only the fittest survive.

While reality is non-linear, politicians' expectations are not. A social and economic construct, ill-suited to the current era of sharp discontinuities and abrupt changes where speed and flexibility are the key to survival, needs to be replaced. Modern India's temples need a change of priests.

**The Key to Investing Heaven**

October 4th, 2004 – Business World

The Late Carl Sagan, besides being a renowned cosmologist, was also an 'activist'. Ann Druyan wrote incisively about scientific activism while writing on Sagan: "What should we expect from the scientist who grasps a danger brought about by science? Should he/she hide silently and safely behind the protective wall? Most of the rest of us are scientifically illiterate. We are conned. All governments lie, and few of them ever demonstrated a concern for the future beyond the next election. If the scientists must refrain from activism or even public education, how can we hope to successfully avert these dangers?"

The parallels between scientific activism and shareholder activism are many. Corporations, like governments, often lie. Many long-term minority investors – scientists, for instance – do not have a sense of their own responsibility, and choose not to have the time or the energy to play an active role in corporate governance. Investors must become 'citizens of the corporation', and not refrain from activism when needed.

One specious argument made is that investors in publicly quoted companies can always vote with their feet, and sell when their concerns do not find a receptive corporate ear. But what is individually rational is collectively irrational. This behaviour is appropriate for investors who view themselves as short-term riders, not as owners.

Richard Feynman, one of the twentieth century's most brilliant physicists, recounted an anecdote in his book The Meaning of It All: "Once in Hawaii, I was taken to see a Buddhist temple. In the temple, a man said: 'I'm going to tell you something that you will never forget.' And then he said, 'To every man is given the key to the gates of heaven. The same keys open the gates of hell.'" The power of ownership given to every shareholder, if used judiciously, he can lead to investing heaven. And when not used at all, it can lead to investing hell.

What are the primary reasons behind poor corporate governance and apathetic shareholder response? Charlie Munger, Warren Buffett's partner in Berkshire Hathaway, illustrated the importance of psychological principles when it came to stealing, and felt that the same principle could be used to answer the above questions: "A very significant fraction of the people in the world will steal if (a) it's very easy to do, and (b) there's practically no chance of being caught. And once they start stealing, the consistency principle will soon combine with operant conditioning to make stealing habitual.

"It's very, very important to create human systems that are hard to cheat. Otherwise, you are ruining your civilization, because these big incentives will create incentives-caused bias, and people will rationalize that bad behaviour is OK . . . Then, if somebody else does it, now you've got at least two psychological principles: incentives-caused bias plus social proof. Not only that, but you get Serpico effects: if enough people are profiting in a general social climate of doing wrong, then they'll turn on you and become dangerous enemies if you try and blow the whistle."

Corporations in India often behave in ways they would not in many other parts of the world. 3M India, whose parent is well regarded for its corporate governance in the US, promised to answer what it would do with its growing cash pile (due to the strong, free cash flows it was generating) and its aversion to declaring any dividends since inception. But, it did not do so despite repeated calls and emails to its headquarters in Bangalore.

I could cite many such examples, for there is no dearth of 'social proof' in India. For, as Robert Monks and Nell Minow wrote in their book, Power and Accountability. "Corporations determine far more than any other institutions the air we breathe, the quality of water we drink, even where we live. Yet they are not accountable to anyone."

**The Alchemy of Value Investing**
July 5th, 2004 – Business World

PLATO, in The Republic, teasingly talked about adoption of a kind of fairy tale, the 'magnificent myth' – the myth taught to everyone that God fashioned men such that gold was put in the composition of rulers; a lesser metal, brass, in the auxiliaries; and mere iron bronze for farmers and other workers. Everyone would know his intrinsic worth and would remain in a state of contentment where he is. There would thus be an end to social strife. Plato would have been vexed when looking at Mr. Market, who sometimes sells bronze as gold and brass as iron, and for whom price and fashion rule rather than intrinsic value and analysis.

Constant strife, as seen in the markets, seems to favour activity. A person can, however, stay on the same spot by standing still or walking on a treadmill. On many occasions in investing, it pays to be inactive.

The elements propounded by ancient Greeks like Empedocles, Plato and Aristotle were earth, air, fire and water, each imbued by two contending opposite qualities (hot and cold, dry and moist) by which they could be interconnected. All of investing is made up of just two elements – price and value – and on many occasions they are never connected by Mr. Market. The Greek philosophers who reduced all matter to the four elements – a sort of predilection for 'first principles' – did it for a very practical reason: things change and they wanted to understand those transformations.

Today's business of investing is an embodiment of this return to 'first principles' – find out where changes are happening and what it may lead to. The classical elements were representative of the different physical states that matter can adopt. For instance, earth represented not just soil or rocks, but all solids. The Greeks thus saw elements as types not to be too closely identified with particular substances. In value investing too, when you look at price as an element, you look at the market. And when you look at value, you look at the fundamentals of the company.

The central belief of alchemy, which in the old days provided the theoretical basis for metallurgy, was that if metals could indeed be converted from one to another in deep earth, perhaps the alchemist could find a method to accelerate the process artificially and make gold from base metals. In value investing price is the great equaliser; it sometimes equates lead and gold.

In their endless quest for the Philosopher's Stone (the smallest quantity of which is supposed to transform base metals to gold) alchemists burnt, distilled, melted and condensed all kinds of substances. The Philosopher's Stone in value investing is the 'margin of safety', the gap between price and value – the larger the amount, the higher the odds of finding gold in the markets.

A single element can show very different characteristics depending on what it is combined with. Chlorine is a corrosive, poisonous gas; but combined with sodium in right quantity it becomes table salt, a completely harmless product.Portfolio construction, too, similarly combines volatile, risky assets into what should be a savoury combination.

When one measures the depth of a river or the number of ants in a colony, the measurement does not reveal anything substantial. Studying market prices is just like this – they do not reveal anything about intrinsic value.

The elements are classified in the periodic table, commonly known to any student of chemistry, not according to their colour, but according to their atomic weights. If a periodic table of investing were ever devised, the system of classification would rationally be based not on market prices, but on intrinsic value.

When scientists see structure, they believe that there is an ordering principle for it. What brings order in investing is the principle of intrinsic value – the future free cash flows of an asset discounted to the present.

**Hetacombs and Moats**

April 26$^{th}$, 2004 – Business world

The Late Paleontologist Stephen Jay Gould once compared natural selection to a hetacomb. His words may apply to any economic environment where competition is strong: "A hetacomb is, literally, a massive sacrifice involving the slaughter of one hundred oxen – a reference to an ancient Greek and Roman Practices. By extension, a hetacomb is any large slaughter for a consequent benefit. Natural selection is a long sequence of hetacombs."

Gould also propounded his theory of punctuated equilibrium, in which he said an era of gradual evolution comes to a sudden halt with a catastrophic period of rapid and widespread mass extinctions. He recounted the history of the Burgess Shale fauna, among which palaeontologists discovered proliferation of life forms that emerged during the Cambrian explosion 530 million years ago.In time, evolution eliminated the vast majority, while the surviving species adapted to different niches. Gould believed this evidence overthrew the standard conception of life's history, a picture that sees life becoming more diverse and better adapted.

At the end of the Permian period 225 million years ago, a spectacular catastrophe wiped out almost 96% of marine species. During the evolution that followed, almost no new phyla and relatively few classes of life emerged. Instead, this period was marked by widespread innovations based on existing life forms. Patterns after shakeouts, witnessed in new industries, resemble the post-Permian period.

Thus, while flexibility can be considered to be an important attribute of fitness, evolution seems to be harsh to most 'generalists'. Specialists usually outcompete generalists in normal times. However, in times of rapid change, flexibility is the key virtue. The Jurassic Age of the future would be a function of the frequency of mass extinctions as opposed to the rate of evolution during more stable periods. The present economic era is one of unprecedented change, in which investors have to evaluate every moat that protects an industry's profitability and its source – product differentiation, cost leadership, and customer lock in through high switching costs or high barriers to entry.

However, in an age where economic moats are reducing in depth (the amount of money that a company can make) and width (the competitive advantage period, over which it can sustain super – normal profits), it is a wise (and rare) management that can choose its moats well. A key competency for management (and investors) would be the ability to determine which moats will remain and which will be destroyed through commoditisation or technological change. Gould put it well: "Perhaps the grim reaper works during brief periods of mass extinction provoked by unpredictable environmental catastrophes. Groups may prevail or die for reasons that bear no relationship to the Darwinian basis of success in normal times." While moats come into place through specialization, a management should be anything but a specialist. It has to be generalist enough to know which capabilities to cultivate and which to discard, and do so time after time. This flexibility will be the key to wealth creation in the longer term during an age of turbulence.

Biologists study fruit flies (drosophila) because their life span so short that genetic changes in several generations can be studied in a decade. This is fast clock-speed species, i.e., having an extremely brief life cycle. Mammals like elephants and humans have slower clock-speeds-their life spans are measured in decades. The Sea turtle, whose life span exceeds a century, has hardly evolved since its terrestrial cousins, the dinosaurs, roamed the earth. What would happen if their clock-speed became like that of the drosophila? Similar things happen to companies when economic moats narrow.

Investors must look for both wide and deep moats and wise managements in companies they invest in. For, in the words of the Cambridge economist John Hicks, "The best of all monopoly profits is a quiet life.

**Entropy in the Global Economy**
March 29th, 2004 – Business World

Ptolemy attempted to predict the movement of planets, while retaining the view of earth-centred universe. Most attempts to predict global economic cycles work much the same way. Nevertheless, here is an attempt.

In the 19th Century, Rudolf Clausius and Lord Kelvin formulated the second law of thermodynamics – entropy. Very crudely, entropy is a measure of the amount of disorder in a system. This law states that in all processes of spontaneous change, entropy increases. The changes in the global economy could live up to the second law of thermodynamics where entropy or disorder would be maximized.

Thermodynamics links the jumps between equilibrium states, but in the real world what is observed are non-equilibrium steady state conditions. One of the properties of non-equilibrium steady states is criticality, where phase changes take place at the slightest disturbance much like volcanic activity. Joseph Schumpeter wrote about economies being in a state of 'dynamic disequilibrium.' Catastrophic events occur with periodic regularity, leading Karl Marx to write: "What the bourgeoisie then produces, above all, are its own gravediggers."

Per Bak of the Santa Fe Institute wrote: "Our conclusion is that fluctuations observed in economics indicate an economy operating at the self-organised critical state in which minor shocks can lead to crashes of all sizes, just like earthquakes. The fluctuations are unavoidable. There is no way one can stabilize the economy and get rid of the fluctuations through regulation of interest rates or other measures."

Phase transitions are common in physics. For example, to comprehend the internal structure of subatomic particles such as protons and neutrons, the Quantum Theory of the 1920s is not sufficient. Physicists developed a new theory called Quantum Chromodynamics in the 1970s where they found abrupt phase transitions taking place among the subatomic constituents – these were jumps between different stable arrangements of the particles. Cosmology shows similar evidence of a phase transition reshaping the entire universe after the Big Bang. The global economy could be on the cusp of such a phase transition.

A US economy drunk on credit and feasting on low interest rates has developed an appetite of which its budget and current account deficits are a burpy symptom. An Asia which believes that the emperor can't be without clothes is experiencing an artificial stimulus, and financing the profligate behaviour of its irresponsible benefactor by accepting worthless IOUs. A confused Europe – shackled by history and legacy with institutions committed to preserving the status quo – could find its economies frozen should the US sneeze. Bubbles in financial and housing markets guarantee that wealth destruction would be of a scale and magnitude unprecedented in economic history. The demographic profile of an ageing population in the developed world would ensure that the pain inflicted could be mortal, and sap the confidence and trust that make markets work. The magnetic forces of attraction with which trade binds nations together could turn into repulsion as adversity increases.

Game theory suggests that in a world of diminished growth rates, the dominant short-term strategy of nations is protectionism. The fight for survival would be the natural reflection of a Darwinian world. The nastiness that accompanies it would be reminiscent of a Hobbesian world. The ghosts of the 1930s could spook the global economy again, bringing with them images of gloom and doom, and of ghoulish banks and shrunken corporations.

Politics and psychology rather than economics and physics may explain much of what will happen next in the global economy. For as an Indian economist attempted to justify to his students the theory of reincarnation: "If you are a good economist, a virtuous economist, you are reborn as a physicist. But if you are an evil economist, you are reborn as a politician."

**Visible Hands, Invisible Pay**

December 29th, 2003 – Business World

When the Spartans warned Cyrus the Great not to harm any Greek city, Cyrus replied: "I have never yet been afraid of men who have a set place in their city, where they come together to cheat each other and forswear themselves." Greek historian Herodotus later commented: "Cyrus intended these words as a reproach against all Greeks because they have a place to buy and sell, a custom unknown to the Persians." Recent corporate frauds, accounting chicanery and excessive executive compensation reveal the greed that can destabilize free market capitalism and vindicate what Cyrus the Great spoke of centuries ago. Karl Polanyi's 'The Great Transformation' in 1944 echoed this: "Markets are sustainable as long as they are embedded in social and political institutions."

The recent story of Indian companies hiking non-executive directors' fees manifold as a 'prerequisite for attracting talent' indicates that US corporate viral fever has reached Indian shores. Even as senior executive compensation rose 36% in 1998 over 1997 in the US, the wages of average blue-collar workers rose only by 2.7%. The same pattern has been repeated year after year. In 2001, when profits and stock prices fell in the US, executive pay increased (a more sedate) twice as fast as the pay of the average worker. In 2000, American CEOs were getting 500 times the wages of the average employee, up from 85 times at the beginning of the decade and 42 times two decades earlier.

How did the CEOs manage generous pay contracts? Warren Buffett recently wrote to shareholders: "The answer is not in inadequate laws . . . but in what I would call 'boardroom atmosphere'. When the compensation committee, helped by a high-paid consultant, reports on a mega grant of options to the CEO, it would be like belching at the dinner table for a director to suggest that the committee reconsider."

Adolph A. Berle and Gardiner C. Means wrote about the separation of ownership and control in emerging corporations 70 years ago. While shareholders were nominal owners of the firm, they knew nothing about what the managers were doing and had limited resources to help it. The board of directors were to be the watchdogs, but it was stuffed with the CEOs' cronies, so the bark and the bite were absent. Corporate thievery, in the form of excessive executive compensation, and corporate bribery, in the form of excessive non-executive director fees, were the inevitable outcomes.

Why corporate executives are paid excessively is also because it's tough to compute how much they are paid. Stock options (which will resurface again in this bull market) and muddled thinking about how to account for them make this a case of blindfolded directors describing elephantine executive compensation.

Most managerial compensations are designed poorly. Stock prices depend as much on psychology as on corporate economic profits. Stock options are exactly the wrong incentives to be dangled in front of the top and middle management (and non-executive directors).

Liberally sprinkling stock options throughout an organization to spread the 'ownership culture' is spawned by the same dangerous ideology as socialism. It is totally misguided. Employees put these shares in a separate 'mental account' from their cash income and don't consider them when going about their jobs.

Meaningful managerial compensation must be linked to operational performance metrics which have great impact on long-term shareholder value creation and not on the short – term capricious behaviour of the stock market. Managerial compensation that is not accounted for properly, like stock options, is a blatant form of corporate embezzlement.

Capitalism disintegrated traditional customs and institutions. Karl Marx and Frederick Engels may have exaggerated a bit in the famous phrase of the Communist Manifesto: "All that is solid melts into air." Trust in corporate fair play certainly seems to have.

**Clocks, Calculus and Contagion**

October 26th, 2003 – Business World

Fermat found a way of finding maxima and minima in equations; Descartes' analytical geometry made it possible to have the equations of algebra stand in for the more cumbersome diagrams of geometry; Hobbes proposed the idea of conatus (which is to motion what an instant is to time) and Newton and Leibniz created their own versions of calculus. Voltaire subsequently described these prodigious mathematical adventures as "the art of numbering and measuring exactly a thing whose existence cannot be conceived." Stock market valuations, too, are in the realm of intrinsic values whose existence can only be imagined.

As is learnt by students of investment management and, on many occasions, forgotten by practitioners of investment management, the intrinsic value of a company is the probabilistic weighted average of its future free cash flows discounted to the present at a rate that reflects the risks associated with the company. One of the key economic risks to any enterprise is the impact of new technology (Bob Shiller labels them as the downside "revenge effects" of new technology). These reduce the competitive advantage period over which an enterprise can earn superior rates of return. The rate at which this creative destruction is being unleashed would make even the Luddites look like optimists. And yet today's stock market valuations reflect sunny projections of terminal values. Septuagenarian virility can only be envied, but is not something that can be betted on!

Bullish arguments are generally premised on financial relativism, that the financial laws governing markets today are unique and not fettered by the dogmas of the past. The bear case usually rests on financial absolutism, that unchanging financial laws do exist, that valuable lessons can be gleaned from the past.

Falling interest rates, world-class Indian players, restructured and leaner corporates, resurgent commodity prices, strategic M&A activity, privatisation, structural reforms and massive fiscal stimulus through infrastructural outlays are the key catalysts igniting this bull run on Dalal Street. But the market is fairly valued at current index levels and to find stocks with a large margin of safety is increasingly difficult. Hope and hype, rather than value, could be the key drivers of stock prices to higher and more fragile levels.

It is not only the rising index that investors must be wary of, but also the heightened probability of scams, fraud and poor-quality primary issues. For, as Walter Bagehot wrote in his classic Lombard Street "All people are most credulous when they are most happy, and when much money has just been made, when some people are really making it . . ., there is a happy opportunity for ingenious mendacity. Almost everything will be believed for a little while, and long before discovery, the worst and most adroit deceivers are geographically or legally beyond the reach of punishment."

As Wordsworth wrote, the child is the father of man. The present is a prelude to the future. A stock market ignited by the triggers mentioned above, driven by foreign capital, and subject to the tempests of crowd psychology can shoot well past conservative calculations of intrinsic worth and float in the upper ranges of aggressive and sometimes unrealistic valuations.

But investors would do well to remember that at those stratospheric levels there are only risks of permanent loss of capital and no bankable returns. Potential upsides against the downsides, trade-offs between making and losing money flutter like feathers in a windstorm.

In Medieval Europe, time clocks were wildly expensive as well as inaccurate, losing or gaining time and often stopping dead. In bull, phases, stock markets are no different. Markets function like clockworks in one more respect – periods of rampant overvaluation are always followed by periods of dismal undervaluation. Indian markets are by no means massively overvalued, but when they do get there, investors shouldn't throw caution to the winds.

**Footprints of Finance**

January 20th, 2003 – Business India

Santa Claus coming down the chimney to deliver presents in return for nothing more than a glass of warm milk is an illusion fed to millions of children every year. And every year a few of those millions of children suffer a rude shock when they learn that Santa Claus does not exist and that the people clad in red robes and white beards are all imposters.

Something similar is true in stock markets. Rude realities teach many investors not to look for Santa's footprints. But what of the many themes and theories that recurrently populate the markets, impersonating Santa Claus, and promising to deliver where he failed?

Investors must be able to see the beauty hiding behind the veil of a company's financial statements just as they must be able to look through the hype and glamour and perceive the rot in a company's operations. They must be able to balance the burdens of history against the claims of the future.

But the best way of looking at any investment gift horse in the mouth is to think probabilistically. A few rules may better illustrate this point. A company's sales and profit in one period tend to be positively correlated with the values of that variable in the next period, and the coefficient of correlation tends to rise as the interval between the periods is decreased. History holds a lantern for an investor peeping into the future to discern the size of such variables.

But be careful when using the past to prognosticate the percentage change in value of that variable – the correlation tends to be zero. Past sales growth rates and past earnings growth rates are very poor indicators of the future. Investors are human and humans don't know what they don't know. In early 1970, an Alaskan pipeline's budget got thrown out of kilter when environmentalists sought to halt the project because of its impact on the migratory patterns of the caribou and since then such unknown in investment decision-making have been referred to as the 'the caribou factor'.

Don't attempt to look for measles where they are not likely to occur—percentages are not usually well correlated with absolutes. For instance, it is dangerous to predict future earnings growth rates based on a statistical tabulation of historical returns on equity. And whilst on the subject of measles, it must be borne in mind that for many centuries the practice of medicine was undiluted nonsense. Fashionable nostrums were applied by doctors on their patients. They were usually useless, but on many occasions, they were unintentionally harmful. A doctor's reputation more often depended on the status of his patients rather than on evidence of his cures. Parallels in the markets can readily be found. But there is one important difference – unlike the human body, companies tend to mutate rapidly. On many occasions, a closed mind leads to serious investment not be there. More recently (in 1970) and closer to the subject at hand, Oskar Morgenstern who pioneered the application of game theory in economics co-authored a book Predictability of Stock Market Prices in which he expressed the futility of searching for the intrinsic value in stocks. Morgenstern believed that every investor should post the following Latin maxim above his desk – Res tantum valet quantum vendi potest. (A thing is worth only what someone else will pay for it).

Stock prices, like horse races, are made on a difference of opinion. And odds can be weighed on probabilistically determined upsides and downsides, the mirror image of greed and fear, the quantification of reward and risk. Investors should remember what Adam Smith wrote: "I suspect that even if the random walkers announced a perfect mathematical proof of randomness I would go on believing that in the long run future earnings influence present value, and that in the short run the dominant factor is the elusive Australopithecus, the temper of the crowd."

**Arcane Accounting**

November 11th, 2002 – Business World

Kate Winslet looked beautiful in the film Titanic even as the ship sank into the icy Atlantic waters. Globally and in India there are many companies that manage to keep a rosy complexion and pretty financial statements even as they plunge into the abyss in turbulent business conditions. Cosmetics are used by accountants and movie stars, and the recent spate of high-profile bankruptcies in the US seems to suggests that accountants actually are using make-up more copiously than movie stars.

In a 1964 pornography case, the US Supreme Court reviewed a French film, The Lovers, to determine whether it violated obscenity laws. After reviewing the film, Justice Potter Stewart was at a loss for words to define obscenity, stating: "It's hard to define but you know it when you see it." Unlike obscenity, accounting chicanery is easy to define but more difficult to detect in practice.

Accounting integrity will be at a premium in these times when the temptation to play games with numbers seductively beckons as the global economy weakens. The tempted accountant resembles Lewis Carroll's Humpty Dumpty: "When I use a word, it means just what I choose it to mean – neither more or less." Corporate America's use of pro forma presentation of accounting data became a statement not so much of performance, but of performability. This was almost like giving students the power to grade themselves. Grade inflation undoubtedly follows.

Noted accounting crusader and professor Abraham Briloff paraphrased Colonel Montgomery, a founder of the predecessor to today's Price waterhouse Coopers, as saying that the auditor's job is "to fight the figures and find the facts." Capital market participants and users of financial statements should be sceptical of auditors, not because they are necessarily dishonest but because they are human. While they have reputations to protect and therefore will act "rationally" to do so, they also have cognitive biases that partially negate this rationality. They can see patterns that don't exist and be overconfident just as all of us and thus overlook games with numbers that are being played and books that are being cooked.

In India, the government has constituted the Naresh Chandra Committee to develop standards of corporate governance and ethics. The committee is also reported to be considering the introduction of a Public Accounting Oversight Board as in the US and strengthening the role of independent directors in company boards. But consider how difficult this will be, if the US is any example.

The Sarbanes-Oxley Act recently passed in the US has mandated the formation of a Public Company Accounting Oversight Board to replace the ineffective industry-dominated Public Oversight Board and oversee the audit of public companies. Once formed, the board will have the power to register public accounting firms and take disciplinary action against non-complying audit firms. However, Harvey Pitt, exchairman of the SEC has come under criticism for dragging his feet over securities and accounting reform (it is alleged due to his close ties with the big accounting firms and Wall Street investment banks that were his clients during his long stint as a securities lawyer). Recent reports suggest that he and his fellow commissioners are squabbling over who should lead the board.

Going forward, one of the keys to better valuations would be improving the accounting framework and pursuing cultural change.

Indian accounting standards are being brought up to global standards – recent examples include consolidated accounts and accounting for deferred taxes. Analysis and investors have to be careful when looking at historical valuation data and interpreting past valuation metrics like price-to-earnings, price to-book, enterprise-value-to-sales, and enterprise-value- to operating-earnings. Initiatives that include amendments to listing agreements requiring companies to furnish segment-wise details of revenues, results, and capital employed, along with quarterly unaudited results, are welcome. But there is still a long way to go.

**Mr Market and Mr Economy**

February 5th, 2001 – Business India

A recent issue of Barron's (8 January, 2001) carried a few lines that should make many Keynesians cogitate: "Ohhh! Poor Mr Market has a hangover. Let's start the party all over again and see if he responds." The portly gentleman responded enthusiastically, when the Fed re-opened the bar on Wednesday, tossing down a 50-basis point cut and yelling, "Whoopee! Happy New Year!"

His cousin, Mr Economy, was nowhere to be seen. He was consulting the doctor about palpitations in his retail sales and a seizure in his capital spending. Even if these disorders respond to a dose of liquidity, it will take months or even a year for them to recover. And, as all their neighbours and relatives know, it's Mr. Economy that pays Mr Market's bills.

Lower rates don't necessarily cure bad loans. If the money was spent unwisely, the loans are still bad. Lower rates don't necessarily raise markets. If the investments were ill targeted, equity remains destroyed.

So, we wonder: "Is Alan Greenspan serving as a physician or a bartender?"

Keynesian policy prescriptions pullulate in the presence of a pallid Mr Economy. In a paper, 'Capitalism's Beast of Burden' by Pimco's Paul McCulley, written in January this month, reliance on Keynesian arguments concludes: "Both Wall Street and Main Street are currently exploding bubbles, and the explosions will self-feed, not selfcorrect until the Fed eases massively and/or the Federal government proactively reduces the budget surplus." The conclusions are based on the following arguments: "The Capitalist causal chain runs from investment to income to savings, not the other way around, both the will and the wallet of capitalism are subject to the whims of the human spirit, and public capital markets, notably public equity markets, are both a boon and a bane to the capitalist process."

The author's contention: "Risk asset prices have collapsed and, now, the economy risks a more generalized collapse of asset values. The Fed must turn cash into trash – real short rates must come down a lot, and stay down! And if the dollar goes south along the way, so be it. The objective of the monetary policy must be to ease until capitalists regain their animal-spirited urge to act like capitalists, fleeing liquidity for the hope of capital gains."

Lowering interest rates would vitiate the economy's biological version of natural selection and the survival of the 'fittest of the species. It is, however, the first Keynesian argument of the capitalist causal chain, that Dr Marc Faber would find objectionable. In his 'The Gloom, Boom & Doom Report', (18 December, 2000), he states: "It's important to distinguish between a consumption-led boom, and an asset bubble or a new technology-driven capital spending boom. In a consumption boom, the downturn is brought about by a slowdown in consumption. This may come about because of rising interest rates, or an increase in the 'liquidity preference' of households, for whatever reason. In this situation, lower interest rates and tax cuts can at some point stabilize the economy and lead, after a period of inventory liquidation, to renewed economic growth. In an asset bubble or new technology investment boom, however, the bust comes about not so much because of an increase in interest rates, but because of over-investments. The bust comes here because at some point the expected returns don't materialise, due to excessive supplies, which brings down asset values, margins and profits. In this case, even zero interest rates may not help."

Recovery of consumption due to lower interest rates in the current US context is itself debatable. Consumers went on a buying binge due to the 'wealth effect' of rising stock prices-until stock prices move northwards again, households will be prone to consuming less and saving more (the 'Paradox of thrift' – what is good for the individual, may not be good, in the aggregate, for the economy). Consumer expenditures on durable goods reached a postwar high. So, near-term demand could have been satiated. Consumer confidence could nosedive with increasing unemployment – investments made in new technology would have to be paid back with labour's pound of flesh. And exports from the US might not make much headway if there are no other global engines of demand.

India's policy makers would do well to look at the Fed-induced "Gordian knot' and ask whether decades of mal-investment, based on a regime of controls and licences, can be waived away by lowering interest rates.

# Raamdeo Agrawal

**Raamdeo Agrawal is the Co-Promoter of Motilal Oswal Securities Ltd (MOSL) since 1987. Mr. Agrawal is an Associate of Institute of Chartered Accountant of India. An equity research stalwart, he is respected by all in the research and broking industry for his valuable insights on issues related to equity research. His firm belief in "Value-Investing" forms the core of MOSL investment philosophy.**

**In 1986, Mr. Agrawal authored the book Corporate Numbers Game, along with co-author Mr. Ram K Piparia. He was awarded the Rashtriya Samman Patra by Central Board of Direct Taxes for a consistent track record of highest integrity in tax payments for a period of 5 years from FY95-FY99.**

CIO: Could we start off by asking you what your overall investment philosophy is?

RAAMDEO AGRAWAL: Investing has been a very enticing experience for me. Because of my passion for investment, I have been interacting very closely with the stock market. I first came to know about it in 1980. Since then I've been trying to gain as much knowledge about investing as possible.

**Investment philosophy evolves as one learns and grows**

The kind of ocean there is in terms of knowledge is amazing. One grows by learning and every day I'm learning new things. However, to be honest, I don't think I have learnt even one percent of what there is to be learnt. There is nobody who can talk about a perfect philosophy of investing. I believe that one's investment philosophy evolves as one learns and grows through such learning.

When I began my travails with the stock market, there was a strong desire to make big money. But I did not know how to go about doing so. Even to make a modest beginning, you needed some capital. Now, where does one get the first few thousand rupees to start with? I needed an idea that would enable me to begin without the comfort of adequate seed capital.

**Broking is a great business**

I first began investing in 1980 on behalf of my brother who had about a lakh of rupees. I used to go to my broker's office and there I saw some possibility of making money without actually investing in the stock market to start with. The idea was to start as a stockbroker, earn brokerage income and then invest the surpluses in the stock market.

In 1987, I started a small brokerage outfit that also provided round-the-clock advisory services. We didn't have much money of our own to invest, then. But the beauty of the brokerage business is that you receive your income on every settlement. This income you can keep ploughing back into the market. Besides, our unique operations enabled us to have access to large float funds.

Our clients in Ahmedabad and Madras would generally be selling stocks while our clients here would be buying. There was always a time-gap between the receipts of funds from our clients here and our payments to our clients in Ahmedabad and Madras. Besides, as we normally sold more than we bought, we were always on the payout mode on the exchange. So, we were able to invest.

The entire process was very exciting. I started reading balance sheets in 1980. I used to sleep reading them in my apartment. I must have read over 500 balance sheets in the following three-four years. I began to think that I knew a lot about the stock market –

much more than most of the guys on the street. I had a good grip on numbers and I wrote a book called The Numbers Game.

**For 15 years, I did not make any money**

But for the first 15 years, I did not make any money. The value of my portfolio just did not grow. I came to know that only in 1995. We did not have a formal mechanism in place to review our portfolio on a regular basis. So, in some year we may have earned a crore while in another year, we could have lost half a crore. We didn't really know and we were blissfully happy in that ignorance.

In 1992, following the bull-run led by Harshad Mehta, we suddenly saw our wealth growing disproportionately from about Rs 10 million to Rs 80-90 million. But once that euphoria died down, we were back to where we had started. In 1995-96, I took inventory of how much we had deployed in stock market investments in the last 10 years and how much we had earned.

I found, to my good fortune, that we had at least as much money as we had invested in the market. So, to tell you the truth, the money did not grow. But it was really satisfying to know that we had an ongoing business and that all our bills were paid out of its earnings. We had confidence that we would be able to grow it.

**Then I came across Warren Buffett's principles**

Then there was the first breakthrough – a ray of knowledge. I came across a book on Warren Buffett Way. Buffett was, I think, famous much before that. A lot of people who followed the stock markets – investors in the United States – had known of him and were regularly reading what he had to say. The Money Masters and some other book had interviewed him but I was not aware of that. This book was my first introduction to his views.

**Focus on Return on Net Worth**

I also happened to chance on some of his letters and I found them extremely interesting. I compiled the letters right from 1977 and went through all of them in 3-4 months. In one of his letters he said' "Don't focus on EPS, focus on return on net worth." As a chartered accountant, I had a rough idea of what it takes to make money. But it was then that I realized that the real foundation on which good investment is based is the return on net worth.

Though I had a little feel for this sort of thing – the return on my money – I had never focused much on that. I used to think that if a company was big, it got a high discounting. I had never really tried to figure out what drove P/E. Buffett's letter put things into perspective and I decided that I would never buy a stock that was not likely to earn 20-25 percent on its net worth going forward.

Companies that earn a 30-35 percent ROE are no doubt great, but the problem is that the whole market knows about such companies. The biggest opportunities can be found in a company that currently has low ROE but because of some inherent strength, it is likely to go up substantially. A company that has identified its biggest competence and is confident of driving up its ROE substantially because of this is surely going to become rich.

**Follow a focused approach to investing**

If you can identify such a company, then you could make big money. How big, I don't know. My search for suitable companies to invest in has since been driven by this premise. I have always followed this as a rule and it has kept me in good shape. Another thing that I have followed is a focused approach to investing.

I remember that in 1996, I found that we had invested in about 225 stocks. Although all these investments were declared for income tax purposes, they were not even put in one place. That portfolio proved to be the biggest disappointment for everybody. About the time when communal trouble began in Mumbai that year, the power of focused investing was the hot topic of discussion.

It became clear to me that I had to bring down the number of stocks in my portfolio from 225 to about 20-25. In the following two years, we successfully brought down the number of stocks to 20. That was a most rewarding experience. I don't know whether I would have the guts to invest in just four or five stocks but I know that it is not possible for me to manage 100 stocks effectively. Even 20 stocks are too many. I think 10-12 stocks is a good number.

However, as the size of the average Indian company is small, a large fund cannot be suitably deployed in just 10-12 stocks. So, we chose to focus on 20-25 stocks. Now, companies keep falling out of favour and when you already own 20-25 stocks, adding another one can be quite painful.

**Patience is an invaluable virtue**

I found that it is better to invest within your own stocks provided of course that you have chosen them with care. Good business with sound management generally has a long life and their falling out of favour is normally a temporary phenomenon. In fact, such instances often give you a good investment opportunity.

All the stocks in your portfolio will never remain at the peak. There will be some stocks that are undervalued and some stocks that are fairly valued. You actually make money by sitting rather than by thinking. You have to allow a good company to run its own course before your investment begins to pay off. It takes time for a young tree to flower and bear fruit. You need to have patience.

CIO: What would be your portfolio turnover? How many times do you change its composition?

RAAMDEO AGRAWAL: There is no set pattern. If I like something and I believe that the company has potential, I continue to hold for relatively long periods. If I don't like something or if I believe that I have gone wrong in my study, then I don't hesitate to sell. A few years back, I felt that the technology sector had peaked out. So, I sold a large portion of my tech allocation.

It had reached as high as 60-70 percent of my portfolio. The market had taken it from 20 percent to 70 percent and I was very clear that it would bring it back 70 percent to 20 percent. So, I booked profits and brought my tech allocation down to 40-50 percent. Although this was not to the extent that I would ideally have liked, nevertheless, it kept me in good shape.

My tech allocation is back again to 22 percent but at least half the fall has been because of my own doing. It was as a result of my cutting exposure to technology stocks that my turnover was high last year.

**Always be Vigilant**

CIO: You say that it is buy and hold but don't buy and neglect.

RAAMDEO AGRAWAL: Yes, you have to be constantly watching. In India, the economy as a whole is changing. Even in the larger economies, things are not stable. The whole environment is dynamic and as circumstances change, the prospects of the stocks you hold also change. Say for instance you hold shares of a company that manufactures pens. If the customs duty on raw material increases or if the import duty on finished pens falls, it could have an adverse impact on the company's profitability. If you do not keep a constant vigil on the businesses you have invested in, you could be caught on the wrong foot.

**Look for the company's source of Profits Examine whether it is sustainable**

Whenever I look at a business, I always try to find what the source of its profits is and how sustainable that source of profits is. Every company has a competitive advantage, a USP or a core competence. But I always try to pinpoint what is the fountain of profit in the company that allows it to make money in a sustained fashion. If a doctor is extremely good at treating cataract, it becomes his core competence and allows him to attract clients from all over the world. As long as these clients keep coming to him, he will continue to make money.

Every successful company has something great about it that enables it to earn that additional return. Whether this ability to earn higher returns would be sustained depends on how much demand there is for the company's product or service. If a company makes good matchboxes, demand is going to be limited but if it makes some product, which not only has a sizeable market but for which demand is also growing, then I think you have a winner.

Infosys, for instance, is able to provide quality IT services and the market for these services is really large. So how much of the market share it can pick up, how much business it can do is the concern rather than the demand part of it. At least that is what is being perceived right now.

CIO: You mentioned that you follow a focused strategy. You invest only in the few stocks that you know. But what about risk control? Do you look at market volatility?

RAAMDEO AGRAWAL: What I am concerned with is business risk. I don't worry too much about the way the markets are behaving.

**Focus on generating positive returns**

CIO: But right now, we are witnessing tremendous volatility in the market. In such a scenario, wouldn't diversification help?

RAAMADEO AGRAWAL: I have always focused more on generating positive returns from my investments rather than on what the market index does. My basic philosophy has been very simple. Initially I used to think that we should double our money in two years. But now I am comfortable if we double our money in three years.

If I genuinely feel I have found a stock that will double in three years, I have no hesitation in picking it up.

I consider buying a stock with the intention to sell it within a year as speculation, which I don't want to indulge in. Not that six months or three months is a short period but it doesn't give me that tax break. So, anything with a holding period of less than a year is not of great interest to me. After one year, the decision to hold the stock is driven by whether or not I think that it meets my basic criterion – the possibility of doubling in three years.

**Pick high quality companies**

I generally invest in big companies. I somehow don't value very small cap companies as much as the large cap ones, unless a particular small cap company is really uniquely placed and has interesting ideas. I am not saying that I consider only those companies that have market caps of at least Rs 5,000 crores or Rs 10,000 crores. No, that's not the issue. The issue is that if it is not already large cap, the company should have the potential to become large cap.

I am basically concerned with picking very high-quality companies for my portfolio. So long as I am confident of the quality of the businesses that I have invested in, market volatility is never an issue. If all my 20-22 stocks were affected by market volatility in the same manner and they all fell in line with or faster than the market indices, I would be deeply concerned.

However, I have never encountered such a position. It is always the poor-qualitystocks that are most affected by market volatility and you need to be extremely worried if your portfolio is made up of such stocks. Risk arising out of market volatility cannot be eliminated unless you go into cash. So, I'm not particularly concerned about market volatility so long as my portfolio is colourful.

**Follow a strategy that suits your temperament**

CIO: Have you ever made money going short on any shares?

RAAMDEO AGRAWAL: No, I have never made money by going short. I did try once or twice and when I look back, I realise that those were very good decisions. I would have made a good fortune had I stuck to my positions. But I don't have the temperament to sit with a short position.

I am not comfortable even if my total short position is just one percent of my portfolio value. If you have the right temperament, however, going short could be a much better way of making money. Of course, I am assuming that the laws are conducive to short selling.

**Investing is the art of controlling emotions**

CIO: How much of investing do you think is an art and how much of it is a science?

RAAMDEO AGRAWAL: I think investing is 99 percent art and one percent science. Well, let's not put too much importance into these numbers. What I mean is that investing is largely an art. Earlier I might have said that it is half science. But as I learn and grow, I realise that it is more an art. In fact, I am almost tempted to say that investing is entirely an art.

You might know the right things. You might even preach the right things. But practising what you preach is the biggest art, I would say. Information is no longer difficult to come by. Parameters such as ROE and ROCE of listed companies are easily available. You also know that you must not invest in companies with dubious managements. But you still get carried away by greed and fear. Controlling these sentiments is an art.

CIO: Extending the same art v/s science argument, which do you think is more important – projecting the EPS of a company accurately or arriving at the correct judgement of what P/E it would attract?

RAAMDEO AGRAWAL: I think understanding EPS is more of a science. The historical EPS of a company is known to almost everybody. With a large number of analysts tracking each stock and with modern tools such as computers, even the two-three year forward EPS is no longer an issue. By and large projections of EPS by different analysts are similar as all of them have access to the available sources of information.

The real issue is knowing the P/E. Understanding where the P/E is going to be is completely an art. There are some basic tenets that drive P/E but none are perfect. For instance, just because a company generates a high return on equity, it need not enjoy a high P/E. High annual growth will again not guarantee you a high P/E.

**Identifying a good business in not enough**

CIO: As you've just pointed out, understanding P/E is perhaps more important than projecting EPS. Could you tell us what are the conditions that enable a company to enjoy a high P/E?

RAAMDEO AGRAWAL: Yes, some of these are necessary while others could be termed as sufficient conditions. Perhaps the most important factor that influences the discounting that a company gets on the bourses is the quality of its management. The more confidence that the investing community has in the management of a company, the higher is the P/E that it gets. Secondly, a business that yields consistent cash flows that are fairly predictable generally enjoys a high P/E. However, identifying a good business alone is not enough.

**You also need to examine the quality of the managements**

You need to identify a good business that not only has stable profitability and profits but also good quality management. It is only when you have this combination that you get a predictable profits stream, which in turn leads to a higher P/E. if you are able to identify a company that satisfies the above criteria and is also perceived to be growing rapidly you would be even better off.

**Market perception is also important**

Perception is very important. Sometime back, it was widely perceived that technology companies are not affected by business cycles and that they would continue to grow at the same rate. The perception led to high P/E for technology companies. Investors typically try to extrapolate current conditions into the future. Hence, if current conditions are good for an industry or a company, it tends to get a higher discounting. On the other hand, if current conditions are discouraging, you see a low P/E.

**Find the good business that is currently out of favour**

That's where one of the biggest opportunities lies for the seasoned investor. Warren Buffett's book says, "The good business, the good company but it should be out of favour." When current unfavourable conditions, that are only temporary in nature, are extrapolated too long into the future and stocks are available at low P/E, it represents an opportunity to buy.

Say for instance, if there is a drought in India in one season and the markets begin to perceive that this would last forever. In such a case, there might be an opportunity to buy. If there is a good monsoon in one year and people extrapolate the favourable conditions to the next five years, there could be an opportunity to sell and book profits.

CIO: You have laid a lot of stress on the quality of management. How do you go about assessing it?

RAAMDEO AGRAWAL: Even before you've ever met the management of a company, you normally have some perception about it. This is formed out of what you've read, heard or seen in different media. I give a lot of importance to what a newspaper says. There's no smoke without fire. Such a perception is more or less right. I start with that.

When you go and personally meet the management, you notice the way they conduct themselves, what they share with you and what they don't, whether they come across as honest or deceptive. As you keep interacting with the management on a regular basis, say every three months you are able to verify whether they deliver on their promises.

I am not so concerned when the management says that it expects a Rs 100 crore profit for the year and the figure actually turns out to be Rs 95 crores. But I am troubled when a company says that it will announce its quarterly results on April 15 and there is no sign of it even by April 25. I'd rather like they say April 25 and deliver by April 15.

**Companies that generate good cash flows are safer**

The managements of companies that borrow a lot are under tremendous pressure from financial institutions. They cannot be expected to act as they would ideally like to under such conditions. The problem is further compounded when there is a temporary slowdown in business and the company is hard-pressed to meet its loan repayment obligations. I am not saying that there is no case for investing in such companies. Yes, there could be bargains found but one needs to be cautious. Companies that generate sufficient cash flows to meet their capital investment needs are generally safer bets.

**Examine whether good performance has been sustained**

CIO: In terms of quantitative measures would you say that high return on equity, low gearing are some of the . . .

RAAMDEO AGRAWAL: It is possible that in a particular year a company might show extremely attractive financials. Profit & loss statements and balance sheet numbers can be suitably doctored to show a high return on equity. However, it is not possible to keep doing so in a sustained manner. If a company has been able to achieve high ROE and ROCE for the last five-six years in a sustained fashion, it is very unlikely that the management is not credible. A sustained high ROE, low gearing and a growing stream of profits is always associated with some unique business philosophy that has been guiding the company.

CIO: There is very little literature on what should determine one's exit from a company. How do you decide when to exit?

RAAMDEO AGRAWAL: If you get into a stock because it is undervalued, by the same logic, you should get out when it is overvalued. Typically, however, you fall in love with a stock when it gets overvalued. Not so much for the profit it has made for you, but because there is so much of consensus that it is such a great stock. If it is widely agreed upon that Infosys is a great company and it occupies the front pages of not only the national business dailies but also the global headlines, then it becomes difficult to take a contrary stand and sell the stock. It is not easy to follow a disciplined approach to investing. I have also been guilty of breaking my own rules in the recent times. I am not a good enough artist.

**If you make a mistake, admit it and get out**

CIO: Are there any other factors that could influence you to exit a stock?

RAAMDEO AGRAWAL: If a company is not behaving the way you thought it would, if your predictions about its performance go wrong, you should consider exiting. Say you thought that steel prices are going to go up but global recession sets in and they actually fall. Then you need to sell the steel companies you had bought on the premise that prices would rise.

Normally, this is how one's thought process would be: If one had bought at Rs 108 and the stock had run up to Rs 120, one would comfortably get out. But if the stock had fallen to Rs 88, one would say, "Let me wait for the stock to go up to at least Rs 100." But the stock might never again see a price of Rs 100. So, wisdom is in getting rid of the stock at any price once you realize that your story has gone wrong.

**Look for sufficient margin of Safety**

CIO: Typically, what would be the valuation metrics that you would use as your entry criteria? Let's assume that the return on equity is good and the management is also good but then there has to be some valuation at which you'll buy the stock. You wouldn't buy it at any valuation.

RAAMDEO AGRAWAL: I look at two things. One is ROE, in combination with P/E and growth rate. The other, which is perhaps the more important of the two, is how much I would be paying for the company in absolute terms. It is not that I don't believe in P/E or the PEG ratio. But the future is uncertain and is not about a linear growth in anything. It is not necessary that the current business the company is in will remain as good in the future.

The management has the option to diversify into an unrelated business. So, things could be good or even very good in the future but prudence demands that you have a sufficient margin of safety in the price that you pay for the company today.

CIO: Could you elaborate on the very principles that you talked about? How do you link ROE to P/E? How do you arrive at the absolute value?

RAAMDEO AGRAWAL: A company can grow its net worth only at a rate that is equivalent to its ROE. If you believe that its net worth would grow by 25 percent next year, its ROE for the year must be 25 percent. That is simple mathematics. So, it is the sustainable ROE – rather, the sustainable ROE minus the pay out – that will decide the rate at which net worth will grow. The rate of growth of a company and its ROE are complimentary to each other. I don't think that in the long run, you can grow faster than the sustainable ROE because then you are perpetually into the borrowing mode, which is also not a good thing.

Let's say you identify a high growth company that has a ROE of 25 percent. You believe that this ROE is sustainable for at least the next 10 years. Then you should be comfortable buying the stock at a P/E of up to 25. However, if you were to apply this to a small company, your strategy may not work. That's because other investors may simply not take note of that company even after it has grown at a fantastic rate for the next three-four years. If it is a fairly large company, then the 25 percent growth will not go unnoticed.

**Never count on making a good sale**

I believe that if you identify about ten fast growing large companies and even if you go wrong on three-four of these, you could still get desirable returns on your portfolio. It has been my experience that the successful ones normally yield disproportionately high returns, which more than make up for the losses resulting from the failures. Besides, I always love to keep that margin of safety when I buy a stock because I can never count on making a good sale. As long as I am sufficiently prudent in deciding my purchase price, even a mediocre sale gives me a good return on investment or at least helps me to conserve my capital.

I strongly believe in Buffett's following two principles, "Rule 1: Never lose money. Rule 2: Never forget rule one." As somebody once said, "I walk very slowly but I never walk backwards." Even a slow and painful progress over time leads us forward. We never borrow – neither for our business nor for our portfolio. So long as we make good money we are not particularly concerned about the pace at which we do so.

CIO: You had recently talked about a slightly different or a new valuation tool, which you call the payback ratio. Could you discuss what this payback ratio is and how it works?

RAAMDEO AGRAWAL: Yes, as part of our study on "Wealth Creation," we had talked about the payback ratio or the purchase price recovery ratio. The current P/E should reflect the future growth scenario for a company. But we find that one can't really figure out clearly how much growth is assumed. If the P/E is 5, does it mean that the company can grow at 5 percent? I don't think it is so. So, the P/E per se is not a very good indicator of growth.

The problem with PEG is that it takes into account the last two or three years that we include. It assumes a static condition for G going forward, which is not true. I mean it is coming to everybody's notice in the last three months that whatever we had assumed in December is no longer true. So, the stocks that we had found to be suitably priced based on PEG calculations then, appear expensive now. This is because G has fallen.

So, we said let's take a more relevant measure. I think if you bought a company at a price that is less than the present value of its future cash flows, you'd have made a good investment. The issue here is how far into the future should one go? We assumed a five-year time frame and experimented with past data of recent multi-baggers to see if the theory worked.

We took their market capitalization as they stood in 1995 and added their profits for the next five years to see whether they ‘paid back’ their market prices during that period. Infosys’ payback ratio in 1995 was less than one. It could recover more than what it took to buy it in 1995 in the next five years. Today I have the benefit of saying this because I am looking back.

In 1995, you would have paid a price of Rs 380 crores for Infosys and in the next five years it would have earned Rs 500 crores. But had you bought it then, your wealth might have had multiplied by as much as 220 times. The rewards of identifying such companies at the right time can be truly great.

In our last two studies we found that the overwhelming majority of the companies that do well on the stock markets show an earnings growth of at least 25 percent over the last three-four years. This may not be a sufficient condition. There are companies that grow at 25 percent but even then, they do not make money. However, companies that are not growing at 25 percent definitely don’t make money. So, the condition that a company should be growing at 25 percent is a good starting point.

Unless I believe that a company’s earnings will double in the next five years, I do not consider an investment in it. Zeroing in on a low payback ratio is basically about trying to see whether the company can grow its earnings by 25 percent on a consistent basis. If you are saying that 25 percent should be the earnings growth rate, 25 percent should be the ROE then your PEG ratio should be ½. So, if you pay 11-12 times current earnings for this kind of company and if your projections are right, it is unlikely that you will not make money.

How much money you finally make will depend on the euphoria that the company generates. Five years back, Hero Honda had done better than many of the software companies on several parameters – whether it was free cash flow or earnings growth rate. But there had been no euphoria about any auto company. Thus, we saw that while Hero Honda’s P/E fell from 35 to 8 during the period, it went up from 8 to over 250 for IT companies.

**Look at Asset Turnover for growing companies**

CIO: Would you look at earnings or would you look at free cash flow over here?

RAAMDEO AGRAWAL: For a company in the rapid growth stage, it is virtually impossible to generate free cash flows. Although I do look at free cash flows, I find it more pertinent to look at the asset turnover in case of growing companies.

CIO: Can you use payback ratio at any time or is it only for times when the stock market has collapsed? You see, the valuations of IT companies might still not fit in this payback ratio. The payback ratio being very low, you would have to perhaps look for a large margin of safety.

RAAMDEO AGRAWAL: There are two issues in that. First, what are your return criteria? The higher the returns you expect, the higher is the margin of safety that you need to look for. Simply put, you should buy cheaper. But if your competition does not allow the price of the stocks you are eyeing to fall to levels where you are comfortable buying them, you need to start looking at other stocks.

When I invest, it is with the intention of doubling my investments in three years. But my competitors, say for instance mutual funds, might be very happy with a four or five year doubling period. So, I don't necessarily have to look at an Infosys or a Wipro. I would be happy with Mukta Arts. I feel that it has a payback ratio of less than one and once I gain more knowledge about the business, I might find it matching my investment criteria.

**Valuation should come last in your evaluation process**

CIO: So, is there a rule of thumb? If an investor is looking for a multi-bagger, what payback ratio should he look at? If he is looking for a steady 20-25 percent kind of return, then what payback ratio should he look at?

RAAMDEO AGRAWAL: I would be very comfortable with a payback ratio of less than one for a potential multi-bagger. When I say I expect my investments to double in three years, I don't mean that it is my starting point. That is my last point. I will always prefer investing in established large cap companies with good management. Valuations would come after I am satisfied with the business and its management. That sequence is very important. If you start with the valuation first, you could land yourself in serious trouble.

CIO: Given that there are 10,000 listed companies, what really determines your population of companies or your circle of competence? How do you go about determining what companies you would consider investing in? How many companies form the universe you would select from?

RAAMDEO AGRAWAL: You can afford to completely ignore most companies. There are just about 100-150 listed companies that are really worth even looking at.

CIO: But how do you come to that? Is it market cap driven?

RAAMDEO AGRAWAL: It is definitely not market cap driven. Ideas could come from multiple sources. You could perhaps give me an interesting idea. I would explore that idea, discuss it with my analysts and try and get more insight into it. If after that I find that the idea is really worthwhile and I have conviction in it, I would invest in it. The idea could come from a newspaper or a journal or maybe some other media. Basically, I am not averse to exploring any idea.

CIO: How important is liquidity in your investment decision-making?

RAAMDEO AGRAWAL: I give liquidity a lot of importance. In fact, I have let go of a number of good opportunities in the past because the stocks concerned were not listed. I am stuck with one of my largest investments because it is not listed. So, I hate to invest in a company which is not listed. But I am not averse to investing in stocks that are out of favour I just keep my tension levels low. I'm not looking for stocks that should have trading volumes of one or two million. I have patience to wait till volumes build up and they normally do if you choose correctly.

CIO: Having invested in a stock, how frequently do you update yourself?

RAAMDEO AGRAWAL: In fact, I spend lot of time doing that. It's good you asked me that because I need to put it in perspective. I have my own research department and I kind of eat what I cook most of the time – 99 percent of the time. There is constant monitoring with the help of the respective squadron leaders. There is a practice of getting a valuation sheet organized value wise and business wise every day although I don't really look at it on a daily basis. But the records are maintained so that I am able to go through them whenever I feel that there is a need to do so. It is, nevertheless, a continuous process.

CIO: And between these broader thoughts of bottom-up investing and top-down investing have you by and large always been a bottom-up investor or you think that top-down investing has relevance to overall investment philosophy?

RAAMDEO AGRAWAL: I have largely been a bottom-up investor, but in terms of risk management, top-down investing also has its own relevance. Say for instance, you get out of one overvalued IT stock and invest into another IT stock that you consider as undervalued at that point of time, you are actually not reducing your risk. Particularly the risk associated with that business.

When the IT sector peaked, I did reduce holdings in some IT stocks but I went back searching for alternative stocks within the sector. Hence the stock that I replaced my earlier investment with also depreciated almost as much as the one that I sold. When you feel that a business has peaked out because of some bubble factor, it might be wise to go into cash. In such circumstances, even if you were to invest in some other sector, you may not be very much better off.

CIO: Because of the market conditions . . .

RAAMDEO AGRAWAL: Yes.

CIO: Are you suggesting that an investor can actually time the market as well?

RAAMDEO AGRAWAL: No, I am not suggesting that. Actually, I firmly believe that you should remain 100 percent invested both in good and bad times. But if you don't see a suitable investment opportunity, it is better sit on cash. It is like asking should you go to the river for taking a bath. There is no problem about it but if it is actually swollen or extraordinarily torrential, you'd better avoid going there. Situations like the 1992 boom or the recent tech boom are akin to the extraordinarily torrential river. In such times, you'd fare better if you remained out of the market.

**When greed is pervasive, move out**

CIO: Unfortunately, small investors typically enter the market at the wrong time. Could you tell us about the obvious indications that one could read into and hence avoid doing so?

RAAMDEO AGRAWAL: I think that the most obvious indication that the market is ripe for a fall is the entry of a large number of lay investors. When people who do not know anything about the market and who are not normally interested in them begin to invest passionately, the seasoned investor must start contemplating an exit. During such times you'd see that the pensioner, instead of trying to get half a percent more on his old-age provisions, starts speculating in highly volatile stocks. Trading volumes witness a massive increase and the market index shows no signs of falling. When you see that greed is pervasive, it is time to move out.

CIO: There have been very significant changes both in the global economy and the capital markets in the last 5-10 years. Has this impacted your way of investing?

RAAMDEO AGRAWAL: Globalisation of the Indian economy has changed the entire landscape of the country. On the one hand, it led it destruction in many people's wealth. On the other, it brought new opportunities to grow wealthy. Businesses that thrived in a protected environment suddenly found that they could no longer survive in a highly competitive environment. A number of stock market favourites – companies belonging to the various Birla factions, for instance – have since lost heavily in terms of market capitalization. Fortunately, I pared my portfolio from 225 stocks to 20 in 1995-

96. In the process, a number of such companies were weeded out. But others who were not as fortunate saw their wealth shrink.

The process of global integration has also been a source of tremendous opportunity if you look at the IT sector. Not only did it lead to the country being recognized as a provider of superior IT services, but also resulted in one of the biggest stock market booms in recent times. As a result of globalization, superior management techniques, better business processes and more relevant legal procedures are being adopted. Companies in India have begun to behave almost like their counterparts abroad. Newer opportunities have arisen for them.

CIO: Who is your ideal in the investment world?

RAAMDEO AGRAWAL: I have read several investment gurus and have benefited from them. However, the ones that stand out particularly are Graham, Fisher and Buffet. As I told you earlier, I think I have been most fortunate to read Warren Buffett. I have particularly benefited from the concept of "margin of safety". When I buy a stock, I look at it as buying a part of the company in question and not just as buying a share. I am conservative and I look for value.

Buffett has covered most of what Graham propounds – conservatism, margin of safety, focusing on value and the like. Fisher talks more about growth companies and is closer to technology. I like more of growth investing than looking for some kind of dead value. I find it difficult to absorb things like asset stripping in special situations. I have been most influenced by Buffett and partly by Fisher.

Although I have books on investing by several authors, I strongly feel that you must have only one guru. I consciously avoid getting deeper into investment techniques that I feel I do not have the temperament to follow. I think I don't have the capacity to become a super doctor after meeting 10 doctors. But I am talkative and I like reading. So, I am listening to all these people.

# Samir Arora

**Samir Arora works for Helios Capital Management in Singapore. Mr. Arora was previously the Head of Asian Emerging Markets for Alliance Capital Management and inter alia also managed its India dedicated funds. India-dedicated funds managed by Mr. Arora received over 15 awards during his tenure. In 2002, Mr. Arora was voted as the most astute equity investor in Singapore (Rank: 1$^{st}$) in a poll conducted by The Asset Magazine.**

**Mr. Arora received his undergraduate degree in engineering from the Indian Institute of Technology, New Delhi in 1983 and his MBA (Gold Medallist) from the Indian Institute of Management, Calcutta in 1985. Mr. Arora also received a Master's degree in Finance from the Wharton School of the University of Pennsylvania in 1991 and was a recipient of the Dean's Scholarship for distinguished merit while at Wharton.**

**Anticipate and recognize change early**

CIO: Could you start by telling us about your basic investment philosophy?

SAMIR ARORA: We really aim to anticipate and recognize change early. Perhaps the maximum amount of money is made early in the cycle, when there is maximum change in a company, an industry, the perception of a company, in corporate governance and so on. The whole idea is to recognize change at any level – micro or macro. We have analysts who carry out the micro-level stock analysis. I take the macro-level calls as to which sector to buy or within a sector, which company to buy.

CIO: Could you tell us about a couple of changes that you identified during the last decade that worked for you or did not work for you?

SAMIR ARORA: One idea that did not work as originally envisaged was Indian Liberalization. Fund, which was launched in 1993 to buy privatization stocks in India. We had anticipated privatization very early. The first stock we bought was MTNL at Rs 300 in December 1993. In fact, for five years we never bought privatization stocks in a significant way for any fund. The result: Although we were one of the first ones to think of privatization stocks in India, we did not capitalize on it fully, once privatizations really took off 8 years after we had started.

But we have also had our share of successes. One theme we successfully rode on was "public sector being a defender of market share with private sector being the new entrant." Let me give you two instances of where we used this. One was Zee, which was up against the state-owned Doordarshan and the other HDFC Bank, which was up against the public sector banks.

When we bought Zee in 1997-98, its market cap was US$60mn. At that time a cable company in Thailand with just 200,000 connections had a market cap of US$400mn. When we looked at Zee's history, we found that the company had an unfair reputation in the markets although the business model was very strong. Actually, unlike several other companies in India, it had not issued any warrants or options to its promoters and had continuously paid dividends and taxes. We considered that to be a positive from the perspective of the minority shareholders. So, we invested in the company and this proved to be fruitful just as our investment in HDFC Bank.

Personally, I made a lot of money in Yahoo and AOL using the same theme. In 1997-98, the market cap of these companies was very small. But in just two years, the whole scenario changed. When everybody gets interested in a sector, the valuations do not matter at all.

**Supplement micro-level analysis with macro-level feel**

CIO: In whatever interaction we have had in the past, you have extensively used this top-down macro logic across various companies. Lately, we talked about India's wireless market cap and the kind of opportunity that presents to financial investors. Could you discuss the thinking process involved in this approach?

SAMIR ARORA: We have analysts who do the micro-level analysis – things like looking at the numbers, growth rates, valuations and the like. I take the macro-level calls. So, when you interact with me, you see the macro logic. But my macro logic will not work if my analysts said that a particular company on a standalone basis is not a worthy investment candidate. It is not that we don't take a macro view on a sector, but the stocks that we actually end up buying are those in which we have conviction. At the same time, even if we are convinced about the standalone potential of a particular stock, we may not actually invest because of a negative macro-level view.

Let me give you examples to illustrate. Look at the last two years' stock performance of ITC and compare it to Philip Morris. What is the logic? Why should ITC's stock performance be connected to Philip Morris'? But you can see a clear relationship on Bloomberg. Both stocks exhibit similar trends. When Philip Morris does badly, so does ITC. Now, in India you don't have the kind of regulatory risk as you have in the US. While US cigarette companies run the risk of becoming bankrupt due to the award of high punitive damages against the health hazards posed by smoking, this is not so in India. Given the US experience, fund managers tend to discount the possibility that x years later, a similar situation might arise in India as well. So, during the Bill Clinton administration, when the Philip Morris stock was not doing well, ITC was also under pressure. However, with the pressure on Philip Morris decreasing from about a year before Bush came in, the willingness to hold ITC has increased amongst global fund managers.

Now, let's look at telecom. Several investors made lots of money in emerging markets like China. It is most logical for a fund manager to say, "I missed China Mobile but now have an opportunity in India" or, "I made a lot of money in China Mobile and in India you now have the very same drivers." Suppose this top-down approach works but for some reasons we feel that the promoter of the Indian cellular company is not good or its competitive position is very weak, then it is unlikely that we will invest in the company. What I am saying is that while we will use this top-down approach, the bottom-up analysis is also done separately. We will not buy a stock just because, let's say, its market cap is very low. But like in Zee's case, if we separately find that the stock is a worthy investment candidate, we will invest.

In Zee, we had found no corporate governance violation when we first invested in the company 5 years ago. We were measuring corporate governance by only 2-3 things.

It has not issued warrants at that time when several other companies in India had. Unlike others it had not made a private placement. It used to pay taxes at the rate of 25% or so. And, it used to pay dividends, which meant that the money was real. Yet, Zee was a predominantly macro call and the micro call was a bit off. So, on the one hand, we give the benefit of doubt to many companies. But on the other hand, we also have a long memory in the sense that if we have been burnt once, we do not go back to the same company easily. This is something that you have to remember in a bull market because there is always an opportunity to get carried away.

**Look at pre-tax profits**

CIO: In this process, how do you resolve the contradictions? For instance, some of the companies you have invested in may not have the best of managements. Or in some cases, valuations that you are paying might appear enormously high. Take BPO for instance. On the basis of historic earnings, these stocks are definitely not cheap.

SAMIR ARORA: Let me explain. Today E-Serve pays tax at the rate of 48% whereas the IT services companies pay zero tax. Now we all know that one day every company has to pay full tax. Yet, everybody gets shocked when the budget proposes a tax on IT services companies and their stocks tumble due to the announcement. We believe that tax is not a negative and if some company pays tax, we do not cut it out of its earnings. A tax-saving company is perhaps the worst company in India because it lets taxes determine its strategy. In 1998 or 1999, we decided that we would look at all numbers on a pre-tax basis.

As far as BPO is concerned, I believe that it is a big opportunity for India. If there is a company that is already growing at 18-20% every quarter and will have a significant exposure to BPO, then I think it is worthwhile looking at it. It has a market cap of US$100mn, it is already a profit-making company and it has a large MNC parent that is fully committed to it. The parent is giving the company plenty of business and this is only likely to grow.

When we invested in Zee, we used to say that if you can get an entry in to the business in India for US$50mn, it is enough. On the macro-level, it does not really matter what exactly the company will do at that stage.

The market valuation of the cellular space in India is about $5-6 billion as there are just 5 players and the largest is quoting at a valuation of about $1.7 billion. The cellular market is expected to grow at 40-60% for the next 5-7 years. The same cellular business is collectively valued in China at $140 billion. Now if India is a great country to invest in, then there has to be some consistency in valuations across sectors. This is the very simple broad theme on which we have invested in Bharti.

CIO: If we were to divide what you look for in a company before you invest into two parts, what would you say are the necessary conditions and what are the sufficient ones?

SAMIR ARORA: I manage a technology fund, a basic industries fund and a consumer fund, and I sell them separately to the people. So, it is very different from a person like Warren Buffett, who says, “I only buy consumer companies because I don’t understand technology.” Very few people in the world manage three completely different sector funds, with completely different kinds of investment logic behind them. Yet, the consistent thing would be that a bottom-up and a top-down analysis are done separately. Our investment approach is a combination of top-down and bottom-up.

Bottom-up basically entails intra-industry comparison; not cross-industry comparison that an individual investor would do, “Should I buy Infosys or should I buy ACC?” That is the second level of research. The first is top-down, that is, whether you should be a little overweight in technology or say cyclical or perhaps, cement and that is my call. We look at valuations, the growth rate and the quality of the management. But above all, because we are viewed as investors being able to move stock prices we get to see many companies that want to change.

In such cases, we have often worked with them to drive change. Of course, whether or not they actually change is a call they have to take. There are several instances where we have got directors changed in private companies just to help them get a high P/E. Whether we want a good management or we want a management that wants to be good is a tough question. But in many cases, money has not been made by buying the best managements but the managements that want to become the best. The bigger game is in the change not in knowing, let’s say, that a Lever has the best management.

**Identifying a cheap stock is easy; find why it won’t be cheap any longer**

CIO: Right, so you would say that your necessary condition would be to identify some big change?

SAMIR ARORA: Yes, it is not enough to say that xyz is cheap. Probably last year as well, it was cheap and the year before. There are many stocks that should be at the top of cheapness list, but nobody looks at them. That is because nobody knows why these will not remain cheap the next year. Change is therefore critical.

**The leader always enjoys a higher P/E rating than the rest**

CIO: You have also been a believer of the philosophy that the valuation premiums or discounts that some stocks enjoy are actually for good. You’ve said for instance that an x IT stock will always quote at a discount to the leader in the sector. Could you explain?

SAMIR ARORA: Yes, I don't think that the valuation gap – in terms of the P/E they enjoy – between Infosys and Satyam or Taiwan's UMC and TSMC will narrow down. P/E is earned in the market, which is not an easy thing to do. In my seven years of experience, I have not once seen a company enjoying valuations at par with the leader in that industry. Also, if you start with a clean state, it would be easier to maintain or enhance your P/E rating than if you start on the wrong footing.

But we are not just talking about the stock going up. We are talking about its P/E narrowing vs. the leader of that group. So, while in a bullish market Satyam's P/E might go up, Infosys' would also go up. Therefore, the valuation gap would remain. You can also see this in other sectors. In consumer goods, for instance, Hindustan Lever enjoys a higher rating than others.

Also, the markets have a long memory. So, if you have a company with a history of problems, the markets are likely to be wary about re-rating the stock even if it begins showing good earnings performance. Here, let me mention what Warren Buffett says about problems. He says that problems are like cockroaches in the kitchen for there is never only one cockroach in the kitchen.

It is true that P/E is dependent on earnings growth. But just because a company is able to grow its earnings phenomenally in a particular year, you don't begin to rate it at par with the leader. You need to see that company consistency putting up that kind of performance for, say, five years before you see the valuation gap vis-à-vis the leader narrowing. Therefore, we don't bet on a narrowing of the P/E gap.

CIO: In one of the Wealth Creation studies at Motilal Oswal, it was found that 90% of stock returns over very long periods of time have actually been made out of re-rating rather than earnings growth. For instance, it was found that if you had bought Infosys at the right time, 90% of your returns would have come from re-rating.

SAMIR ARORA: I would think that the re-rating actually happened for the sector as a whole and the narrowing didn't happen. I remember that about a year ago, in some studies Satyam came out as being the number one stock in India based on its last four or five year performance. But I don't think that its P/E narrowed against Infosys at any point in time.

CIO: It did. At the peak, the valuation gap between Infosys and Satyam had dramatically narrowed . . .

**Place your bet on earnings growth rather than P/E expansion**

SAMIR ARORA: Okay. Maybe it happened. But what I am saying broadly is that we don't buy a stock on the basis that its P/E relative to the leader of that industry will narrow in our horizon. The lower P/E may be a support – a buffer that will help you on the downside. But if our analysts were to say that buy Satyam because its P/E is 15 and that will become 30 in 2-3 years because it is doing the following things, I will not buy that argument. But if they said buy Satyam because its P/E is 15 and given the expected growth in earnings, its price would rise by, say, 50% in two years, I would.

See, a high P/E doesn't come just because of high earnings or because you are part of a good industry. It is earned over a period of time. It just happens because you are good corporate citizen, because you started clean, you kept clean, you communicated clean and investors are satisfied with your due diligence.

However, betting on multiple expansion in general is difficult in India as the Indian market has a long memory and if you do not start right you never really get a premium valuation.

CIO: You migrated from being a country fund manager to a regional fund manager. Could you tell us a little about how this has helped you and what are the merits and demerits of taking up this additional responsibility?

SAMIR ARORA: Well, the demerit is obvious. Sometimes, you just don't have enough time to focus on any one country. During the last few years, our business in India has grown so much that we just don't even look at many of the smaller names. We, our analysts and I, now have a larger role and the size of our India funds has grown so large that very small companies do not make much of a difference to the performance of the funds.

In terms of the merits, these are also very clear. You are able to compare stocks on a regional basis. You are able to attract the best analysts because they are excited about taking up a regional role. In many cases, stocks in India are influenced by foreign flows and foreign information. Because of our current role, we are able to identify these more easily.

Yet, across the region and even across the world I think in terms of bottom-up selection some of the best names are in India. There are managements restructuring to improve their efficiency in an environment that does not support this. To see state-owned companies like State Bank adopting change is amazing. Such things get missed by somebody who is not close to India. So, we are very close to India.

CIO: At the analyst level, how useful has it been to track a region? Have you seen any material change in the performance or the quality of recommendations?

SAMIR ARORA: Well, we started tracking stocks on a regional basis in 1998. Now whether it's to do with the quality of information or views, or with the fact that we had our biggest bull run in 1999-2000, we don't know. But in 1999, our Indian funds went up by 280% and 2000 was also not bad. In 2001, because of our long positions in technology, we underperformed the markets.

Now, it is not that it worked because of having an Asian role. The markets supported our performance but whenever we buy, we do so with the maximum conviction because we are able to do due diligence across a number of factors. Also, India is unique in our scheme of things. Sectors like software, pharmaceuticals and even consumer goods companies of the kind we have in India – multinationals or companies with long histories – are not there in our universe. We track sectors like auto, steel and telecom across the region.

CIO: Purely from a return perspective, what would be your macro call on India vs. the rest of Asia?

SAMIR ARORA: In a relative sense, except for last year, India has not been bad. But on a stand-alone basis, India has been very disappointing. The Indian index did not go anywhere for a long time since I started in 1993. Just being in equity did not ensure that you made money. Success lies in picking the right stocks and doing so is not easy. We were hoping that going forward we would be able to make money by just being in India. Over and above that, we could make some more money by outperforming the index. Making 100% of the money by outperforming the market is too painful a way to earn a living. However, making money by simply being in equity is only possible when there is a secular bull run in India.

For the first time in several years, you have Indian companies as a group generating higher returns on invested capital than their cost of capital. There is an actual reduction in costs or improvement in efficiency across the whole spectrum of companies. You have a macro-level positive in that PSUs are getting a life as stock market citizens. So, while we were always bullish on India on a bottom-up basis, this time we are bullish on India on a macro basis. Earlier, our stance on India used to be 'bearish and overweight'. But now we are 'bullish and overweight.' We have always been overweight because you cannot find the likes of HDFC Bank and Infosys in the rest of Asia.

CIO: You are bullish on India. You were overweight and you continue to be overweight . . .

SAMIR ARORA: The reasons for being overweight on India have become both bottom up and top down – previously it was only bottom up.

CIO: How to you see India performing on a relative basis, going forward?

SAMIR ARORA: I would say that if we found the right stocks in India and the right stocks in some other market, then the right stocks in India would do better. In India, you have a good menu to choose from. You can bet a big part of your money with conviction on a micro-basis, which is what we have really been trained to do. In China, on the other hand, we would take a macro-level bet. This, of course, could partly be due to the fact that I am more familiar with India.

I cannot say how the index in India will perform in the next five years – whether or not it will outperform Korea or Taiwan. Today just because we have carried out one privatization exercise successfully, we cannot say that we have changed. In the stock market, nothing changes in a very short period of time – you could have a fall of the government, for instance. So, let us not get carried away, saying that India is on an automatic path to success.

In India, we have a big problem at the policy level. Now, to take a very long-term macro-level call, you need to be convinced that it does not matter whether it is the Congress or the BJP or XYZ that forms the government because they all have the same policies. But it is not like that.

CIO: How have you gone about approaching some of the new markets that you took up a couple of years ago?

SAMIR ARORA: The first thing is that in those markets I have still not reached the stages where I am truly buying undiscovered stocks. We are only taking bets in the 40-50 names that the world has. Although our Asian funds have nearly twice the money in Korea vis-à-vis India, the stocks that we own in Korea are only 10as against 14-15 in India. So, in one sense there is a dichotomy. My job has therefore, been picking 10 out of the 50 names, not to discover a 51st stock.

China, Korea and Taiwan are the markets where I have been investing and I believe that if you have learnt how to invest in India, you have learnt everything. You have learnt the questions to be asked, you have learnt what cheating people can do, you have learnt why two stocks in the same sector don't get the same rating. These issues are actually prevalent everywhere.

Yet, the fact is that I am a foreigner in these markets. In India, we laugh at the foreigners when they buy some stock we consider expensive. So, it must be with me in those markets – I just haven't discovered the 51st stock. Perhaps I need more understanding of those markets – visiting local companies and plenty of effort. But, overall, what is happening there is really no different from India.

CIO: How has your investment philosophy evolved over, let's say, the last five years?

SAMIR ARORA: Well, five years ago, we were very small. Therefore, we could go and buy the smallest of companies and it would still have an impact on our portfolio. Now, the tough thing is that by nature we would love to discover new stocks. Discovery itself now no longer means 20-baggers but stocks with, say, a potential to double. Even if we successfully did so, we would not be able to buy it in a big way because of unavailability or if we bought it in a big way, it would mean losing, say, 40% of the potential return. So, the job has become less interesting in a sense because now you have to deal within the large stocks.

But there is a huge value added even when you have to choose from within the top 50-100 stocks. If you look at our portfolio over the last five years, except this PSU phase that I have talked about, we have done a good job. Broadly, there is enough value added in the business by staying away from goofed-up obvious bad stocks. But there is a different thrill in discovering a completely new name. we have had our thrills in companies like Balaji Telefilms, E-Serve, Digital etc. There are several companies that no other fund owns but in which we hold 5-8%. But in many cases, they don't make much of an impact to our NAV except that we get associated with them and we double our money. The investor gets to sleep and we keep our jobs.

CIO: You told us about what drives you into a stock. Could you take us through what drives you out of a stock?

SAMIR ARORA: There are several big positions that we have quickly eliminated and never looked back. But there are some, which we keep going back to. Yet, our real returns during 1996-2001 came from not selling stocks too early. Take for instance, HDFC Bank. We started buying the stock after it got listed in 1995. At that time the stock traded at Rs 30 but till 1998, it had not even reached Rs 50. So, for three years, the stock remained flat. But after that it went up five times to Rs 250.

We bought 5% of Satyam in 1995 even though we were very small at that time. We were able to do so because at that time, the company was also very small. But for two years, the stock did not move much. But after that, the stock gave us phenomenal returns. So, we have to hold on to these stocks for a long time before they do anything.

Now, let me tell you why we stopped buying Hindustan Lever. Previously, we had the same argument for Lever as we have for HDFC Bank. You cannot lose money because after six months it will become cheap. However, in between Lever's growth became very low. So, by holding it, it didn't become cheap. That is when we sort of sold it. Now, selling a stock when something goes wrong is relatively easy. The difficult thing is selling a stock when its valuations become too high. We normally sell more on company disappointments rather than on valuations.

In the past, we have held onto our picks, particularly technology stocks, for too long. We held on to Infosys because we believed that the company was doing a great execution job. For five quarters after its stock price peaked, the company kept delivering its guidance, which was issued before the stock had peaked. The stock peaked in March 2000. The company met the March quarter guidance as given prior to the peak, then the June, September, December and March 2001 guidance. It was only in June 2001 that the management issued a lower guidance.

So, for five quarters, the company met its pre-peak guidance but the stock had gone down may be 35%. The micro-view was that the IT services companies were doing great, they had good orders and were signing on an average 25 new clients every quarter. So, we held on to them. About six months later, that is, post the September 11 attacks, we realized that these companies don't really know how much business they would do in the next quarter. We have to just identify the best companies that we want to buy in the sector and take a macro-call.

CIO: Basically, to summarize, would you say that your exit criterion is a change in the fundamentals of the company?

SAMIR ARORA: Normally, yes, it is a change in the company. Hopefully, we will also remember that extreme high valuation could also be an exit criterion – we have used this criterion much less. What I am saying is that if you look at our history, both the reason for success and the reason for criticism are the same, "You hold your stocks too long." Zee, multiplied 160 times since we bought it. Every Rs 10 invested in the company had multiplied to Rs 1600. But we did not multiply our investment to that extent because by the time we sold, it had already fallen to Rs 700. So, we basically ended up multiplying our investment 70 times.

I remember having said in an interview with one of the business magazines that our year-end target for Zee was Rs 250 when the price was around Rs 100. However, the stock had multiplied 10 times by the time the year had ended and we did not sell during the year. Even if I had sold at Rs 300, I would have tripled my money in a year and that would have been considered as a great job. While some might say that not selling at Rs

300 was a good decision, others might criticize me for not selling at Rs 1600. The same goes for Infosys. We made about 55 times in Infosys but we could have walked out at 20 times, as well.

We normally start with some valuation/price target when we buy a stock but more often than not, these targets get revised based on new information about the company. It is difficult to sell sometimes for we start falling in love with our stocks as analysts and fund managers and forget to have a dispassionate view.

CIO: What valuation tools do you use in your analysis of companies?

SAMIR ARORA: Primarily, we use P/E. We do not usually use EV/EBITDA, other than in telecom, because this parameter is used to justify that EBITDA is your answer, which is not. For a normal steady business in India, we have never relied on EV/EBITDA. So, while P/E is the main parameter we look at, sometimes we look at P/PBT to neutralize the effect of taxes. We also look at ROE but I think looking at DCF other than in one-two sectors is an absolutely ridiculous way of doing things. This is because you really have no idea about what will happen in a company beyond three years.

CIO: What is the investment objective underlying your entire investment philosophy?

SAMIR ARORA: The objective is to beat the benchmark and competition while generating absolute returns comes as a corollary. We try to beat the benchmark because over a long period of time, the benchmark normally does give you absolute returns. While in a bear market, one way to beat the benchmark might be to go, say, 20% cash. But we don't do that. If we are an equity fund, we stick to equity.

CIO: If you were given the choice to trade between asset classes to maximize absolute returns, would you do so?

SAMIR ARORA: First, let me tell you that we are always bullish on equity and here's my favourite story: Infosys has been one of our largest holdings in India. The stock used to trade at multiples of 80-90 but has corrected considerably since its peak in 2000. In an internal study, we found that when Infosys fell 60%, virtually every small stock fell 90-95%. It is therefore, good that we did not sell Infosys on the grounds of high valuation because our normal tendency would have been to find stocks in the same sector but which had more reasonable valuations. In our study the top two performers in the TMT space during January 2000 to November 2001 were Infosys and Wipro. These stocks had the highest P/E in January 2000 and had fallen the least by November 2001.

Thus, while not selling all our TMT stocks and buying stocks like BPCL could be called a mistake, holding on to Infosys within the TMT space cannot.

Now, coming to shifting between asset classes, as in equity to debt or vice-versa, you need to understand that we don't want to take an asymmetric bet with the investor. Let me explain. Let's say that our fund went up 100% in six months and the market went up 105%. Would that be called good performance? Well, 100% in six months is a phenomenal return but then as active fund managers, we should have been able to deliver higher returns than the benchmark. Having generated 100% returns in six months, let's say, we decide that the market has peaked and we sell all our equity investments and move to debt. At the end of the year, however, you find that the market has gone up 120% and your fund, now totally invested in debt, has generated just 115%. What do you say to your investors?

As a predominantly equity-fund, even if we stay predominantly invested in equity with the aim of beating the benchmark, there will be periods of time when we underperform. In the last two months, we have underperformed, because we didn't have enough PSUs. However, the investors who invested with us in August 1998 should have no reason to complain. Yet, investors who invested with us in December 2001 could say that we returned, let's say, 14% against some other fund's 18%. Unfortunately, that is how it is. So, it is not ever a point of walking away because the investors have completely different entry points and different investment horizons. They expect you to outperform over the periods that they are invested in the fund and they are each invested over different periods.

CIO: Could you tell us about some of the risk control measures that you adopt for your portfolio?

SAMIR ARORA: Well, there are many risk control measures that naturally come up in our portfolio construction. One is that currently SEBI says that you cannot have more than 10% in a stock. That itself brings automatic risk control on a particular stock. As far as holdings in a sector are concerned, we did not have any conscious restrictions. But it came naturally. There are five analysts who are covering different sectors. It is very unrealistic as an organization to have a situation where you are always buying stocks covered by one analyst and not having the time and money to devote to the other four. Each of our analysts would want stocks from their universe to be bought. So, just because of the way the organization is structured, we are adequately diversified across sectors. Fixing the maximum weightage in a particular sector does not make much sense. At the peak of the TMT boom, for instance, we had 50-55% exposure to the sector. In an absolute sense, this appears high. But relative to the benchmark it was not.

CIO: Are these limits applicable to your emerging market or Asian funds, as well?

SAMIR ARORA: Globally, our emerging market funds restrict their exposure to a particular stock, to 5% of the fund corpus, or the benchmark plus 2%, whichever is higher. In the Asian funds that I manage, I restrict my exposure to a particular stock to the benchmark plus 4%. We also have a country limit of 5%. The idea is to reflect truly the stock selection as the reason for a return, rather than a bet on a currency, a country or a sector. Given these restrictions, we are clearly growth-biased investors. So, merely by definition, we will have a bias towards high growth sectors, whatever they are at a point of time. For instance, we don't have a shipping analyst in Asia, even though there are some Asian shipping stocks that we could buy.

CIO: How big is your investment universe? What are the factors that influence it?

SAMIR ARORA: I manage three sector funds. Now, for each of these funds, we have to cover effectively every company in the particular sector. We cannot be unfair to those small sector funds by saying that we will look at only the top 50 companies. The sector fund has to buy at least 15 companies to be a meaningful fund in itself. That creates more work but is a huge help in that we have space for every stock. We have a fund for nearly every good story. While a small stock may not have much of an impact on our bigger funds, this is not so in case of our sector funds. So, we don't really have a size limit. However, a small stock does not get the same attention, as we cannot buy it in every fund. Discovering a small stock only for the sake of one fund is not as exciting as doing it for every fund of ours. Nevertheless, in theory we can look at any stock because we have all kinds of funds.

**There is no concrete definition for 'good management'**

CIO: If you have a company with good management in a bad business and another company with a bad management in a good business, which would you choose?

SAMIR ARORA: We want good businesses. A good business with decent management is better. In a bad business, the value that a good management can add is very low. We have seen in the past that even if you have a management that does nothing, a good business often keeps its momentum. But yes, if you have a completely fraudulent management, then whatever the state of the business, you are unlikely to benefit.

The problem is that we sometimes do not know what is the limit of good corporate behaviour? Is a company with large number of outstanding options for management good to motivate them or cause fraudulent behaviour? Stock market analysts want companies to be open to shareholders but do not like companies that worry too much about their share prices. Would you rather have a company which does not even meet the shareholders once a year like many multinationals or companies where the promoter will know every minute what is happening to his stock? Do you like managements where the owners are in charge or do you like professional management which can also leave at short notice and at the slightest hint of problems?

Every case is different and we have to continuously adapt to what is good. GE beat their earnings guidance every quarter for a number of quarters and everyone thought that was good. Now since times have changed every analyst wants to know how exactly GE did that and whether everything was above board.

Life is unfortunately more complicated than we think.

# Sanjoy Bhattacharya

**Sanjoy Bhattacharya, who currently works with an American hedge fund, spent over 6 years from 1982-1989 in Consumer Marketing and the 5 years from 1989-1993 in Credit Rating with CRISIL & ICRA. Mr. Bhattacharya joined SG Warburg in 1994 and became CIO of HDFC Mutual Fund from April 2000 to June 2004.**

**Mr. Bhattacharya did his schooling with Mayo College, Ajmer. He obtained a graduate degree in Statistics from Loyola College, Chennai University and is a management graduate from IIM-Ahmedabad.**

CIO: What do you think is the best way to go about investing in the Indian context?

**Value investing as a long-term proposition is rewarded far more significantly**

SANJOY BHATTACHARYA: I think that's a tough question. I don't think there is a straightforward answer. Reflexively, it may appear that growth stock investing would work best in the Indian context. The logic for that is the fact that the economy is growing at 5%+. Unlike a lot of other countries in emerging markets that are narrowly focused in terms of having strengths either in service businesses like Singapore or in smokestack manufacturing like Czechoslovakia, in India there is actually a diverse manufacturing economy. In addition, the service sector has considerable strength in areas like software, hospitality, leisure and entertainment (I think Bollywood probably rivals any other country in terms of size).

Assuming India is going to witness meaningful economic growth across a wide range of industries over the next 10 to 20 years, the GARP (Growth at a reasonable price) approach seems ideal. Having said that, it's not clear that there are no equally worthwhile alternatives. This is because what happens in India is also affected by two other factors.

First, we have a far larger number of listed companies for historical reasons. Therefore, for most individuals the investment universe is probably between 1200-1500 companies. Apart from the 250 largest companies, the other 1250 are completely neglected. By virtue of that neglect great opportunities exist giving you tremendous room to make outsized gains.

Secondly, till recently I think the Indian market was driven more by momentum rather than an assessment of business and economic fundamentals. While that is changing, information dissemination and analysis is clearly less 'efficient' in India than in developed Western markets like the USA. As a result, there is still considerable room for people who focus on extensive fundamental analysis to seek some kind of advantages in identifying value, which others may not have done. A good illustration of that is Bharat Electronics. For years together till as recently as 2000-2001 it was absolutely undiscovered. BEL is neither a small company nor an unknown company. On balance, I think it pays to be eclectic in the way in which you invest in India.

So, while growth investing is probably the most frequent mode of investing, I would venture to say that all sorts of investors can succeed in India. All they need to do is be analytically comprehensive, have clarity in terms of their investment horizon and recognize that no approach works all the time. The amazing thing is that in India, value investing as a long-term proposition is probably rewarded far more significantly than in most other markets. Market inefficiency does wonders for investment performance!

CIO: With that backdrop in mind, what components make up your style of investing?

**Cigar butt investing is appealing**

SANJOY BHATTACHARYA: When I started out, I was greatly influenced by the cigar butt approach. In many ways, I still have a great attachment to that style given its simplicity and intuitive appeal. Further, it is easier to figure out and requires less use of judgment than other forms of investing. I have tried to adapt as I have gone along. But even today the lure of a 'cigar butt' remains very strong. So, in that sense the most important influence in the way I have been shaped is Benjamin Graham. I would say this, hackneyed as it may sound, that if you really want to figure out what investing is about and you had to read just one book in your life, the book to read would be The Intelligent Investor by Benjamin Graham.

Having, said that, sometime in the late Eighties I was fortunate enough to come upon a balance sheet of Berkshire Hathaway. That was my introduction to Warren Buffett and the simple point that he made was that if you have to choose between a good business and great management, clearly the choice is to buy a good business. Because that's what drives earnings and that's what creates value. But the difficulty – and where I get unstuck most often – is really figuring out that it is a good business. It is not easy to get that right. You often make a lot of mistakes in figuring that out. You think it's a good business. But because you don't have the necessary understanding and the deep insights required to figure out what it takes to succeed in that particular business you end up getting it wrong. I made the same mistakes, lost a lot of money and realized that not many people can successfully practise that form of investing. It genuinely requires tremendous intellect and great judgment of managerial capability apart from being very time consuming.

The other method with which I became acquainted is called GARP. Probably this is the second most common form of investing in India after momentum. In essence, you try and find growth and make sure that you are not paying too much for it. It is often confused with Buffett's brand of investing or on occasion even with value investing because it's actually a corrupted version of both. It has gained great popularity internationally as well. The trick lies in judging what is a reasonable price in relation to how much growth there is. These are both tough calls. It often works well in the short run because if you can spot something that you think is significantly at variance with what others doing and is meaningfully undervalued, there is considerable opportunity to hop in and out. Even if you haven't got the degree of growth right (how much growth and for how long) you can still make an honourable exit. In value investing the need to be patient is perhaps much greater. GARP usually does not test your patience!!

**Integrity of management is fundamental**

Two other concepts shaped my investing. One was the idea that you need to have competent management and integrity in the people who run the company on your behalf. Many people would say integrity is something that moves along a continuum. You can have people who are complete crooks as also managers or entrepreneurs who resemble saints. I have met large numbers of the first kind, but unfortunately just three or four examples of the latter (saints). I figured out early that if you know the left-hand side of that continuum is complete crooks and the right-hand side is saints, I would never like to go to between the extreme left to the midpoint. I have a strong preference and am willing to pay to be much closer to the right extreme of the spectrum.

Thus, despite having made a large number of mistakes (in fact the mistakes that I have made in my life are so numerous that one could write an encyclopaedia on this and I'm sure that there are many more to follow) that is the one thing that has really saved me from great disasters. The first principle of investing is that if you don't lose all that you have managed to put together, then you live to fight another day. That is one of the cardinal principles of investing, not just in India, but anywhere in the world.

Finally, I think I was greatly influenced by the fact that I had the good fortune of working at CRISIL. Being a credit rating analyst, my daily routine was to read balance sheets and meet people who ran large companies. Speaking to them first-hand and was a great education in terms of understanding as to what drives senior management thinking. Equally important was the fact that I had an exceptionally knowledgeable and far-sighted boss – Mr. Pradip Shah. He had a great role to play in influencing my analytical development – the tenets of business analysis, the need to be rigorous and comprehensive as a financial analyst and how to identify red herrings or warning signals from financial and business data. He truly accelerated my development as an analyst. I should also acknowledge the contribution of my father who I think was a wonderful investor. He started as a professor of accounting at IIMA but went on to teach organization structure and design. He inculcated in me the habit of:

a) Being rigorous and holistic in terms of an analytical framework.
b) Being diligent and not giving up despite initial setbacks or failures.

In essence, his belief was that one has to keep on refining whatever thoughts or ideas or concepts you started out with. One of the best ways to do that is just putting in the effort and not believing that you have all the answers. This is something that I continue to believe in very strongly. It really helped me because when you start from a low base, you know very little. By reading a lot and speaking to people who have great depth in a particular area, it helps to streamline the process of how you think as an investor.

The other thing, which has worked in my favour, has been my association with some very savvy investors. Not everyone has that good fortune. Among them I think I should single out Raamdeo Agrawal, Chandrakant Sampat, Rakesh Jhunjhunwala, Vivek Mundra and my father. Each of these people really taught me something worthwhile.

**Never take large risks**

CIO: Basically, with the investment style that you just articulated, what do you think is a sensible investment objective that one should have in the context of current interest rates?

SANJOY BHATTACHARYA: The answer to that is very simple. My first principle is actually not to take on large risks. One of the things I have learned and which I really believe in is that risk is best defined as “not knowing what you are doing.” This is Buffett’s definition of risk and far superior to what most of us are taught in business schools. If you know what you are doing and you have put in a huge amount of work to be sure that you have got it right, then you can make very serious bets and I think that is what leads to long-term out-performance. It is absolutely vital to put in the necessary spadework before making a serious commitment. While most people follow this precept in the rest of their lives, strangely they seem to think that it is unnecessary while investing.

In general, my predilection is to maximize risk adjusted returns while confining risk to a minimal level. Perhaps this has something to do with the fact that I was a credit rating analyst for seven years. Downside protection was driven into my consciousness at a formative stage.

Given the current level of inflation around 5% - as well as interest rates which are near 20 year lows, compounded returns of between 18-20% are excellent. If you manage to achieve 20 percent on a consistent basis with large sums of money, a place in the investment Hall of Fame awaits you. Even if you manage to earn between 12-15% you should not feel that you have been dealt a bad hand. In fact, that is good performance and reason to hold your head high.

CIO: You said that you have been quite risk averse. How can one go about practising it?

**Minimize risk by understanding the business**

SANJOY BHATTACHARYA: One of the best ways to identify riskiness is to look at the long-term volatility of cash flows. Of course, the assumption is that the financial statements are representative of business performance and disclosure standards are high.

Second is to check out whether the business generates free cash flow. Sometimes you can have high reported earnings and low to non-existent free cash flow. The existence of free cash flow ensures that the company is unlikely to be wiped out at the bottom of the cycle. If you stick to this principle in a disciplined fashion, you will considerably lessen the amount of risk you take.

The third important element is the integrity of management.

Fourth is the level of competitive intensity in the business. After having paid a large amount of tuition fees in terms of flawed investments, the realization hit me that risk is typically much lower when you buy a monopoly. It may sound obvious but most investors do not pay enough attention to this simple idea. When I started out at HDFC Mutual Fund, I was strongly advised against buying a company called Container Corporation. The argument was that it was illiquid and would eventually crumble against the onslaught of a more efficient road transport system. At a fundamental level, what really appealed to me was the company's extremely conservative financial structure and monopolistic operating conditions.

So even if the growth slowed down and the operating environment got tough, Concor had the ability to be around for some time. In addition, they had the support of the Indian Railways. The assessment of Concor being a low risk business was right. Funnily, the rest of the market did not think so because the stock traded at a PE multiple of 4 suggesting that the business was very risky.

The ability to be contrarian in this regard is worth a huge amount of money. Even better, it does not require the investor to understand quantum mechanics!

The last thing about how to assess risk is to anticipate what can change in a business. You have to try and figure out what this might be either by scanning historical precedent or divining the future. A number of investors thought that the companies focused on drug discovery in India in the early stage companies like Dr. Reddy's and Ranbaxy were low risk businesses. But they aren't low risk businesses. The whole process of drug discovery per se means that there are certain inherent risks. It's just that Ranbaxy as well as Dr. Reddy's had good fortune when they started out. Beginner's luck, in short. The fact that they didn't run into problems does not mean that they are not risky businesses.

CIO: Could you describe the necessary conditions that you would look at before you invest in a company and the additional conditions that that will just go about reinforcing your confidence in the company?

SANJOY BHATTACHARYA: Again, I don't get this right very often. But if there are a few things that stand out in my mind as being vital and the first is honest management. I harp on this repeatedly. It is basic to my way of thinking and it means that you have to make the assumption (which is unfortunate!) that unless you have demonstrable proof on a long-term basis that people are honest, they are crooks. This is cynical, but it helps to save you from losses.

Second is that if you can't figure it out, it's not worth investing. If others can figure it out, good for them. Never rely on second-hand knowledge to determine where you should invest or what businesses to buy into. For example, if most people tell you that the software businesses are going to grow to the sky, listen politely but figure out the rationale for yourself.

So, you have to do your homework and understand most of the key elements of any business that you buy into provided you wish to make a meaningful investment. If you are taking a flier and buy small quantities just for kicks, it's different.

Third, it helps to buy cheap.

CIO: What would be the additional conditions?

SANJOY BHATTACHARYA: You can get lucky with a big macro call or by identifying a theme before anyone else. One of the most successful investments (which was pure luck) was a company called Infosys Technologies. I just got lucky because I naively believed in something that the chairman of Infosys Mr. Narayana Murthy said way back in 1994. He summarized the business opportunity for Infosys as – "American revenues, Indian costs." It appealed vastly to me because it was so simple. It turned out that I made money for all the wrong reasons. Not skill, just sheer good fortune.

Another example of the ability to get the theme right occurred with a company called Hero Honda. When we first bought it there was great scepticism about how it would take on Bajaj Auto. Why would people want to try an untested product? This was way back in 1995-96. The simple answer was they had a far superior product, supported by an international company which was number one in motorcycles. The value proposition that they were offering customers was just light-years ahead of anyone else in terms of fuel efficiency, in terms of the comfort, the aesthetics, the design. Finally, the way the company was being valued suggested that they wouldn't sell more than a few hundred motorcycles. This seemed very unlikely, given that they had both technological strengths and marketing capabilities of a high order. Motorcycles at that point in time were not marketed because a situation existed where people were attuned to a rationing mentality. Liberalization had just set in the mid-nineties. I think the lucky thing for Hero Honda was that its competitor was stuck in that mode in terms of his approach to customers. This was a gigantic advantage for a new entrant to have. Having figured that out, we were happy to sit and wait till the results were proven in the marketplace.

Mico is a perfect example of a company with proprietary technology. It is enough to have any of these. The only thing I should point out is that it's good to have one; it is much better to have two or three of these factors working in your favour. Sometimes one isn't enough. Mico is a classic example; we bought it and it took us four years to break even because we bought it at the wrong price. A friend of mine and I bought this at Rs 5000, we bought it by the bucket loads, the price went down to Rs 1600 for a short while and it is now back at Rs. 5700.* But it has taken us roughly four years and a lot of grey hair to recover the money we put in.

*Mico was at a par value of Rs 100/-, now it is at Rs 10/-.

CIO: Did you average the price on the way down?

SANJOY BHATTACHARYA: No. We sold out of nervousness. Mico did a buyback around that time. In fact, it carried out three buybacks between then and now. One at Rs 4200, one at Rs 3800, one at Rs 2500. The only thing in our defence is that we didn't participate in the buyback at Rs 2500. But we certainly participated in the other two because we had panicked by then. And perhaps the lesson is that you must never commit more money to a stock then you can afford to lose.

It's often been said that you mustn't buy exciting businesses. Keep it simple. Do not buy stocks that end in ics or where the technology is so complex like optical circuits or some chemical synthesis process, which is absolutely state of the art.

If only one guy on the planet understands how it works, chances are you aren't that one guy. The best thing is to keep it relatively simple. Buying a petrochemical company or a telecom company or a media company is much more difficult than buying a company which makes chocolates or cigarettes. As it is investing is a pretty difficult and complex thing to do. Why make life more difficult?

CIO: You told us about lot of your entry criteria into stock? Could you now take us through what makes you sell stocks? What are some of the exit criteria in investing?

**Selling is the dark continent of investing**

SANJOY BHATTACHARYA: I am very bad at selling. I make mistakes with such regularity that the best thing to do is maintain a dignified silence. The one thing I do know is that I am nowhere near getting this right. A top-notch investor offered me excellent advice: "When you sell, leave a lot of money on the table for the next guy to make." In other words, sell early.

You must sell when people are typically in an optimistic frame of mind, when people are still enthusiastic about what's happening. You can never sell into weakness. The time to sell usually is when a whole lot of people are highly enthusiastic about the stock. The flip side of that is the time to buy is when everyone has written off a business, written off a company, written off a sector. That one is much easier to implement. Selling is much tougher because the human mind is not hardwired to do that. You get caught up in the enthusiasm.

The other thing I will say about selling is that it is the dark continent of investing. It is the one area where the least progress has been made. Out of every 100 books on investing, 99 focus on how and when to buy. Not one that I have read really explains in great detail the rationale of how to sell. There is only one outstanding book that I have read on the art of selling – When to Sell by Justin Mamis.

People have this mistaken notion that success in investing comes only through buying smart. My belief is that more than half of successful investing comes from selling smart.

CIO: Unless you are a Warren Buffett for then you don't have to sell.

SANJOY BHATTACHARYA: No. I think that is a big mistake. Buffett sells smart. He doesn't talk about it. Look at the great things that Buffett has done. He has sold when he has realized that he can impair his capital permanently. When he bought Berkshire Hathaway, it was a textile mill. He sold off the textile mill. It goes back to Buffett's way of saying it is all about allocating capital. He realized that he shouldn't be putting capital back into the textile business since it is a poor user of capital. Now it's a very elegant way of explaining it. And it's an economic decision. But in effect you can say Buffett realized that textiles was a bad business and he was losing money and so he cut his losses and ran. That's the simple way of putting it. And that's why Berkshire trades at $90,000 today.

So, I think it's a mistake to believe that as Phil Fisher or Buffett have said that you should just buy and hold forever. I am not against that notion. I think the power of compounding is an incredibly big idea. But smart selling is absolutely essential to being successful at what you are doing. And if you can't get this right then you will not get as far as you should in terms of how successful you are.

CIO: So, if you are saying that selling is something, which is very difficult to get right, what has happened more often? Have you sold out earlier than you should have more often or later than you should have more often?

SANJOY BHATTACHARYA: Always later. Though I know I am doing the wrong thing. But always later. Selling is difficult only for one reason. Human psychology. There is nothing else about it. It is completely antithetical to what all of us are as human beings. I mean there is a very strong herd mentality that exists in each one of us. The ability to come to grips with this phenomenon destroys our ability to sell sensibly. When greed is absolutely the prevalent emotion, all of us get sucked into that. The same with panic. You should never sell into panic.

If I have a penchant right now in investing, it's to try and understand the behavioural elements of financial markets. What is the psychology of individuals, what is the psychology of groups and what is the psychology of markets? How does it work? Many people call this area behavioural finance. I think it's absolutely fascinating. In the next 25 years in investing, the greatest developments in investing will take place in the field of behavioural finance.

CIO: What are your learnings on this front?

SANJOY BHATTACHARYA: It's very under researched. Richard Thaler is absolutely top class and he has done more work than most people. If you are seriously quantitatively oriented, which a lot of people are not, then you should read books by two people. One is a guy called Amos Tversky and the other is a guy called Daniel Kahneman. They have written an excellent book called Judgment Under Uncertainty, which is perhaps the best book you can hope to read on behavioural finance.

CIO: Could you also take us through what is the typical time horizon underlying your investments or would you say that you have no control over them at the time of investing?

SANJOY BHATTACHARYA: Sadly, ever since I have become part of the institutional investing fraternity, it has become shorter and shorter. Typically, you've got to give any investment, provided you have been sensible in the way you set out to make it, some amount of time. You can't write off investments too quickly. You shouldn't be quick on the trigger if you have done the spadework right. Also, you should review it on a continuous basis. If the rate of change is more rapid in a business, then typically your holding period will be shorter.

**Investing is a solitary profession**

CIO: Could you tell us a little bit about the process of investing as well? What exactly do you do to keep yourself updated on stocks?

SANJOY BHATTACHARYA: In that sense I am a bad investor. I am not particularly good in terms of the process because I don't do these things as frequently as one should. The really high quality, disciplined investors stay in touch with their investments and that's absolutely essential for two reasons. One, it gives you an early warning system or some kind of a red alert, and second, it also allows you to relate what you see and hear from companies that you invested in to other opportunities that usually are of a similar nature. Once you get a hang of a particular set of businesses and you know what's going on and you stay live and updated with it, it actually helps you to generate new investment ideas. To my mind these are the twin benefits of being systematic and disciplined. I am actually more of a guy who does it in spurts and is not systematic.

The other thing I'd say about the process of investing is a very simple thing. It works best when one person does it. This is something most people haven't figured out. The institutional investing community has certainly got this hopelessly wrong. The best committee in investing is a committee of one. I cannot but emphasize the importance of this. Two people can't take responsibility for one decision. One individual has to stand up and take ownership for his behaviour. Clearly, he needs to act as he thinks is in the best interest of investors or unit-holders. If you have two people, the situation is doubly complicated.

Investing is one of the few businesses where two plus two is not equal to four. It is two plus two equals to 20 at the level of sharing knowledge, sharing ideas, sharing opinions, but not at the level of action. At the end of the day this is one business where independent minded thinking is absolutely vital to success. You can't have groupthink in this business. The minute you have groupthink you are doomed.

Another thing about the process of investing that strikes me is that most of us are not meticulous in this country. We often repeat mistakes that have occurred earlier because we don't pay enough attention to history. In financial markets, it's very important analytically to have a long-term perspective. It helps a great deal to analyse the balance sheet of a company for the past 10 years, 15 years, 20 years. I suspect very few analysts do that. They are the lesser for it because in a number of businesses many situations repeat themselves. And if you haven't figured those out because your process of analysis has been too skimpy in terms of the time frame, you stand to repeat those mistakes at a cost. This is particularly true in cyclicals.

The best example is what I saw in Omaha. There must be someone to challenge you, to debate what you are saying and to say that I don't think this is it. That debate must be at the level of logic and abstraction. That debate must not be at the level of "I think the price is too low or the price is too high."

And Charlie Munger and Buffett have such an outstanding partnership because this is what they bring to the table. If you do not create this, if you do not build this into the process of investing, the ability for people to articulate difference of opinions that they have in looking at the same set of things, then it's going to cost you dearly. No one in this business has a strike rate in terms of making correct decisions which is higher than 5 ½ out of 10. You can save yourself the pain on the other 4 ½ if you have smart people working with you who have no fear and who are perfectly able to stand up and say I am not sure that this is the way it works. If you have an open mind and you are willing to listen, there is a massive gain for all concerned.

The last thing in terms of process is to have a mechanism, which ensures that you don't stray too far from your objectives. You certainly need to monitor this more carefully than specific investments. A book which makes this point very handily is called Pioneering Portfolio Management by David Swensen. The idea is that the big money is made from asset allocation – from deciding where to invest – but even that is not per se very important. The most important thing to figure out is what you want out of your investments. To be successful, you have to constantly revisit your investment objectives and relate that to the economy, relate that to different asset classes and relate that to the opportunities that exist at a specific micro level. It is very difficult for one person to get each asset class right. So, whether you have a group of well-informed people in an investment management organization or you happen to do it yourself as an individual investor, speak to a bunch of well-informed people and keep track of where you are headed. Review this on a continuous basis. This greatly improves the chance of getting the asset allocation decisions right.

At the end of the day that is far more central to investment success than what stocks you bought. Stock selection is the most trivial part of the investment process. It is defining your investment objectives and creating a structure or an asset allocation framework that is efficient and robust in implementing those objectives. If you want low risk and limited volatility in income flows, you can't do that by just investing 100% in stocks.

The other book that I would like to recommend in this context is Winning The Loser's Game by Charles Ellis. It is a short book, just 110 pages. One of the costliest books you can own on a per page basis! Worth paying every naya paisa buying that book.

CIO: And what is the theme or lesson that comes out?

SANJOY BHATTACHARYA: That you have to figure out your investment objectives, how they fit into a set of opportunities that you have and how you exploit those opportunities in terms of the commitments you make across those opportunities. Finally, how those opportunities translate into individual investments. So, it's at three levels. And the importance of each relative to investment performance is very significant.

CIO: You mentioned earlier that paying the right price is also important. Which is basically about trying to value the business that you have understood. So, what are the valuation tools that you use in investing?

**Asset allocation is more important than valuation**

SANJOY BHATTACHARYA: I think people spend too much time on this. Valuation is the most overworked thing going around in investing. Because it's simple and permits analytical dexterity, people spend too much time over it. In reality the most important valuation tools are common sense. To relate the earning power of a business and its sustainability to the amount of money you are paying out for it today.

To think like an owner. If you think like an owner the way you value a business will be dramatically different than if you are an analyst. I am not saying this in a derogatory or sarcastic way. I'm saying this because I truly believe that this is something very important. You've got to figure out what you would be happy to pay to own the entire business for the rest of your life. If you can focus your mind on doing that, that's enough.

There is far too much intellectual plagiarism in the area of valuation. Very often, what analysts do is to match a predetermined conclusion to a specific valuation parameter.

What drives valuation is the understanding of the business. If you don't understand the business, if you don't have enough depth out there, then no valuation tools are going to work. You can tinker and toil with these at the margin and get completely differing results. You change your terminal period, you change your growth rate, you change x, you change y, but scrutinize the assumptions you are putting into it. At the end of the day, if you can figure out that this business broadly is going to have unpredictable cash flows or predictable cash flows, and the growth of this business is going to be affected by a, b, c. What can affect a, b and c? How much capital does this business require? Is the capital requirement for this business more in the area of working capital, more in the area of fixed capital? Is it stable? Is it on a recurring basis or is it lumpy?

An investor should just get the basics right. If a guy doesn't know how DCF works, I think he has an advantage. The advantage is that he cannot play games with himself. If you know DCF you can always persuade yourself that a price makes sense. The last boundary, the last level of deceit in life is deluding yourself. Then you have no further boundary to cross. Once you have conned your own mind, that's the last bastion. It's actually an advantage to be unsophisticated in terms of how you use valuation.

CIO: My last question is on how your investment philosophy has changed between today and 10 years ago? Do you see any change in the way you go about investing and what are those things that you changed over a period of time?

**Investing is about character**

SANJOY BHATTACHARYA: I am still learning. I don't think I can say with any degree of honesty that I know what works. I don't. but I think I have greater clarity on some elements that help in getting there. And one of them is what whatever you do, stick to that one plan. Don't muck around by trying to be a little bit of this and a little bit of that.

I think one thing that I have learned is humility. You've got to recognize that there are very few things in business that you really have a good fix on. And the likelihood of making mistakes is high. The key to the investment management business is cutting down the mistakes you make. Not the Big Bang ideas, not the multi-baggers. Too many people are chasing some kind of elusive Fool's paradise in seeking to identify the next multi-bagger. If you try to do that you have a good chance of getting into trouble. Investing is plugging away at getting the small things right, just bit by bit and reducing the chance of going wrong. That's really what successful investing is about.

I think you have to be very disciplined in trimming risk. You also have to recognize that if you make mistakes, you need to accept them gracefully and have the ability to deal with it in a constructive and positive way. There is no point in trying to wish away your mistakes of judgment. There is nothing wrong with getting it wrong. The idea is to learn from it and not repeat those mistakes going forward. To never let ego, get in the way of your investing. I think some of the people who are very smart never become legendary investors simply because their ego gets in the way. There is no other reason.

The other change is that I am now more oriented to a deep value approach than earlier. My affinity towards value has been strengthened by my three years at HDFC Mutual Fund. Perhaps, I might be singing a different song in the midst of a bull market, but my sense is that is unlikely.

The last thing is not to be scared of being in a minority of one. It's a good minority to be in. I mean if 5000 guys think differently, good for them. It's your money, you are putting it on the line, and if you get it wrong, the only guy who suffers is you.

You certainly need to have a conscience in investing. To be held responsible and take the rap when you get it wrong. Stand up and have the decency to admit that you got it wrong. At the end of the day, that shouldn't drive you to the position where you are unable to make a judgment based on considerable effort.

If you think about it, what are you paid for in investing? You are paid for your judgment, you are paid for your patience and finally for your honesty. Beyond that you are paid for nothing. If you are intellectually dishonest, you will lose money as an investor. If the quality of your judgment on a consistent basis is not all there, you will at some point get into trouble. Patience builds in you a great deal of character. Being patient in adversity is the ultimate test of the high-quality investor. To be able to deal with peer group pressure and ridicule is a great and invaluable education. To recognize that returns in investing are not linear and that they come in shorts bursts. This is what differentiates the men from the boys in investing.

In sum, investing is about character.

First, arrive at a well-articulated set of investment objectives. Only you can figure that out. There is no unique answer that fits everyone. The answer will depend entirely on what you want, what are your set of circumstances and your capital available.

The next thing is to be able to have, in simple terms, a sound understanding of the different opportunities available to you from various investment instruments.

Last but not the least is to have a sense of purpose. You then need to choose a method (value, growth, momentum, GARP, technicals) and say that this is how I propose to implement my agenda. And then stick with that. You must have the discipline to say that this is what it's going to be given then fit with my objectives.

An investment style is like seat belts. It will prevent you from having accidents or being killed in a serious accident. If you put on your seat belt, if you are disciplined, you will probably survive some pretty horrendous crashes. And let me tell you, I have had some pretty nasty ones in my life. Actually, it's a miracle that I am still around. In the last 10 years there have been more than 10 stocks, I think 11 at current count, where I have wiped out 90% of capital. It tells you what a long journey I still need to traverse. One of the reasons for that is a lack of discipline. Sometimes your method will get you into trouble, but more often than not it will work for you.

In the end you have to play the investment game in the mind. This is truly about character – the need to conquer greed and fear.

**Common sense and discipline are key to investing success**

After all this, you still need to be patient. Pretty tough, isn't it?

The great investors have created mechanisms, systems or processes by which they can effectively do this. It gets articulated in different ways. I think the guy who explains this in the most appealing way and is the most easy to understand is Warren Buffett. If you look at John Neff, who is a hard-core value investor and one of the legends, what is his secret? In effect he is a contrarian, he chooses to buy straw hats in December. He has some very simple tools. It is almost childish how Neff values companies. He looks the record of 12 months earnings growth, adds dividend yields to that and calls it Total Return (TR). He says if I can buy a stock where I have an anticipated total return of 15% at a PE multiple of five, then my TR ratio is three. The minute I get below one, I'm uncomfortable.

This is incredibly simple but a corner-stone of one of the greatest long-term track records in the history of professional investment management.

The elegance of the logic hardly matters. Common sense does. You have to create a system that allows you to stay disciplined. And you should be able to do it consistently across all investments.

Can't all of us do it? The answer is no. Not one of us in 1000 can do it. Because just when we should stick with the discipline of that, we break it. That is Neff's way of dealing with greed and fear. When the TR ratios are very high in a bear market, John Neff goes and buys whatever has a high TR ratio. So how do you create a mechanism to cope with fear? By having this. It's automatic. And how do you cope with greed? In a bull market TR ratios are usually at 0.8 or even less if you're honest with the numbers.

That's why I said you are paid for honesty. If you are honest in how you do it, you get it right. It is exceptionally simple at one level, but one of the most complex activities at another level.

And there is no single way to skin that cat. "Different strokes for different folks." That's the other beauty of this thing. You don't have to borrow from someone else's ideas. I mean a lot of Graham's ideas work brilliantly 70 years later. Maybe I'm wrong. Maybe because I love cigar butt investing I think it works, and others don't. But undoubtedly the thing is not so much what that ratio is or how you forecast the numbers. It is the ability to conquer greed and fear and last the course.

The few legends we have in India are guys who have demonstrated this. Investors like Chandrakant Sampat and G S Damani who rightly deserve their accolades. They have shown over long periods of time how to stick to a method and cope with adversity. In addition, what sets them apart is their immense humility. Anyone who has met them will speak of their intellectual integrity, lack of ego and constant desire to absorb new ideas. They deserve to be winners.

**The market cannot beat the market**

The one thing that's certain going forward is that in the next 10 years as compared to the past 10 years it's going to be much more difficult to beat the market by a wide margin. If someone did it during the last 10 years, obviously he deserves to be congratulated. Let's say in the last 10 years there were 15 guys who did this, beat the market by a wide substantial margin over a 10 year period. My guess is that in the next two years that number will reduce to 5 or 6.

I don't know how long that number will keep on reducing. As things stand there is now far greater heterogeneity in the market. And that means a lot of people will be unable to adjust to it and create appropriate responses. That is really going to be the challenge. Everybody now seems to be using the same tools, which is a problem.

Everyone is looking at the facts in the same way. And if you look at the same set of facts in the same way, then you can't beat the market. The market cannot beat the market.

# Manish Chokhani

**Manish Chokhani is currently Director, Enam Securities Pvt. Ltd., the parent company of the Enam Group. Mr. Chokhani oversees the strategic, organizational and 'institutionalized ideation' efforts of the Enam Group. Mr. Chokhani founded and was the Managing Director of Enam Asset Management Company Pvt. Ltd. from 1997-2001.**

**Mr. Chokhani served as a member of the International Alumni Board of the London Business School Alumni Association. He is co-chairman of the Capital Markets Committee at the Indian Merchants Chamber. He is also an active member of the Seattle headquartered Young Entrepreneurs Organisation.**

CIO: Could you start by articulating your investment philosophy?

**Extraordinary individuals founded Enam**

MANISH CHOKHANI: First of all, thanks for inviting me. One of the reasons I agreed to do this is because I thought it appropriate to put on record the learnings from the extraordinary individuals who founded Enam and also the process through which we are now trying to institutionalize that. As you know, the founders of Enam were Nemish Shah and Manek Bhansali – that's how the acronym N – M came about.

I think they were both extraordinary individuals with very individualistic styles of investing, although based on very common investment philosophies. If I were to step back and think about what was really the common thread that bound these two gentlemen and then subsequently Vallabh and Jagdish who joined and then built the investment bank and our distribution business, I would say that the core was a great sense of self-awareness, self-belief and value orientation.

**Spirituality makes for a better investor**

Our founders were very spiritual and self-aware people. Nemish, of course, remains a deeply spiritual person and I speak about Manekbhai with great fondness although he is no more in our midst.

Two extremely spiritual people, very well balanced with a very humble approach to life: that's the trait which has defined what is now the Enam person. This whole theme of spirituality, which runs through them makes them much more balanced, in not only their approach to life, but to the investment process as well. Therefore, they are not prone to complete mood swings, which is very easy in our markets. It is also a sense of detachment that they bring to the investment process as well as to whatever work they do.

**Impermanence is the nature of markets**

We realize that things are not permanent. Most things in human nature come in cycles. Impulses are born, they mature, they have a crest and then they fade away. Markets and companies are actually no different. You go through life cycles of companies, you go through the seasons, you go through night after day and so on. Once you have this perspective about yourself and your life, this puts the whole investment process in a very different light. This principle of what I call reversion to mean, keeps you equanimous at all points. It enables a very non-emotional state of mind where you are able to see things objectively, have a sense of confidence about what is likely to happen because what one learns from nature and human history is that history repeats. Therefore, bear markets are not permanent, bull markets are not permanent.

Therefore, there is no endless growth company; there are companies in growth phases. So once you have these principles in your mind, within this whole backdrop of spirituality, detachment, non-emotional state of being and so on, I think that's really the core of the investment process that results in being a good investor.

**Humility helps learning and defines a circle of competence**

I think a second very important characteristic of both these extraordinary gentlemen has been their immense humility. I mean that in the sense of their ability to learn from anyone and everyone at any time. You'll often find Nemish chatting with someone whom you would wonder 'what's he doing with him?' He may be a sub broker or he may just be a new analyst. Indeed, when I started, one would not have reckoned that someone could just go up and challenge him and refute his ideas. He was completely open and willing to guide what I would call the impetuousness of my youth at different occasions. Similarly with Manekbhai as well.

Another aspect of their humility also comes across in their ability to accept that they know only a few things and they cannot know everything. Therefore, they never had this urge, which one finds in a lot of people in the market, that one has to profit from every single move or every single stock. They accept that there is a circle of competence which they have. They have a set of businesses they know, or a set of companies that they are comfortable with and as long as they know those well, they are quite content with those and they don't feel the classic left out feelings of not being where the rest of the crowd is making money. So, apart from spirituality, detachment and so on as criteria one, criteria two I would really put down as humility as an investor.

**Knowing where you stand can help you move the world**

Criteria three really is a sense of confidence about their abilities and optimism. I am not saying this in a sense of them being over optimistic or being vain or pompous about their abilities and so on. They are confident and secure enough because they know who they are and where they stand. It may be a very small piece of land on which you stand, but as long as you know that the rock on which you stand is solid, that's what gives you confidence in your decisions. It's that mindset which allows you to weather all storms. There may be contrary opinions and news flows, but as long as you have looked around 360 degrees, listened to different opinions and then in a state of calmness and detachment, you arrived at your judgment, from that point on you have no reason to feel insecure. Because in your mind things are crystal clear.

**Enterprise and wisdom across the ages has always won**

If you overlay this with the fact that they both realized not to be intimidated by incumbency or resources and so on, because enterprise and wisdom across the ages has always won. Manekbhai used to often give examples of companies which one would have thought would never ever decay; they would always remain blue chips of the market and how they fell by the wayside. How in the independence movement of India, one would have naturally expected the well-to-do families to side with the English because that was the status quo? However, the reality was that the true leaders went with the satyagraha movement which had its own force and that's how we won our independence

**Change is the only permanent thing that one can bet on**

Therefore, that sense of history and optimism is important to the investment process. Because you know that the status quo will never remain the same. Change is really the only permanent thing which one can bet on. Therefore, the ability to see what sort of changes are occurring and where these trends will lead, I think that's the fourth important component of their investment style.

**Never double count – the ticker is God**

Putting these common traits in perspective as something which was common to them, I'd like to talk briefly about their very different styles, although the approach was grounded very much in the Graham & Dodd "margin of safety" school. Manekbhai used to always say "paatya bhagwan hai" or "the Ticker is God." The ticker prices capture everything. One can keep going into raptures about how great the business is and how great the management is. Ultimately the price is already reflecting that, so don't ever double count. There is no value in that for you as an investor.

Take this whole debate about value versus growth, for example. In our mind there never was this distinction. Unless you have a catalyst which can unlock value and for which growth is normally a good proxy, there is actually no value in something in a very abstract sense.

**Price, business and management in that order**

Manekbhai was very much a value investor taking price as the primary cue and then going down to business and then to management in that order. His style – in fact I was struck when I read the interview of Arjun Divecha of GMO – was very similar. If I was to classify Manekbhai's style, I would think he would be the Jeremy Grantham of this country. He had a very deep value portfolio and at the same time because of the discipline he had on the selling side, he would have a momentum component to his portfolio that allowed him to maximize his exit price and digest huge profits.

**Focus on the size of the win**

Nemishbhai's style, on the other hand, is extraordinary. He is one of the most extraordinary talents in our market. The most unique thing about him is that he is focused extremely clearly on the size of the win. It's not important how many wins you make or the frequency of your wins or even the likelihood, in a very foregone sense, of the win. However, unless the size of the win can be very large, he is very large, he is very unlikely to come and make the bet. He is only interested in mispriced bets, and he is looking for bets which can give him outsize returns. That's very different from most human beings. Most people like to feel comforted when they make bets, that we bought 10 stocks and 9 of them did well and you know if one went down, we should self-flagellate ourselves on how stupid we were. Nemishbhai understands that you will not win all your bets because it's about business and it's about unforeseen events and so on and so forth. As long as he is getting very good odds on the bet which he's taking and the aggregate of the bets which he takes gives him a disproportionate return, that's what he wants. I think that's the most unique characteristic of his style.

**Prices should catalyse investment decisions**

He was kind enough to guide me in my early years and he used to force me to think a lot about the possibility of how large the profit could be. Only when you have done those scenarios and those sensitivities, will the probabilities become clearer in your mind. Only then are you prepared to make a bet when the market throws up the opportunities in terms of price. If you haven't thought through, you then tend to take comfort in cues from price movements. As prices go up, people start feeling more confident about the company and vice versa. Whereas if you have done your homework in advance, the price actually catalyses your mind into taking a decision against the movement since you have already examined the range of possibilities. You then start assigning a probability in relation to the price point and the possibilities which you have put together. It's almost like a second nature now and part of what we call common sense around Enam. Companies become more attractive when prices fall – not more risky unlike what I learnt at business school!

**Operating leverage + financial leverage = opportunity**

His style also has been very much to focus on seeing businesses with great operating leverage. Also, he is a person who is not afraid of financial leverage in a company. It's a very distinct style because one hears most Buffett followers say "I like good businesses and balance sheets which are debt free and so on and so forth." However, that's not an end in itself and that is NOT following Buffett. Operating leverage obviously is going to give you huge changes in profitability. If financial leverage of a reasonable degree is applied to it, the return on the equity and to the equity shareholder will be that much larger. If you follow the chain of thought of what I am saying, this really leads up to a set of wins which can be very very spectacular. Bur it also defines the sort of businesses which he is going to be much more comfortable with. For instance, he is always going to have great wins in cyclicals like automobiles, and commodities like cement, and in engineering and so on. At the same time, his core holdings are quality businesses that can earn sustainably high ROEs for a private equity investor for years together. Of course, he is not very attuned to paying a lot for that future!

**Think of good businesses and trends**

So, put all of this in context: These were the extraordinary people who really mastered the investment process and the investment mindset and defined the investment culture of the firm. Now overlay the influence that Vallabhbhai had. Although he was never on the investment side and he ran the investment bank. However, his thinking permeated across the Chinese Walls. He is someone who started the whole process of thinking the big picture – actually the analogy I can draw is with a Charlie Munger who ran his law practice and yet influenced Warren Buffett – to say why don't you start focusing on good businesses and think about macro trends. Therefore, it was uncanny that a group of investors who were from the Graham and Dodd school had a partner who was running an investment bank completely separate from them and was able to bring to market companies such as Infosys and Zee Telefilms, which were completely going to change the status quo and help catalyse what I call the era of brains and brands that we had in the 1990s.

Vallabh brought in the perspective of looking out for trends, a lot of macro in terms of what is happening in the world, in terms of what is happening with government, in terms of what is happening with demographics, in terms of what is happening to the secular shift in the GDP and therefore the sort of businesses which are likely to do well.

**Read the annual report to the last decimal point**

My real preoccupation at Enam has been to institutionalize the amalgam of approaches of all these fine and outstanding individuals and bring discipline to the entire process. So, the whole act of setting up the database, the regularity of follow-up with companies, the fine art of actually stripping balance sheets down to the last decimal point, reading every single note on accounts – I think the need for financial rigor and discipline cannot be overemphasized!

I know it's been a very long-winded way to have got to this point, but I think it was important to put our ten commandments in context for you:

1 Know yourself
2 Learn from cycles of nature
3 Build a circle of competence
4 Bet on change and enterprise
5 Use market signals
6 Focus on size of win
7 Understand the power of trends

8 Don't skip the fine print and financial rigor
9 Discipline
10 Play to win

We have used this approach in each of the businesses that we are present. A lot of what I will subsequently discuss applies to the investment management business that I founded in 1998. However, this approach is also what is also drilled into each of our analysts in our equities business or our professionals in the investment banking business. That is what helps them service clients in a more comprehensive manner. We always say that to service an investor, first learn to be one yourself.

Therefore, despite huge Chinese walls and strict compliance processes, we have been successful in creating a culture and cadre of well rounded, knowledgeable and intense team players, quite distinct from a star culture that prevails in most other organizations. I am happiest taking credit only for being the interior designer of each of our businesses or the coach who could institutionalize and carry forward a great tradition.

**Play with full intensity and play to your strengths**

Once you decided on what game you are playing, it is important to decide how you are going to play. Since the whole concept of playing within your circle of competence is very well ingrained, I don't think any one of us pretends to be an expert in everything. However, the guiding principle that has been drilled down is that you should always try to master a company as if you are the CEO of the company. You should have a helicopter view of the business and where it's headed, but you should also know the cost sheet of the business. You must know what the drivers of the business are. Whatever you know, you should know that intensely rather than superficially. Once you know that well, you will figure out for yourself what are the areas in which you feel comfortable and areas in which you are less comfortable.

**Play as a contrarian or for the long term**

We are clear about our style, our circle of competence and areas where our relative strength is much higher than the rest of the crowd. Another very easy and obvious way to do it is that if you are to segment companies by market cap in India, you'll find that maybe 50 to 100 companies are intensely covered by most analysts and whatever is to be known about them is, in a sense, known. Therefore, your edge over there in those businesses is not so much the research or the understanding or the insight but your ability to play for a different duration of time or your ability to play on a wisdom basis as a contrarian. So, when everyone thinks that the trend is down, things are going to basically completely crash and burn and die, we get excited. Or when the trend is up and people think that this is going to grow to the moon, we are fearful.

So, on the larger caps, I think our style has been very much that of contrarian and longer duration players. The fun, of course, is once you cut the first 80 companies out and then start going down. There are 5000odd listed companies in India. Maybe 4500 are listed for some unearthly reason but what that still leaves you with is a set of about 400 odd companies that are of reasonable size. Again, if one were to start segmenting, you'd find is that there are about 125 companies that make a profit after tax in excess of Rs. 1 billion. That's a significant number in the Indian context today. Similarly, there are probably 250 companies that have a market cap in excess of about US $ 100 million. So even if you start looking within this tier, there surely are a number of businesses which will grow and make the transition from here to becoming the large caps of tomorrow.

**"Can this company conceivably earn profit equal to its current market cap"**

So, it's been a very happy hunting ground and the area where I think we have done quite well in terms of going, meeting, understanding these businesses, seeing what the prospects are and therefore what the potential is. Again, if I were to put it in context of price, business, management coming together, I think a key number which is always top of mind is – "Can this company conceivably earn profit that is equal to its current market cap?" If one sees that potential, then that's obviously something you want to intensely study and research and spend a great deal of time understanding.

**Have a degree of discomfort when you are buying the stock**

If I were to go on from there, when you are taking a lot of these mispriced bets and not backing the odds on winners, there should be a degree of discomfort in buying the stock. It's often going to be something you are going to find very hard to explain to someone and especially to an investment committee. But you just know it in your bones that this is going to work. That is the reason why we brainstorm a lot collectively but do not force any analyst to aim for unanimity. All we want is to force each one of us to consider all the possibilities objectively.

**Investment is a very lonely art**

In a sense, investment is a very lonely art and if you are going to spend your time convincing other people, by the time you have reached a cheery consensus, there is a heavy price to pay for it. So, one has learnt to discuss ideas and opinions freely, but not agonise until everyone agrees. As long as one accepts questions, criticisms, or indeed suggestions in the right spirit, that's the unique culture that we have consciously built and that's the clock building process that we are going through. That is what allows us to keep improving all the time. From one Nemish who knows automobiles very well, or from one Manekbhai who knew commodities very well, there is now an array of people across the company who know different businesses very well and therefore there is a port of call within the company of people we would turn to for quick and thoughtful opinions. The beauty is that thanks to objective brainstormings, we are all collectively getting better all the time!

**Our circles of competence: Businesses, market cap and time horizon**

I think to put that all in context again, draw concentric rings that build relative advantages. Start with the businesses that you know well, then hunt in a fertile area of under researched companies and build a model which allows you to invest on a time horizon that is very different from other investors. I think that combination is so powerful that you are pretty much going to beat the market over extended periods of time, without actually really having to sit and think about it. Because you have created the correct tail winds around yourselves.

Now all this is fine if you're just going to talk at the conceptual level. How do you translate this into practical reality, into something that you do in a disciplined manner very regularly?

**Run screens on a periodic basis**

There are very extensive screens which are run on a periodic basis. Certainly, at the time of every quarterly result, we run screens to see what's been the rate of change in different businesses, which sort of companies are now making the grade of the area we have defined, which companies are falling off the radar. Of this list of 400 odd companies which are on the extended radar, one would always have a hot list of 100-150 odd companies which just on pure numbers basis deserve to get a better look at. The rest you can just screen out because you have visited a lot of them in the past and they are just sets of managements or businesses that you are not comfortable with and probably never will be. So, they are just automatically screened out.

What that screened effort throws up is a lot of leads for you to force you to start thinking. That's almost like the starting point. But also, there is a sort of a short-circuit of the system because there are a number of businesses which we know well and which may not meet the quant criteria at that moment, but you have a separate sub-segment that allows you to bypass the system and just keep them on the radar. That is because we all think that these businesses or managements will play out over time. Like with most things you cannot just do investment purely on a quantitative basis otherwise the computers would take us over. But equally, you can't have a bunch of people coming in and saying this company should be in just because I say so or I know somebody. It should meet objective criteria in terms of business attractiveness and potential ROIs and so on and so forth.

**Volume growth is one catalyst**

Once you have these screens, whoever is coming up with the idea, whether it's now on the brokerage side or in the old days when I ran the AMC, that if indeed you are seeing this value, the value by itself has no meaning unless there is a particular catalyst. Therefore, if you are coming down to discuss catalysts, you would broadly group them around four areas and ask why are you recommending this stock? Is it because you are expecting volume growth to happen? Volume growth not in an absolute sense. Is it going to be volume growth which is consistent with per-share earnings growth and return on equity and so on? Or is it something else? So, volume is obviously a very powerful driver, but we are less excited about people who are going to go and put huge incremental capital to create that extra volume.

**Price change is another catalyst**

The second big area to slice is to ask if there a big price change possible in this business? Cement is the most discussed sector when one talks about price changes. But we have also discussed at great length the possibility of media inflation or media getting priced in terms of pay television becoming a reality or indeed channels which are very niche actually being able to collect pay revenues from their consumers. These could be the longer-term bets one could want to take specially in businesses which you think are going to endure and provided we find managements whose capital allocation we trust!

**Capital efficiency is the third catalyst . . .**

The third big area would be useful to put in the context of the historical evolution of Lever that went rural with a vengeance in the early 90s. That phase was volume lead. Then there was a period where they said we can increase our prices and enhance profits. Then really phase three was the phase of capital efficiency where you squeeze extra cash out of your working capital and asset turns and thereby make the business more attractive. Or indeed in other businesses which are more cyclical in nature where when the upturn comes, your capital efficiency automatically improves because of better turns on gross block and so on.

**. . . And restructuring the fourth**

The fourth big catalyst is when some sort of restructuring of the business is likely in a manner which would unlock value. The classic case here, for instance, was privatization. Otherwise a number of PSUs had lot of value for many, many years that just sat there.

So, catalysts we would really group around these and unless someone is able to come and articulate this very clearly, it's very difficult for that recommendation to actually be supported. So that is really our next cut and really driven by different business characteristics.

**Capital allocation capability of management is key**

I think the central issue we have when you are discussing management is not how smart they are or how good are the presentations that they make. I think the central issue when one discusses management is to ask what is their capital allocation record or philosophy? Unless people are clear about that, extraordinary businesses can be destroyed. And very mundane ones can actually be made to look very, very extraordinary.

It's been a fascinating experience over the last 15 years or so when I have been visiting companies and meeting with people, the rarity of individuals who are focused on capital efficiency as opposed to plant or process efficiency. One often finds in a lot of so called professionally managed companies that the best manager gets promoted because he is very efficient in running operations. Unfortunately, when he gets the CEO's job where his biggest job is really capital allocation and maybe human resource management, you know there is a fiasco waiting to happen. Therefore, we get ecstatic when we meet people like Narayan Murthy or T K Balaji or companies like Hindustan Lever and HDFC where frugality is still a mindset and capital is not allocated in a very princely manner just because they are making large sums of money. Or even the Wipros and the Reliances who are making thousands of crores of profit, but the mindset is still frugal in not only capital allocation but even in incurring costs, not of course in a penny-wise pound-foolish manner, but really in a sense of getting the best return on every rupee which is actually invested.

**Understand the DNA of the organization**

The second big cut when we go in is not really to ask management about their strategies or about their EPS's and so on because one often finds that external circumstances alter that very dramatically. Instead we are very interested to learn about their thoughts on their HR processes. How the DNA of their organization is being built. What are they doing to create a set of leaders at various levels in the organization. Those ae the businesses which you then start giving extra valuations because you can see these businesses enduring for much longer than businesses which are very individual centric or very external circumstances driven. Again, one has met a number of fascinating individuals who may not speak the latest management jargon but are extremely crystal clear about how to keep employees motivated, how to empower them, how to get them to take leadership and so on. I remember someone who mentioned to me that he takes some of his senior leaders for vacations together with him. The closeness and bonding that achieves is much more important to them than the level of pay that he gives them. This they could have got by working for a multinational. Similarly, one has seen companies in the TVS group where you have TQM slogans translating into ROI's actually displayed on the shop floor. If you are going to get that level of empowerment and understanding down into your organization, I think the results have to be necessarily good.

**Is goodwill being created for the customers and employees?**

The third cut for management is are they doing something to create goodwill with their customers? Because it's very easy to cut costs or deteriorate your product quality in the short run to deliver those extra profits. But is it going to hamper you in the long run and the question is if they are leaving something extra on their table for their customer. Just look at the house of Tata and you will understand exactly what I mean by creating goodwill and trust.

Likewise, with employees. Are they leaving something on the table for their employees? I am not talking just pure financial compensation. There could be various extras in terms of employment to take initiative and do things which you otherwise would have felt bottled up doing elsewhere.

Or recognition. Or creating an atmosphere which is almost collegial. Which allows dissent, ideation, and so on. At the end of the day, the best people don't get motivated by the highest pay but by the environment with which they are actually provided.

**Is the organization singing the same song?**

Another good way to check this is beyond just going and meeting the CEO and the chairman, because normally they give you a five-year view or helicopter view of the business. I am sad that I increasingly have not been able to continue doing this as responsibilities within Enam have gone up, but this is the sort of stuff we encourage our analysts to go out and do. To get a sense of the different layers in the organization and whether they are singing the same song. Get external validation. So, if you are meeting a supplier or a customer, all it takes is that one question to ask them and to see whether it's correlating with the story you are being fed. Not that we don't trust people but with people holding stock options or having gone to the same business school as a lot of us have gone, one now sees a lot of canned stories being given to you and it's very important as analysts to go and see through that.

**Analysts are not journalists**

I often say this to my analysts that our job is not to be journalists or to report what management has given us as guidance but to apply our brains to see how realistic this is in the context of not only the external environment but also how they see their internal set up functioning. I think the best measure of this is (whilst hopefully you go into a meeting and you can look into someone's eyes and you can decide) usually the scuttlebutt around either their own industry or indeed our industry with people we talk to. Our community has a huge body of reference on which you can base a judgment. A lot of us, of course, keep records of management meetings we have had. We go back and look at those notes each time when you have meetings to see whether what this person is saying is, at least in a philosophical sense, consistent even though the actual numbers may have been different for a variety of reasons. That really is that true cut of management.

**More than 80 percent of business in India are run for social, not economic reasons**

The reality of our country and I think of a lot of countries is: 80 to 90 percent of businesses are run for social reasons and not economic ones. It's very difficult for someone here to say that my son is employed somewhere as opposed to saying that he is running his small factory or small corrugated box unit or whatever. It's somehow seen as a lot more prestigious to be an owner of a business howsoever small than be a salaried professional. I also find a lot of people not debiting the right economic costs to their business. So, they don't think about land or building or offices as something which carries a cost because their families have owned it for generations or whatever. Also cost of their own labour and managerial input as a cost of the business. Therefore, they get a very warped idea of reality despite the fact that their business inherently is not profitable. Whatever return they are making is really rent and labour that they may have actually gainfully deployed elsewhere. So, those sorts of businesses, one is obviously not interested in.

**Be careful of investing in businesses built on luck**

Also, I would draw the distinction between people who made it with luck and therefore are insecure about what to do now. Therefore, they are unable to let go of their businesses either to grow it or to actually share their success with their minority shareholders. Because they realize this has come through a fluke or is an accident.

**Scalability is vital and difficult**

That leads to the conclusion that there are very few people, despite some good businesses in India, who have the ability to let go and therefore scale up the company. I think if I were to talk of the central challenge of our country, it is the challenge of scale. You go to the United States and you can find a Michael Dell at the age of 24 thinking of building a global company. He can make 40,000 people work for him and put the processes and systems in place. Over here one would find very few people. For instance, you can think of a Sunil Mittal or a Aditya Puri who could create $ 1 billion company within five years. But you can't think of 50 people who could do it. One has seen this perhaps in the IT sector or a couple of random media companies or pharmaceutical companies which have come out of nowhere and created size and scale over the last 10 years. But the central issue for most companies has been the challenge of scale. Again, in the Indian context, when one talks scale, one naturally thinks of

Reliance or Infosys. They are the only ones who are consistently showing the ability to change orbit and go from a scale of 1 to 10, 10 to 100, 100 to 1000 and actually carry it off beautifully each time.

Most people I find change one orbit and then whether it's lack of ambition or insecurity or not knowing how, somehow the curve flattens over there. It's happened to company after company which is what has led us to believe that there are no permanent growth companies; there are companies in growth phases.

Therefore, it's very hard to pay a lot for 15 years into the future and 20 years into the future because a lot of things can change within the time span. Especially when one is talking of the base effect kicking in: can you actually make that return on your incremental capital? How will you and your incremental employee behave since each one will come with incremental set of aspirations and desires and so on.

**Unlike Buffett, we prefer good managers over good businesses**

So that's something one grapples with. I don't know how we quantify it but it's certainly there in each discussion which happens. When we see that sort of breakthrough we believe those companies have a log scale in terms of where their valuations can then go. That's the sort of business you are looking for. If one were to draw a parallel with the classic Buffett saying that look for a good business and then a good manager, I think in our context we have tended to prefer to look for good managers in good businesses because they have made the difference. This whole theory of going top-down and saying if retail or auto is going to do well, let's just put money in the leaders over there is wrong. Actually, one finds the leadership completely overturned after a couple of years because of the sheer ability of individuals. As a classic example, one would not have said 10 years ago that with scooters ruling the roost and with the Honda tie up in place, Kinetic would falter and Hero Honda would be the multi bagger! Or indeed, one would not have talked of someone growing up in the telecom space with almost no background and I am referring to Sunil Mittal here. So, when you find extraordinary people like that, I think it's worth paying up for them and taking that extra bet in terms of the higher PE multiples since their terminal values are defensible!

Moving ahead from here, your next sort of questions, I guess, would be in terms of how does all this translate into buying points?

**Dividend yield is one extreme of margin of safety**

I think at the centre of it, when one says margin of safety and when one says possibility of win, the dream scenario obviously is to find a great business with a great manager at a price where this company can earn the market cap that one is buying at in the foreseeable future.

I came from the packaging business and I remember after we sold the business as failed entrepreneurs it was very easy to find opportunities in the packaging business itself where one was finding market caps of companies which over the next two years they earned back. Maybe those companies aren't great names today, but certainly because one had bought at such attractive price points, they were literally ten baggers. Similarly, as recently as couple of years ago, you could have bought companies as large as BEL or possibly even companies like TVS or Mico at prices which could have given you their market caps back over the next couple of years. If your entry price is so attractive, then a lot of this discussion on quality of business or quality of management to that extent can get diluted. But if I were to take a continuum of valuations and say how quickly can I get my payback, at the extreme end of value, obviously one would talk of what's the yield on the stock. One can remember, for example, the subsidiaries of State Bank of India, couple of years ago, selling at market caps that equalled the next year's profit! Even at that point, they were high dividend yield stocks and have only improved since then as profits have grown. So, in those cases, there is no point actually going further up and selling what's the PE multiple and so on.

**Book value and replacement cost are next in the valuation chain**

As one moves on from there, the next value criteria is how is it in relation to book value or replacement value. Now multiple to book for instance may be very relevant in the banking space and one found tons and tons of stocks like that over the last couple of years. Or indeed replacement cost basis. If one had sat and thought about a lot of the commodity stocks which one is now seeing getting into the limelight, most were available at fractions of the profits which they are earnings today. So, the opportunities were always there staring at you in the face. It was a question of whether you wanted to pick them up. These businesses or these managements may not have met your classic criteria of being great businesses of great managements, but the price was so attractive and the potential return that these businesses would make over the business cycle was interesting enough to make one look at them.

**DCF is the North Star of the valuation spectrum—however focus on the discount period rather than terminal value**

From there we would move to the Guiding Star of what valuations should be – the discounted cash flow. What one is really saying is one wants valuations which really discount up to what I call a discount period rather than a terminal value. So, if one could get a five-year payback or a net present value where the terminal value comes for free, obviously that's something you are going to lean towards. Then you're going to say this business is so good that I may want to discount slightly ahead or this management is so good that I might want to discount slightly ahead. That's the limit of flexibility one would give to that sort of valuation.

It's really from this sort of thinking that we use the short hand of PE multiples. PE multiples should have a correlation to a sustainable ROE of a business and that's the only way we think about it. However, people often compare apples and oranges when they are comparing Pes and say, "Why not buy this auto company that has a 35 percent growth rate and a current ROE of 30 percent and is selling at a multiple of 10 as opposed to let's say a pharma stock which currently has a growth rate of 10 percent or a ROE of 24 and selling at 15 or 20 times?" That's actually not a valid comparison because a secular line of growth, which one discounts a longer time period for, is always going to have a higher multiple than a business which is going through an upturn which will eventually swing down.

**Think in terms of PE bands**

I can briefly show you what we have done in terms of creating discipline in terms of PE based valuations. We put more sustainable ROE businesses such as FMCGs or pharmaceuticals or services on the upper gradient of our PE bands. They deserve higher valuations as opposed to commodities or engineering and autos which are much more cyclical and therefore would tend to have lower PE bands. If one thinks of our bands as diagonal lines, you should really be comparing a 10 multiple cyclical to a 15 or 20 multiple secular business. Since we have lined all these down to ROEs we are clear what the likely PE bands are and that's created a sense of discipline about where these valuations could go. When we think of recommending something, we like buying or selling things which are completely off the charts in terms of PE multiples or other valuation metrics that we use. Ideally, these would be less than half of what the intrinsic value is. When they are actually close to their target values, the margin of safety erodes. As you can see on this graph, it's color-coded. When it flashes red it tells you that if you are holding it beyond this price, there is something completely crazy with you from a value perspective. You must sell.

I'll draw the analogy of the selling styles that one has had within the organization where Nemish sells based on a value perspective and he does not look for a price or multiple higher than what he had thought of.

**Define your selling style**

Nemish is absolutely value oriented in selling. Manekbhai, on the other hand, had a wonderful ability and style of selling because he would never sell at a particular price. He would make a mental switch in his portfolio and shift his 'sell' value stock to his momentum side and as long as the stock was trending up, he would not sell it. Mentally he had sold it from portfolio A to portfolio B and he would only sell it completely when the price turned and the turn was confirmed. This almost always would give him a better average and allowed him to digest huge profits without getting unnerved like a classic value investor.

Similarly, on the buying side, he would never catch a falling knife. He would wait for it to bottom and then buy only once the upturn had been confirmed. So, he was never attempting to be the leader or set a price. Nemish on the other hand, has always had the conviction that if the price is right, he didn't care if he was the person who was catching the falling knife and creating the bottom. Equally on the selling side, he is quite happy to sell early and let someone else make the momentum money over there.

**Sell when your empirical mathematics tells you to . . .**

What we have therefore developed are these absolute price bands. Once you go beyond that, you are in momentum territory. It is then up to you to choose to sell based on the reds or ride the momentum. This discipline is important since often I find people justifying fundamentals after the price has moved up, whereas clearly it is the momentum that is causing them to get swayed.

The reds on the screen flash at you and urge you to sell. If you neglect to do that, it is because you have in your own mind something more than what the quant is telling you.

Personally, I think my biggest failures in life have been when I thought that I was smarter than the empirical mathematics which we had worked out in advance. I paid a heavy price for it. A lot of people ask us about a lot of successes we have had on the buying side, but I think it's equally important for people to understand that if you don't have discipline on the sell side, you can actually destroy many many years of returns that you made. And that's a painful lesson that I learned despite there being wiser counsel around amongst us.

**. . . or when your original premise was flawed**

Another way to sell, obviously the most painful one, is when your original premise was flawed. That your expectations on either volume, price, capital efficiency was wrong or management had gone off course. Especially in terms of capital allocation, at which point there is no use getting wedded to that stock and getting emotional about it. One would therefore just cut the loss and head for the exit door.

Another important discipline that we maintained on our portfolio side in the AMC was that we had decided very early that we would not have more than 20 stocks and one would not build a position unless we wanted to buy at least 5 percent of that in the portfolio. That was an important discipline since it forced us to weed out the weaker stocks as one kept getting newer and newer buy ideas.

**Know your portfolio bias**

Another cut that we do is slicing to see where the percentages are on a sectoral basis as well as on a market cap basis. We have an 8 x 4 grid which we look at on a weekly basis. Not to say that there is a predetermined criterion to say we would be 50 percent in mid-caps or we would be 20 percent in IT and so on. In that sense we are not top down. However, we like this frame of reference to see what the portfolio is throwing up and exposing as our bias. So, if I end up looking like I am 50 percent in IT and in mid cap IT, is that a conscious bet that I am taking and willing to live with or do I want to temper that? As long as one is conscious about it, I think that's the best risk measure to have rather than putting in something quantitative and to say that get rid of this just because that is 50 percent because that often means that you end up selling the flowers to water the weeds. There are maybe one or two companies that usually can make a huge difference to the portfolio. You don't want to be selling just because it's got out of range on a particular percentile basis.

**Don't create a zoo**

Another bias we have is to discuss whether we are creating a zoo when we get to too many stocks. Does it mean we lack conviction and therefore is it worth being in the market at all? A great warning sign is when you have a collection of too many stocks. That means you do not have a great deal of conviction to go and say let's put 5 or 10 percent in any single position. Also, if one starts finding the names that one is now throwing up on the buying radar, the increasingly tier C type of names or smaller more obscure companies, that also is a warning sign that the market has reached a crescendo. Although we don't think really in terms of what the others in the market are doing, this in itself is a good enough signal apart from the list that one keeps seeing of the new highs and lows and that range of advances and declines. If all the new highs are going to be these category C type stocks, one pretty much knows that the end is near. At such times, we take very rapid corrective actions in our portfolios.

**Discipline, discipline, discipline—always play the percentages**

On the portfolio composition side, another thing that we did certainly in the early days, and I wish we had done during the TMT bubble, was to have the guts to go between 80 to 100 percent cash. One remembers this from the 1992 blowout and the 1995-96 blowout. There was no point being in a market that was clearly overstretched. Although a few individual stocks held out, they were few and far between. While I don't think we ever got to 100 percent cash, but we got as close to it as possible. When it rains one has seen that everything gets wet and even stocks where you think that it's great value and it's only maybe a 2 PE or 3 PE and how low can it get, one has actually seen over the last 10 years that when the knife falls, it actually doesn't know where it's supposed to stop; just because our math or our computer models says there is now a 8 per cent yield or a half time book or something obscure like that. However, as value investors, we stick to our discipline and therefore continue to recommend buying and selling early! I think that's really the best sense I can give you in terms of portfolio construction and buy and sell discipline.

The key of course is being disciplined. It's not that individually we are very smart or we are as talented as a Warren Buffett or a Sachin Tendulkar or a Michael Schumacher. We tend to think of ourselves more as Rahul Dravid or Bjorn Borg, playing percentages rather than getting outrageously clever. If you play, using a cricket parlance, within the V and you do that consistently, you are going to avoid making significant losses. Our buying style in any case is minimized downside and lots of upside. Also, as you get closer to value, you are anyway going to sell; so, you are not going to make stupid mistakes. Therefore, as long your percentages remain within a band, you are pretty much going to compound your money at a rate which is almost inevitably going to beat the market.

**There are different seasons for different fruits**

Businesses we like? Well, we all grew up reading Warren Buffett and so I'd love to give you the typical answer people must be giving you. Yes, I want very high sales to block and I want negative working capital, a lot of free cash and so on. But having observed what stage our economy is at and also having been a keen student of nature, I know that there are different seasons and there is a season for every fruit and there are different stages in the lifecycle of a business which makes it attractive or unattractive. I'll give you an example.

**Bet on promise, but don't pay up for it**

You could choose so that your daughter married a 30 year-old man who is highly qualified, in a very stable business or profession, with a very secure cash flow which is pretty much free because by then he has got his house and his car and so on. But that cash flow is possibly never going to grow by much because he is near the peak of his life. In a sense, most blue chips may meet those criteria but if I want to compare and contrast that with the ability to get her married to let's say a 19 year-old who is in college, but who still has to pay off his college loan and who possibly will go into business and who could become a very wealthy businessman and therefore completely outstrip the earnings of this 30 year-old gentleman and generate therefore significantly huge cash flows in excess of the 30 year-old, I don't think that by that criteria, wanting free cash and debt free balance sheets and so on are necessarily the right things to do in an environment and an economy like ours. Especially when one is getting different multiples for it.

So, again, to use the marriage analogy, if you are going to marry a 30 year-old with a high PE multiple or you get a chance to, you know, marry the 19 year-old at a very low PE multiple, I think we'll take the bet with the 19 year-old, provided we can see that the size of win of this person can be large – if he is shaping up or aspiring to be a clerk or something like that, it's not worth doing. But if one sees in the character of the 19 year-old that this can go on to becoming a very wealthy 40 year-old, that's a bet you want to take.

Similarly, as I said there are different seasons and different fruits. We are not typically top-down investors. However, if one sees the sort of complete craziness which happened in the United States and therefore the wall of money that has been created over there to create incremental GDP and hold that economy afloat, it was quite clear that money would flow towards things that are not easy to replicate. That almost inevitably meant resource companies and commodities. Clearly this was their time over the last couple of years and the bull market in commodities or domestic consumption stories was born out of the death of the TMT bull market. Therefore, if I would say that we are wedded only to a particular type of business and not the other, I presume we would have to wait for much longer business and national cycles to suit us!

**Whilst we are long-term investors, we hate paying a lot for the future**

So, yes, in an ideal scenario if I were to draw up a wish list I would ideally want a 50 percent ROI business with a good dividend yield, but in reality, there are so many investors now chasing those characteristics, that usually they are priced in.

**Make a distinction between a good business and a good investment**

The other complication with these really great businesses is capital allocation. Since a number of these great businesses got listed here, I think, by accident. Therefore, they were less than happy to share the success of those businesses with a minority that they clearly didn't want. I can point an example of a company that we had bought in the AMC days and held for many many years, much to our eventual agony. A company called Otis Elevators. The attractiveness was that the company basically didn't need any gross block. The working capital was entirely funded by its customers and it ran on effectively a negative capital employed and had an annuity stream of service income. Now you cannot get a better set of business condition than that. So, Otis, despite being a very poorly run company, with very poor work culture and so on, was interesting since the rate of change was in the right direction and one therefore went through the pain of VRS over a number of years. Just when one thought that the fruits will now be shared with us, that company opted to get delisted. Therefore, I would make a distinction between a good business and a good investment. Often a good business may not be the greatest investment.

And often a good investment may not be the greatest business, but it may actually give you a very good return. I think the lesson we have learned is that once a business is recognized as being a good business, there is very little value for you as an investor on the table.

*CIO: Has the investment philosophy of ENAM changed over the past 5-10 years?*

**Discipline and backing the right person has been reinforced**

*MANISH CHOKHANI:* Not a change but an evolution because in a sense it's been a confluence of many rivers and fortunately a lot of the rivers came from the same source. The value orientation is universal and doesn't change. What's changed is I think two things. One is our belief in adherence to discipline and doing a few things and doing it right is even more solidified now. Especially when one had this period when you really thought the world had gone crazy in the 1999-2001 period. Almost everything that we had learned was tested to the limit and we went through a great period of self-doubt as if it was the new world out there. People threw up new valuation paradigms at your face where you were really paying option prices for businesses which were yet to be created and were getting valued currently. So, I think the belief in Graham and Dodd has solidified even more.

The second has been the belief in backing the right person a lot more as opposed to the right business. Especially in the context of what one saw with a lot of the multinationals doing to their great businesses vis-a-vis the minority shareholders. One always saw that where there was an entrepreneur or a professional manager whose interests were aligned with the minority, actually that investment always turned out to be far superior than a business which was run by a professional who had a budget to meet and who therefore ran it as a branch office rather than a business. Again, I don't want to paint complete segments with the same brush. Within the MNC world, there have been outstanding managements and completely dim-witted ones and the same holds true for Indian entrepreneurs who have been very greatly entrepreneurial or institutional builders as well as complete robber barons. Therefore, I think it is the characteristics of good businessmen that we look for rather than whether it's a PSU or MNC or Indian management or its second generation and so on. And alignment of interests. I think that's really it.

*CIO: What are your thoughts on investing going forward, given the way the markets have evolved over the recent past?*

**Competitive advantage as an investor has to be constantly renewed**

*MANISH CHOKHANI:* Well, for one it's an increasingly competitive and over-researched world. Therefore, the competitive advantage, not only of businesses is getting shorter and shorter, but also as an investor, your competitive advantage has to be constantly renewed. So, if earlier I thought I knew everything about let's say textiles, the question is if that business is going to lose its competitive edge over a period of time and therefore not give great value, other than an occasional contrarian call, I better renew myself by looking at, for instance, the retail business and so on. I think that's one leg of it.

Furthermore, one is constantly redefining the relative playing field for oneself. If you are going to stay stuck in a particular rut of either a business or a market cap or a style (actually I won't ever do a style drift so what I mean is a style of approaching either a business or a management), I think that's going to make it increasingly more and more difficult. Since everyone has grown up reading similar literature, if you are going to do the same thing that everyone else is doing, that's going to be increasingly your death knell. I think all one has learned during this period is to be alive to two things. One is that every fruit has its season and therefore don't be blind to free cash flow vs. commodities or as opposed to technology.

The second is constantly look for people who have the energy, ambition and the right culture, because these are the people who will be wealth creators. I think going forward it may increasingly become entrepreneur-driven rather than business-driven where a lot of value will be captured.

*CIO: What is your expectation of different asset classes?*

**Debasement of money is a big concern**

*MANISH CHOKHANI:* Each time one feels that debt will give you a good return, we almost inevitably think of buying the business that will assure that good return to the debt holder who is feeling so comfortable about it. Having said that, I think the reality of the world today is that there is just too much debasement of money supply all over the world. There is too much debasement of public finances all over the world, not just in India. Which means there is latent inflation lurking in our system of a magnitude that I don't think we fully comprehend as yet. The bull market in financial assets is likely to be replaced by a bull market in commodities or inflation by another name. now how this plays out and what relative adjustments are made either through currency markets or asset markets at the current point is actually hard to comprehend.

The only thing that you can bet on is whether your businesses are going to continue to have flexibility and robustness and management can be flexible enough to make the best of a given set of circumstances. I think that's you only ultimate defence. It's very hard for me to say that you should allocate money into an asset class which I understand very little of, which may be either gold or land or a foreign currency as opposed to businesses which I can understand, quantify, value and hopefully profit from.

*CIO: What are the big investment themes that you are currently betting on?*

**Demographics make us optimistic**

*MANISH CHOKHANI:* Well, each time one gets gloomy about the country and the bear factors are always there in terms of macro finances of the country and the socio-political setup. In each bear market these are the two most common themes. What always keeps our faith going are two things? One is the demographics of the country because that's something no one can take away from us. You know a young population which is increasingly educated, aware, assertive and aspiring to a better life, clearly they are going to consume a lot of products and a lot of services in the years ahead. Equally, the economy has opened up and in fact the rate of change has been a lot over the last 10 or 15 years, so the opportunities have opened up. One has lived through it and therefore doesn't think of it as being of great magnitude, but the reality is that one can aspire to be a Aziz Premji or a Narayan Murthy in this country today which was unthinkable of 10 or 15 years ago. That entrepreneurial spirit which has been unleashed is something which cannot be put back into the bottle. The aspirations of the consuming class here is something which cannot be put back into a bottle. So, if we put the income demographics curve and the age demographics of this country in context, the classic J curve seems to be around the corner.

What that means is that product markets will just completely explode. Now if we had spoken of five years ago that India will sell 9 or 10 million colour TV sets, 4 million PCs, one million cars, 5 or 6 million 2-wheelers, it would have been unthinkable. I think if one will have this discussion again sometime in the next five years, a lot of these markets would be a multiple of the current markets. The number of 2-wheelers we sell today may conceivably be the number of cars we sell five years from now. The number of black and white TV homes which we have in the country will conceivably be the colour TV homes in the country and so on and so forth. And in fact, one has seen this happen with products which came in at right price points. For instance, in the cellular telephony market, we went from a completely under-penetrated market to a rapidly penetrated market. Even from here, my sense is this market may actually triple over the next five years. So, there are extraordinary opportunities ahead in secular growth businesses. Just looking around, if you saw the deadwood of textile mills in Bombay and the complete revival through multiplexes and retail malls and so on, that in a sense is the essence of India and the change it is undergoing. So that's a great reason to be optimistic about our country, our people, our asset class and our investments.

*CIO: You're seeing a psychological shift.*

**Savers are turning into investors and entrepreneurs**

*MANISH CHOKHANI:* Absolutely. Furthermore, in our own business, if one thinks about it, Indians save almost a $100 billion a year and a negligible fraction of that finds its way into the equity market. Increasingly one is seeing returns from idle investing getting debased because of so much liquidity being around. In a sense, money is the ultimate commodity. Clearly, there is too much of it around. Returns have to accrue to enterprise. If one sees the mass of these younger, more confident Indians investing into businesses, you can conceive of a market where you have 10-20-30 billion dollars of domestic money coming to equities, coming to domestic mutual funds, coming to domestic financial services companies and creating a market which will completely obviate the need for us to talk in terms of approaching the American market and doing ADRs over there and so on. Again, as a business, something which we have liked for long is the entire financial services sector where today we discuss one HDFC Bank, or one set of mutual fund companies; but over the next five years you'll see a number of companies in the insurance space, in the mutual fund space who will probably be growing on a log scale rather than on a geometric or an arithmetical progression scale. I think that's something which one is extremely enthused about. And the $100 billion odd savings number is only going to grow.

*CIO: You are seeing mega wealth creation.*

*MANISH CHOKHANI:* Absolutely.

*CIO: Is there anything else you'd like to add about the characteristics of successful investor? Could you share some case examples of your successes?*

**Understand yourself**

*MANISH CHOKHANI:* I will repeat this. What makes a good investor is really a sense of security about oneself. Once you know who you are, that's going to make you a better player. If you go out to bat like Sachin Tendulkar, but your inherent attributes are like Ravi Shastri, there is no way on earth you are going to play up to your ability. You are going to end up creating a situation where you are not in the team at all. Therefore, the first thing is understand yourself. Understand what you are good at relative to rest of the world and every one of us has certain strengths relative to rest of the world. As long as you are secure with even a one foot by one foot space of land on which you stand, that's the basis to go and try and conquer the world. But if you try to be at different places at different times, all you're going to do is sort of slip and injure yourself.

**Relentless daily discipline is vital to good investing**

The second thing is that I think everyone fancies themselves as great investors and very clever but most people in the capital markets are very lazy and indisciplined. It's not that we don't know what to do and how to do it. The fact is we don't have the rigor and the discipline to do it repeatedly day after day and just do it right. Even if one looks at businesses that one is invested in, the success of an Infosys or Reliance is not due to some great strategic insight which they can milk endlessly. It is about relentless execution, day after day and just doing the basic stuff right, day after day. That's what leads to eventual wins.

I think if you just keep these two facts – do what you know best, and do the simple thing that you know right, day after day after day with discipline, I think that's the only way to win.

I just want to add that ours is possibly the only profession where everyone thinks they can bat as well as Tendulkar, not realizing that Rahul Dravid's averages are probably as good as Tendulkar's. He may not be as naturally endowed. If we can understand that about ourselves, I think that's the first step to being a good investor.

**When it rains, everyone gets wet**

And your second question really related to successes. Since one has hardly done anything so as to be so proud of, I'll rather talk of the Hall of Shame rather than the Hall of Fame. The Hall of Fame, of course, I have many years ahead of me to create, so someday we'll do that. We already have a tradition established by much more eminent people within our company, stuff they have done is quite legendary. So, I wouldn't want to talk about those.

What is useful for people who might end up reading this as also my colleagues, would be to discuss the hall of shame. We always like to analyse our failures and learn from them. So, the way we flagellate ourselves is not by thinking of how much money we lost, but how much we lost in relation to the potential gain we were thinking we were going to make! I think one of the biggest disasters of my life was a company called Trafalgar House which was a construction company with low equity and where the classic criteria of size of win was possible. Of course, the top line completely vanished because of a slowdown in the economy and thanks to a lot of our politicians. So, the margin of safety which one imagined one had in that business just wasn't there. I mean it's not that one felt shameful about losing money in that stock; what one felt shameful about was that we felt the stock was going to triple or quadruple and therefore in relation to that, it was possibly only 10 percent or 15 percent of that eventual value. That meant our basic mental arithmetic was completely warped and we did not understand the business drivers at all.

**Investors should really be cowards at heart**

Of course, no discussion on failure is complete without discussing the period of 2000-2001. I just wish it hadn't occurred in history! Every single signal was pointing out that valuations were absurd, everything that one had read and trained for made us sell out of everything early. The notable exception were one or two companies where we felt we knew better or we felt a lot more comfortable. The lesson was, as I said, when it rains everyone is going to get wet, howsoever good you are. Even if you think you want to ride out the storm with this company and you know three years later things will work out and so on, it doesn't prevent the market from giving you an opportunity to buy that very same company at a ridiculous valuation on the way down. So, there is no point in a sense of being wedded to a company just because on thinks one has to be a long-term investor. I think investors should really be cowards at heart. Especially when they see a tidal wave coming. At most times you would want to be contrarian, but don't ride into a storm when you see a tidal wave coming just to prove a point!

If I have to leave some lessons behind for my own son, I think these would be that two things. Learn from other people's mistakes so you don't have to make them yourselves. Have courage, but don't be self-delusionary.

# Kisan Choksey

**Kisan R Choksey is the Chairman of Kisan Ratilal Choksey Shares & Securities Pvt. Ltd, a member of The BSE and NSE. Mr. Choksey has been in the stock market for more than three and a half decades with an extensive experience in Broking, Investment Research and Financial Consulting.**

**He was selected by 'Business India' as one of the top 5 investors in India in 1998. He has also been the Treasurer and Vice-President of the Bombay Stock Exchange in 1991-92 and is currently a Trustee at the BSE.**

**Top down value investing . . .**

*CIO: It is very nice of you to share with us your experience and your ideas. Could you tell us something about your investment philosophy?*

*KISAN CHOKSEY:* If you want to make an investment, the ultimate goal is to make money and earn good return on your investment. So, when you decide to invest, you have to look at many factors. The major factor that we first look at is to shortlist the industry that we would like to invest in. when you shortlist the industry, you would like to go deep into how that industry is working and what are the types of technologies that are there in that particular industry. After you select the industry you shortlist the company. When you shortlist the company, you would like to evaluate the capability of the management, their efforts, investor friendliness, and the technology adopted for the success of the company.

**. . . that goes beyond numbers**

It is difficult to determine the strengths and plans of the management from just the financial statements. So, it is necessary to meet the management first hand to gauge their ideas, philosophies and their approach towards business and shareholders. Once you select the company, you try to see whether this company has a continuous growth plan and a sustainable profit level. Only then will investors get an appreciation on their investment.

*CIO: You have spoken about a continuous growth plan and sustainable profits levels. How would you go about determining the value in relation to the risk criteria?*

*KISAN CHOKSEY:* When we select the industry, we try to see what type of growth this industry is having. The growth rate of that company will be high only if the industry growth rate is high. One can evaluate risk only when one selects the industry and the company. Then, we evaluate whether the management has the capability to both manage and sustain growth. The profit-making capacity of the company ought to be viewed in the context of the capital employed and the real cash flow. The market price and profit-making capacity are intricately linked.

**Courage of conviction makes for a competent contrarian**

*CIO: What strategy guides the investment timing?*

*KISAN CHOKSEY:* We should plan to invest when stock valuations

are reasonable. That is, with good profits, cash flows and prospects, the PE ratio is reasonable. Generally, in the stock market, most people would like to invest when the market is improving. That is not a correct thing. But, if you select the stock and then follow it up and buy when the market is giving you an opportunity, I think that strategy is more sensible.

When one is convinced that a company is doing well, and that it has good prospectus, and the market gives one an opportunity of such price advantage, one should take the opportunity head on. One can do this only based on the courage of conviction that is derived from understanding the industry and also the company.

**Stay informed and invested to make capital out of Investment**

*CIO: Typically, what is the time horizon that you look at when you are planning your investments?*

*KISAN CHOKSEY:* We invest for at least a one-year period. Most companies take time to perform. So, a one-year time is the minimum period that one should view, and then every year, one should follow that company. If the company is going according to your projections, then one should remain with the company. One can make capital out of investment only if one stays invested with a company. There are a number of examples where it has happened like that viz. Ranbaxy, Dr. Reddy, Cipla and more recently, Infosys. If you see the prices are appreciating and get out of a stock, then one may never be able to re-enter that stock. So, one has to stay invested with the company if it moves according to projections and expectations.

**Discipline driven divestment**

*CIO: What would then be the criteria for divestment of the share?*

*KISAN CHOKSEY:* Markets can go to extremes i.e. beyond fundamentals, especially when it is going up. It takes time for companies to perform and generate profit growth. When market prices rise, expectations go up, and nobody will heed that prices are going beyond the prospects of the company since they are making money every day. We invest on the basis of discipline and parameters. If market capitalization of a company exceeds its merits, one should take courage and sell and book profits.

*CIO: Could you elaborate on the parameters that you use to determine when valuations exceed merits?*

*KISAN CHOKSEY:* Stock prices are determined by the earning capacity of the company. In a rising market, prices always go up even after one sells. Only time will tell whether your decision was correct or not. One cannot sell at the highest price in a rising market.

**Diversify sectors, concentrate stocks**

*CIO: What kind of concentration levels do you have in your portfolio? Do you believe in diversification and, if so, to what extent?*

*KISAN CHOKSEY:* Diversification is more relevant to the number of sectors that one invests in rather than the number of stocks that one invests in. We should try to invest in industries that are capable of generating superior growth, and then invest in attractive stocks within those industries. Today, sectors like IT, Telecom, Pharma and FMCG are growing, but I would never put all my money in any one sector, even if it is doing extremely well. I might give a larger allocation to a well-performing sector, but I will take a long-term investment view on investing and sustainable profit growth. I believe that one should be reasonably focused in investing and keep the number of stocks invested to not more than ten. This improves the probability of success.

**Management competence can make or break a company**

*CIO: Your approach is very clearly a top-down approach where you look at the sector first and then narrow down on the companies which best represent the growth that you envisage in that sector. What are the core conditions without which you would not invest in a stock at all?*

*KISAN CHOKSEY:* Management capability and attitude is the only core condition that matters. Management competence can make or break a company.

*CIO:So, management becomes a necessary condition in your investment philosophy.*

*KISAN CHOKSEY:* Financials of the company, return on the capital employed, the prospects of the industry etc. are the factors which one has to look into while investing.

*CIO: Those are additional components?*

*KISAN CHOKSEY:* Yes.

*CIO: Assessing management quality is a subjective skill that may be honed with experience over a period of time. What are the objective parameters of evaluating management attributes which is central to your investment philosophy?*

*KISAN CHOKSEY:* After analysing management performance over a period of time, and interacting with them in good and bad times, one gets a lot of insight into the management caliber. Transparency, dividend and cash flow distribution policies are good indicators of management intent. One example that comes to mind is MRF. MRF is a star performer in the tyre industry. It has a world-class product, but the management attitude towards minority shareholders constrains shareholder returns in spite of good progress and earnings by the company.

**Market volatility driven by institutional imperatives**

*CIO: You have been in this market for many decades. What are the most important aspects of the evolution of the asset management and financial analysts' community?*

*KISAN CHOKSEY:* Historically, markets have not been as volatile as they are now. Now the times have changed. The major players who have come into this market are the mutual fund managers. They have to disclose their NAV on a day-to-day basis. They have to give their performance on a continuous basis. They are trying to invest where the growth rate is high. This can make investing a momentum play both on the upside and the downside and increase market volatility.

*CIO: I think that right now the focus is much more on growth investing rather than on value investing because the major . . .*

*KISAN CHOKSEY:* With due respect to the fund managers, this is not an investment game now, it is a money making game. People are looking to the return on investment on a day-to-day basis. Retail investors are aiming to make money in the short run. The mutual fund industry is just coming up. Possible redemptions driven by any short-term under-performance can bring to bear a lot of pressure on fund managers to perform on a continuous basis. This has made the markets go up and down more than necessary. I believe that it makes sense

to take a contrarian view and bet on fundamentals rather than momentum investing. Such an investment strategy can be quite successful.

**Patience pays**

*CIO: With this sort of market behaviour, it makes sense to be patient and buy out of favour stocks provided the underlying fundamentals are in places?*

*KISAN CHOKSEY:* According to me, you must shortlist the stocks of companies that are performing well within the industries that you like. Then, you must mark your time. I think market always gives an opportunity.

*CIO: You just said that the markets have changed a lot in the last few years. Given that you have been in the market for several decades, has your own investment philosophy also changed as compared to what it was ten years ago?*

*KISAN CHOKSEY:* One has to change with the times. There is greater institutionalization of markets, which has its own imperatives. Privatization of insurance will mean more long-term funds entering the markets. And should therefore give better stability to the markets.

*CIO: You mentioned that your approach is top-down, starting at the industry level and then going down to the company level. It is also the case that you start at a level above the industry level i.e. investing or not investing is a call on the overall perception of the economy? So, is it an economy-industry-company situation, or does it just start at industry level and then goes down to company level?*

*KISAN CHOKSEY:* We have to take the overall view of the economy also. Investment decisions have to be in the context of the world situation also, not just the Indian economy. So, one has to consider all the factors while making an investment decision.

**Risk management is an integral part of investing**

*CIO: How do you look at risk in your investment decisions? A lot of investors get scared with fluctuations. But then if one takes a longer-term view, then there are business factors that come in and performance catches up with value. So how do you look at risk and what is the correct approach to look at both market risk and business risk?*

*KISAN CHOKSEY:* Most investors do not look at risk, but look at returns. One must ensure margin of safety in investment decisions and wait for opportunities rather than diving headlong into markets especially in frenzies. Only some time back, people felt that they had missed out on the IT boom. In this market, nobody is ever left out. If you have the money and the patience, you will get the opportunity to make money. Risk management is an integral part of investing. When too many people make too much money in too short a time, may God help them sustain the cash flow that has come to them. It goes to their head, and they will not heed sound advice. They will chase momentum and sacrifice quality. Only a long-term approach will help investors sustain their wealth.

**Realistic expectations become reality, unrealistic ones remain unrealized**

*CIO: How do you measure your investment performance over a period of time? What are the tools that you use to measure performance?*

*KISAN CHOKSEY:* Return expectations on a sustainable basis should be higher than inflation and risk-free rates. Equity returns have to compensate for the incremental risk. I believe that a compounded sustainable return in the vicinity of 25%-30% is desirable. This means that you double your money every three years. Anything more than that may be due to good luck or driven by market forces.

**Reinforce results and understand underperformance**

*CIO: Having invested in a stock, how frequently would you review your position in the stock?*

*KISAN CHOKSEY:* Once we make an investment in a company, we follow it continuously to determine whether the company is going according to our expectations. If one quarter is bad, then we try to understand the reasons for the performance not coming up to expectations. Some factors must have changed. If the management is comfortable in spite of these factors and if it is a temporary situation, one should not get disturbed. If the company is performing to the expectations, we remain invested in it. And we review our investments every year.

**Investment universe to be benchmarked universally**

*CIO: You said that typically a portfolio should consist of 10 stocks. Now that is the investment portfolio. To invest in 10 stocks, you must be tracking a larger universe. So, what is the size of the universe and what goes into determining what that universe of stocks is?*

*KISAN CHOKSEY:* We track about 150-200 companies actively. We try to track the leaders in the industry. The leaders in each industry give you a better idea of how the industry is performing. Today, the world is the market, the world is becoming smaller and smaller. So, if the company's benchmark is high and it is working according to world standards, then one should try to follow those types of companies since only those companies will have a sustainable future.

**Cash flow statement ought to be on the front page of annual reports**

*CIO: What would be the valuation tools that you use? I mean, P/E, EV/EBIDTA or discounted cash flow . . .*

*KISAN CHOKSEY:* We value companies on the basis of their earnings. I believe that cash flows are much more important than the profit and loss account. The cash flow statement should be made mandatory on the first page of the annual report. Profits can be manipulated, but not cash flows. We value companies on the basis of their cash flows and the sustainability thereof determines the strength of the company.

**'Down and out' concentration, not 'left out' desperation**

*CIO: To summarize, your investment philosophy is top-down with a contrarian approach on a long time horizon with frequent reviews. Which of these elements of your investment philosophy are the ones that you will not compromise on come what may? Of all these elements, if you are asked to compromise on any one element which one will you compromise on?*

*KISAN CHOKSEY:* Valuation is a key parameter for my investment decision, on which I will not compromise. I will never have a 'left out' feeling driving my investment decisions.

One must exploit such opportunities. People usually feel confident of a company when its price is moving up. And believe that those stocks that are not going up are not good. I do not think that is correct.

# Arjun Divecha

**Arjun Divecha, based in Berkeley, California, is a member of the GMO Board and is responsible for managing the GMO Emerging Markets Fund, the GMO Emerging Countries Fund and the GMO Asia Fund.**

**Prior to his affiliation with GMO, Mr. Divecha spent12 years at BARRA directing software development, marketing, client service and emerging markets research and development. He holds a Bachelor of Technology in Aeronautical Engineering from the Indian Institute of Technology, Bombay and an MBA in Finance from Cornell University.**

*CIO: Could you start by articulating your investment philosophy at GMO Emerging Markets?*

**First pick the countries, then the stocks**

*ARJUN DIVECHA:* What we are trying to do is to make money for our clients. We basically do this in two ways. Number one is by picking the right countries; that is by figuring out which countries are attractive to us. Once we identify that we pick stocks within each country that we find attractive. That's the way we look at the world.

**Value and momentum drive markets**

In very broad terms we believe that there are two major forces that drive markets: value and momentum. We think there is a very sound basis for why both these ideas work. And I believe very strongly that the reason why all investment strategies work is because they are based on one very simple idea that there are certain cognitive errors that human beings make with great regularity. Individual humans may learn, but collectively human beings never learn. There are many manias that human beings get caught up in while ignoring the lessons of history.

**People overpay for sexiness and comfort**

People, we believe, will always overpay for two things. They'll overpay for sexiness and for comfort. Buying sexiness is buying Infosys at the top of the market. You want to be part of the club that owns this sexy stock. Comfort is owning Hindustan Lever, for the chance of something going seriously wrong is very low. My point is that people will over pay for these two things because they appeal to two basic sides of human nature. We think the opposite of buying sexiness and comfort is value investing, which is buying discomfort and buying boring stocks, the stuff that is not attractive or seems to be dangerous.

You get rewarded by markets for taking on those attributes that other people do not like to own. That's why value works.

**Momentum works because of the self-reinforcing nature of trends**

Momentum works because of another interesting human failing.

People want to be part of a trend, but they are scared to do so until they really see it happening so there is a self-reinforcing nature to it. I'll give you a simple example. I think it was Mr. Narayana Murthy from Infosys who said to us that five years ago they had not got a single one million-dollar contract but once they got the first one then the next five or ten were really easy.

That's why all human phenomena have a self-reinforcing nature to them once things start to go well. Momentum is not purely about perception; it is about the reality that is created by the changing perception.

The problem is that value and momentum can be in opposition to each other. So, one of the tricks of being a successful investor is how you balance these two forces rebalancing on one side which is value investing and reinforcement on the other which is momentum investing. What we try to do is to balance these two forces. We do it at every level; at the country level when we pick countries and at the stock level when we pick stocks.

**Many ways to combine value and momentum**

*CIO: Could you illustrate the point that you just made of balancing between value and momentum by giving us some example of value and some example of momentum that you picked at any point in time in your investing career? Further, how do you combine them?*

*ARJUN DIVECHA:* There are many ways to combine them. At the stock level we think of these two concepts separately. We have a value portfolio in each country and a momentum portfolio in each country. At the country level you don't have enough countries to think of them separately. What we try and do is to buy countries that are high on both momentum and value. If you are high on one and not on the other then you are kind of medium weight and if you don't like them on both then you don't own them at all. So in some sense you blend the two together.

We have got objective data; we have models that objectively figure out whether a country is cheap, whether the country has got momentum etc. It's not just about us looking at the data and saying, "Oh maybe this is looking good, maybe this has good momentum," we have very well-defined metrics and we stick to them. We have clear definitions of momentum and value and we always use that metric to make decisions.

**India is moderate on both value and momentum**

India is moderately attractive on both value and momentum, but not highly attractive, so we are moderately overweight.

**The bet size is a function of attractiveness**

The bet size you make is purely a function of how attractive the market is. You don't let emotion get into the process. One of my big mantras is "emotion is the enemy". Don't ever let emotion get in the way of investing. Investors fail because they let their emotions get the better of them.

**Use multiple metrics**

*CIO: Could you give us some indication on the metrics that you use to measure value?*

*ARJUN DIVECHA:* We look at a number of measures of value; we look at price to book, we look at price to earnings, price to sales, dividend yield and we look at it in two different ways. You can be cheap relative to other countries and you can be cheap relative to your own history. And they both work. The point is we use a number of different metrics to get at the same underlying reality, because if you use any one of them it could be prone to error because of data errors, accounting standards, or a number of other reasons. For example, if you use price to book ratio there's big difference in what book means in India versus what book means in Brazil. Because Brazil has a long history of inflation, Brazilian companies are allowed to write up their book to market value every year. If you have a piece of land, you can write up that value of that land every year whereas in India you can't. If you have a piece of land that you bought 100 years ago for 10 rupees, it is still 10 rupees on your book. So, the price to book ratio is going to be different for the same piece of land in the two countries. If you simply use this one metric you would be wrong in your assessment of their relative attractiveness. If you use multiple metrics and if Brazil is cheap on each of the seven different ways of looking at value then it's probably cheap.

**Make a big bet when there is massive confirmation**

*CIO: And how do you measure momentum?*

*ARJUN DIVECHA:* We use multiple measures of momentum and are similarly looking for multiple confirming signals. You only make the big bet when you have massive confirmation. You never make the big bet when signals are conflicting.

*CIO: Has the investment philosophy that you enunciated undergone any change?*

*ARJUN DIVECHA:* The way we implement our strategy has changed as we have got better data and better ways to analyse the data. But I would not say that the philosophy has changed at all. GMO has been managing money in the US since the mid-seventies. It's the same basic philosophy of our US strategy replicated everywhere in the world.

**Discipline pays – emotion is the enemy**

*CIO: Could you also tell us what this philosophy has resulted in terms of your investment performances relative to some of the other emerging-market funds and also benchmark your philosophy with some of the other popular philosophies?*

*ARJUN DIVECHA:* I don't think that the ideas themselves are that different. I believe the reason why we have been more successful than others is because we stick to our discipline. It again comes back to not allowing emotion to play a part. Many investors spend a lot of time doing research, figuring out that something is attractive, but then are reluctant to buy because it is going to be its most attractive at the point of time when it is most uncomfortable to buy.

**Portfolio managers suffer from an asymmetry of outcomes . . .**

*CIO: So, would you say that most of the times when the discomfort is the highest the objective parameters do scream that things are cheap enough?*

*ARJUN DIVECHA:* Definitely. Keynes wrote how it's better to fail conventionally than to succeed unconventionally. Let me illustrate it with an example of Argentina two years ago, right after its currency crisis. Any objective measure you used would have told you that Argentina was cheap after that market had fallen 80%. We had been buying it for 6 to 8 months

when I noticed that we were the only foreign investor buying Argentina. This puzzled me, since I figured that there were surely other people that shared our philosophy, of buying cheap down-and-out countries. What was preventing people from buying Argentina was the asymmetry of outcomes for portfolio managers in their professional careers. Think about it. If you brought Argentina and got it wrong you'd get fired for it. Your boss would say, "What the hell are you doing, buying Argentina in the middle of a crisis?" On the other hand, if you didn't buy Argentina and it went up 300% (as it did), your boss wouldn't even notice because by then it had become 0.3% of the benchmark. So, if you didn't buy it and got it wrong, nobody would care.

**. . . Career risk keeps them from doing the right thing**

My point is that I believe that it's not that portfolio managers or investors don't have the ability to analyse situations accurately but the problem is that the incentives for them to act in the best interests of their client is pitted against their own personal career risk. It's career risk that keeps them from doing the right thing. You asked about our record. Over the past ten years, after fees and expenses, we have beaten the market by about 5.5% a year. According to Morningstar, the GMO Emerging Markets Fund has the best record over the past 10 years ending in Dec 2003, in the emerging markets category.

**In the long run, history does repeat itself**

*CIO: Where do you think you are different from the crowd? Is it discipline?*

*ARJUN DIVECHA:* Absolutely. When I joined GMO, I asked Jeremy Grantham (who is the founder of GMO and one of the wisest people I have ever met) as to what was the secret to GMO's success? He said "A few simple ideas, ruthlessly executed." And that's really what it's about. As I've said earlier, we have two very simple ideas. We buy cheap and we buy momentum. But we do it every single month and we don't flinch. You don't fall in love with a stock; you don't fall in love with a country; you don't say "Oh my God things are going so great in India, maybe it will continue to run." You know what? Maybe it will. But when it gets expensive and the momentum slows, we'll be out of this market, irrespective of my gut feel.

In the long, run history does repeat itself. If India grows at 9% this year, I'm willing to put money on the probability that it is going to go back to 6% growth in the very near future. It's not going to stay at 9% for the next 20 years. I'm saying there is a much higher probability of going back to 5% or 6% a year than of it staying at 9%. And yet most people will continue to bet that once it's gone to 9% for a couple of years it will continue that way forever. That's the mistake that people make. They extrapolate the recent trend.

**Its momentum and mean reversion**

For us, it's momentum and mean reversion. Remember, it's both. So, momentum will want to keep us in. Mean reversion will want to get us out. So, they'll be in conflict with each other for a while – when momentum turns – we're outta here!

**Place a big bet when there is both value and positive momentum**

*CIO: But at the bottom of the cycle you will have a lot of value and momentum may be against it.*

*ARJUN DIVECHA:* Exactly. So, you're going to make a bet, but not a huge bet. When the momentum kicks in is when you make the really big bet. If you think about the cycle, at the bottom of the cycle we have a moderate bet, because we have been buying value all the way down. But at this point you got no momentum at all so you are not making a huge bet. As momentum starts to pick up, you still have a lot of value plus positive momentum, so that's when you make the huge bet. When you get to the top, the value is now completely out, momentum will start selling and so by that time you get around the corner you are out of it completely.

**Past intrinsic worth, sell value and buy momentum**

*CIO:So, you are effectively continuing to buy stocks even when they cross their fair value.*

*ARJUN DIVECHA:* Exactly.

*CIO: Shouldn't you be actually selling stocks past their fair value?*

*ARJUN DIVECHA:* We'll be selling value but we will be buying
momentum. So, you could be in fact be adding to your overall position at that time. It's a question of how strong the two forces are at that point.

**The principal risk to value investing is a true paradigm shift**

*CIO: What do you think are the risks to this strategy?*

*ARJUN DIVECHA:* At the end of the day the principal risk to a value type strategy or mean reversion strategy is a true paradigm shift. For example, if India changes from a 6% GDP growth rate to a 9% GDP growth and stays there for 20 years, we will be out of India for a long time and get it wrong. So, a true paradigm shift is the risk. The good news for value managers like us is that true paradigm shifts are few and far between.

**Part of the reason to have momentum is diversification**

*CIO: Then you'd be just left holding momentum, but value would have all exited.*

*ARJUN DIVECHA:* Exactly. If we don't get it right, we would still not get hurt too badly because of the momentum. But we would not have done as well. So, whenever there are true paradigm shifts is when the mean reversion strategy fails. Part of the reason why we have momentum is to diversify the risk. But I will say that in the 10 years that I have been managing money I have yet to see a single true paradigm shift. Not even one. There is not a single country that has genuinely changed from what it was 10 years ago to today.

*CIO: Even the way China has done?*

*ARJUN DIVECHA:* China was already growing at 8% a year 10 years ago. Hasn't changed – average growth over the previous 10 years was 8%.

**In portfolio construction the country completely dominates**

*CIO: So now that you articulated the broader investment philosophy, how do go about the actual portfolio construction?*

*ARJUN DIVECHA:* Given that countries matter so much, we first make the country decision, irrespective of how attractive individual stocks may be in that country. We evaluate each country on its metrics, and come up with the decision as to how much money to put in that country. As I said earlier the size of the bet is proportional to how much we like it. We come up with a score for each country. And that score determines how big

a bet we make on it or against it. If we hate the country, we will not buy a single stock in that country, irrespective of how attractive any stock there might be. Now that may be a mistake as that may not be the best way to do things. But we stick to what has worked for us.

**Each company is scored on value and momentum**

Only in the second stage, do we pick stocks within each country and there we use value and momentum, as I mentioned earlier. We use multiple measures of value – price to earnings, price to book etc., and we use momentum – analysts' momentum, stock momentum etc. So, we have a score for each company on value and momentum. And that score determines how much money you put into that company. We use traditional fundamental analysis to ensure that a company that appears to be cheap is really cheap. So, humans are there in the process for reality checking.

**Not everything that is cheap is value**

We also make the distinction between value and junk. Not everything that is cheap is value as some of it is junk. All our research shows us that there is no particularly good long-term reason to own junk.

Every once in a while, junk does well. 2003 had been a real junk year everywhere in the world. In the US, low quality stocks and junk bonds have done well. Every once in a while, one makes a huge amount of money buying junk, but in the long run we don't think it's a good strategy. So, we would rather buy what we call value as opposed to just cheap. We spend a lot of our time trying to look for companies that are genuinely attractive rather than just simply having a low price/earnings ratio.

**Two different portfolios, value and momentum, are built in each country**

*CIO: So, once you start doing the stock picking, the same value-momentum philosophy continues in stock picking as well.*

*ARJUN DIVECHA:* Absolutely. Within each country, we build two different portfolios. We'll have a value portfolio and we'll have a momentum portfolio. The momentum portfolio could have all kinds of speculative stocks.

**A time-tested rule: 70% value, 30% momentum**

*CIO: Is there some equilibrium that you have struck in your allocation between momentum and value?*

*ARJUN DIVECHA:* We have always been 70-30 – 70% value and 30% momentum. And we do that for every country.

**Value is a slow burn strategy and momentum a high burn one**

*CIO: And what is the logic for 70-30?*

*ARJUN DIVECHA:* The logic is that they are both approximately equally powerful, so in a world with zero transaction costs, the allocation between value and momentum would be 50-50. However, it costs money to trade. Value is a slow burn strategy. It turns over at about 40% a year. Momentum is a high burn strategy. It turns over at about

150% a year. Given the presence of high transaction costs, 70-30 gives you the best after-cost return. In the US, where transaction costs are lower, we use a proportion of 60-40.

*CIO: If the transaction costs were very low what would you do?*

*ARJUN DIVECHA:* Then the allocation would have probably been 50-50. Intuitively, I believe value should do better in the long run than momentum. But historically, data tells us that they are both approximately equally powerful strategies. So yes, in the absence of transaction costs I would probably run it at 50-50.

**Companies should be cheap and high quality for the value portfolio**

*CIO: Would there be any specific characteristics that you look for in a company?*

*ARJUN DIVECHA:* What we are looking for its companies that are cheap but also have high quality. We are looking for companies that have high return on equity, which have a high sustainability of that high return on equity and other traditional quality parameters like low debt equity ratios. The fact is that if you have lower debt, then you have more survivability in a crisis. All other things being equal, if you have two companies with the same PE, you would rather have the one with the lower debt than the one with the higher debt. Does that mean we would buy expensive companies that have no debt? No, we are looking for quality within value.

**A company has should be cheap, have a high return on equity and low debt**

*CIO: You are much more of a country picker than a stock picker. Still, if you were to articulate three necessary conditions that you want in any company for it to be a part of the portfolio, what would those be?*

*ARJUN DIVECHA:* First and foremost, it has to be cheap. Further, it has to have a high return on equity and low debt.

**In momentum, there are different characteristics**

I don't want you to think that we screen on these three separately. They are all integral to being what we call value. And that doesn't apply to momentum. You know in momentum, we'll happily buy junk if it has earnings and price momentum. Momentum serves a diversifying purpose and, hence, you don't want to load up on the same characteristics as value.

**Data plus Cleaning equals Information**

*CIO: Having articulated the overall investment philosophy, could you take us through the process that works behind this philosophy? I mean what are the various processes that GMO runs to make sure that this philosophy is implemented?*

*ARJUN DIVECHA:* Well, first of all there is a lot of data collection and cleaning. I would say most of the manpower and computer power is used on that front. We have maybe 15 or 20 different sources of data from the IFC to MSCI to World Bank to Bloomberg. When we're looking for a PE ratio for a company, we get it from five or six different sources and then scrub the data to get one number that we're comfortable with. So, a large part of the effort is in collecting, cleaning the data. In fact, the company that I used to work for had a saying – Data plus cleaning equals information. We are big believers in that.

There are some pretty sophisticated techniques to do data cleaning. There is a lot of time, energy and thought going into that. It's not mechanical. Once you have got the data and the databases cleaned, then you have mathematical models to basically transform this data into scores

of attractiveness. You're going to go from data to scores. What you want to come up with for every company is a single number (score) that tells you how cheap that company is on value or momentum.

**Every company has two scores – a Value Score and a Momentum Score**

*CIO: And you will have a particular score for a company or a country?*

*ARJUN DIVECHA:* At company level, there are two scores. You have a Value Score and you have a Momentum Score.

Another big mistake that investors make is that even when they have good information, they don't translate it into coherent portfolios. People don't spend enough time thinking about portfolio construction. Portfolio construction matters as much as information analysis. If you don't put information together in a coherent way; you can lose all the value. I'll give you an example of how and why portfolio construction matters.

**Systematic biases can creep into portfolio construction**

If you look at portfolio managers in the US or for that matter anywhere in the world, they tend to equal weight their portfolios. They pick 50 stocks that are attractive to them and then buy 2% of the portfolio in each of these 50 stocks. The benchmark against which their performance is measured is the S&P 500 or the Sensex, which are capitalization weighted indices i.e. the weight of each stock in the index is proportional to the market capitalization of that stock. Thus, if they liked Reliance, they would own 2% of their portfolio in Reliance, while the Sensex has14% weight in Reliance.

It turns out that any time that you equal weight a portfolio relative to a market cap weighted benchmark you are systematically under-weighting the big-cap stocks and over-weighting small cap stocks. You are making a bet on small-cap and against big-cap. And as a result, a lot of your performance will be driven by how small cap does versus big-cap, rather than the stock picking you thought you were doing.

This is a very simple example of why portfolio construction really matters. How you weight stocks in your portfolio matters a lot for it's very easy to have systematic biases in the portfolio that you didn't intend. Most managers may not have even realized that they are making a big bet on small caps though was the biggest bet in that portfolio. All the 50 stocks they picked mattered less put together than the fact that small did well versus big.

**Maximise the intentional bets, minimise the incidental bets**

As a result, we are very conscious of how we build portfolios. The key is to build portfolios that do not have systematic biases other than the ones that you want intentionally. In short, you want to maximize the intentional bets and minimize the incidental bets. If you are a value manager and you just simply go out and buy cheap stocks, there is a bunch of baggage that goes along with buying cheap stocks. The baggage is that you tend to get low-quality companies, you tend to get cyclical companies, you tend to get smaller companies because these are all attributes generally associated with cheapness.

But as a value manager we want to buy value, we don't necessarily want to buy small. We don't necessarily want to buy small. We don't necessarily want to buy low quality. We don't necessarily want to buy cyclical companies. So, portfolio construction has to be sophisticated enough to avoid these unintentional biases.

**The driver of returns should be what the portfolio manager has thought about**

We want the driver of our returns to be the attributes we thought about, not biases that fell out of portfolio construction. For example, over the last three years small-cap stocks in the emerging markets have been really cheap, relative to big caps. So, we had a huge bet on small-cap versus big cap. That's part of the reason why we have done well in the last three years. But it didn't fall out of the way that we did things. It was a deliberate bet. My point is that you should be very deliberate about every bet that you make.

**Use technology to balance the portfolio**

And that's where technology can come to your help. Because it's very hard for a human being to be able to balance sectors, big versus small, high-quality versus low-quality while loading up on the stocks you like all at the same time. That's what computers are good for. And that's what an optimizer does. An optimizer basically builds you a portfolio that bets on the things that you have told it that you like, whilst doing its utmost to be neutral on every dimension you haven't told it you like or dislike. If I don't tell the optimizer that I like this particular sector, it is going to try and be neutral on that sector. It's going to say well you didn't tell me you liked it or disliked it. Think about it. Exposing yourself to risk with no expectation of return associated with that risk has no socially redeeming features whatsoever. Why would you take risks with no expectation of return? The only reason to take risk is because you expect to get something in return. If you don't have a view on a sector, why bet on it? There is no earthly reason why you should make the bet on a sector if you have no expectation that it's going to do well. Most investors are not even aware of the incidental bets in their portfolio.

**A stock is just a basket of attributes**

*CIO: So, all that you picked in the portfolio must be having all of these attributes marked so that you collectively know whether there is a bias?*

*ARJUN DIVECHA*: Exactly. To us a stock is not a company. A stock is just a basket of attributes. So, each stock has a score for cheapness, a score for momentum, a score for quality, a score for volatility, a score for size (big versus small), a score on which industry it is in etc. We have thirteen attributes altogether. Of these 13 attributes, just two, value and momentum are the ones I want to bet on. The others I want to be neutral on – I don't normally want to bet on them. Although there are times when I want to bet on small vs big or quality vs junk.

**Selling is relative to other opportunities**

*CIO: One of the most under researched part of investing is "How to sell." There's a lot more stuff on how to buy than how to sell. What are your views on selling?*

*ARJUN DIVECHA:* Every single month we evaluate what we like and what we don't like. If we like something more this month than we did last month, we buy it, subject to transaction costs. If that means selling something else (even if is just as attractive as it was last month) so be it.

The fact that you made or lost money on that stock is irrelevant. The only thing that matters is whether a stock is attractive right now. Every stock has to justify its place in the portfolio every month, subject to transaction costs.

**Every investment strategy has a natural level of turnover**

*CIO: So, does this, in turn, result in a relatively higher churn compared to the average?*

*ARJUN DIVECHA:* No, not necessarily. Every strategy has a natural level of turnover. The question is: is that strategy profitable after transaction costs. If it isn't, you shouldn't be using it.

*CIO: And how frequently would you run an optimizer?*

*ARJUN DIVECHA:* Once a month.

**Monthly update on bets taken**

*CIO: And how frequently would you update yourself on your top bets?*

*ARJUN DIVECHA:* Every month. It's a mechanical process. We do it every single month.

**Risk is measured as tracking error relative to benchmark**

*CIO: Could you also tell us about some of the measures of portfolio risk as far as your portfolio is concerned? How do you track it and how do you measure it?*

*ARJUN DIVECHA:* The broadest measure of risk that we look at is tracking error relative to the benchmark (tracking error is standard deviation of return relative to the benchmark). We run our portfolios at between 8 and 10% tracking error.

And I'll tell you why we use 8 to 10. It's because of a concept called Information Ratio (IR) is defined as being return over your benchmark divided by the standard deviation of return (or tracking error). Thus, it is the return you have delivered per unit of risk taken. It is considered a measure of skill.

What we know is that the best managers in the world deliver an IR of greater than 1, in the long run. That is, you have 5% a year excess return, you deliver it with about 5% volatility. All of our historical back test information tells us that we should be able to achieve an information ratio of one. But I also believe that whenever you have any strategy that relies on history, going forward you lose at least half the power of the back test. So therefore, if we think we can deliver one, we'll probably be able to deliver a little less than half. So, if you take the 10% tracking error, multiply it by 0.4, that means we should be able to deliver 4% a year return over the benchmark. And that's what we promise our clients. I'm saying if we want to deliver 4% value added annually, we need to run the portfolio at 10% tracking error. I can't go to people and say we are going to deliver 4% value added a year and we are going to deliver it with 2% worth of tracking error. They are going to look at me and say what are you, some genius? May be there is a human being who can do that, certainly not me.

**The investing philosophy will not change**

*CIO: How do you think investing, going forward, will be different from the way it has been in the last five years given the way markets had evolved over the recent* *past?*

*ARJUN DIVECHA:* If you're asking about broad-based strategies for investing, it isn't going to change at all. I don't think it's changed in 100 years and I don't think it will change in another hundred years. 10 years from now we will still be doing the same thing as we do now to manage money.

**There is never a new era**

I believe that human beings as a group do not change. The forces that drive markets are the same. You can have a series of manias, you can have series of underperformance but human cycles tend to be full of euphoria and despair. The strategies that one uses to identify euphoria and despair and thus to make money from them don't really change. There is never a new era. Not only is it not different this time; it's never different. Sir John Templeton once said, "The four most dangerous words in the English language are – It's Different This Time."

**The US will pay the price for monetary profligacy**

What do I think about things right now? I think that right now globally we are in a fairly good spot just because of where the global economy is. There is a huge amount of global liquidity; certainly, in the case of the US you have a record amount of stimulus both from the fiscal side and from the monetary side. In two years, US has gone from a $200 billion surplus to $600 billion deficit. That's an $800 billion swing in two years. Where do you think that money is going? To top it, you have Mr. Greenspan who is certainly not going to reduce liquidity until he sees inflation. Be sure that he is not going to act in advance on trying to stop inflation. He is not going to say well, inflation may come so we'll tighten in advance. He's going to wait till he sees the reality before he does anything. So, between a very accommodating Fed and dramatically loose fiscal policy, there is a huge amount of liquidity out there that is likely to cause financial markets to rise and I think that's exactly what's happened. It may continue for some time, but the day will come when the piper has to be paid.

**Hope is not a good investment strategy**

It's like India. Everybody is hoping that the strong economic growth will make the budget deficit go away. Everybody is willing to ignore problems as long as everything is booming. The Government in India (just like George Bush) is hoping that the economy will grow fast, the budget deficit will in stay the same in absolute size and therefore as a percentage of GDP, the budget deficit will shrink. But you have to deal with it. I don't think you can just hope that it is going to go away. Hope is not a good investment strategy.

**The US is overvalued, developed markets are fairly valued and emerging markets are closed to fair value**

*CIO: What are some of your expectations about the various asset classes?*

*ARJUN DIVECHA:* We believe that the US market is quite severely overvalued; it's been trading at 23-24 times earnings whereas the long-term average is about 16 times earnings. If it were to go from where it is now to 16 times earnings immediately, that would require you to lose 30-40 percent of your money. We will see the US market trading at 16 times earnings in my lifetime. To get there either requires very strong earnings growth over the next few years or the market falling 30-40 percent or some combination of the two. So, we see the US as being quite overvalued. We see the developed markets as relatively fairly valued, maybe slightly cheap, but not particularly dangerous. And we see emerging markets as being also

close to fairly valued. It is hard to make the case for the emerging markets as being extremely cheap. You can make the case that they are fairly valued. And when we say fairly valued we mean that they are priced to deliver an equilibrium return of 6% or 7% a year real growth. There is nothing wrong with making 6% real returns for the next 10 years. That's fairly priced.

**Bonds are particularly unattractive**

*CIO: So, there will be a correction in the US.*

*ARJUN DIVECHA:* Yes. But we don't see emerging markets as being dangerous. It's just not a screaming buy that it was. The good news about emerging markets is that most of these countries are on the right point of the economic cycle. They have had problems or crises and are coming out of it. They are all at the right part of the cycle. That could cause the markets to overrun. But being the kind of investor I am I would never advocate someone buy something that's overvalued on the hope that it may overrun.

So, we think emerging markets are fine, we like developed markets less and we dislike the US quite a lot. We don't like bonds either. We think interest rates are pretty low and we don't think they are going to stay this low. We don't like the dollar. Even though the dollar has moved a fair amount, it just feels that like it's got a long way to go before it actually stabilizes. I don't know what fair value is, but does feel like the dollar is overvalued.

People tend to think of India as being isolated from the world economy. But the fact is that huge global liquidity, which is driving down interest rates everywhere, is having a big impact here as well. So, when things turn around it will affect us here. And this time it will affect us much more than it usually does because the connections to the global economy are much greater now than they used to be. In the past India was relatively isolated.

*CIO: Do you think that the overall backdrop is very conducive to the possibility of the emerging market moving from fair value into the overvalued territory?*

*ARJUN DIVECHA:* Ii is. But as I said I would never recommend somebody buy on that basis.

**There is no place to hide**

*CIO: What would you advise an investor to do right now?*

*ARJUN DIVECHA:* I have very little good advice to give. There is very little that's attractive right now. There is no place to hide. That's one of the problems. Emerging markets are as good as it gets and they're not particularly good. There are very few places to hide especially if you are US investor since both US equities and US bonds are overvalued.

**Put money in emerging markets and developed international**

*CIO: So, what are you advising?*

*ARJUN DIVECHA:* We are telling people to put money in emerging markets and put money in developed international. And we like unconventional things. Like buying timber, buying forests. I don't know enough about commodities and so don't know whether they are a good buy or not.

*CIO: But on momentum you'll still keep on buying emerging markets?*

*ARJUN DIVECHA:* The case for buying the entire assets class based on momentum is weak, only for picking countries and stocks within emerging markets.

**Don't make ten years bets**

*CIO: What are your comments on India at this point in time?*

*ARJUN DIVECHA:* If you go back two years and look at India you'd say this place doesn't look like it's got much hope at all. Now everybody is really hopeful. Two years from now it could go back to not hopeful.

My wife is a psychologist and one of the lessons that I have learned from her is that past behaviour is the best predictor of future behaviour. So, if a country has consistently found ways to screw itself up, it's likely to do so once more. I don't know whether that'll be true in India or not. Maybe it's all different now. But, if I had to make a bet, I would bet that India would go back to a 5% or 6% growth rate. Yes, things are clearly booming now. Maybe it will do so for the next 1-3 years. But will it go back to five or six percent growth? Yes, it will. And when that happens, people will be deeply disappointed and markets will reflect that disappointment.

**Valuations in India are not particularly stretched**

I don't think the valuations are particularly stretched. But I wouldn't say that they are particularly cheap either. It may be close to fair value for today's reality. If there is a huge amount of growth coming then it's cheap relative to that. But again, I am not a person who bets on some future reality that may or may not happen.

**India is diversifying out of the IT sector**

*CIO: And what are one or two big trends that you clearly see emerging from India?*

*ARJUN DIVECHA:* Well, the one trend which I feel is important and that I would like to see more of is India diversifying outside the IT sector in terms of exports. Bill Gates recently addressed the IIT-iians in the US and there was one comment he made which really stuck with me. He said, "Indian IT will create millions of jobs. But India needs hundreds of millions of jobs." And I thought that he was exactly right. We are not going to be able to make this country wealthy on the back of IT. We are going to need more than that. We need manufacturing besides services.

**WTO is forcing Indian companies to become more competitive**

There is one message which I hope the general public in this country will get if they haven't got already is that the primary benefit WTO is giving to India is not cheaper imports. It is forcing Indian companies to become globally competitive. 10 years ago, Bharat Forge was a decent Indian company. But it could not in any way compete on the global stage. Today it is supplying a huge percentage of axis to global automotive majors. What has driven this? In my opinion it is WTO. It is not that companies like them have willingly become more competitive. They were forced to become more competitive by the prospect and reality of WTO.

**You can no longer be a manufacturer in India unless you are world class**

That's the beauty of capitalism. You can no longer be a manufacturer in India unless you are world class. Because you are going to be wiped out if you are not. That is a huge benefit to any country. I remember some time ago there were protests against WTO in India and I feel it's important that intelligent people get the message out that WTO is actually going to take India forward. It is not about protecting obsolete old industries; it is about basically forcing people to become more efficient so that we can become world class. Why is it that Chinese are doing so well? It's not because they are protecting their industries but because they have become world class in manufacturing.

**Using judgment to override the underlying reality can cause investment mistakes**

*CIO: Could you tell us a little bit about some of the historic failures and successes in your investing career?*

*ARJUN DIVECHA:* Well, the biggest failures have occurred where I have overridden the system, where I have used my judgment to override the objective reality. And I would say the biggest one was perhaps during the Asian crisis. Our system is designed to buy countries slowly as they get cheap rather than jumping in as soon as they become cheap.

During the early part of the Asian crisis, markets were down 70-80%. Since we had never seen anything like that before, rather than let our normal process of buying Asia over a year or 18 months, I accelerated the process. I pushed the process so that we bought into Asia early in 1997-98. And that was wrong. If we had bought into the markets at the regular pace, over the next 12-18 months, we would have got it right. But we bought it too early. And it fell another40-50 percent before it reached bottom.

*CIO: Did you get emotional?*

*ARJUN DIVECHA:* It wasn't emotion. It was more that our models had never seen anything like that. So, we had to make a judgment whether our models would support us in a regime that it had ever seen. We had never seen an environment like this and suspected that the models would not work in these circumstances.

**Models proved to be robust**

*CIO: But it did work in those circumstances.*

*ARJUN DIVECHA:* It did and as a result I have much more faith in the system. In fact, it proved to be far more robust than what I had anticipated. But you can't know that until later. At that time, it seemed that the whole point of having human beings involved in the process was to make calls such as these. And while overriding the system was wrong in that circumstance, it doesn't mean that it's always wrong.

*CIO: In hindsight do you think that human involvement is almost irrelevant once the model directs something?*

*ARJUN DIVECHA:* No. I don't think so. Let me give an analogy of how we do things. We think of ourselves as being people who build and fly sophisticated airplanes. Our skill lies primarily in building the flight control systems and programming them so that they anticipate multiple environments and can fly safely through storms. In addition to being the designer of the systems, we are also the pilots of the aircraft. Here our role is to be completely aware of our surroundings so that when we encounter a situation that the system has never encountered, we can take hold of the controls and steer our way out of trouble using our judgment. That's why I need to travel to these countries to see what's happening even though I may never use that information.

*CIO: But your interpretation is related to what you see from your models?*

*ARJUN DIVECHA:* Absolutely. As Einstein said there is no absolute frame of reference. There is no such things as 'this is a really great stock.' It should actually be 'at what price is it a really attractive stock'. It's always relative to what you pay for it.

**Discipline is most important for investing**

*CIO: Could you articulate what in your opinion are the characteristics of successful investors?*

*ARJUN DIVECHA:* Discipline is the topmost. I think there are many styles of investing that work. The one thing that I do see which is common across them is that they tend to have fairly deep-rooted beliefs in what they are doing. They don't flip around. They don't say that today. I am going to have one philosophy and tomorrow I am going to change my philosophy, based on how well it works. So, I would say that it is a set of deeply held beliefs about the style of investing coupled with the willingness to act on it.

**Watch out for creeping professionalism**

*CIO: Would you have any admiration for any specific international investor that you would like to talk about?*

*ARJUN DIVECHA:* I don't really spend any time studying the competition.

*CIO: You talked about Jeremy Grantham.*

**Distinguish between three sigma events and one sigma events**

*ARJUN DIVECHA:* When I first started working for him I had never managed money in my life. It was my first job at managing money professionally. And so, I asked him as to what I should watch out for. He said, "Beware the curse of creeping professionalism."

He said, "Right now you know very little about managing money. So, the only thing that shows up on your radar screen are the big three sigma events – things that are really out of whack. You'll bet on them and you will make a lot of money. The problem is that every day as you become more and more of a professional you will lose the ability to distinguish the one-sigma events from the three-sigma events. That is a merely good opportunity from the amazing opportunity. And there is no money in the merely good opportunity. All the money is in the amazingly good opportunities."

To give you a cricket analogy – the bowlers are good, don't swing at everything. Wait for the short-pitched ball outside the leg stump and then hit it hard over midwicket. The rest of the time, play defensive and take the easy singles. You don't try and hit boundaries on good balls.

**Learn from the history of past manias**

*CIO: What are some of the best books that you have read?*

*ARJUN DIVECHA:* I don't think I ever read a good book on investing.

*CIO: Or a good book in general. Maybe not necessarily on investing.*

*ARJUN DIVECHA:* I'd say that a book very well worth reading is called *Devil Take the Hindmost* by Edward Chancellor. It's about the history of bubbles in financial speculation. And it teaches you that there is really nothing new under the sun that's really different.

There's a great quote in the book from Sir Isaac Newton. Sir Isaac Newton used to be the Master of the mint in England (the equivalent of Alan Greenspan), so he was no financial neophyte. During the South Sea bubble he brought stocks and made a lot of money, but then sold too early and after the market went up further, he regretted getting out early so he bought stocks again at what proved to be the top of the market. He subsequently lost everything and is quoted as saying something like, "I can figure the motions of the heavenly bodies but there is no accounting for the madness of humans."

**Assemble a team of mispriced securities**

*ARJUN DIVECHA:* Then there is another book that unfortunately does not do much good for Indians since it's about baseball. It's a book called *Money Ball by Michael Lewis,* the author who wrote *Liar's Poker.* While it's about succeeding in professional baseball, it turns out that the lessons are very relevant to portfolio management. The Oakland A's baseball team did statistical studies (just as we do) on which attributes of players are priced correctly and which ones are mispriced in the baseball market place. What they found was the teams very highly valued attributes such as how fast you can run and how hard you can throw. However, they under-priced things like what is the percentage of time a player gets on base, which turns out to be extremely important.

So, what they did was to go out and recruit players with a very high on-base percentage, but didn't rank highly on attributes that other teams thought were really important. They were able to acquire these players very cheaply. Thus, they put together a tremendously successful team with players that no else thought were particularly skilful. What they did in some sense was to look at statistics and figure out which attributes were important to success and how they were being priced.

*CIO: You think there are any such myths prevailing in investing also?*

*ARJUN DIVECHA:* Of course. Our advantage is that the mythology of what does and doesn't work in portfolio management is not necessarily based on reality. Most people confuse a good company with a good stock, for example. One could say we try to put together a portfolio of mispriced securities, just as the Oakland A's did.

**Organisational and reward structures are important in Money management**

*CIO: Are there any aspects about your investment strategy that we've missed or you think we have not captured?*

*ARJUN DIVECHA:* Yes. This is to do with organizational structure and compensation structures for people who manage money. One of our big advantages over the competition is the fact that we are a private partnership. There is very little pressure to perform in the short term, since we know that success in investing has a lot of variability associated with it. If we were a publicly owned corporation, there would be pressure to deliver results every single quarter. In that circumstance, the kind of bets you make in your portfolio are driven more by short term fears and short term hopes than by doing what is truly the right thing for the client (and yourself) in the long run. We can afford to buy Argentina and get it wrong; I am not going to get fired by my boss for buying Argentina, where somebody else might. So again, I think that organizational structure has a lot to do with success in the investment business.

**Money management suffers from diseconomies of scale**

The other thing that most people don't think about is how much money you are managing. It's much harder to succeed with $10 billion under management than $100 million – one just has to find that many more good stocks, countries, ideas etc. One of the ironies of this business is that the more money you manage the harder it is to do well. There are huge diseconomies of scale.

But if you look at the world, it's the other way around. The more successful you are, the more money people want to give you to manage. We have stopped accepting new assets into the emerging market portfolio.

This is something a private company can do easily, but is so much harder for a public firm to do which is to wilfully curtail short-term growth in income to maximize both return to your investors and long-term income to yourself.

**Returns in money management are not a linear process**

*CIO: So, would you believe that if you manage more money than you're managing today, your relative performance would be lower than what it is now?*

*ARJUN DIVECHA:* Almost certainly, yes.

*CIO: Has that happened your first five years versus your last five years?*

*ARJUN DIVECHA:* No, because it's not a linear process. If you ask me could I do better with $50 million than I can with $9 billion, the answer is probably yes. How much better I don't know. May be 1% a year. But if I move from $9 billion to $18 billion, the give up will certainly be far more. This is because the diseconomies get progressively worse with size.

*CIO: So, size is a key hurdle for relative out-performance.*

*ARJUN DIVECHA:* Size is clearly a problem. It's like the story of the golden goose – if you try to get too many golden eggs at one time, you'll just kill the goose.

# Sanjiv Duggal

**Sanjiv Duggal has been with HSBC Management since April 1996. Mr. Duggal has managed/advised the top ranked HSBC Global Investment Fund – Indian Equity, with a track record of over nine years and the HSBC Indian Growth Fund.**

**Mr. Duggal has also covered the emerging market technology sector and the South African market. He joined HSBC from Hill Samuel where he was a Fund Manager covering Emerging and Asian Equities. The HSBC GIF Indian Equity Fund has a Five Star rating from S&P Micropal and FrAA rating from S&P Research.**

**Business cycle investing remains central to our investment philosophy.**

*CIO: Could you tell us about your investment philosophy?*

*SANJIV DUGGAL:* We are basically business cycle investors, wherein we decide which sectors to buy or sell depending upon the business or economic cycle we are in. Having analysed India from an investment point of view, we are then able to assess the Indian markets and identify investment opportunities.

**Political reform is the key driver of value change in India**

India is a large and relatively closed economy, but is affected by both the global and local business cycles. We keep getting inputs on what's happening globally from our research teams worldwide, which is then used to analyse the Indian local cycle. Moreover, since India is still at the development phase, we look very closely at any regulatory and political change (or reform) that is taking place. We believe this is the key driver of value change in a regulated and protected economy. We saw that happening recently with the delay in privatization. Despite that, we do believe that there has been a positive change in government attitude towards privatization over the years.

We will continue to focus on government policy and try to identify where they could benefit companies (or sectors) and where they could harm them. For instance, the new telecom policy will result in increased competition, which would benefit consumers but could harm the profitability of the companies in the sector. Finally, we look at India's competitive advantage, wherein we focus on the country's huge low-cost, English-speaking workforce in labour-intensive industries.

**We are neither strictly growth nor value investors**

The key assessment factor is the business cycle. To expand on that, we are basically looking to buy growth and value at the right time in the business cycle (which does not mean we are purely growth investors or value investors). This is aimed at delivering consistency and performance, regardless of the underlying economic situation.

This can be elucidated with a cricketing analogy – the selection of the Indian cricket team. As far as the bowling attack is concerned, for

instance, one would choose a different team to play in England (more pace-oriented) to the one chosen to play in India (more spin-oriented). In other words, by studying the pitch and weather conditions (or economic cycle), we are effectively deciding whom to play (or what sector to buy or sell). This is a top-down approach. If government policy and the reform process benefits (or harms) any sector, then we would obviously seek to buy (or avoid) it. Moreover, we are also on the lookout for any secular structural opportunity. For instance, the pharmaceutical sector, which has been focusing on export and generic opportunities in developed markets.

**Investment philosophy is a flexible process**

Investment philosophy changes to a certain extent. For instance, we had a lot more focus on export earnings, in general, if one were to go back a few years. Therefore, we were early entrants into software and pharmaceutical sectors due to our emphasis, then, on exports. Although it is less now, export earnings continue to remain one of our key drivers of growth. In other words, investment philosophy is a flexible process – it can change depending on how India progresses. Business cycle drives change in value and that is what we are seeking to identify and benefit from.

**Bottom-up approach**

In the bottom-up approach, we run each stock through various parameters. Some are through judgment calls, and some are calls based on financials. We, typically, look at the effectiveness of management, strategy for earnings growth, cash flow and return on capital, and competitive advantage of the company relative to the sector. So now we are stock-picking from within the sector. That's how we got Ranbaxy because of its US distribution network, which is a lot more advanced than the competitors.

**The 3 ½ pillars of operational efficiency**

Then we look at the efficiency of operations. We focus on the first 3 ½ items – management, strategy, advantage, and operations – and, we believe, that if the first 3 ½ items are intact, then the financials will follow. Therefore, we are less fussy about what numbers the company reports, say, on a quarterly basis. In fact, the recent accounting scandals that have rocked the markets globally endorses our view.

Valuation is a dynamic process, wherein you analyse the stock relative to the sector and the market. Besides, there are some absolute levels to look out for as well. We try to set a buy and a sell price and then we obviously compare the current market valuation.

**Watch the trends in corporate governance**

Corporate governance is just a change in trend. So, we don't take a call on whether corporate governance is good or bad, rather we estimate whether it is getting better or worse.

**Challenge assumptions**

Above all, we try to challenge assumptions. For instance, the market says that Hindustan Lever is a great company; its return on capital employed (ROCE) is 100 percent. We would always ask, where should it be? 50 percent or 150 percent? If it should be 50, then obviously they are doing a great job. If it should be 150, then maybe it's not. We always try and challenge assumptions like what is a good ROCE for that sort of a business.

Moreover, if we arrive at a fair ROCE of 100 for a company, then whether it drops to 90 or goes to 110 is irrelevant in terms of valuation, since we are looking more at the sales growth for this company. For a company, where the ROCE is equal to WACC (weighted average cost of capital), we are less interested in sales growth and more interested in the ROCE going up relative to WACC. Also, it would depend on sector to sector and stock to stock.

**Discipline is key to consistency**

We run various limits to bring about discipline into the portfolio. For instance, we don't have any holdings above 10 percent. This helps us to suitably diversify our portfolio. So, if any of our holdings approach the 10 percent threshold limit, we proactively cut it back. This has brought about disciplined investing, like when BPCL and HPCL were performing well in the markets. Each time these stocks came close to the 10 percent level, we exercised the limits and kept cutting them back, even as they continued to remain a big part of our portfolio. We benefited from these moves when both the stocks collapsed the other day, thereby reducing the downside.

Similarly, all holdings above 5 percent when put together should not exceed 50 percent (40 percent for an offshore fund). Moreover, we run a lot of stocks in the portfolio construction at between 4-5 percent. Only when we see a clear trigger for the stock (or the sector it belongs to), then we take it up above 5 percent and if we take it up, then we have got to bring something down. That's because we run it very close to the limits. So, for us, it is always the play of stock A against Stock B versus stock C.

*CIO: In that case you would have reasonably high concentration in those stocks where you hold more than 5 percent and reasonable diversification for those stocks that are below 5 percent, since only 50 percent of your fund can be invested in stocks that constitute more than 5 percent of your portfolio.*

*SANJIV DUGGAL:* Yes. So, there can be around 9 stocks roughly above 5 percent each. Besides, we would roughly have between 30 to 40 stocks with a minimum holding of 1 percent within the fund. Usually, we vary from 20 to 40 stocks in the portfolio.

*CIO: What are the key performance evaluation tools that you implement?*

**Tracking error and information ratio**

*SANJIV DUGGAL:* We follow two measures – tracking error and information ratio. Tracking error is the deviation (in returns) of the portfolio from the benchmark and it gives an estimate of the risk that the fund manager takes. By estimating the fund manager's tracking error, we can also calculate the information ratio. Typically, information ratio tells you how good a fund manager you are. Fund managers take risk, and potentially add value, by deviating from the index. In other words, information ratio tells you how much value you are adding as a fund manager, and is an estimate of the value added for every 1 percent of risk added by the fund manager.

Information ratio tells you that if you get 7 out of 10 decisions right on a consistent basis (since we assume a 3-year time horizon), then you are doing a pretty good job. We use an information ratio of 0.5 (point 5) for all fund managers. By multiplying this measure with the tracking error, you can estimate the returns that can be achieved, in theory, in two out of three years from a statistical point of view. Therefore, by multiplying a tracking error of 15 with the information ratio of 0.5, we can promise our investors a return of 7.5% relative to the benchmark in two out of three years statistically.

This is what we tell our investors that we are attempting to do. We are neither strictly growth investors nor strictly value investors – rather we are in-between. By using the business cycle investing approach, we try to back growth at the right time and value at the right time. Moreover, we run fully invested generally. But cash is the investor's call. We don't take his cash call for him. So, if the markets are going to fall, we don't sell. We wouldn't run 80 stock 20 cash. In other words, we don't make an aggressive asset allocation call to cash.

*CIO: What are the thought processes that make you exit a stock?*

**It's a question of the absolute and the relative**

*SANJIV DUGGAL:* Based on the business cycle investing approach, one is the sector call. In other words, if you are deciding to move out of a particular sector, then you have to look at the stocks you hold in that sector and then take a relative call. Either we could bring them all down proportionately or get rid of, say, two of them and keep one. In addition, you would make this sort of call from a top-down perspective.

If the stock belongs to a sector, whose weights we want to maintain, then we try to reappraise why we bought it in the first place, including change in management, strategy, operational issues, financial issues, etc., relative to all the others stocks in that particular sector. So, it becomes a relative call unless the stock has performed well, in which case, we reappraise and decide that it is costly and sell out. So, one is an absolute call we are making and one is a relative call. Quite often we make more relative calls than absolute calls in terms of our portfolio. And we are not aggressive, in that if we are overweight, say, in pharmaceuticals, then we would not really sell everything at once, but we would do it gradually.

*CIO: Besides the top-down approach, you also said earlier that whenever you get into the stock, you have a buy and a sell price. So, what goes into arriving at a sell price or taking a sell decision?*

**It's all about market expectations, honey! Well, almost . . .**

*SANJIV DUGGAL:* Talking about a particular stock, I guess it is partly valuation. Moreover, given that we are open-ended, market expectations play a crucial part. You could have a fair value for a stock but it might never get there. Or they might exceed the fair market value. Nevertheless, you have to take a call on market expectations. We see expectations work on, say, rumours of somebody buying a particular stock, or a stock zooming up 25 percent at some stage. So, you take a call on what expectations are there in the market place generally.

For instance, in terms of valuation, I am not saying that one of India's main generic players should trade at Rs 1,000. But, we believe, their strategy for the US is the right one. They have a lower risk approach. They are targeting some routine drugs to sell and some niche products. In other words, a fairly good portfolio with a kicker coming in now and again. Their distribution network is expanding and you can see the market share they're getting from product launches where there is competition as well. In this background, at one stage last year, our internal numbers for this company would have been double the market numbers. Obviously, we had very aggressive expectations (or numbers), which the company more or less met. We keep reappraising our expectations versus the market expectations.

Moreover, we take a view as to how well the market understands a particular sector or stock. If we go back to the pharmaceutical sector, we have always been a believer in the domestic pharma and not the MNCs. From a top-down perspective, look at the opportunities available. The MNCs are limited to the domestic market. The Indian pharma companies, on the other hand, have the R&D potential and the export potential to get into the huge US generic market, besides selling in the domestic market. Therefore, we believe, that Indian Pharma companies should trade at a premium to their multinational counterparts, which however used to be the reverse. We keep tracking the expectations of the market versus our own expectations and see where the gap is. Naturally, it takes time for the rest of the market to align to that, provided the companies continue to deliver.

*CIO: When you enter a stock do you set yourself any price or time target?*

**Blame it on Newton's third law**

*SANJIV DUGGAL:* Timing is a function of how quickly things change. Or how slow they take to change. So, if a stock you own hits your target price, all other things being equal, you've got to come out. You've got to reassess against all these parameters and then sell it. Or if a stock you don't own falls sharply and hits your buy price, and if you intend to buy that stock, you've got to exit something. So, for us, everything we do is equal and opposite. Buy something and sell something, since we are presuming that we are 100 percent invested.

*CIO: What would your investment universe be like in terms of the total number of stocks that you are willing to look at?*

**Begin at the benchmark**

SANJIV DUGGAL: Well, we start off with the fact that we have a benchmark. For the local fund, it is the BSE 200. So here we start out with 200 and then we generally look at stocks above 10 basis points of that benchmark. The BSE 200 market cap is $100 billion. Then we look at stocks with market cap above $ 100 million. But it is dynamic. For instance, if ONGC and Wipro collapse 20 percent, then the BSE 200 will be around $85 billion, which means we look for stocks with $85 million dollar market cap. While the liquidity filter is meaningless from an Indian perspective, we do look at volumes.

As far as the global fund is concerned, we sort of had the same benchmark. However, client pressure changed them to IFC (which is like MSCI from an institutional point of view), which limits your purview to about 85 stocks. We feel that if you look at any of the top 10-20 stocks, most of them either go up significantly or vice versa. So, we get enough opportunity in terms of getting a sector call or a stock call right within those stocks rather than take risks in going further down the line.

CIO: *How do you go about updating yourselves on a stock that you picked up?*

**Trigger-happy and quite aggressive with armour protection**

SANJIV DUGGAL: Some of it is trigger-based, like change in management at the top, change in strategy, or say a firm suddenly makes an acquisition or disposes of a business. So it is event-based to a certain extent as we try to understand, either through calls or visits or a combination of the two, why a company has made a particular move. Moreover, we do it on an ongoing basis. While I merely skim through newspaper headlines, I focus more in terms of speaking to the company directly. We take our own call on which companies to aim at, how to value them, and then do a lot of in-house work.

Moreover, we have our own models on stocks. The key factor is the assumptions, going forward. Typically, we would be more aggressive than others, whether it is on the downside or upside, in terms of our estimates or the assumptions we make. Of course, you don't get everything right. Moreover, some things may take longer to happen. However, you've got to take a view. For instance, last year, on technology stocks, maybe we got our volume call right but our price call totally wrong. Since, price had more of an impact, the total impact proved to be adverse.

**It pays to have a non-consensus opinion**

*CIO: How do you rate your dependence on the sell side in the entire process?*

*SANJIV DUGGAL:* There are some good people in the industry we focus on in terms of the input they provide us. But in the end, the call is obviously ours. To be rewarded as a fund manager, you have to basically, beat your benchmark or peer group. You have to meet the client objective within the risk parameters. In other words, you have to meet your target within the risk constraint and, yes, without an excuse.

So we look for value added that we can get from the sell side and generally look for things that are non-consensus, provided there is a reason behind it. For instance, the consensus may have an EPS estimate of 10, we may have 13, and a particular analyst has 7, then we cross check with him on that. Moreover, if an analyst comes up with a buy idea, we try to come out with five reasons to buy. Or vice versa, which partly helps to check out the analyst's thought process.

We may have our own expectations regarding stocks we have bought. Generally, if there is a neutral news flow, we tend to develop a positive bias since we are positive about the stock. Someone who is negative will have a negative bias. That's how expectations work. Then you try to look at those expectations coming through.

# Prashant Jain

**Prashant Jain is Chief Investment Officer at HDFC Mutual Fund. Mr. Jain has nearly 14 years of investment management experience. He had worked with SBI Mutual Fund (1991-1993), and Zurich India Mutual Fund (1993-2004), (earlier known as 20$^{th}$ Century Mutual Fund) in different capacities.**

**Mr. Jain has a Master's degree in Business Management from Indian Institute of Management, Bangalore. Before this, he had obtained a Bachelors degree in Mechanical Engineering from Indian Institute of Technology, Kanpur. Mr. Jain also obtained his CFA charter from AIMR, USA in 2000.**

*CIO: Could you briefly tell us about your overall investment philosophy?*

*PRASHANT JAIN:* There are essentially three things that run across funds.

One is that the respective fund's product sanctity must be maintained at all points of time. If you say that this is a diversified equity fund it must remain diversified across sectors that are not linked to each other. At no point of time can it become a sector fund no matter what the pressure.

Two, we believe that diversification is a tool for reducing risk. So, all our funds, unless you have the mandate to invest within a particular sector, will remain diversified to the extent reasonable and practical.

Three, we always try and invest in sustainable businesses and companies, which have a reasonably strong competitive position.

I think these are the three elements that are common across the company, across various funds. Beyond this, it is up to the respective funds. Some funds are focused on growth while others may be focused on providing regular income. Some have a perspective of one to three years while some have a longer-term perspective of three to five years. These are in a way also driven by the individuals who manage the funds.

*CIO*: *What about* your *own investment philosophy? I mean, yes, you have to stick to the mandate of the fund, you believe in diversification and you look at businesses that are sustainable. But what else figures in your investment selection process?*

**Look for a credible management**

*PRASHANT JAIN:* I think the issues are really quite simple. I look for a management that is credible, that I think is fair, that works for the growth of the business and that is focused on whatever core competency it defines.

I look at the nature and the quality of the business. What kind of growth the environment will support – I don't believe in buying a company at replacement cost or things like that. I look at buying a share because of growth potential. A related issue is of whether that growth will be profitable, what kind of ROCE can it sustain and for how long. What are the entry barriers or the competitive advantages that the business enjoys, which will support profitable growth?

**The price you pay for a stock is critical**

Lastly, one needs to examine the valuations. Everything might be good but if you do not pay the right price you might not make money. My time frame of investment is usually three to five years.

**Identify the key factors that drive a business**

By and large, what I have seen is that if you get the key driving forces behind a company right, then the other things fall in place. Most of a fund's energies should be focused on identifying these one or two factors because these are typically what drive the company either upwards or downwards. Unfortunately, when you start working on a company you get so involved in the nitty-gritty – quarterly growth numbers, percentage market share, capex – that at times you tend to miss the key driving factors.

*CIO: Can you illustrate what you just said on one or two companies that you have invested in? What are the valuation parameters that you use for gauging whether a company is cheap or expensive?*

*PRASHANT JAIN:* In equities it is extremely difficult to pinpoint a value because you are always working on future cash flows.

You could look at the price to book value ratio and the sustainable return on equity. You could relate sustainable growth to the price to earnings ratio. I typically look at the pre-tax sustainable return on equity and relate it to the price to book value ratio and to the prevailing interest rates in the economy.

Let's say a company's sustainable pre-tax ROE is 20%. In the current environment you might be willing to pay two times the book value. However, if the interest rate itself were 20% then that valuation benchmark might change. I mean you might move more towards bonds. A decade ago you could buy AAA bonds at 20-24% YTM. There was really no need to get into equities at that point of time.

*CIO: You said you link the sustainable growth to P/E. What kind of numbers would you be willing to pay for a given sustainable growth in terms of P/E?*

*PRASHANT JAIN:* A p-e-g of 1 is fine. The lower the better. As I said, I don't put a value to it but I look for significant buffers. I don't buy a company just because I think it's 20% under priced. I would like to buy a company which is 50-60% undervalued because I could always make an error of 10-20% in estimating the value of the company.

**Valuation is linked to the prevailing interest rates**

Valuation, I think, is definitely linked to the prevalent interest rate in the economy because that is where your opportunity of alternate investment lies. So, in the current environment one is willing to pay higher for growth.

*CIO: You said that when the market loses focus on the key issues and you just stick steadfast to these three or four issues, then attractive opportunities often present themselves. Could you give us an example from your experience?*

*PRASHANT JAIN:* Let's look at paints for example. There are two changes taking place in the industry. One is the excise rates have come down. So, what is happening in the air conditioner market is happening in the paints market as well. These are sectors where the unorganized players have a strong presence but there are issues of quality and delivery. With lower excise rates, the organized sector can grow at a significantly faster rate.

In air conditioners, however, the competition is still very intense and organized players are not making money. In the paints market, Asian Paints is coming out to be more profitable because of different competitive dynamics in the industry. The company is changing the delivery system and is trying to reach out to the retail client directly. It is trying to build brand equity with retail clients. It is putting up things like call centres and is trying to associate Asian Paints as a one-stop shop whenever you need to paint. It is trying to do away with the scenario where the painter decided which paint to use. I think that's a very significant move and will improve the company's standing.

I think Asian Paints is increasing prices at sub-inflation rates. The company is improving its working capital by putting up paint mixing machines that generate the hues and tints desired by customers at dealer locations. I think this is a fundamental shift that brings down costs significantly and takes you on to an entirely different orbit. Companies with poor balance sheets, poor brand equity and poor confidence of trade cannot deliver this system. No dealer would be willing to invest for a company in which he does not have confidence.

So, with increasing disposable incomes, I think consumption should continue to grow. Consumers are also becoming quality conscious. Even managers of cooperative societies, who are bulk buyers and are price sensitive, would not buy paint just because it is cheap. They would prefer to buy a reputed brand as that purchase decision is less likely to be questioned by the members of the society. More so, because the cost of the paint in the overall painting job is typically just around 30-35%. You spend a lot on labour.

This gives reputed companies like Asian Paints some pricing power and the ability to withstand competition from the unbranded segment or even Chinese imports as and when they occur. In any case, the market has been very competitive and the unbranded segment has a significant presence. It's true that Asian Paints' profits are not growing at a rapid pace but that's because it is trying to gain as much market share as possible in a highly competitive market. However, if you were to take a slightly longer-term view, higher profits would ultimately begin to flow in.

*CIO: You talked about valuations changing quite significantly especially in the context of the changes in interest rates. How has your investment philosophy changed over the last ten years?*

*PRASHANT JAIN:* Companies are focused a lot more today than they were a decade ago on issues like ROCE, shareholder value, getting more out of assets, improving productivity, improving efficiencies. I think the environment for equities has certainly improved.

However, as competition across all segments of the economy has gone up one has to be extremely careful about where you are investing and that is where sustainability becomes extremely critical. Competition will continue to increase and only companies that can withstand rising competition or have some competitive advantages will perform. That is why you see, for instance, that the whole profile of the group-A shares on the BSE has changed. Half of the companies that were thought to be successful ten years ago don't even have a meaningful existence in today's markets.

*CIO: How do you go about determining your portfolio allocation? You said you are sometimes overweight /underweight on particular sectors in the equity market. How do you go about allocating funds?*

*PRASHANT JAIN:* Our starting point is obviously the benchmark. We look at the distribution of stocks in the benchmark. The main idea behind investing in equities is long-term growth. Although you might feel that you could add value through active portfolio management, you need to be realistic about your limitations and accept that you might make mistakes. So, I think the benchmark is certainly the starting point.

*CIO: Which benchmark do you use?*

*PRASHANT JAIN:* We follow the Crisil-500. However, I have not shied away from taking aggressive bets. For example, in January 2000, I sold off our technology shares and our allocation to the sector came down to almost zero – close to 2.3%. The sector constituted almost 40% of the benchmark. I have not invested in the financial sector and the fund is underweight in the financial sector. Right now, cement is significantly overweight.

*CIO: How do you control the risk in your portfolio? How would you, for instance, evaluate its risk-return performance?*

*PRASHANT JAIN:* I have not evaluated the portfolio beta internally for the fund though it is available from other organizations. I think risk reduction primarily comes from diversification across sectors. It reduces the risk arising out of the mistakes you might make. Secondly, risk is a factor of the quality of the businesses you buy and the price you pay for them. I think if you stick to quality and don't significantly overpay, risk is significantly curtailed in the portfolio.

I typically look at the potential upside and the potential downside when I decide to buy or hold on to a business. At times, the downside has been much more than what one had bargained for. The idea is to be invested in stocks where the upside to downside is say more than 1:1. Maybe the answer is 1 for 1 though it could vary across different scenarios or different individuals. But that is one way to try and improve reward to risk.

*CIO: You talked about the various entry criteria like the quality of management, the sustainability of the business and so on. Could you also talk about your exit criteria?*

**When you make a mistake, admit it and exit**

*PRASHANT JAIN:* I think that there are four conditions that prompt you to sell a stock. One is of course that you are getting over exposed to a stock. Second is when you realize that you have made a mistake. There was either a violation of a discipline or you got carried away by the prospects of a quick return or you understood the company or the environment wrong then I think historic cost is of no consequence. You just go ahead and sell.

When you have made the right investment decision you sell a stock if you think that it has crossed your price target. Lastly, you sell a stock if you feel a better opportunity is available. Let's say you're holding onto a SmithKline Consumer and suddenly you find that even Lever is available at the same P/E. Then you might decide to switch to a more liquid, more visible and a larger company.

*CIO: How often do you rotate your portfolio? Do you trade actively?*

*PRASHANT JAIN:* Over the last few years, the average holding period of a stock would be between 2-3 years.

**Portfolio management is not an abstract art**

*CIO: How much of portfolio management do you think is an art and how much is science?*

*PRASHANT JAIN:* I think it is an art to the extent that you are dealing with something that is not definite. I mean you have to anticipate the future. Ascertaining the quality of the management and the sustainability of the business is an art. But it is not an abstract art in the sense that the management's past track record and the company's past performance can guide you significantly in assessing the quality of the management and the value of the business.

It is a science to the extent that you have benchmarks available – you have equations and formulae that help you to arrive at a particular value. There are various scenarios that could materialize and you don't know which is most likely. Determining that is an art. But once you have done that, arriving at specific values is more of a science.

# Rakesh Jhunjhunwala

**Rakesh Jhunjhunwala is one of the better known equity investors in India. As a long term investor, Mr. Jhunjhunwala is credited with identifying stocks early on, believing in his investment, being patient and having conviction to hold the stocks for long periods of time.**

**Mr. Jhunjhunwala has been profiled as one of India's best five investors by Business India magazine in 1998. His views are constantly sought by the media and he regularly interacts and shares his opinions with the investing community.**

*CIO: Could you begin by giving us an insight into your investment philosophy?*

**Investing is a process of discovery**

*RAKESH JHUNJHUNWALA:* I think that the first thing we need to realize as investors is that we know the price of everything but the value of nothing. Investing is a process of discovery. We are constantly trying to determine where the price is far lower than our perceived value. When we believe that we have found such a security, we invest in it. But like I said, while we know the price of the security we don't know its value for certain.

As far as investment philosophy goes, I think I am still very young, have made a lot of mistakes and still require a lot of maturity. I haven't really developed any philosophy. I believe that the hallmark of modern society is its ability to anticipate change, prepare for it, accept it and benefit from it. So, I think in today's times an investment philosophy has to evolve with time. Nevertheless, there are certain economic principles that I apply to my investments. Let me share those with you.

**The three gems – external opportunity, competitive ability and scalability**

When I analyse a company, I first look at its external opportunity. Infosys may not have been such a great company had it not been for the explosive growth in information technology. So, the first thing that one needs to examine is the possible market for the product that the company makes. The second important aspect is the competitive ability of the company to tap the market opportunity. Third is scalability and integrity. I think scalability is very important because companies do not necessarily grow when they get bigger.

**Go bargain hunting as a buyer**

Once one has examined the above three aspects of the business and one has found probable avenues to invest in, one needs to decide whether or not to invest. For that one needs to look at valuation. Valuations could be absolute or relative. When most of us invest, we tend to go into absolute valuations rather than relative valuations. While it is necessary to go into absolute valuations, one should look at relative valuations also and pick the most attractive stocks.

**Don't wait for a greater fool as a seller**

Similarly, in a bull-phase when most stocks begin to appear overvalued in absolute terms, we do not sell. During such times, we begin to look at relative valuations thereby justifying our holding the stocks. That I believe is again a mistake. When we buy a stock, we do so because it is cheap. By the same logic we should sell a stock when it becomes overvalued. Yes, while buying we may look for cheaper stocks within the set of cheap stocks. But when the stocks that we possess become overvalued there is little logic in holding on to them because on a relative basis they appear cheaper than others that we do not necessarily possess.

These are a few things that I have learnt about investing by trial and error. Let me add once again that I make a lot of mistakes and I am still evolving.

*CIO: You look at external opportunity. You want a company that can tap that opportunity, that is scalable and that has integrity. While these are necessary conditions, are there any additional conditions that you look for in a company?*

*RAKESH JHUNJHUNWALA:* Let me point out one thing. Sometimes I invest even when all the three conditions are not present. I got MCDowell at Rs 20. I think there was a great external opportunity. Liquor consumption in India is growing. They have the competitive ability and they have domination. But in my opinion, there is no integrity. Yet, looking at the valuation if you traded off I think it was worthwhile. So, at times we could trade off all these parameters for valuation. Infosys matches all the first three parameters. But think of the man who bought Infosys at Rs 14,000. Where did he go? I think it's not only what you buy that is important but also at what price you buy.

*CIO: So, would you say that only necessary condition is valuation? Everything else is a sufficient condition that merely strengthens your case for investment.*

**Valuation comes before everything else**

*RAKESH JHUNJHUNWALA:* Absolutely, I think valuation comes first before everything else. It's not what you buy. It's at what price you buy.

*CIO: In your opinion, can valuation be both a necessary and sufficient condition?*

*RAKESH JHUNJHUNWALA:* Yes, it could be both. It's a necessary and sufficient condition.

*CIO: Could you also tell us how your investment philosophy has changed over the last 5-10 years?*

*RAKESH JHUNJHUNWALA:* Well, I have become less of a risk taker. I have invested in a large number of companies. Today, I have investments in say 50 to 60 companies. I have decided to compress the number of investments that I have. I have evolved to trust people less. I used to believe that people will change but I have realized with time that people don't. Besides these, there aren't many ways in which I have changed.

**Buy when there is sufficient margin of safety**

I still want to buy when I feel that there is a substantial margin of safety. I don't put too much importance on growth. Growth is not the only parameter of valuation. It is just one in the several parameters of valuation. I tend to look at greater margin of safety, not only in respect of growth but also in respect of absolute assets and absolute sustainability/survival of the company. Like I said, I evolve every day. I have made lot of mistakes, far more than people know. But the only comfort I have is that I learn.

*CIO: Interestingly, you said that for you value is more important than growth. Since you are a leveraged investor, should we say that you basically look at value stocks rather than growth stocks?*

**The premium placed on growth will fall**

*RAKESH JHUNJHUNWALA:* Growth is dependent on many external factors. If you look at our own experience in India, sometime back everybody used to think that Indian software companies, especially Infosys, were going to grow at 100%. If I had said that Infosys would grow by 30% at that time, I would have been lynched. So, a number of young analysts extrapolated the extraordinarily high growth rates into their valuation models. Now, I think that the premium placed on growth is going to come down. There is empirical and anecdotal evidence to that effect.

*CIO: What are your investment objectives in terms of the risk and return elements? What kind of returns would you expect from your investment and what kind of risks would you be willing to tolerate?*

**Safety of capital – the prime objective**

*RAKESH JHUNJHUNWALA:* I want safety of capital. That is my only holy objective. As regards the possible rewards, I don't count the good things of life. I don't go by any mathematical formulations. I look at an investment opportunity where I feel my capital is safe and the possible upside is very large. I keep reviewing my investment decisions continuously and sell when I feel that the time is ripe. So, I have no fixed targets.

*CIO: So rather than checking up base return targets, you look for companies that can potentially give you a huge upside . . .*

*RAKESH JHUNJHUNWALA:* Yes. I look for huge upsides with sufficient margins of safety and where my capital is adequately protected.

*CIO: Do you have restrictions on the percentage of your capital that you would allocate to a particular company or sector?*

*RAKESH JHUNJHUNWALA:* I don't allocate that way. I have a hugely diversified portfolio. I have investments in all sorts of things – I mean in all aspects of the Indian economy.

*CIO: Do you also hold non-equities?*

*RAKESH JHUNJHUNWALA:* Well, I never lend money but I borrow to invest. I am a risk taker by nature and am bullish on the Indian stock market. I am always in debt and I pay interest.

*CIO: What are some of the lessons that you have learnt about investing in private equity?*

**When investing in private equity, size matters**

*RAKESH JHUNJHUNWALA:* From investing in private equity, I have realized that size matters. Certain small companies that have great skills and the ability to scale up may not have the ability to face a downturn. An entrepreneur with great technical skills but no financial skills is no entrepreneur. A small organization has to grow with limited means. That

involves having a good handle on costs and financial innovation. However, there is a vast potential in private equities.

*CIO: What typically would be the average period for which you hold your investments?*

**When investments are adequately valued, exit**

*RAKESH JHUNJHUNWALA:* I have no time horizon. If I feel that my investments are adequately valued, I exit regardless of how long I have held them. I don't do any planned or structured investments. I don't invest for anybody except for my wife and myself. So, I don't set any time period. I held ACC for 14 months and sold it. There are certain investments that continue to hold further potential and I have been holding these for eight years.

*CIO: How do you go about updating yourself on a stock in which you have built a position? How frequently do you reassess the stock?*

*RAKESH JHUNJHUNWALA:* Well, I believe in invest now, investigate later. When I see the basic value in a stock, I invest immediately. Let's take the case of McDowell. They have 40% market share of India's liquor industry. At the price I was getting it, its market capitalization was about Rs 200cr. It was incredulous. For Rs 200cr you could buy 40% of India’s liquor industry, an industry with great entry barriers. So, I invested in McDowell without spending much time on further investigation.

I interact with management regularly on the stocks that I have invested in. It’s not that I do it on any scientific basis, but I do it at least once a year. Wherever I have substantial investments, I try to interact with people more frequently.

*CIO: Do you think that meeting the company in which you have invested and seeing it much more closely has helped your investment process? Or do you prefer to keep a distance from the companies you have invested in?*

*RAKESH JHUNJHUNWALA:* I would say that when you want to make basic investments, investing from a distance is better.

*CIO: Are you trying to say that closely interacting with the company could prejudice your judgment?*

*RAKESH JHUNJHUNWALA:* Absolutely. I feel that an investment has to be a broad decision. It is not a mathematical decision. Investment is wisdom. It is not intellect. It is broad understanding. It is not analysis. I think good investments are made on the basis of broad understanding and wisdom rather than on the basis of intellect and in-depth analysis.

*CIO: Would you call yourself a top-down investor or a bottom-up investor?*

*RAKESH JHUNJHUNWALA:* Neither. I rely on both absolute and relative valuations. I am not necessarily a top-down investor because I have invested at all times, regardless of where the economy was headed. I don’t make allocations between equity and debt. I am also not necessarily bottom-up because the relative valuations are always important.

*CIO: You underlined the importance of valuation in investing. Could you also tell us about some of the valuation tools that one could use in the process?*

**Investing cannot be taught; it has to be learnt**

*RAKESH JHUNJHUNWALA:* Let me tell you that investing cannot be taught; it has to be learnt. I don’t know what valuation tools to suggest. I mean look at interest rates. Surely, interest rates are a factor in the valuation of a business. Then there is liquidity. Also, one should think like a businessman. When there is an opportunity to buy 40% of India’s liquor market for Rs 200cr, there would be 500 businessmen ready to grab it. While buying stocks does not really translate into buying businesses, the logic works.

*CIO: By valuation tools, we basically meant ratios like P/E or EV to EBITDA, EV to sales, DCF, book values . . .*

*RAKESH JHUNJHUNWALA:* Well, I don't necessarily buy a business because it is below book value or sell a business because it is above book value. But I think that with the risk-free interest rate not being higher than 14%, which is very liberal, a business has to be valued at 7 times future sustainable pre-tax cash flows. That's because at 14% rate of interest gives you a discounting factor of higher than 7.

*CIO: What should an investor expect from the stock markets in terms of returns going forward from here?*

*RAKESH JHUNJHUNWALA:* Well I think in the current interest rate scenario, safe investments are unlikely to yield more than 10% post-tax. I think if one is able to get about 20% compounded over three-five years from the stock markets, it would be a good rate of return.

*CIO: Do you short stocks?*

*RAKESH JHUNJHUNWALA:* Yes, I have made a lot of money by shorting stocks.

*CIO: Would you like to talk a little about this? You see very few investors actually have the temperament to short stocks.*

**When going short, timing is crucial**

*RAKESH JHUNJHUNWALA:* I believe that trading has to be learnt. It cannot be taught. That aside, why should you not go short if there is money to be made out of it? However, one needs to understand that when one goes short, timing is crucial. Keeping strict stop losses is crucial. You make money by shorting only when stocks are incidentally overvalued. You need to keep a base value for the stock to go short at and a reasonable stop loss. That's about it.

Let's take the case of ACC during the Harshad Mehta boom. A price above Rs 4,000 for ACC was fabulous. It is a commodity company and was being valued at say four times its replacement cost. So, you could have gone short at Rs 4,000. However, you might have ended up losing money if you really did so. To avoid large losses, you need to have a reasonable stop loss. If you go short at Rs 4,000 you should know how to cover at Rs 4,200. I think that is the whole secret.

*CIO: Apart from valuations, are there any other triggers to timing?*

**Keenly follow the market to get your timing right**

*RAKESH JHUNJHUNWALA:* To get your timing right you have to be on the spot. You have to realize when the play is over. In short, you have to keenly follow the market. There is always something coming through the grapevines.

*CIO: How do you determine your stop losses? Do you decide beforehand how much you are willing to lose on a particular bet?*

*RAKESH JHUNJHUNWALA:* I don't keep a record of what I do. Neither do I have strict pre-determined figures for anything. I'm not really answerable to anybody. So, I can afford to take off the cuff decisions. When I short, I generally short the market. I don't short specific stocks. I might short seven-eight stocks and I might have a stop loss in mind cumulatively for all of these stocks. I don't short everything at one price and I don't buy back everything at one price.

*CIO: So, your shorting decisions are driven by the overall market call as well . . .*

*RAKESH JHUNJHUNWALA:* Absolutely.

*CIO: What are the factors that go into making a market call?*

*RAKESH JHUNJHUNWALA:* Market booms and dooms are created by a set of economic circumstances. The markets always tend to exaggerate those sets of circumstances. But eventually, they return to some base valuations. One very good indicator of where the market is headed is the price of cats and dogs. I have bought stocks at 60paise and sold them for Rs 14.

*CIO: The market moved up more than 100%. Where do you see the market heading from here and why do you see that happening.?*

*RAKESH JHUNJHUNWALA:* The history of markets and the history of economics tells us that markets and economics never change. Technology has not changed them and nor can time change them. Right from the South Sea bubble to the Internet boom, markets have followed a course. And no bull market can be born whether in a stock or a commodity unless the fundamentals support them. And it is my opinion that for the last few years India is on the threshold of a fundamental, structural and secular growth phase. The ingredients of this growth phase have been built for reasons which are historical, in that we are a skilled people and the fact that we undertook a liberalization program; cultural in the sense that essentially Indian culture is tolerant, and this tolerance allows us to accept change and technology, which I think is the hallmark of a modern society; plus political in the sense that we are a democracy. This has blended with developments like the irrelevance of geography, which has allowed Indian skill sets to be utilized at inter-continental distances.

**Quality of Indian profits is high**

India is also a savings oriented society. This makes capital available in this country both for investment into industry and business and in the stock market. Just as I used to feel of the public sector, the inevitability of India's strong fundamentals has to be recognized. The inertia has to be broken and the mindset has to change. And I think markets are just doing that. They are recognizing the confluence of the historical, political, cultural, economic and demographic factors. I personally believe that given time, India is going to grow at 10% per annum. And I would also like to state that whatever change has taken place in India has taken place in democratic conditions, has gone through due process. I believe all growth is a process and all success is a chemistry. And that it's like a biological process and you can't sidestep and biological process. You cannot grow from 5 years to 20 years without passing 15 years. Therefore, I think this growth, which has happened in India, is far more solid than people are recognizing. I don't recognize the rise in this market in terms of the index going up. I will link it to the fact that the profits of Indian companies are going up and not only are the profits going up, the quality of profits are going up, the ROEs are going up, the working capital is going down, the capital employed is going down.

Let's take the example of heavy commercial vehicles. I think the heavy commercial vehicles prices have come down but the profit per vehicle has gone up. I think this is the ultimate sign of efficiency. It's unbelievable that in an inflationary country like India, a Maruti 800 today sells for a price which is lower than its introductory price 10 to 12 years ago. Profits have risen in a non-inflationary scenario. These are the profits of efficiency, which are therefore far more valuable.

**Change in mindsets is evident**

So, I think it's a complete change of mind, mindsets, efforts, and efficiency. I believe that this was basically led by our liberalization program. And I think we are also set for a second phase of liberalization. Because the politicians across party lines absolutely understand

this. And there is now a brilliant move whereby you transfer the labour reforms from the centre to the state. You make labour a state subject, all chief ministers are demanding it. One state will amend the labour laws, get the investments; all other states will be forced to do it.

**People say where is the money, I say where are the shares**

I am bullish on the Indian stock market but I am more bullish on India's economy. But this doesn't mean that you go and buy tomorrow. On a broad basis, markets could react, but ultimately the way is only one, that's upwards. And there are also technical factors affecting this. Among them, we have achieved dematerialization in the fastest time possible in the world, we have an efficient, modern trading system which has taken the equity markets to every town in India. Thirdly, we live in a country with household savings of 25% of GDP. You don't have even 2% of those savings coming into the market. I think it is reasonable to expect 5% of savings to enter the stock market over time. If 5% comes, instead of people saying "Where is the money?", I will say, "Where are the shares?" Because, you can't create companies overnight. Another important factor is the shift of the mutual fund industry from being state controlled to private hands. This shift is leading to great efficiencies and competition, which will ultimately give the investor a very good deal.

The final silver lining on the cloud has come with the reduction in interest rates, which will boost consumer demand, will facilitate infrastructural and investment demand, leading to better viability. Warren Buffett has stated that interest rates act as gravitational force on all financial assets. The effect of the secular fall in interest rates in India cannot just be estimated.

I must also mention that we have one of the best finance ministers this country has everhad – who recognizes reality, whose honesty is impeccable, who recognizes what has to be done, who doesn't talk too much and is doing things very quietly. He is improving government finances, he is changing the management of government finances. I think he recognizes exactly what needs to be done. I think we are set for good times.

**Participate when the times are good**

*CIO: While your argument on the economy and the stock markets look very convincing from a longer-term perspective, how would you position yourselves to take advantage of this kind of a bullish view of the markets going forward?*

*RAKESH JHUNJHUNWALA:* First of all, you increase your allocation to equity. Second thing don't judge your share by how much it has gone up.

*CIO: Are you bullish on commodities?*

*RAKESH JHUNJHUNWALA*: The reason that I still feel bullish about commodities is that Asian growth is up to three times more sensitive to commodities than the European growth or American growth. So, I believe there will be a sustainable growth in commodity demand over the next five years.

**Seeds of the commodity boom lay in expensive equity**

*CIO: Because the global growth actually is in Asia.*

*RAKESH JHUNJHUNWALA:* Yes, in Asia, or the developing world in general. Because they use goods rather than services. Commodity prices in the last two decades in general were at uneconomical levels. The fact remains that you had all software services and telecom quoting at 40 PEs and 50 PEs and all commodities quoting at 4 PEs. Plus, they had no equity money available. So, it was not feasible to put up capacity. That is how a boom in my opinion takes shape. That you had a situation where there was a lack of investment. You now have a situation where the demand will go up, you have a rise in prices for which there is disbelief. I think it is a perfect scenario.

*CIO: China is one of the main growth engines.*

*RAKESH JHUNJHUNWALA:* China today is at a comparatively low level of consumption/capita as compared to the developed world. If that is to go to 20% what will happen? The kind of growth that can come in can be explosive.

*CIO: You don't think that there would be any down turn in Chinese demand?*

**No unlimited natural resources**

*RAKESH JHUNJHUNWALA:* I am not talking of the immediate six months. I am talking of 5 to 10 years period of time. What I feel personally is that there has been no investment, there was no equity money available and growth is going to come in. And growth is going to come in the developing world. And people are still doubting this. And after all the source of all commodities is nature.

*CIO: There are limitations.*

*RAKESH JHUNJHUNWALA:* There are limitations, you cannot increase that beyond a point.

I think commodities have entered a secular bull run that will last for a good period of time, of course with their intermediate ups and downs, with the secular trend being upwards.

*CIO: So, in which other commodities besides these would you like to play this theme a bit?*

*RAKESH JHUNJHUNWALA:* I am very bullish on oil. Look at natural gas. Look at copper, zinc, aluminium. I think we are in the first stage of a multi-pronged decade-long boom in commodities. And for 25 years you had returns in commodities which were below cost of capital. And there was no equity money available. There was no investment being made.

*CIO: But has it changed the valuation of these companies? I am sure you will have more and more equity money seen in these kinds of stocks . . .*

**Commodities are far away from demand-supply equilibrium**

*RAKESH JHUNJHUNWALA:* But they have not reached that stage yet. We are still far away.

*CIO: Very very far away.*

*RAKESH JHUNJHUNWALA:* The stage where you have an equilibrium.

**Indian pharma has huge global entry barriers**

*CIO: Besides the commodities theme which one is your most favourite theme at this point of time?*

*RAKESH JHUNJHUNWALA:* I must say I am most bullish in India on the second line pharma. Or maybe in pharma in general.

*CIO: Why is that?*

*RAKESH JHUNJHUNWALA:* I feel the entry barriers are very critical in pharma. The main profitability is going to come from the developed markets, i.e. America and Europe. The entry barriers to access those markets are very high. The learning curve is difficult, which has already been travelled by a lot of Indian companies. Then, Indian companies are quite cost competitive. Pharma manufacturing is batch manufacturing; it's not a continuous process manufacturing. All batch manufacturing means you need qualified people on the floor. It's a qualified or skilled labour-intensive job. So, India has got good, sustainable cost advantages. I believe India has got very good chemistry skills. We have a large home market. We didn't have product patents, which allowed Indian companies to re-engineer the products as soon as they were launched in the Western world. So, when these products become generic in the Western world, they have already supplied this product in the non-patented countries. So Indian skills there are very good. And although there has been a big run-up in the last few years, I still believe that the earnings momentum will more than justify the current valuations. And I don't think there are a lot many companies who are going to get into this business, or who have the ability to get into this business. I think India is going to be a very big centre for doing contract manufacturing and research, because all the Western pharma companies are only interested in developing products and marketing. So, India can become a very big sourcing base. And let's not forget that health care is 17% of America's GDP. So, it is one of the biggest opportunities. I also think that the investment is more protected because the demand there is inelastic to economic conditions. In software the demand may go up and down dependent on the economic conditions. But I think the Western world the society is ageing and I don't think the demand is elastic at all. And that is further protection.

*CIO: What are the qualities that you are looking for in a company to tap this market opportunity?*

*RAKESH JHUNJHUNWALA:* I think a lot of companies recognize that there is a possibility here. So first of all, I would like to concentrate on those companies whose basic focus is the developed market. And although contract manufacturing will give good profitability, I think the main money will come from new re-engineered drugs where companies are developing the processes themselves. I would be looking for those companies that are focused on developed markets, have good re-engineering skills, good patents, have good manufacturing skills and of course have FDA approved plants.

Lot of Indians are very contemptuous about what Indian companies are doing. Just as I said earlier, we must recognize that all growth is a process. Most people forget that Sony started by assembling TVs for Americans. And look at where Sony is today. So, I think Indian companies are also progressing to that stage. It's a fact that a rupee spent on research in India is equal to six rupees spent in America. But you know Ranbaxy had to have a Rs 2500 crores profitability in order to spend Rs 500 crores. And that Rs 500 crores will be equivalent to Rs 3000 crores spent in America. So, I think Indian companies will also reach a stage where they will be full-fledged new chemical entity companies which have a market worldwide. I think that is where the climax lies. Maybe it is still five to seven years from now. And I think we must not forget that we have to really praise India's one true multinational, which is Ranbaxy. It is selling its own products and not doing job work. Software is doing only job work. Ranbaxy is selling its own products worldwide.

**Scale of opportunity large for well positioned players**

*CIO: Why then do you prefer some of these smaller pharma companies compared to their larger counterparts?*

*RAKESH JHUNJHUNWALA:* Because I think lots of those companies were having vastly lower PEs at their smaller base. I feel it is not good to invest in a small company if there is uncertainty. But, if there is large opportunity, even smaller companies will thrive. And I think the opportunity is very large.

**Privatisation event risk could lead to downsides in some PSU valuations**

*CIO: Moving on from pharma what would be your take on PSUs now, because I think from a stage where PSUs were a hated word and they used to quote at valuations which were one fourth of market valuations, we are at a stage where the market valuations themselves have gone up and these stocks now probably quote at half the index valuation from one fourth the index valuation. They have given* *fantastic returns, and more importantly you are looking at companies that were not necessarily involved with the privatization process. They were not hurt by the disappointment on account of delays in privatization. So, from here what is your view on those types of stocks?*

*RAKESH JHUNKHUNWALA:* Maybe it is a self-serving observation that I never invested in PSUs only from the point of privatization. Now market is recognizing even those who are not going to be privatized. However, I believe it is inevitable that everything is going to be privatized eventually, but market is not giving any discount just because they will not be privatized. But I have an observation here. I would like to be very very careful in some of the PSUs which are going to be privatized. So, I think it was overdone just as in most markets. So, I would like to be careful in what I do, but the PSUs which I have chosen, I stick by them; I never invested in HPCL and BPCL, because I was never very clear about what will happen to the oil scenario in India and what they were doing. In general, I would say don’t invest in all PSUs at any price or just because the PSUs are going to be privatized.

**Invest in PSUs with high strategic value and profit certainty**

*CIO: So, what are the avoids in PSUs?*

*RAKESH JHUNJHUNWALA:* Well, I have not researched enough to say what are the avoids, but I would say in general that be very careful where people are buying PSUs as a disinvestment story, especially some of the smallest players. The larger PSUs, HPCL, BPCL, ONGC, BHEL, they could be good. But people are talking of strategic value addition. I personally think the highest strategic value for any PSU will come in Container Corporation. Because you can enter the oil sector by having an alternative network, but I don’t think anybody can challenge Container Corporation’s monopoly of rail. And it will grow so large, if it is privatized three years later, its cash flows could be Rs 400-500 crores. And the investment base could be Rs 10,000 crores. The person who buys Container Corporation will dominate India’s logistics business for all time to come, thereby obviously enhancing its strategic value.

**One more boom year for software but there are big risks**

*CIO: Moving to the IT sector, there was a lot of pessimism on account of the sector being engaged in a scenario of rising costs, falling margins and the high valuations. What’s your take on the IT sector?*

*RAKESH JHUNJHUNWALA:* Although I think India will be a very big manufacturing story, I still find it very odd that it costs $60 an hour to create software in USA. And generally blended software rates in India hover around $30/hour. That means the American is saving $30/hour. The difference is 50%. I don’t see those kinds of differences in any manufacturing unit. And the Indian penetration in the market is not more than 5 to 7% of the potential market. And day-by-day India Inc. is becoming a brand. It is having a very big demonstration effect. People realize that GE saves $500 million a year by outsourcing to India, so United Technologies is forced to come to India. So, I think the pace at which this work will come is just increasing. Mr. Nandan Nilekani of Infosys has said that foreign companies are finding it difficult to scale in India because there is a certain skill involved in the global delivery model. So, I think longer-term if you are bullish on India, you have to be bullish on the software sector. I think there are pertinent historical reasons for this. Now having said that, I feel that technically the software sector is the most exposed sector. So that's a large exposure, everybody knows about it. This gives limitation to the technical upsides. Second thing I feel that there is a very big danger in software, because of the way the American economy is going.

I feel in the next two years we should be prepared for a big downturn in the USA. That inhibits me from committing very large investments to software companies on a longer-term basis.

The biggest danger to software volumes in India is the cost of developing software in America. If America goes into recession, the cost there will come down. That may inhibit the flow of work to India.

**Indian pharma is better business than Indian software**

*CIO: How would you differentiate pharma and IT?*

*RAKESH JHUNJHUNWALA:* For pharma the demand is inelastic. There suppose I file a generic product which is not being given by an American company because its costs are being saved, I am exporting. Furthermore, I feel that in America the process of generic growth is only going to grow larger because everybody in American society including the judges are feeling the pinch of cost of healthcare. And Americans are not going to put tariffs on medicines under any circumstances.

*CIO: Can there be tariffs* on services some day?

*RAKESH JHUNJHUNWALA:* One thing is that American society realizes that the secret of its growth is the ability to face competition.

**Participation still not full-fledged**

*CIO: Any other thoughts which you think are very relevant in today's markets?*

*RAKESH JHUNJHUNWALA:* I think investment convictions are important. Have belief and faith in the market.

*CIO: Do our fiscal deficits concern you?*

*RAKESH JHUNJHUNWALA:* I don't think so. Indian savings today are so high. Indians are saving Rs 7 lakhs – Rs 7 ½ lakh crores, our fiscal deficits are Rs. two lakh crores.

India today is a net creditor nation and therefore destabilization to the foreign borrowing is highly unlikely to take place. Let us not forget that the largest creditor nation of the world which is Japan has the highest percentage of debt to GDP. This is a paradoxical situation, but it is.

India has only about 10% tax to GDP ratio as against 30-40% in developed world and higher than 10% in developing world. This ratio has to be raised in India. Also, America solved its fiscal deficit problem when its economy boomed. Therefore, I believe that India will be able to solve its fiscal concerns without any serious destabilization as its economy booms. The moderate nature of India's culture will also help in this because that would limit the politician's profligacy. Therefore, I remain the eternal optimist.

# Parag Parikh

**Parag Parikh, a member of the Bombay Stock Exchange, has been a pioneer in portfolio management services. Mr. Parikh was the first stockbroker to intensively study, originally research and practically apply 'Behavioural Economics'.**

**Mr. Parikh holds a Master of Commerce Degree from the Bombay University and is a fellow of the prestigious 'Owner President Management' (OPM) program at the Harvard Business School.**

*CIO: Could you briefly tell us about your overall investment philosophy?*

**A sea change in the way people look at investment**

*PARAG PARIKH:* In the last 5-10 years, there has been a sea change in how people look at investment. As it is normally understood, investment would mean putting your savings into a secure vehicle so that when a future need arises, you have the necessary finances available. However, investing has now taken on a new connotation. It has become more akin to an exciting game, especially so with the advent of day traders.

**Misguided focus on how much than on how safe**

When we manage money for other people or even when we act in an advisory capacity we first ask them whether they understand what they are doing. Most people come to the stock markets when they are booming and they want to jump on to the bandwagon. When we ask whether they would need the money they wish to invest for the next 5-7 years, the answer typically is, "No, I have this surplus money for three months." How much can you make for me?" When we come across such people we avoid them as we will not be able to match their perception.

**I believe in the common-sense approach to investing**

However, sincerely speaking, I prefer to invest for the longer-term in sustainable businesses. I believe that the right approach is to identify the right business and the right management. Once that is done, I believe one should invest and patiently wait for the returns to come. Of course, you need a monitor your investments regularly as change is inevitable and often such change disrupts robust business models. Hence, it is important to look at macro-level parameters as well.

*CIO: You said it is important to look at macro-level parameters. Could you elaborate a little?*

**Looking at macro-level parameters reveals broad trends**

*PARAG PARIKH:* The world is becoming a global village. Every country has to find its place in this village. How advantageously a country would be placed depends largely on how effectively its globalization process is being carried out today. Secondly, only when you look at the macro picture can you identify broad trends. Let's say there is a shift in government policy and foreign capital is allowed to flow into a sector that was earlier protected. Companies with robust cash flows could go bust overnight. At the same time, there would be some that would innovate and survive.

**Liberalization of the economy is inevitable**

Let's take a cue from my own experience. In financial services, there was virtually a monopolistic situation. Post liberalization, we got hit but I am really happy that reforms took place. There has been a lot of learning since the process began and as I said, it is inevitable. Global capital flows are important – portfolio money, whether you like it or not, is here to stay. Still, we find people clamouring for protection. I am really concerned about the way we are behaving.

**Scams affect the whole market, including robust businesses**

We have seen a number of scams in our capital market. Our banking system has been misused, there has been short-selling by cartels and public faith has been shattered time and again. The UTI fiasco was not handled in the right way. You've got to understand the sentiments of the investors. Just imagine what would happen if foreign investors turned shy. What I am really trying to say is that when any such thing happens the whole market is affected and despite all their strengths, individual stocks too suffer.

*CIO: What are some of the specific investment conditions that you apply to various stocks before you invest in them?*

**There are no fixed metrics**

*PARAG PARIKH:* I don't believe in applying fixed metrics in stock picking. This is an era of fast change and we learn something new every day. Obviously, you cannot have a fixed set of rules. However, I normally look at the quality of management and an exciting emerging business opportunity.

*CIO: How has your investment philosophy changed over the last 5-10 years during which we have transgressed an era of protectionism to move to an era of complete globalization?*

*PARAG PARIKH:* A lot of learning has taken place but there has been no change in our basic philosophy. We are in a broking business in which a lot of temptations arise from time to time. For instance, an expansion in the number of BOLT terminals to encourage day trading and thereby earn higher brokerage income. Or setting up a desk to give trading tips to clients. In bull markets, such steps can yield really very good income but we have not done anything of the sort.

We have always believed that such short-term investing is not in the interest of the customer. We have always been advising clients to invest for the longer-term even if it means lower brokerage income for us. I am happy to say that we have not been controlled by the environment. We have not tried to blindly emulate others and that has kept us from making many mistakes. We have believed in the common-sense approach to investing and have endeavoured to add value to our clients.

*CIO: What are your investment objectives? What returns do you target? How much risk are you willing to tolerate in your portfolio?*

*PARAG PARIKH:* When we manage money for clients, we never talk about returns. Promising any returns would be lying. We believe in giving them security and peace of mind. Returns are a function of a number of factors. First is the time limit – how long will the client stay invested? Secondly, it would depend upon how the market conditions change during the period. It is virtually impossible to predict the returns that a portfolio might generate.

When we take money from our clients, we tell them that we can help in putting the money in the right wealth enhancing assets. We explain to them that they should be patient and that they should calculate returns over a 5-7 year period. We have clients who are willing to do that. Although we also have people with short investment horizons coming to us, we don't take their money.

*CIO: While it may be difficult for you to promise a return over a 1-2 year horizon, you believe that returns do come over a 5-7 year period. What return would you expect from your own portfolio in the next 5-7 years?*

*PARAG PARIKH:* All I can say is that when I build a portfolio, I do so for wealth enhancement. I believe that investments are made to achieve long-term goals and safety is more important than anything else. As far as returns are concerned, they will differ from time to time.

*CIO: How do you go about measuring whether the assets that you invested in are actually enhancing wealth?*

**Look at the business performance, not the stocks**

*PARAG PARIKH:* We don't. suppose we like a company, we have done all our homework, we believe that there is tremendous future potential and the performance of the company tells us that we are right. However, Mr. Market does not necessarily echo our sentiments. Mr. Market accords a value of Rs 400 to Apollo Hospital one day and Rs 63 on another. What do you do?

Like I said before, all that we promise our clients is that we will allocate their money in the right assets. We don't talk about stock investments per se – that's where we have changed our business design. We talk about holistic investment planning. Equity is only one of the vehicles that we use. We include other vehicles such as debt, mutual funds, bonds as well, and we don't allow the performance of the stock market to influence our asset allocation decisions.

*CIO: So, if you have decided that you will allocate 25% to equity, just because the stock market is performing very well you won't change that to something higher?*

*PARAG PARIKH:* That's right. I regret having accepted money from a 70-year old gentleman and investing it in stocks when the market was booming. I lost 30% of his money, which of course is far less than what people have lost in the past. But I had no business to accept money from that old gentleman for investment in equity especially at a time when interest rates were high.

*CIO: Could you tell us about some of the criteria that you use to help you to decide whether you should exit from a stock?*

*PARAG PARIKH:* There could be several reasons that prompt us to exit from a stock. If we believe that the business model is losing its charm, or that we have lost faith in the management, or that there is some change that puts the company we have invested in at a disadvantage, we exit.

*CIO: Right. But has price more often been the reason why you exited a stock or the change in the business fundamentals?*

**Use temporary market euphoria to your advantage**

*PARAG PARIKH:* One of the important lessons that I have learnt is not to ignore market prices entirely. There are times when our stocks begin to quote at extraordinarily high levels within a short period after we have invested in them. Although we believe in investing for the long term, if we think that we are getting an extraordinarily high return within a short span, I believe that it is better to get out.

Let's look at India Shaving Products, which is Gillette now. We lost out on a great opportunity because of our penchant to hold stocks for the long term. The stock went up to Rs 2,500 and we wrongly believed that multinationals could do no wrong. So, we continued to hold the stock for the long-term. All of a sudden, the management decided to merge other not so profitable businesses into the company and see what has happened to the stock since then.

*CIO: Corporate governance standards have fallen . . .*

**You cannot afford to have blind faith in a management**

*PARAG PARIKH:* Not corporate governance but being ruthless in business has become a fashion. When Procter & Gamble established its own subsidiary, everybody could predict that all good future business would be routed through the subsidiary and not its publicly listed Indian entity. Gillette did the opposite thing. So ultimately it is not what one does but what are one's intentions.

*CIO: Would incidents such as the one you just narrated have an impact on your investment philosophy?*

**New learning should impact investment philosophy**

*PARAG PARIKH:* It may happen. Every day we are learning something new. Take the example of Cyberspace Infosys. In June 2000, if you asked anybody if you should sell the stock, they would tell you, no. However, if you hold the stock in your portfolio today, everybody will question why you bought it in the first place.

*CIO: It must be a real problem, where a lot of clients actually pressurize you to invest in such stocks because of the momentum in the markets and then if you get trapped . . .*

*PARAG PARIKH:* We were very sure that we would not touch technology stocks and we stayed away from them for a long time. Although some clients did pressurize us to buy technology stocks, I always said no. Somewhere in between we took a decision to empower two of our fund managers to take their own decisions and they buckled under pressure and bought two or three technology stocks like RS Software. When I realised that we were drifting from our core investment beliefs and losing our discipline we corrected the mistakes but lost some money in the process.

*CIO: What, in your opinion, is the right number of stocks that one should have in one's portfolio? Warren Buffett has a focussed approach where he holds very few stocks and sticks to them through thick and thin. On the other hand, his mentor, Benjamin Graham believed in diversification. His argument was that even if you did not pick up great businesses, if you picked a sufficiently large number of average businesses at bargain prices you would get a decent return over the long run. Between focus and diversification, which strategy do you put more emphasis on?*

**Both focus and diversification have their places**

*PARAG PARIKH:* I believe in diversification, but diversification in another way – investing in different investment vehicles like stocks, debt, bonds, mutual funds, real estate, etc. As far as stocks are concerned, ideally, we would like to have a maximum of 15 stocks in a portfolio. We don't put more than 10% of the corpus in any stock.

*CIO: You mentioned that you would not allocate more than 10% to a given stock. Do you also have similar limits for a given sector?*

*PARAG PARIKH:* Yes, we restrict exposure to a certain sector at 25%.

During the tech boom, we invested heavily in the FMCG sector because of which we took a hit on our portfolios. Although our bet on Nestle paid off, we took a hit on Marico, Gillette, P&G and Cadbury. After that we decided to have sector-wise limits as well. However, as we do not trade very frequently, these weightages change as prices of different stocks rise and fall.

*CIO: Do you not try to rectify that?*

*PARAG PARIKH:* No, if we did that we would be allowing ourselves to be controlled by the market. The change in weightage could be temporary. However, if we feel that the market is grossly overvaluing a particular stock due to which its weightage has shot up, we get out.

*CIO: You do not like to hold more than 10-15 stocks in a portfolio. At the same time, you do not allocate more than 10% to a particular stock, which means that you hold a minimum of 10 stocks. How do you go about determining your investment universe?*

**FMCG and pharma are our favourite sectors**

*PARAG PARIKH:* At present we are actively tracking FMCG and pharma. We believe that these are sustainable businesses. We think that the pharma sector will present a number of good investment opportunities. The industry currently looks at its customers as patients. When it begins to view its customers as consumers, I think there will be a very big change in the way this business is conducted.

The library of molecules, which was once upon a time the asset of these companies, can now be outsourced from biotech firms. Digitalization miniaturization enables scientists to work on thousands of molecules at a time. This leads them to come out with more drugs and the competition among companies will be so severe that they will have to go in for preventive medicines rather than curative medicines. I think that's where the big shift lies and that's why we like pharma stocks.

**Stars can often be picked from the spurned**

We have another strategy that is based on behavioural finance. We examine stocks that are generally neglected by the market for some reason. Therefore, you often find good stocks at bargain prices.

*CIO: Do technology stocks also form part of your investment universe?*

*PARAG PARIKH:* Yes, we have technology stocks in our universe. But at present, we don't want to get into any of these stocks because we are looking at a behavioural anomaly. We find that most people are still stuck to technology stocks for the wrong reasons.

*CIO: How do you go about updating yourself on a stock that forms part of your portfolio? How frequently do you do so?*

*PARAG PARIKH:* You have to keep your eyes and ears open. For instance, you might read something interesting about in a newspaper or you might hear about it from somebody. There could be people you know who are interested in exactly the same stocks with whom you could share views. You get information from everywhere.

*CIO: Do you also believe in frequently meeting the management regularly?*

**Don't just meet the management; ask the right questions**

*PARAG PARIKH:* Yes, we meet the management of companies in which we hold stock regularly. But it is not meeting the management that is important. It is asking the right questions that is important and that's where we score.

*CIO: You went to Harvard and did a course on Behavioural Finance. Could you tell us in a nutshell what you gained from that course?*

**Behavioural finance is about learning from the mistakes of others**

*PARAG PARIKH:* I have been in the market since 1979 and we started a research department way back in 1983. But I found that in this market research does not really work. People think differently when the markets are in a bullish phase than they do when the markets are in a bearish phase. Although being privy to information and processing it well do help, they are not significant advantages over competition. However, looking at the mistakes that other people are making and benefiting from those is another thing. Now that is what behavioural finance is all about.

*CIO: Behavioural finance is obviously a top-down approach rather than a bottom up one. Is itreally relevant for the Indian markets?*

*PARAG PARIKH:* India is an emerging economy plagued with chaotic conditions. Very often decisions are not made based on sound logic and in such conditions, understanding how people will behave is all the more important.

*CIO: Could you tell us a little bit about the valuation tools that you use in deciding whether a stock is correctly priced?*

**Successful investing has more to do with intangibles**

*PARAG PARIKH:* We really go by a company's ability to earn profits. We use parameters like return on net worth to judge whether the business is good, but ultimately, I believe that successful investing has more to do with looking at the intangibles than the tangibles that are clearly apparent. It is our understanding of the business environment and market behaviour that helps us in stock picking rather than figures like return on net worth.

*CIO: You said that sometimes Mr. Market goes overboard and that you should sell at such times. How do you really know that the stock has become overpriced and that it is time to exit?*

*PARAG PARIKH:* It would depend on exactly when the event occurs. If I bought a stock yesterday thinking that it will give me a 20% return in 2-3 years and if Mr. Market gives me a 40% return in three days, I will take that.

# Sukumar Rajah

**Sukumar Rajah oversees the equity investment functions of the India products under the Franklin brand. Mr. Rajah has been in the investment management industry for the past 12 years.**

**Mr. Rajah obtained his Bachelor of Engineering with specialization in Industrial Engineering from University of Roorkee (1986) and MBA from Indian Institute of Management Bangalore having specialised in Finance of Marketing (1990). Superior return on capital in the long run derived from intellectual capital.**

*CIO: It's a great pleasure to be with you in Chennai. You have had a very successful track record of investing in various sectors and overall in the market. Could you tell us something about your overall investment philosophy?*

*SUKUMAR RAJAH:* My investment philosophy is very simple. My objective is to invest in businesses that can generate superior return on capital over a period of time. I think this can come primarily out of intellectual capital mostly in terms of quality of management and depending on the businesses, type of competitive advantages the management can build into a business.

Depending upon the company, I look at what is going to provide the sustainable competitive advantage, which will allow for some pricing power, and pricing power cannot come without delivering something extra to the client. It might vary depending on the client or it might vary depending on the business.

*CIO: You mentioned that intellectual assets are very important in the current context for generating a superior competitive advantage. What about traditional franchises like brands, businesses with very large moat characteristics? Do you think that going forward into the future, they would be able to maintain the durability of their advantage? Do you feel that their fade rates are going to start becoming a lot higher?*

*SUKUMAR RAJAH:* Durability will depend on what is being built. If the management works towards building something in the organization that cannot be replicated very easily, obviously the durability of the competitive advantages can be substantially longer than if the management were concentrating only on the current revenues.

**In the long run we are all dead**

*CIO: In the articulation of your investment philosophy, could you also tell us about what is the kind of time horizon with which you invest?*

*SUKUMAR RAJAH:* I typically look at three years. I think three years would be the average. I think shorter than that would not go with this philosophy because transformation cannot come overnight, business cycles are there. Even with good quality management and competitive advantages the market might turn sour for some time. But looking far too longer doesn't fit with the horizon of my investors; I mean they are not looking at 15 years to make money out of the mutual funds' products. That's not the expectation of the investors. So, some balance has to be there. If it was just my money, I could look at a 15 years' time if I want to use savings only after that point of time.

**Past (bands), present (value) and future (cash flows) determine valuations**

*CIO: What are the valuation metrics that you generally consider when timing your purchases with this sort of a time horizon? What would be the valuation metrics that you would consider as important in timing and selecting stocks?*

*SUKUMAR RAJAH:* One angle to it is looking at the value you arrive at out of the discounted cash flow method. I always ask one of our internal analysts or external analysts to work a spreadsheet and mail it to me with the basic assumptions put in. So, I try to play around with assumptions to find out if the change in assumptions can have a drastic effect on the valuations one way or the other. Therefore, you know what type of things have to happen to maintain a certain price, or how much it can alter due to changes in your assumptions. And how much it can collapse if things were to go the other way i.e. if the projections were not to be met in some aspects of the business.

The other thing is to look at the P/E ratio and try to relate it to the return on capital. Obviously, P/E ratio is related to the return on capital. If the company can generate a superior return on capital, you are willing to pay a premium P/E ratio. That is, you know, a quick way of looking at things. Sometimes, you have to take quick decisions and you don't have the luxury of doing too much of cash flow analysis and things like that. Obviously, when you're looking at P/E ratios, things like accounting policies are more important. If you're looking at cash flow analysis, they are not that important because it's just cash generation you're looking at.

There are a lot of nascent businesses where this type of analysis will not hold good. So, you'll have to make some analysis of how big a business it can be at some point of time. You have to relate it to some other existing business.

Or you might want to give a discount because the growth is higher. So, you know what type of market value it can come to at that point of time and discount it to the present value. So, I think it depends on the situation. It is very difficult to say that I will look at only one.

But normally in internal analysis, we start with the history – we look at what has been the band of the various valuation parameters like price earnings, price to cash flows, dividend yield, or enterprise value to revenue or enterprise value to EBIDTA. We look at it from the historical perspective, what are the valuation bands, the high and the low, and where we are currently with respect to that.

**Discounting depends on the business and management quality**

*CIO: In your analysis, do you benchmark the company with comparable competitors and how do you determine the equity risk premium, and the margin of* *safety that you would want in a given situation? Do you adjust the discount rate or do you use a common cost of capital and then vary the discount?*

*SUKUMAR RAJAH:* Adjust the cost of capital, I think. I adjust it entirely on my subjectivity and my feel of the risk factors. I obviously look at what other analysts look at using beta as a measure. But, I would also look at it from a more qualitative aspect viz. the type of management. Thus, I try to factor in all these things – an unknown management and other things would just increase the premium substantially.

**Fear is your friend, but quality stocks are forever**

*CIO: What are the indications that you utilize for your divestment, for your exit from any stock?*

*SUKUMAR RAJAH:* You see, most of the core holdings always remain. I play around with the weightages a little bit when the market is looking at it very optimistically and the stock is trading at the upper end of the valuation. I try to increase weightages a little bit when there is an all-round pessimism. I would like to take advantage of that pessimism. If the fundamentals are strong, and if one is patient, but the market is looking only at the next two quarters, then it is worthwhile building a substantial position at that point of time, rather than when everybody wants to buy because it goes 'limit up' every day.

**Investing is more of an art than a science**

*CIO: But there are no fixed valuation parameters or fundamental indicators that you use for exit? I mean, you basically go by the quality of the company rather than any fixed pattern?*

*SUKUMAR RAJAH:* Yes. When I started out, I used to lay much more emphasis on numbers than what I do today. It is essential to look at all those numbers, but thinking too much about them takes the focus out of the main issue, and you have to get a feel or where the company is heading, you have to get a feel of what the investor expectations are. I think those are crucial. A mismatch between the expectations and where the company is heading is also equally important. Like in the DCF work that you have done, even after you have put in your projections, you don't know. You could have done a DCF for Infosys three years ago at 40 percent and it could have gone awfully wrong. You have to get the feel of the dynamics that are changing and . . .

*CIO: All businesses ultimately will regress towards the mean and all businesses over time would have a certain fade rate. And it's very much your assumption of the fade rates vs. the market's assumption of the fade rates that would determine the investment result. That would, to a large extent, be dependent on your own subjective* *feeling, your experience. Since the intellectual capital is such a central pillar of your investment philosophy, could you describe in slightly greater detail what are the parameters that you would use to evaluate intellectual capital and how would you determine the factors of intellectual capital? Would this also include brands? Would you be classifying brands as intellectual capital? It's a form of intangible capital. It's really the marketing spends which are going towards building a moat. So broadly how does one value any intangible asset?*

**Successful investors understand the success factors**

*SUKUMAR RAJAH:* Yes, I think you have said the right thing about valuing intangibles. I try to look at that when I go for initial meetings to the company. I try to understand what their basic business is all about. I try to tell them to list what are the factors affecting the business and why do they think they're going to be more successful in the business than the competition? After coming back, I think a lot about that. I try to ask myself some questions as also to my colleagues, external analysts and a few other people in the business. I get a feel of the business. Then I try to jot down the essential factors, many of which might prove to be irrelevant.

A management might say that these are the ten important things and we have all of them. But when you think over it and go through the entire process, you know that only two are materially significant, and maybe you'll come up with a third factor that the management didn't mention. We try to get a feel of what is going to be essential for the business to grow profitably, since growth in an unprofitable way is not useful for any investor. Once that is there then the next step is to ascertain whether that is true.

If you are looking at Infosys, it is the quality of the lower-level people, their feeling that they are a part of the company, they are also equity shareholders, and that they are going to gain substantially from the quality of the systems that they are going to deliver. If you want to ascertain that then you have to go and meet those people. There is no use just speaking to the managing director or the finance director. You have to be there in the public hall of the SBU where you might meet some of the programmers. I try to do that. I try to go on the field and get a feel of what is happening. Mutual fund investors like me have the luxury of going and meeting all the people. For smaller investors it might not be possible. But there are always short cuts, you have contacts, you know people. They may not be as accurate as you being on the field yourself, but you know that certain people are reliable, and can give you information. You have to use that network to get a feel about it.

**Scuttlebutt**

*CIO: In the words of Phil Fisher, you would be using scuttlebutt i.e. investigating the company, trying to find out sources of independent information and not strictly relying on the management as to what the business looks like.*

*SUKUMAR RAJAH:* I think essentially you always need to have some feeling other than what the management is giving you. That is very important. I think that if a person is not careful and if you are only relying on the views of the management, it can be totally wrong. I think there have to be a lot of other sources and it cannot be just by annual reports alone.

**Intellectual capital is about thinking intelligently**

*CIO: Sorry to go back. Can you throw some more light on factors that you consider as part of intellectual capital?*

*SUKUMAR RAJAH:* Intellectual capital varies from company to company. Clarity can come out of discussing some examples.

For example, in the pharmaceutical industry, it can be in the form of R&D and lots of things can come out of getting a feel of the markets as well as what are the products that one needs to come up with. It can also be educating the doctors about treating a particular ailment in a particular way, or providing information over the Internet to the medical community and thereby cutting the cost of sending so many medical representatives to give so much of literature to the doctors.

**Ships are safe in the harbour, but that's not where they should be**

*CIO: In the way that you described the investment philosophy, the intellectual capital was primarily encapsulated in the management quality. What are the parameters that you use to evaluate management quality? And what are the parameters other than this right way of thinking (intellectual capital)?*

*SUKUMAR RAJAH:* Let us assume that the integrity is given. It will anyway not be worthwhile to be a long-term investor in a company where you have issues on the integrity of the management. Given that, I think that one important thing is the ability to take the right amount of risk. I think the risk-reward ratio is not very linear. It is a curve where at certain levels of risk, your possible rewards can be very high. But if you go higher than that, you take too much of risk and you probably will get wiped out because other people will take the right amount of risk and create certain formidable barriers. So that is a very important issue. Management should not be totally risk averse. To quote Narayana Murthy, Ships are safe in the harbour, but that's not where they should be. That is a very crucial issue.

The other thing is: what is it that drives the management? Whether it is short-term results and being in the limelight today, or whether they have the vision to say that I want to build up something which is very substantial? Ideally, this should be within my investment horizon. There's no use betting on a management that wants to develop something over fifty years if I'm going to be a three to five-year investor. So that vision has to match with my investment horizon.

**By sharing the pie, the overall cake itself can grow faster**

The next factor is the concept of sharing the rewards. There has to be a right level of sharing. The management cannot be totally greedy and say that it can't share with the employees or that it will pay the lowest. This doesn't work that way because then you won't motivate them or you won't retain the best people. But, at the same time, if the management only wants to be popular with the employees and the shareholders, and is unreasonable in issuing ESOPs, that can be a cause for concern. After all it is a question of balancing the interests of all the stakeholders. One thing is certain. By sharing the pie, the overall cake itself can grow faster. That is more important. I look at it from that point of view. There is no point in the management giving 25 percent equity in ESOPs when the employees are not bringing anything substantial. I would question them as rigorously as the management that is giving only 2 percent when the employees are doing a lot of things. That is silly. So, this is a very important issue with the management today.

The ability to carry people along is very important. If you have to take some long-term bets or medium-term bets, and if you have to go through rough weather, and still want to be popular every day, then it's very difficult to take some tough decisions. You have to convince people that tough decisions are right. One example is Infosys. They lost the GE account and it was a very tough decision then because it was a very significant client. But without that decision, it would have been very difficult to sustain pricing power.

**It's a question of questions**

*CIO: In the context of your definition of intellectual capital and management quality resulting in competitive advantage over a period of time, what are the competitive advantages that one can measure in more objective terms?*

*SUKUMAR RAJAH:* I think there is no predefined yardstick and no independent rating agency who could do this. Let's talk about a company targeting higher value-added work or something. One can look at per head revenues to see whether it reflects what they are saying. Or you tell them to explain why they believe they are doing something exceptional. If Dr. Reddy is speaking about high quality R&D and claims they have some of the best scientists and they have some of the best facilities, it is probably worthwhile going and seeing it first-hand. When we interact with them, we usually try to read some journals to find whether what they are doing is contemporary. We also try to speak to others in the same field and evaluate if they are really well regarded in the particular community. It's just a question of just asking more questions and something usually comes out at the end of it.

**Value addition and branding lead to pricing power**

*CIO: The last element of your investment philosophy was how the competitive advantage gets reflected in pricing power. Could you elaborate your perception of pricing power and how you evaluate pricing power in companies?*

*SUKUMAR RAJAH:* Pricing power must be viewed differently in consumer markets and differently in the business markets.

In the business market, evaluation of particular products or services is more objective by the buyer. So, he has more tools to analyse and probably more motivation to analyse since the absolute value he is paying for could be pretty high, as distinct from a consumer market situation where it's more of an impulse, and trend and style drive a particular customer. So, in the industrial scenario, the pricing power will depend on track record. So, track record is going to be very important. A particular person has to have a track record of delivery of good quality product and services and adhering to time schedules is important.

For example, let us say Maruti has two suppliers. And both of them are going to supply the same component to Maruti. One supplier says, "At my cost I will connect my computer system to your network. You can let me know when you have such and such level of inventory and I can deliver the requisition within so many days." He tries to build something extra for the client for which he doesn't mind paying a little more since he can also save from that proposition. So, these kinds of situations develop. It is not necessarily related to the product alone but the bundle of value addition that you're going to do for your customer. So that is going to be important. Obviously, this is where the intellectual element comes in. Whether you're thinking of yourself as only a supplier of that particular things or whether you're going to see how you can add value and then share a part of that value addition. So, these types of things are going to be very important in an industrial situation and sometimes because of that the pricing power can be enormous.

I think it is very easy to find lots of examples in software where by adding a little more value, you can have much more pricing power. Obviously, the rule that is being applied to Maruti cannot be that drastically different.

In the consumer market it is question of building the right perception of the product, what we define as branding. The key competitive advantage here is the perception differential that can be created by spending a particular amount of money. It is not correct to say that a company that spends more on advertising probably has greater brand power. It depends on how much you can get out of that advertising buck that you have spent. Obviously, organizations like HLL will get better results as they get up to 30 to 40 percent more media for the same amount of money. This is a very serious competitive advantage because not only have they got a brand, but also, they spend far lesser than competitors for additional brand perception. That can make a lot of difference.

*CIO: The value addition that you're talking about is basically to avoid commoditization of any form. You go up, you try to avoid, you differentiate yourself and try to not only . . .*

*SUKUMAR RAJAH:* Differentiation is one factor. I feel we are living in a tough world and you have to deliver that extra value. This extra value may not necessarily be in the core product but in the way it is delivered or in the time it is delivered, or the place where it is delivered or in the information relating to the product.

**Consistency and conviction lead to success**

*CIO: Let me ask a question that you would usually be asking a company's management. What are the key Success Factors in the asset management business?*

*SUKUMAR RAJAH:* The most important factor is doing it logically and coolly and not to over-dramatize things, I think you have to be genuine. Over a five-year period, people are going to realize who is going to be taking more care of their interests.

It's not going to be the percentage returns year-to-year. I think it's very difficult to be a Superman in this business because you can't call everything right all the time. It is better to have a consistent way of doing things and do things where you have total conviction. I think there is no need to do anything very dramatic.

**Change is all pervasive – in business strengths, management ratings and investor sophistication**

*CIO: The markets have definitely evolved very rapidly in the recent past and you have been in the equity market for quite some time. Could you chart out how your investment philosophy has evolved over the period that you have been associated with equity markets?*

*SUKUMAR RAJAH:* Let me just speak about how the market has evolved. In early 90s, there was nothing like return on capital, there might have been only a few genius investors looking at it at that point of time. The whole market was looking at very simple way of putting every company in the same bracket. You look at the PE ratio, you look at the book values, and you look at the dividend yields. Then multinationals were given a little more. Birla management was given a little less, Tata might be little higher and that's the way you were looking at it. The strength of the businesses was not being factored in at all; return on capital was not a major issue in those days. It was believed that when foreign investors started investing in India and foreign brokerages came in, overnight these things would change. But, unfortunately, they did not change. The foreign investors who started investing at that point of time were so-called emerging market investors who were much used to looking at the same thing in other markets. Even those markets were not evolved like the better markets of US, UK where these issues count for a lot. In the last three or four years, India has probably overtaken most emerging markets in sophistication. I think the investor sophistication has grown very substantially whether it is EVA or comparative advantages or in any models or looking at the contemporary standards of management transparency. I mean India has clearly overtaken most emerging markets in terms of the sophistication and probably ability to price stocks at more realistic levels that reflect longer-term potential. Of course, the best pricing is always higher in bull market because sentiment is very positive and greed takes over.

In early 90s when I started in this profession, if I said that I want to spend four days meeting people in only one company, they would have thought that I'm mad. But today you can convince the management that this type of comprehensive research is very important.

The one key change that has happened is the greater depth that we are willing to go to in our research. At that time, one analyst probably had to track a hundred companies. But now he can track 20 companies and do more detailed analysis, more spreadsheets, increase sophistication with the help of more automation coming in (e.g. Bloomberg). But in terms of most of the fundamental issues which drive a company, I think the basic belief that you have to bet on good businesses and on the ability of the management to create wealth has not changed very significantly over time. That is still the underlying concept.

**Risks are of different hues and shades – don't paint the mall with one brush**

*CIO: How do you measure risk in your portfolio? How do you manage the risk in terms of portfolio composition?*

*SUKUMAR RAJAH:* I can think of quite a few elements of risk.

1. **Diversification – Obviously diversification can reduce risk up to a certain extent and obviously there are empirical evidences to prove that but 15 to 20 stocks can provide the right amount of diversification for the portfolio. Might be a maximum of 15, beyond that you really cannot improve the diversification.**

2. **Composition of the portfolio – This is going to be critical. One, how many of them are based on a particular theme? You might be having fifty stocks but if all of them are based on India's industrial production improving very significantly and if that doesn't happen, then all of them are going to be affected. If you're betting your entire portfolio on one theme, then obviously the risk is higher since if that doesn't happen, the portfolio could be affected. There has to be proper balancing.**

You may be betting on IT based on global spending on IT increasing substantially because of the information revolution that is changing the way IT is being used, or betting on consumers based on ability of Indian consumers to spend more, or betting on aluminium based on a global recovery pushing up aluminium prices. If you have bet on different angles then your risk is not that high because these sectors are clearly not related. The probability that all the bets would go wrong is probably quite minimal, so one has to look at diversification of those segments.

3. **Quality of the stocks – This also matters much. If you are holding everything on start-ups or unproven companies and hoping that all of them are going to become really big and making big bets on that, that can be quite risky in that it may not happen. If you have a good composition of established businesses that might not go down that much, the risk to the portfolio will be limited. There is also the risk of having high weightages in stocks where trading is low. Obviously, if you are a key determinant of such a stock, one should stop buying when the crowd follows. This happened to one of the bigger investors who had driven some of the smaller stocks, but when he stopped buying, the prices were severely affected.**

**Liquidity is a solid component of portfolio risk management**

*CIO: Does liquidity play a major role in your stock selection?*

*SUKUMAR RAJAH:* It does play a role because we essentially run open-ended funds. Fortunately, all our equity funds have been mostly retail driven. So, we have fortunately not seen huge money going out of the fund even in the worst of the bear markets. But the point is, even if it doesn't happen, one has to be reasonably prepared for that because it is a possibility and you can't say that I thought it wouldn't happen. There has to be at least half of the portfolio in fairly liquid stocks so that you can sell them without seriously affecting the price.

**Introspection – the secret of learning**

*CIO: How do you evaluate your own performance? What are the parameters that you use to evaluate yourself and say that, "Yes, I have done a good job or I have done a bad job?" How do you determine that for yourself? I do not mean external evaluation of performance but self-evaluation.*

*SUKUMAR RAJAH:* One way is looking at the portfolio and benchmarking it to some of the better quality fund managers, or those whom I think are better quality fund managers. But more importantly looking at what are the misses, what are the stocks I have been sort of tracking or I should have tracked but really missed a big move conceptually, with the stock moving very sharply due to fundamentals. I also evaluate mistakes that I made in my assumption as a result of which some stocks are not doing so well, or I might have sold some stock that I should not have sold. Performance with regard to the team plays an important function in the team. Others should provide inputs and I should also be of some value to the rest of the team, otherwise that part is not fulfilled.

*CIO: Could you share with us any idols that you might have in the investment world – either here or abroad?*

*SUKUMAR RAJAH:* I don't have a single idol. But take Warren Buffett who doesn't invest in IT stocks. That doesn't mean I will want to go just by his philosophy of not investing in IT stocks. From whatever readings I do, I try to learn whatever good things some people say, and what I think is a good concept. I try to use these ideas, but I don't look at any single person as an idol.

**Some learn to forget, whilst others forget to learn**

*CIO: What are the weaknesses that you have observed in other investors in your experience in India, be they professional or be they proprietary?*

*SUKUMAR RAJAH:* I think the maturity level is still pretty low. In 1995 or 1996 it was a very difficult task to get my closet friends to invest in any fund or equities. But, now that you tell them not to put money, they want to put money in the craziest of the stocks that seem to be moving. And if you try to dissuade them, saying that it doesn't seem to be fundamentally strong, they don't care. I think lot more investor education needs to be done. Equity cult needs to spread in the right sense. Equity cult doesn't mean that everyone comes in, invests in equities and in public issues.

With respect to professional investors, one good trend has been that of a lot of private-sector funds coming in. The overall quality of research is definitely improving. They not only do research, but believe in research. Such a research oriented investment approach has improved in the true sense. In 95-96 everyone did some soul searching. It was a good thing that most people intended to do high quality stuff. But, the disturbing trend in any bull market is that many of them seem to have forgotten the lessons they learnt in that bear phase. I think probably 75% of them would have made all the same mistakes, which they did in the earlier bull run. So, the learning doesn't seem to be happening at the pace at which it should be. But it is happening.

*CIO: How important is timing in your overall investment strategy?*

*SUKUMAR RAJAH:* Not very important at all.

*CIO: Stock picking would always have a good element of timing. You have historical valuation bands of parameters like PE, P/BV or P/Sales etc. You try to time stocks by buying and selling them at the boundaries of historical valuation bands after considering other forward-looking and relative approaches to valuation.*

*SUKUMAR RAJAH:* For valuation, yes. As mentioned earlier, when the sentiment is worst and you know the fundamentals are pretty good, that is also in a way timing . . .

*CIO: Because you are buying in a bear market.*

# Chandrakant Sampat

**Chandrakant Sampat has been rated one of India's best investors by Business India. His emotional intelligence, especially his ability to defer gratification, is probably his most important strength.**

**Mr. Sampat believes that doing more out of less and for a sustainable period of time is life and wealth creation. That is investing. For life, investing and wealth creation one needs to go beyond money and economic skills. It has to be related to other sciences – history, literature, cosmology, biology, evolution, quantum physics and religion. These efforts will create more sustainable wealth.**

**Look at the macro picture**

*CIO: How do you view the market currently?*

*CHANDRAKANT SAMPAT:* My view is that financial analysts have to look at the macro picture rather than look at the micro picture on a day to day basis. Let us look at what is happening to our country from the macro level. The economy has shifted from agriculture to industry in the last 300 years and now we are moving into services. I don't think many organisations have read this shift and are thereby destroying themselves. They missed the shift from manufacturing to services and stuck to investing in manufacturing. Peter Drucker makes a mention about this shift in a recent issue of Red Herring "I with my clients go on a simple assumption. You cannot survive as a manufacturing company. You must become a knowledge company based on distribution." If you look at the books of the financial institutions, what is clear is their exposure to the manufacturing sector. The way the NPAs will compound in the future will be tremendous. How do they cope with that and what will be the effect of these NPAs on the capital markets?

If you look at the period 1990-2002, the capital markets had not kept pace with GDP growth. The reason is that the entire manufacturing sector has lost market capitalization. If GDP grows at 4%, it takes 18 years to double GDP. If GDP grows at 4%, how will there be significant appreciation in market capitalization? Even if you are very efficient like Hindustan Lever, what can you do if there is no purchasing power? Over a period of time, what makes the capital market grow is GDP growth. Why is it that India is not growing faster? The basic reason is that we are not opening up the economy. China is attracting $40-50 billion in FDI. We get around $2.5 billion. Is this $2.5 billion sufficient? As Professor C.K. Prahalad puts it, we need a GDP growth of 15% and not less and that is feasible. What is the government doing about this? If this is not happening, what is the future of this country and the capital markets?

**With productivity and innovation, profits will come**

*CIO: One of the arguments being made is that foreign investments will take place once the privatization process gathers steam. What are your views?*

*CHANDRAKANT SAMPAT:* I hope so. Our standing on the index of corruption is very high. Transparency might still be a stumbling block. The key to boosting foreign investment is to open up. A foreign company should be allowed complete freedom. The government's responsibility is to ensure that corporates don't indulge in what Francis Fukayama calls the depletion of social capital. This is what happens in China and other East Asian economies. Multinationals have responsibilities. This is not happening here.

Then there is the question raised by Drucker. He says that if there are no profits but productivity and innovation, then profits will follow. If there are profits but no productivity and innovation, then profits will disappear. If that is so, look at corporate productivity and innovation. China has boosted productivity by FDI.

Another cause of concern is the state of capital markets. Drucker says that when people are not buying and selling shares but trading and selling short term positions, then markets go out of control. It is nothing else but playing the momentum game. Drucker also says that in a period of change, one must invest in a company that has a high risk and one requires some years to make a return. We are not prepared to take risks and we are not prepared to wait for returns. I think this American fashion has affected the Indian markets, namely, buy in the morning and sell in the evening and go on flipping coins. I don't know how this is going to create wealth for anyone. It is just ridiculous. Everyone has turned into a speculator and not an investor. It is worth repeating again what Drucker says, "I with my clients go on a simple assumption. You cannot survive as a manufacturing company. You must become a knowledge company based on distribution." What are the implications of this when choosing an investment? Add to this his definition of profits. He says that there is nothing called a profit. What you call profit is a future cost that has already been incurred but not reflected in the books.

**Five attributes of companies**

If you look at all this together, then I think there are 5 attributes that an investor should be looking at:

1. Management quality.
2. Is there any unallocable capital in the balance sheet? Or is all that you have as a profit a future cost? How much of your profits is unallocable? This means that there is a very high asset turnover and it throws up cash which is not a future cost.
3. The competitive advantage period. In technology companies you never know this. So, there are hardly any free cash flows.
4. The RONW. Are you really covering the cost of capital and having free cash flow that is not unallocable? So, accounting itself has to be completely different from that of today.
5. The understanding of risk and what we pay for it. If we pay for all that is going to happen, then there is only risk left because the market is nothing but expectations of price. Expectations rarely materialise. If they don't materialise, the markets punish the stock severely. What you can do is to buy stocks that are priced such that even if your expectations go haywire, other things being equal, you can make your bet.

But today the mutual fund industry and the media are not prepared to look at these benchmarks of investment. The financial community must understand its

> responsibility to the new generation where careers will be short and an umbrella is necessary. I don't see this change. As Drucker puts it, the capital markets will have to destroy and recreate itself. I see it happening but I can't tell when it will happen. It is very frustrating to invest in this market. Today if you talk of a five-year perspective, people laugh at you and think you are insane.

*CIO: What will cause the change?*

*CHANDRAKANT SAMPAT:* I think people will lose money and then change. Till then this will go on. I think the rating of mutual funds on a quarterly basis is ridiculous. It is like a fashion parade. You chose what is hot and what is not.

*CIO: I have yet to see a mutual fund win an award consistently.*

*CHANDRAKANT SAMPAT:* That is what Peter Bernstein says. The best thing for an asset management company to do is to throw out the fund manager who has had the best performance because you can be sure that it is not going to happen the next year. Everything regresses to the mean.

Another thing we are missing is that the US is the only country which can print its currency that is accepted as a legal convertible tender all over the world. Again, Drucker says that there is no country in the world today that is immune to currency fluctuations for the simple reason that the world is awash in liquidity for which there is no profitable investment in property, business, manufacturing or services. This is instead kept in volatile portfolio investments. Very few countries have surpluses in their balance of payments to service the interest on this investment. Every country's currency is therefore at the mercy of short-term movement of funds for which there might be no economic rationale. Now let us look at what happens if because of this volatility coupled with low productivity, these funds decide to move out of India. To protect the rupee, the interest rates will have to be raised. The banks don't lend to industry and are loaded with government securities. If they have to mark to market their holdings then what can happen to the banking industry? What is the precaution that RBI is taking? Is the banking industry aware of this possibility? If LTCM can happen with Nobel laureates and put pressure on the entire American system, then it can happen here.

**Derivatives are the opposite of investing**

*CIO: The derivatives market has seen good growth. Could you comment on this?*

*CHANDRAKANT SAMPAT:* It will create more volatility and destroy the savings of the people. What you need to do is to take risks. Derivatives avoid risks. Again, you have to wait on your investments to get your returns. Derivatives are an opposite of this as they are necessarily short term in nature. In risks, there are so many ifs and buts.

Today, the largest problem with American banks is the large number of derivative contracts that are not in their books. If today, it is an Enron, tomorrow it could be an American bank. Hedging itself is a risk. Look at all these hedge funds which disappear after a few years of good performance. Is this what you do to build up the community's wealth and savings in a new world which is fraught with so many uncertainties?

Then there is the Indian psyche where we save first and then consumer later. Now, they are trying to reverse this by lowering interest rates. I belong to the old school and don't understand this.

*CIO: What should one do?*

*CHANDRAKANT SAMPAT:* There is no place to hide. This is what is being done systematically. We need the capital markets for capital allocation and not for momentum games. Thirty years back, pension funds used to have 30% in equity and 70% in bonds. Today, it is the reverse. What do you expect but volatility.

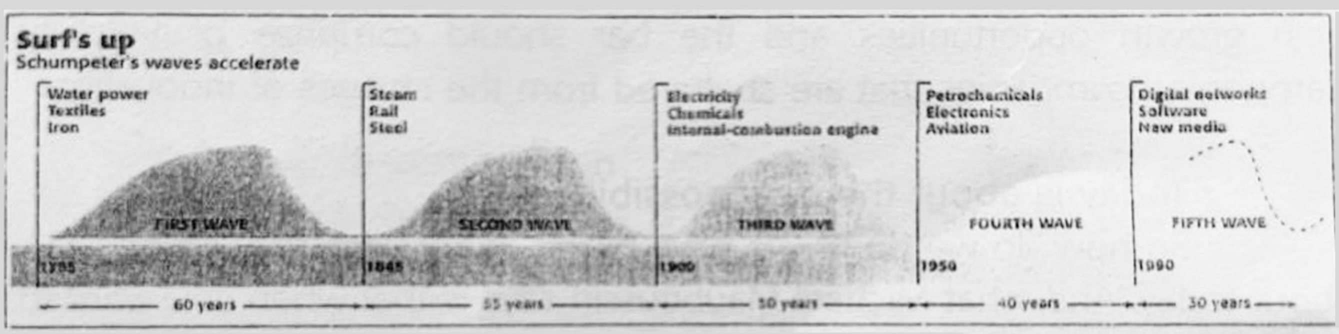
Try and make a list of companies with 25% RONW, unallocable capital, a very strong services thrust and you will see a minuscule number. One good thing with quarterly results is that you know the unallocable capital in a company. A company like Castrol has Rs 395 crore of unallocable capital and a Rs 125 capital employed in core business. This is real productivity which means doing more with less. It is like the scientific phenomenon called the coefficient of linear expansion which is the number of units of heat required to expand a metal. If you have to apply a large number of units to expand the metal marginally then the cost of the expansion is terrible. But if the heat is minimal and then it expands, then it is very efficient. We are moving to an era where productivity is not reflected in the books. The book only talks about tangibles but there are also intangible assets that produce profits. It is these intangibles that produce the unallocable capital. They cannot be measured directly. The real way to measure intangibles is the unallocable capital.

This is what investors like Buffett look at. Buffett says very clearly that time is the friend of the good business and the enemy of the bad business. The markets are saying that time is not a friend of the good business. Even if the business is bad, go for it if there is growth and momentum. But growth without productivity is like keeping on giving heat for minuscule growth.

**Yesterday, Today and Tomorrow**

Let's go back first to yesterday. The basic theme that runs here are the innovations which have also been described in the Economist, February 18, 1999 and in Michael Mauboussin's article "Innovation and Markets" (CSFB publication).

The cycle started in 1785 with water power, textiles and iron and lasted for 60 years. It went on to steam, rail and steel which lasted for 55 years. The third wave started in 1900 and comprised electricity, chemicals and internal combustion engine and lasted for 50 years. The fourth wave started in 1950 comprised petrochemicals, electronics and aviation and lasted for 40 years. The fifth wave which we are currently in comprises digital networks, software and new media and is expected to last for 30 years. One thing common about these cycles and the stock exchanges is that every time the cycle peaked out, the share prices had peaked out before.




Reference: *The Economist*

One more interesting thing is that the cycles are getting compressed from the reverse of an S to a badly written N. So, the cycles are getting smaller and narrower.

**Stability in the competitive advantage period**

Where do you invest when the cycles are getting smaller? But even in the midst of this rapid change is some stability which Mauboussin describes as the competitive advantage period. He comes to the conclusion that the valuations of those companies which have a large competitive advantage period should be higher than those with a smaller competitive advantage period. All the new technologies of today face severe discontinuities, but as investors we need to go into companies that have higher competitive advantage period to get the benefit of compounding.

**Early identification of opportunities is key when investing in discontinuous technology**

Ultimately, he says that even those industries which have longer competitive advantage periods might not have exponential growth. But since they have longevity they are more valuable than those that have a limited life. But he doesn't stop there. He doesn't say that these are the only valuable companies. What he is trying to suggest is that investors will have to become more alert and look at the possibilities where the explosive growth can come about albeit for a limited period of time. What will pay will be investor's ability to identify those opportunities somewhere near the beginning.

So, the investor will have to be like a venture capitalist. Mauboussin doesn't mean a venture capitalist in the sense in which it is used today. He says one of the attributes should be that the investor should be able to pick up an opportunity at a considerable discount. Thus, the portfolio should become barbell shaped. The two edges of the barbells are the high-risk high growth opportunities and the bar should comprise volatility dampening companies that are sheltered from the ravages of innovation.

**Today is about the new possibilities**

So how do we do it? We have talked about yesterday. So, let's talk about today. And what Michael Mauboussin says is that when you want to go for the newer technologies, the newer risks have to be taken somewhere at the beginning of the curve and not at the top end of the curve. Do we want to identify and take a risk at a price which is not expensive? In today's financial market there is so much of information or rather misinformation. We talk about P/Es, we talk about book values, we talk about growth rates. We do not talk about the new possibilities, the new prices. We do not talk about the competitive advantage period. We do not talk about what's happening around. At best you can see in the media channels what's going to happen in next half an hour. Have we ever tried to identify what are the possibilities? Now these possibilities as described by Edward de Bono mean that we have to move out of the square and think out of the square.

**There is no such thing as free money**

The venture capitalists get access to large funds but this is nothing but subsides. And with that subsidy they have ruined themselves. I am seeing very clearly that whereas technology should be a means to an end, it has however become an end by itself. The end to make money. And not as a means to create riches ultimately for society. This is Fortune article (December 4, 2001). Now let me read something from Bill Joy. He says, "People are pricing these stocks assuming that the companies will grow 100% annually compounded for some incredible number of years. We may have hell to pay when these companies can't meet these expectations and we can't raise capital. I sold most of my other optical networking stocks, because even though I think they're great companies, with valuations at 600 times forward P/E, the only way they'll be fine is if they all turn out to be the next Cisco. Realistically, how many half-trillion-dollar market-cap companies are we going to have."

**Crazy market capitalisations are not sustainable**

Look at what he was trying to say. Cisco and Microsoft between them had somewhere in February or March 2000 a combined market capitalization of $1 trillion. The market assumption was that they are growing at fifty percent. Now if you compound this for 10 years these two companies will be worth $58 trillion. How do we manage an economy in which there are two companies worth $58 trillion which is a quasi-currency in a GDP of $10 trillion? Were these valuations really sustainable?

**Is this the "Perfect Storm?"**

Let me reinforce this. Bill Savoy is the asset manager of Paul Allen, Microsoft's co-founder. This is what he says, "That's why I don't see how this downward cycle for the valuation of tech companies can be stopped right now. I do agree that technology is the place to be. It will drive us forward for a long time. But that doesn't mean you should buy technology at all costs. Sometimes you have to deal with the hard reality that the business cycle is here to stay, and that you will go from extremely overvalued to extremely undervalued before you get back to fair value. I'm still waiting to get to the extremely undervalued place so that we can again be aggressive investors in technology. There's another indicator we haven't seen yet. Bubbles always end with debt problems. The real estate bubble ended with debt problems; the junk-bond bubble did the same, so did the Japanese bubble economy in 1990. The last chapter of this cycle will mean serious debt problems for individuals. I wonder how many people are overleveraged, as they've been afraid to sell their thinly traded securities. When you're worth $5 billion on paper, you can borrow a half a billion and feel pretty good about it, but when all of a sudden you wake up and your net worth is $700 million, you don't feel so rich anymore. Credit card and consumer debt are both at an all-time high. And despite the rhetoric, we don't really have a surplus at the federal government. So, I'm waiting for debt to get the spotlight. But I suspect you'll have to see equities unwind a little more before you get there. At Vulcan we saw this occurring in the second half of last year and have done everything we can to prepare. I'm probably more concerned about this than most money managers, and I am definitely more negative than any senior executive I've run into. They all say I'm overly dramatic. I won't say I'm predicting a "perfect storm," but I am saying the weather outlook isn't too good. So, what you ought to do is anchor your vessel in the harbour, get inside under cover, and let the storm blow over, however bad it may be. Why take the risk of being on the water when you absolutely know that there's a storm coming?"

**Excessive optimism causes painful corrections**

Robert Rubin in the Economist Annual 2001 wrote: "Economic history is replete with developments, such as the railroad, the advent of electricity, and the development of mass production that greatly increased productivity. None of these, however, eliminated the business cycle. They also generated excess optimism that led to trouble and painful corrections. Today, the large inflows of capital to the United States, which finance our current-account deficit, the excess of domestic growth over output growth, our low personal-savings rate, and the high level of the stock market by historic standards, may-not are, but may be excesses reflecting an overreaction to the real strengths of the United States economy, including the productivity growth stemming from information technology. If in fact these are excesses, they will have to unwind – in a soft landing or a hard landing – and that unwinding could possibly be a vulnerability for global financial markets."

**The sooner the corrections, the better**

Now what are those excesses. The current account deficit is above 4 percent of the American GDP. The private corporate deficit is another 7 percent of the American GDP. This is being transferred by the rest of the world to the U.S. Now how long can the rest of the world do this and if it doesn't what happens? Interest rate reduction is going to do nothing because this is a structural change where the debts have to be unwound. The sooner you do it the better it is. It will be hard but if it is hard it should be sooner.

**Only way ahead is to improve productivity**

So, this is today. Now let's look at the tomorrow. If this country has to survive, we need to improve productivity. Why are the politicians and bureaucrats doing what they are doing? Aristotle has stated that in a civilized society the current generation saves for the future, whereas in the barbaric one the barbarians gulp everything that they have and then pounce on the accumulation for the future. Is this what we want to do? Productivity has to improve and not the transfers from the people to government.

**Budgetary exercises are only transfers**

Unless productivity is improving what is the government attempting to tax?

**Open up to competition**

The only answer to this is to open up this country to foreign direct investment. It should not be like Southeast Asia where the money moved into family crony capitalism. Or something like Japan which went on reducing the interest rates so that three percent on the net worth was considered a very good return. We must allow anyone who wishes to come to this country to invest. Provided the firm gets listed at the stock exchanges to the extent of 26 percent. The FDI will come in as also the foreign portfolio managers. The money coming in will not be less than $30 billion a year. So we can start competing with China which gets $50 billion.

**Take risks cautiously**

Someone rightly asked how to make his portfolio barbell shaped. There are some risks that will have to be taken. Nothing is riskless. Equity is never riskless. But it has to be taken at a price. So, you will have to learn to make a call but the call should be what you can write off. I am a very risk-averse person. But I do want to take a chance to the extent I can write it off in a year. Unless you have this kind of a thinking investing is going to be very tough. It's no longer as Michael Mauboussin says about P/Es, books, histories – it's all about competitive advantage periods.

# Bharat Shah

**Bharat Shah is CEO and principal shareholder of ASK Raymond James Securities (I) Ltd, responsible for the growth and success of wealth management business. Prior to that Mr. Shah was chief investment officer of Birla Mutual Fund and General Manager – Investments for Apple Finance Ltd. He has also worked for Grow more Research and Asset Management Co Ltd, Mumbai, Asian Paints (India) Ltd. and Blow Past Ltd, Mumbai.**

**Mr. Shah has done his MBA in Finance from IIM, Kolkata and had topped in Finance. He is a Chartered Accountant from the Institute of Chartered Accountants of India and a Cost Accountant from the Institute of Cost & Works Accountants of India.**

*CIO: Could you briefly tell us what is your investment philosophy?*

**Value the business, buy with a margin of safety, be patient and learn to sell**

*BHARAT SHAH:* Over centuries, the basic fundamental tenet of investing remains unchanged. According to Buffett, investing is the art of buying a business that is worth a dollar (or rupee), but pay only 50 cents (or paise) for it. Behind this simple philosophy, there are probably four aspects involved. The first aspect is that you recognize the value of the business; that it is worth a rupee. Having recognized the value of the business, you have the conviction to go ahead and buy it at the current price of 50 paise rather than follow the crowd. While price and value converge over the longer term, there may be a gap either in favour of price or in favour of value in the shorter term. Therefore, the third aspect of investment philosophy is to patiently nurture the investment till it reaches the underlying value. Finally, the fourth aspect would be to recognize that once price converges from an undervalued zone to a fair value zone, more often than not, it crosses and gets into an overvalued zone. At that stage, one must have the wisdom to go ahead and sell it.

Investing can be exemplified by what is referred to as the ant philosophy. The ant is a very focused creature. If you put an obstacle in the path of an ant, it remains unruffled and continues towards the destination (or goal) that it has set for itself. Secondly, during winter, it plans for the summer and vice-versa. In other words, it knows how to plan ahead of the eventuality. Thirdly, it doesn't despair during winter. In fact, it is working vigorously to plan for the impending summer season. Finally, the ant remains positive in its outlook and does its best even as it remains clued on to its objective. When the summer is finally out, it ceases to remain inside anymore.

This ant philosophy is an appropriate analogy to what investment is all about. In other words, you remain focused, you stay ahead and plan ahead, you don't despair and turn negative when there is a gap between price and value or when things don't work exactly in the expected time frame. Finally, do your best.

**Buy management, buy quality and don't overpay**

This is what my investing philosophy is all about. Buy into quality businesses, look for management with vision, confidence as well as integrity, and pay a fair price. Typically, you are actively searching for ideas that are undervalued. Since your focus is on the long-term, the price at which you buy a business is a critical parameter. You should remain in the comfort zone irrespective of market behaviour. The idea is to arrange your portfolios (as Buffett puts it) in a manner that will enable you to avoid permanent loss of capital, although you may suffer quotational losses at times.

*CIO: What are the techniques that one can use to determine value?*

**Investing is both science and art**

*BHARAT SHAH:* Any asset, including stocks, is nothing but a summation of net present values of its future cash flows. The scientific aspect of that is simple – you forecast all the future cash flows, discount them at a given rate, add them up and compare it with the price that you are paying today. If you find that the present value of the future cash flows is superior to the price that you are required to pay, you go ahead and buy that business. It implies the underlying margin of safety.

The art aspect would arise in judging the character of the business: for instance, estimating the size of those cash flows, which is quite judgmental. The next step involves determining the pattern of cash flows – whether stronger cash flows will occur in the early part of the lifecycle of that investment or later. This would have a bearing on the net present value (NPV) that you are willing to pay. Moreover, there is the element of predictability and durability of those cash flows. It means that if you are confident about the predictability and the sustainability of those cash flows, then the level of risk you attach is lower. The discount rate used by you to judge those cash flows would reduce and, to that extent, it improves the valuation of the asset for which you are paying. Finally, the most important aspect of valuation is measuring the duration over which the cash flows are going to last. That means the period for which you believe these cash flows are realizable.

While the scientific aspect is quite simple, the judgmental (or art) aspect is crucial to valuing a business and it varies from one individual to the other. This involves judging the character of the business, the kind of cash flows it can generate, the capital intensity and the free cash generating capability (after paying for the capital intake), the cash flow pattern, the robustness of the cash flows at any point in time, and the duration of the cash flows.

*CIO: You discussed the four aspects of cash flows – size, pattern, predictability and life – you useto value the business. But how do you assess management, since it is relatively less tangible? I am sure you must have come across both good and bad management and experienced both right and wrong management choices.*

**Analysis, capital intake, capital productivity, capital allocation and capital distribution**

*BHARAT SHAH:* Well, you can judge a business by analysing capital intake, capital productivity, capital allocation and capital distribution. Typically, you will look at a business that has low capital intake, high capital productivity, wise capital allocation policies amongst different competing opportunities, and a fair capital distribution policy to reward major or minor stakeholders in the venture.

The first two factors essentially pertain to the business because capital intensity and capital productivity are, at times, inherent characteristics of the business. While management does have a role to play in altering it, these two factors are typically embedded in the quality of the business. It is the last two factors, capital allocation and capital distribution, where we enter into the realm of management. A wise management will remain focused and allocate capital only to those opportunities that will create value rather than destroy value. As they create more and more cash, they have a choice of paying back a portion of it to the stakeholders or putting it again into fresh opportunities than can result in further wealth creation. Thus, capital allocation and capital distribution are objective methods to judge the record of the management.

On the other hand, the subjective aspects of assessing management would involve interactions with them to understand their thinking, their philosophy, the way they survey the landscape (within and without their own business), their vision, and their knowledge of opportunities and threats in the environment they operate in. However, these are additives (and not a substitute) to the objective aspect of the business – return on equity (ROE), which is the "holy grail of the management." A long-term ROE will tell you most things that need to be told about the management; that is the measure one would trust more than anything else. Meanwhile, you can always embellish your perspective by having a dialogue with the management to understand their value system, integrity, and thinking.

*CIO: While making an investment, you will probably not compromise on any of the four aspects (discussed earlier) that go to value a business. However, besides these aspects, what are the other conditions that may not necessarily be present in all the investments you make, but have worked for you in some of your more successful investments in the past?*

**Look for a high growth rate and acceptable productivity of Capital**

*BHARAT SHAH:* Stock prices are slaves of earning power. No matter what your argument may be, eventually it must be reflected in the earning power. Once earning power gets reflected in the financial statements of the company, there can be no argument against it. What kind of people are running the business, how are they going about it, how fair or visionary are they – these could be a matter of opinion. If the earning power reflected in the financial statements is genuine, then stock prices would be beholden to them and would track and trail them.

I believe there are times when you may come across a business which may not fulfil all the quality criteria. In other words, some of the operating characteristics of the business may not be as enduring or as powerful as some alternate business opportunity that may be before you. However, there could be other factors that can still make them very attractive – one of the most important being the element of earnings growth. High growth rate coupled with acceptable productivity of capital can many a times be a more potent and powerful driver of stock prices than, let's say, high productivity of capital but with low underlying levels of earnings growth. A purely 'Grahamian' value is less of an attraction to me than value backed by above average earnings growth.

For instance, if you compare the Indian software services with a pure brand business of a consumer goods company, it would be apparent that with regard to the underlying quality characteristics of the business, the consumer goods brand is stronger than the software services business. That's because the durability of the business is longer, the stickiness of that business is relatively higher, the capital intake required is low, and the capital productivity (if you build the brand successfully) is quite high. It meets will all the tests that you would look forward to in a good investment. However, more often than not, you don't get the opportunity to buy these investments really cheap, except when the markets are in distress.

On the other hand, you can argue that software services are, more or less, a refined version of commodities. There are ingredients of a commodity that are present in software services. The scaling up gets tougher and the per-unit realization over a period of time is likely to decline. Moreover, software services are not automatically renewable (unlike buying a toothpaste). In other words, you not only have to hunt for new business (or customers) to replace the existing ones but increase the customer base to achieve the desired level of growth. As a result, scalability and management challenges arise making it a difficult business. Therefore, a successful consumer goods brand, other things being equal, is a superior business. However, when you have a powerful medium of growth, a new trend, or a new idea that also has the potential to become a large activity by itself, then despite certain inferior features, the actual returns you may earn by buying them early and holding them, while the growth lasts, may be much more than what you can ever hope to get from some of these mature brand businesses.

Theoretical or intellectual debate apart, however, it would be fair to say that every business, good or bad, has a lifecycle. Depending on the business lifecycle, even good businesses turn bad. For instance, with the pace of changing technology and plethora of choices, consumer brands can become commodities thereby putting increased pressure on the business. In the scenario, you are better off staying away from these businesses regardless of whether it is software services or consumer goods.

*CIO: How has your investment philosophy changed from what it was, say 5-10 years back?*

**Emphasise the quantitative over the qualitative**

*BHARAT SHAH:* Rather than the philosophy itself, I believe it is the application of the philosophy that has changed over time. Besides buying into good businesses, the quality of management remains an article of faith for me. There was a point in time when I would not touch a company if it had a management that I was not completely comfortable with. I would completely shun the company if the management test did not measure up to the desired level.

Over a period of time, however, I have become a bit sceptical, if not critical, about how much I believe in what management says, regardless of how large or successful is the company. It means that I have come to pay relatively higher premium on the underlying earning power (quantitative evaluation) than on the qualitative evaluation of the management, compared to what I would have done at one point of time. In that regard, my priorities have changed; I have come to believe that if there are strong cash flows and earning power in the business, then the market would pay a value for it just as it does for any other financial asset. Trying to excessively debate on management can only lead to frustration and missed opportunities.

However, that is not to say that you will be willing to buy into any management. You still remain very selective but, eventually, it is the business quality that transcends management quality. In other words, if the business is superior, it would be fair to put a higher valuation on the business than on the management. The second aspect is the discipline of not believing yourself too much. Sometimes, a very high degree of conviction is only a small distance away from making a big mistake. When you have a strong belief about something, there is always a risk that in order to sustain it, you will exclude any alternative opinion that may be more valuable or more relevant. In the process, you could end up with losses or missed opportunities on the portfolio. In a nutshell, I have learned to temper my level of conviction on the infallibility of businesses (or the people running them). I have come to realize that many of these factors can change much faster than our thought process would encompass them and, therefore, it is always useful to keep one's enthusiasm under a good healthy check.

**Believe in the long-term**

My belief and confidence about long-term investing as a religion is even higher than ever before. However, for most people investing is all about speculation, and long-term investing is dead. No doubt, fundamentally, businesses have become more fragile, the length of time of sustained competitive advantage is shrinking, and the ability of the competition to replicate a superior advantage built by you has become much higher. To that extent, the durability and the predictability of the business cash flows can legitimately come into question, especially in a fast-changing business. Having said that, however, I don't think fundamental principles of investing have altered. All it means is that you need to be more patient than you used to be – that you need to move away from the craziness and the volatility and that you need to remain singularly focused on paying half a rupee for a business that is worth one rupee. Doing that with a sense of discipline is what long-term investment is all about.

**Remain focused, objective and honest**

*CIO: You mentioned that we should develop a reality check on overconfidence. What indicator scan you use to determine your overconfidence and how do you implement a reality check?*

*BHARAT SHAH:* Well, one important method is to ask your friends or colleagues or people whom you respect (for their investment beliefs) to give you an independent opinion. No matter how good your convictions are, it is always useful to get a second opinion from someone whose investment thinking and philosophy you respect, especially if the opinion is contrary to your belief.

Secondly and, more importantly, do not merely listen to them but critically apply it. Moreover, consciously be on the opposite camp to try and see that how you can actively seek negative reasons for not holding on to portfolio positions rather than constantly seeking an opportunity to maximize your holdings. It would work if you remain focused, objective and honest about seeking and applying the feedback in a critical manner.

Thirdly, it would be useful if you could delve a little bit more into the history of the stock or markets. While stock market investing is all about the future, history is always a very useful guide to what that future is likely to be. There are invariably valuable experiences recorded in some part of history that is relevant to the current situation. At any point in time, there will always be a parallel available in the economic history, which resembles the conditions that you are witnessing. The characters may change, the acts may change, the stage or the creator may look different but the underlying theme will be the same. To grasp it and to ensure that you don't replicate those mistakes, you can cheaply and inexpensively learn by looking into history – a valuable discipline to keep.

**Keep enthusiasm in check**

Finally, one should come to believe that nothing in the system, on a prolonged basis, can uphold what seems contrary to sustainable behaviour associated with a particular attribute. Eventually, all businesses revert to the mean. For instance, it is healthy to believe that you can never sustain earnings growth of 40-50 percent forever. The trick, therefore, would be to look for every characteristic (which you are banking on) and to see what are the best instances available that can support the highest case attributable to that particular characteristic. Above all, keep your enthusiasm within check.

*CIO: In the event of your being a loner over a particular idea, how do you take things forward?*

**You are right not because of the consensus but because of your reasoning**

*BHARAT SHAH:* Being a loner is not a source of concern. That would only make you more vigilant with the thought that if nobody believes in it, then chances are that you could be wrong because it is unusual that there is only one person to whom the idea has struck. Usually there are likely to be more people to whom the idea would appeal. It is not likely to bother me that few believe an idea; it is just that the fact that nobody else believes in that idea should definitely make you more cautious.

On the other hand, the fact that nobody believes in a particular idea should be of very little consequence to you. As Buffett said, you are not right because others are agreeing with you, you are right because your reasoning (or understanding) is right. So long as your reasoning (or understanding) is right, whether others agree or not, I think it's only a matter of time before the markets begin to reflect the underlying earnings power. If your reasoning is right, then those cash flows would occur and markets would invariably reflect them into the price. When you are a loner, you have to be prepared psychologically for the long haul and you have to be sure how much percentage of your portfolio it should occupy lest you should end up taking a disproportionate risk. That's a useful principle you can use to keep the portfolio risk under check. Moreover, the level of vigilance on that stock would be obviously far more intense than you would otherwise do.

*CIO: Regarding the change in investment philosophy, you said you believe, now more than ever before, in long-term investing. But you went on to say that the durability and the predictability of the competitive advantage have reduced. How do you reconcile with these two conflicting statements?*

*BHARAT SHAH:* I think the fragility of the businesses and shrinking shelf life of an idea has a clear bearing on the longevity of the business and, to that extent, it's a mathematical equation because you are discounting the future cash flows to the present. If you have a shorter period to forecast those cash flows, you would have a lower value attached to the net present value (NPV) today.

**Distinguish between the competitive advantage period of the business and your holding period**

There is a distinction between the length of time you are prepared to remain invested in a business and the period after which the business may start looking fuzzier to you. Therefore, it is one thing to be prepared to remain invested in a business for a given length of time, so long as the business continues to perform. It is quite another to say that a business, which hitherto looked crystal clear for the next thirty years, will hereon become fuzzier after 10 years. This will have a direct bearing on the value that you are willing to put on the business. One is the length of time beyond which assessment of the business is rendered fuzzier and the other is the length of time for which you are prepared, psychologically, to hold businesses if the underlying characteristics are holding well.

**Buy price is in your hand, sell price is decided by markets**

However, the fragility of the businesses has increased and competitive advantages get eroded faster than ever before. This only ensures that you be more disciplined on the price that you are willing to pay for businesses. You recognize that the only thing you have in your hand is the buy price. The sell price is in the hands of the markets because the time taken to recognize a certain idea is only going to be decided by the markets. The fact that you have bought a stock is not necessarily going to make it valuable in the eyes of the market from the next day. That means you have to be even more disciplined and stingy in terms of the price that you are willing to pay. In other words, you have to ensure that you buy it at a cheap price so that even if you are required to hold it a little longer or even if the final value turns out to be lower than what you initially estimated it to be, yet you end up being on the positive side of the game.

*CIO: Due to this external change, wouldn't the duration of your portfolio or the average holding period of your portfolio, in general, come down now more than ever before, not because of your own philosophy but because of what is happening in the marketplace?*

**A 10-year view on businesses is difficult**

*BHARAT SHAH:* It is practically difficult to have, say, a 10-year view on any business today. While one can always speculate into the realms of fancy theories, one also has to be honest to admit that it is getting harder to judge businesses beyond the next few years. Therefore, you have to make a sincere attempt to understand them at least for those few years that you can see relatively more clearly. If you can't see beyond a certain time period, you will have to be honest in admitting it and, to that extent, you have to be very critical about the price you are willing to pay for the business. In other words, you keep the margin of safety as a supreme principle ahead of you, which means you recognize that the business characteristics are turning for the worse or are harder to predict and you let that get reflected in your actions by arriving at a more conservative assessment of intrinsic value of a business.

However, at a philosophical level, I will still draw a distinction when I am talking about long-term investing. It is one thing to talk about the length of time for which a business will exist. It is quite another to discuss the length of time for which you are willing to remain invested provided the underlying characteristics behave well. Today, regardless of the performance of those characteristics, the markets continuously behave like a hyperactive voting machine. I can't understand or feel comfortable with that behavioural syndrome. I don't believe that's the way to create wealth or make profits. That's the way to pander to the basic instincts of the market. The fundamental rationale to have a belief in long-term investment is even stronger than ever before. In terms of practical application, you remain much more agile about judging the duration or the lifecycle of the business in which you have invested. Rather than being laid-back, you remain very critical about it. While I have a lot of respect for the underlying meaning implied by Phil Fisher when he was asked what is a good time to sell a stock and his answer was that the time to sell a good stock is almost never, I believe it would be very difficult to follow that. The chances are that the portfolio can run into some really risky zones. The result is that you remain much more critical, agile and watchful of your portfolio. When you feel things are indeed changing for the worse than what you believed in or ascribe to a particular business, it will be more useful to go by what the reality is telling you, rather than what you may want to see.

**Avoid permanent loss of capital**

*CIO: Can you tell us what is the investment objective that underlies your investment philosophy? What are risk and return elements of that investment philosophy?*

*BHARAT SHAH:* One is to arrange the portfolio in a manner where you avoid permanent loss of capital. On an individual stock basis, you may or may not always be able to avoid it fully. Secondly, one would have to recognize that there is a respectable proportion and balance between what an overall economic system can generate as a sensible return and what your portfolio can. That's because your portfolio is not isolated from that overall economic system. There is always a healthy ratio between the two, beyond which if you want to push the envelope, chances are that you may end up doing it on the wrong side. Therefore, in an environment where alternative risk-free rates of return keep collapsing, you cannot hope to gain higher returns, as one would have been accustomed to in the past. In other words, there is a need for people to have a healthy check on what you can expect from the market and that has got to have a reasonable proportion to what are alternative risk-free rates of opportunity.

Moreover, the idea is to generate returns (or wealth) in a manner that is enjoyable. You do not want to generate wealth by being in a hyperactive mode, wherein constantly you have to reckon with things in order to generate that return. I mean, the idea of wealth is to enjoy it and not to have ulcers. However, if that is the only way you can create returns, I would think that that methodology is questionable. Finally, all things being equal, if I had a choice to earn the same returns out of fewer stocks rather than too many, I would definitely prefer to do it with the help of the former.

*CIO: What is your realistic target for the number of stocks and the portfolio turnover?*

**Keep portfolio turnover low**

*BHARAT SHAH:* I don't have any targets for portfolio turnover. Ideally speaking, you would like it to be zero but reality can be quite different. Businesses lose their vitality and their useful economic life and, at times, they get so crazily overvalued even without losing the economic vitality that there is no investment rationale to hold them then. In each of these conditions, you would be prepared to sell the stock. When and how these events will pan out is rather difficult to estimate. Rather than setting a benchmark portfolio turnover ratio, my mindset would be to keep it as low as possible and to let sell decisions be governed by prejudged assessments of intrinsic or fair value of each stock. When you sell for a reason other than the fact that the stock got overvalued, you would like to undergo a bit of sales analysis to see why it did not work out exactly the way you wanted it to work out. Or why a particular stock deteriorated earlier than what you believed it would have in terms of underlying economic characteristics. So, you have a self-report card before you every time something like that happens. In other words, it is the discipline that I would like to keep as a benchmark for portfolio turnover rather than a certain number.

In terms of number of stocks, about 10-15 would be adequate. Greater than 15 is certainly much more than what we need and less than 10 can somewhat be a risky proposition, especially in the context of eroding competitive advantages of various businesses and shrinking shelf life of ideas. Probably in an earlier era, you could have been happy with 6-8 stocks. However, in an era where changes are paramount, both the level of change and the speed with which these changes are occurring make you somewhat more sober about that assessment.

*CIO: Is there a ceiling on portfolio positioning of individual stocks?*

*BHARAT SHAH:* Well, there are businesses that are much more mature, where economic characteristics have been assessed over a longer period of time (and under different conditions) and have turned out to be robust. When such businesses become artificially cheap due to changes in market psychology, I would be prepared to buy up to 10 percent of the portfolio. For businesses (or ideas) that are relatively newer or less tested under different conditions, I would probably prefer not to buy more than 5 percent of the portfolio at the time of making the investment.

*CIO: You said that you will sell a particular stock if the business is overvalued or if it has lost its economic vitality or its economic use. Besides these, are there any other exit criteria?*

**Understand portfolio psychographics**

*BHARAT SHAH:* Yes, when the character of the portfolio (also called portfolio psychographics) changes. The character of the portfolio is much like the character of a particular stock, which involves analysing the attributes that you would ascribe to that particular stock with regard to its vibrance, vitality, productivity, growth and maturity, among other things. What you would seek from an individual stock, you would seek from the portfolio as a whole. The important task would be to constantly evaluate portfolio, see that it meets with the broad psychographics that you would like to see in the portfolio as if it (the portfolio) were a single stock.

Due to changes in the market place, some of the positions may have done particularly well and some may not have done as well. This could have a deep impact in altering the character of the overall portfolio. In such a scenario, you may want to do a little bit of tweaking to bring it in line with what you think should be the defined personality of the portfolio. These are likely to be relatively fewer occasions but when such a situation occurs, you act upon it and exit from some of the stocks despite the fact that they otherwise probably continue to pass the tests that you have set for them.

*CIO: Can you describe the portfolio psychographics followed by you?*

**Portfolios combine 'yield', 'deep value', 'big fish in a big pond' and 'high growth'**

*BHARAT SHAH:* I typically try to compose the portfolio from four baskets. The first category, called the 'yield' category, includes stocks with a minimum underlying dividend yield. At the same time, they have to be growing businesses – the underlying business should at least have the vitality to produce a minimum level of sustainable earnings growth.

The second category is the 'deep value' category where the valuation placed on the business is shockingly low (typically running into very low single digits), yet the sustainable earnings growth expected for the business is well in excess of the valuations discounted by the markets. That means if a business is available at 4-5 P/E and you believe the earnings growth rate of the business is more likely to be 10-14 percent (and the length of time you believe the business is viable is a lot longer), then that would be an effective category to earn good returns.

The third category is what I call the 'big fish in a big pond,' wherein the size of the opportunity is huge and the company may be a small player today, but has displayed enough alacrity and wisdom to scale up and scoop a meaningful percentage of that opportunity. This means the pond is huge, pond conditions are right, the waters are clear, and the conditions are such that there is enough food for the fish (that is small today) to grow and turn into a healthy large fish. Thus, you've got to focus on businesses where the size of the opportunity is huge and, at the same time, the player is available today at a price much smaller compared to the size of the opportunity. In a nutshell, here you may be prepared to pay a slightly improved valuation, maybe in double digits but not terribly high, and the underlying earnings growth rate is significantly ahead.

The last category includes aggressive growth stocks that are highly risk-prone; you have to tread very carefully. The valuation makes sense only if the implied earnings growth rates are very high. The valuation for the business is not really cheap – typically maybe in excess of 20 times earnings, but where you believe that the underlying earnings growth rate is much higher and sustainable over a fairly long period of time. Here you need to have a compelling reason and a very high degree of conviction to believe that the risk on the earnings growth rate is as small as you are able to envisage and the duration for which these earnings would sustain is long enough. Else, there is a very clear risk of losing capital when you are undertaking to buy them at those prices. Typically, my effort would be to confine exposure from this category to no more than a couple of stocks in a 15-stock basket. My aim would be to buy them when the overall economic value that you are willing to pay for that business (in amount) is still low, though valuations may look high. The overall value for a company should not look unduly high in the context of the underlying earnings growth rate that you believe in. Given the risk involved, these have got to be compelling convictions.

These four categories form the cooking ingredients for the portfolio. Depending upon the kind of opportunities available and what the rest of the economic system is in a position to generate (what your assessment is), the first three categories would together let you form the bulk of the portfolio in the 'yield', 'deep value' or 'big fish in a big pond' category. My conscious attempt is to ensure that from these four categories, there have got to be at least a few stocks (hopefully 20 percent) that you must believe to be 'multibagger' opportunities – stocks that really outscore so much over the others that the overall portfolio will end up generating superior returns.

*CIO: You said that there would be not more than two stocks from the fourth category. With a 10 percent limit per stock, this would translate to roughly 10 to 15 percent of your portfolio. If the stocks from the third category comprise 20 percent (or even more), what would be your allocation for the first two categories considering that you will have to make room for each of the four categories?*

*BHARAT SHAH:* Typically, I would be comfortable, at any given point of time, to have a fifth of my portfolio in each of the first two categories, regardless of the opportunities available in the category three (big fish in a big pond) stocks. That will be a good measure to ensure that there is an in built risk control in the portfolio and it would help to generate meaningful returns (without giving shocks) regardless of market conditions. However, one would like to see as many opportunities as possible in the category three without diluting the overall character of the portfolio.

*CIO: Based on your studies and experience, what typically would be the time horizon for some of your investments?*

*BHARAT SHAH:* I would be hard-pressed to really look beyond three years today at all facets of a business. Therefore, my time-frame would be to evaluate it for the next three years, not that you don't take into account the overall period beyond – you do have a view on the overall length of time for which the useful advantages will last. However, you want to form the more immediate perspective considering that the near term cash flows get reflected relatively more in the valuation than the more distant cash flows. In other words, you would want to focus a little more strongly on the earnings characteristics for the next three years, while keeping in mind the longer-term picture and potential.

*CIO: How would you go about defining your investment universe? What are the determinants of your investment universe and how frequently do you change the universe itself?*

*BHARAT SHAH:* The underlying criteria for determining the universe remains fairly stable. The names thrown up in the universe could vary depending upon how the underlying earning power or the valuations have changed. However, the characteristics that you use to pick up the stocks are relatively more durable – you are not required to really change them too often.

Coming back to the four categories, to pick stocks in the 'yield' category, it's relatively easier to set up the filtering screen, based on certain filtering characteristics like a 'minimum' yield or a 'minimum' growth rate of earnings exemplified over a certain time period. That will throw up a list of stocks along with other with desirable characteristics, such as return on capital employed (ROCE), return on equity (ROE), etc. In other words, the list is generated objectively so that you don't contrive the list to suit your innate inherent beliefs. Having got the screen based on the defined criteria, you want to apply a subjective judgment and pick and choose, because some may obviously not make sense and you simply chuck them out. For instance, good or bad management is a subjective viewpoint. The final screen would run on daily prices to see that it meets with the target price at which there is an economic value of buying into that asset.

Similarly, to pick 'deep value' stocks, you define the low level of valuation and the minimum underlying earnings growth rate, which will throw up the screen again. You may obviously like some stocks because you know enough about them. Right away, these stocks become candidates to be included in the portfolio. You subject the remaining to greater scrutiny and then figure out whether you want to include them or not. These would also include stocks you like, but fail to meet with your price characteristics or the price that you are willing to pay. In such a scenario, you assign a price at which they would become a valuable buy and follow it up in a disciplined manner.

*CIO: Having applied or built a 5 percent position in a stock, how do you go about updating yourself on the stock? What is the frequency of company interactions?*

**Read annual reports and understand management psychology**

*BHARAT SHAH:* The most important thing is to read the annual report carefully; that is, one carefully weighed, externally certified document you have about the state of affairs of the company. The annual report also contains discussions by management that tells you what they think will happen in the future. It lets you understand management psychology and beliefs about the future. If you have witnessed such discussions in the past, you will have a good clue as to how good the management judgment is about the future. That tells you a lot of things that is there to be known rather than really needing to ask others.

In addition, an objective dispassionate analysis of the past numbers done meticulously is an indispensable attribute for good stock picking. Before we begin to embark into the future, we have to go into the past. It means we have to relive how the stock has behaved in the past. Moreover, unless there is a deliberate attempt made to hide information, a few years' financial statements tell you a lot of things about the business. If one does a proper financial analysis of the past financials, it is unlikely that you can get easily deceived.

The past, however, cannot tell you the future. It can tell you neither the impact of future management initiatives not the possible changes in the environment. The sources for remaining abreast of those developments involve periodic discussions with management since you typically want to have a bit of continuity from the past. For instance, review the judgments of the last meeting and how these have turned out in the next meeting to figure out the degree of consistency in the management indications and discussions.

Moreover, it is most important to maintain an underlying macro theme about the business you are invested in. For instance, issues regarding the size of the opportunity, factors that can change the character of the business, or aspects that can make or mar the business. A comprehensive understanding of macro and micro issues will allow you to take a very healthy critical evaluation of what you are doing.

Finally, whether good or bad, the quarterly system of reporting the earnings keeps reminding you every 90 days about what has happened to the health of the business. In other words, every 90 days you have got a summary or tool that will make you want to at least look at the company. However, a quarterly analysis in isolation has very little value to add – neither to be elated about nor to be distracted by it. I think it is merely one of the beads in a continuum.

*CIO: What are the valuation tools that you use in your investment decisions?*

**Avoid value-destroying companies**

*BHARAT SHAH:* Periodic free cash generated is the final tool that determines the value of a business. This depends on the nature of capital intensity or capital intake characteristics of the business, the kind of margin generation capabilities has, given the size of capital employed and the capital turnover ratio. Therefore, once you know the capital intake characteristics, the capital turnover ratio and the kind of margins that the business can hopefully be expected to generate, you can estimate the free cash component. Then the art (or judgmental) aspect comes into play, wherein you determine the robustness of those cash flows, the state of the lifecycle in which they may occur – early, mid-cycle or later – and the predictability of those cash flows, which has an influence on the risk-weightage you apply to those cash flows. Finally, the sustainability of the cash flows has a direct bearing on the value of the asset. In a nutshell, these are the characteristics that emanate from the assessment of the business. By using them to forecast into the future, you can view the future cash flows, which in turn can be discounted to the present.

However, superficially and from an immediate perspective, if the business has never generated an economic rate of return in the past and you know there is nothing extraordinary that can alter the situation in the future, then based on that criteria alone, you can ignore the business. In other words, unless a business can generate an economic rate of return, there is no reason why you should be interested in that business.

Moreover, I have less faith in economic value-destroying businesses that are quite cheaply available in comparison to the underlying asset value. There are occasions when it may have paid-off to buy a business dirt cheap, regardless of its economic value destroying nature. However, such an approach, more often than not, is fraught with risk and, unless you have a compelling understanding of the business and the asset has achieved compelling valuations, it's more fruitful to avoid those businesses. In other words, unless the circumstances are extraordinary, you do not want to touch pure cigar-butts.

Thus, you look at ROI, ROE, EV/ sales and EV/ EBITDA. Then you determine the durability and the sustainability of the cash flows. Even if you can't forecast the length of time of sustainability of cash flows, a belief in the long-term existence of a business itself gives you far higher confidence. Beyond, say, five years, the forecasting of numbers may be fuzzy but if you are confident that the business existence for 20 years and more is assured, your ability to value that and bring it into the present is far higher.

*CIO: So, your primary valuation tool would be to access the value of a company by using a discounted free cash flow methodology. And you would probably use EV to sales and EV/EBITDA. These three things are your valuation parameters?*

*BHARAT SHAH:* Yes, in terms of objective evaluation. However, picking up or spotting an opportunity will be based on some significant change or trends that you think are happening or likely to occur. Based on that, you want to analyse what may qualify within that trend because, more often than not, if you have understood an apocalypse-like trend at a fairly early stage, you have a higher chance of catching a multibagger. But having done that, you still want to subject it to the discipline of meeting minimum underlying ROI, ROE and other economic characteristics.

*CIO: Lastly, could you tell us how you actually measure, track and control your portfolio risk?*

*BHARAT SHAH:* Well, I talked about portfolio psychographics earlier and you want to define a certain character for the portfolio like you have defined the character of a stock. You would like to own a stock if it has a certain personality. The same applies to a portfolio as a whole. To that extent, I will draw a distinction between picking stocks and constructing portfolios because portfolio construction is an activity that is larger than a mere amalgamation of a few stocks. It must pass the test of good stock picking, but independently, it must also pass the test of good portfolio construction as an overall entity. Monitoring and ensuring that the portfolio adheres to the personality norms defined by you, you need to have some objective tools to judge it. In other words, you convert each of these subjective criteria into a corresponding objective parameter and then you subject each stock to a characteristic ranking.

For instance, let's consider a particular stock you believe to be a potential multibagger. Then from all the stocks in your portfolio, you consciously define the possibility of this stock to make it big, given the size of the opportunity and the ability of the player (as seen so far), despite it being presently small in the context of size of opportunity. That's the matter of judgment. You have to consciously identify; if you are saying that 20 percent of your portfolio must pass that test, then in a 12-stock portfolio, you must have at least 2-3 names and, in a 15-stock portfolio, you must have at least 3 names that meet the test. In other words, you want to be sure which of these opportunities in your current portfolio is going to be a multibagger.

**Biggest risk control is not over-paying**

There are many ways one can control risk. For instance, in a reasonably well-tested and well-evaluated business that is passing through a bad phase, I will be willing to put 10 percent (and not more) when I choose to put money into it. That's because they will be typically available at an undervalued zone in times of distress in the marketplace and you want to take advantage of that. On the other hand, for a business that does not have a long track record to be evaluated more closely, you do not want to allocate a portfolio weightage in excess of 5 percent.

Moreover, you have to ensure that there is a reasonable reconciliation amongst the various types of the businesses you want to choose. Not each one of them is in a position to hit boundaries and sixes. Some of them are effective sloggers and some are very disciplined run-getters. Some are huge winners because when they are in their element, they can score win-win centuries and change the complexion of a game (or the portfolio returns). You want to ensure that there is a healthy mix among these types and that is consciously measured to see that the overall portfolio remains within those identified characteristics in terms of the defined weights for these attributes.

Furthermore, considering that we do not have the luxury to invest in unlisted stocks (unlike Buffett), we have to worry about reasonable levels of exit opportunities. Not that it is an important criterion to start with, but you do want to measure the portfolio liquidity. You do want to measure the healthy balance amongst different types of businesses and different types of opportunities. You also want to get an objective understanding of the portfolio composition (sloggers, etc.) that will tell you what your portfolio is going to look like.

At the psychological level, the biggest risk control that you exercise is not to lose the discipline of not overpaying. No matter how powerful is the voting machine, no matter how powerful is the popular vote, you do not want to overpay. Moreover, you don't want to pay for fad and fashion, you want to pay for hard solid cash flows. These are the psychological controls. If a psychological control resides externally to you, you can retain it by having an influx of viewpoints from outside – well-meaning critics and friends for whom you have respect. Not that you unquestioningly let it impact your portfolio but you definitely allow it to come into you to be evaluated and to be accepted or rejected. At a more psychological level, that's an important discipline and challenge.

*CIO: What have you learnt from some of the mistakes made by you?*

**Have a disciplined approach to selling**

*BHARAT SHAH:* One mistake I am happy to have avoided, by and large, is to overpay. In general, I recall very few failures in terms of having bought a bad stock or having bought it at a very bad price. My mistakes have occurred more in not selling at the right time. By and large, in general, I have tended to pick good stocks and good businesses and I have tended to pick them fairly early, in many instances, well before markets have recognized or valued them. Finally, I have the tenacity to hold and nurture them for a length of time until they start giving you the kind of juicy returns you seek from them.

The errors that I have typically made are in the selling process – not selling the stock at rich valuations just because you believe that you will make even more unbelievable sums of money if you hold on for a while. In other words, I need to control my instinct to get efficient sells. The other area where I need to improve myself is to ensure that I don't let my convictions reach a point that they come to dominate my portfolios. I want to ensure that while I have a deep belief about what I do and the businesses I choose to invest in, but I do not want those convictions to become so deep-seated that they blind me to the possibilities of failures in those businesses, either intrinsically or due to the changing environment.

*CIO: What are the steps that you take now to make sure that you don't sell too late?*

*BHARAT SHAH:* Well, at one point of time, I did not have a disciplined approach of having a sell price at the time of buying. Now, more often than not, I have a very clear sell target in mind based on what I believe will be the economic value of the underlying asset. Earlier, I used to have a picture before me but I would allow it to remain loose. I would argue that the target price could change if the business did even better than your expectations. Accordingly, you may have to revise and leave it for the future because you believe that you are buying so cheap that in any case there is a good gap. Today I am much more rigid about having a clear sell price in mind at the time of buying. Not that you automatically trigger the sell option as soon as you hit that price, but you want to critically review the whole journey till you touch that price. Even on touching the price point, you may not necessarily trigger the button, but you want a compelling reason to believe that you do not want to exit. That's because when you bought the undervalued stock with a cool mind, you felt that the target price point was the underlying value. In all probability, that is likely to be a very objective and correct judgment of the true worth of the business.

When the stock actually touches the target price, chances are that you may allow your own success to influence your judgment of the value or the noise level in the market may be at a crescendo at that stage, and the voting machine behaviour may have an indelible (if not some) impression on your mind. I think these are more likely to be the typical pitfalls of success. To that extent, if you have set it early when the waters are calm, chances are that you would judge them better. That decision, more often than not, is likely to be a correct one.

As far as the convictions are concerned, I don't think I am doing much differently from what I have been doing earlier. Only I tend to argue with myself a little bit more than I used to. I tend to have far more detailed debates (with people whom I have respect and regard for) to enable me to remain alert to the possibilities of not falling victim to one's own beliefs. Besides having my decisions critically evaluated, these debates facilitate psychological strengthening.

*CIO: What would be your advice to investors, not necessarily portfolio managers, when it comes to success in the game of investing?*

*BHARA SHAH:* First, permanent loss of capital is very difficult to bear and nobody should try to arrange the economic affairs in a manner where there is even some chance of permanent loss of capital, however good or attractive the payoff may sound. Secondly, there is no substitute for long-term buying and long-term investing. The rules of 300 years of investing in markets have not changed; they remain the same. Pay half a rupee for a business that is worth a rupee – that remains the paramount truth about the business of investing. Thirdly, intellect is not a substitute for character. You need both. Intellect coupled with character is the only acceptable combination for continued success of investment. Character comprises two issues – integrity and discipline. Intellect without integrity is dangerous; intellect without discipline is aberrant. Finally, pay for value. Pay for tangible or palpable gains rather than for some esoteric two-birds-in-a-bush variety. If the bulk of what you are paying by way of price is already evident in what you are getting immediately, then chances are that you have reduced the risk on the portfolio considerably. Hence, pay for reality rather than fad.

**Integrity and discipline are vital to investing**

*CIO: What are the characteristics of a successful investor?*

*BHARAT SHAH:* To begin with, it is imperative that you need to know how to judge and understand businesses. If you can't, then I don't think you can do successful investing. You need to know the businesses and know them well. Secondly, you need character. In other words, both integrity and discipline are absolutely essential for long-term success in investing.

*CIO: Could you share with us the names of any specific domestic and international investors that you have an admiration for?*

*BHARAT SHAH:* Internationally, it is obviously Charlie Munger, Warren Buffett and, to a fair extent, Phil Fisher. These are the people that meet each of the tenets of a good investor—old-fashioned values and yet new-age sharp appreciation of the changing realities.

From an Indian context, among others, I admire Chandrakant Sampat for his sense of discipline. Understanding the businesses and the ability to value the businesses are both vital. However, when it comes to character (implying the value system and the discipline), I have learned a lot from him. A man of unflinching discipline and beliefs about what he is doing; whether one agrees with him or not, at any point of time, is a very different matter. But my regard and respect for the way that discipline and beliefs work is very immense. There are some others also whom I admire but let us keep that for some other time.

*CIO: Finally, would you like to recommend some books that are your all-time favourites and that have helped you immensely in this pursuit of investing?*

*BHARAT SHAH:* It is difficult to mention a particular book because there are so many books one has read about, say, Buffett alone. There are at least 15-20 titles that I have read about Buffett ranging from *Buffett Essays and Permanent Value to The Real Warren Buffett.* It will be difficult for me to say that a particular book left a much higher impression than another. On the other hand, you have got a classic treatise of Phil Fisher on *Common Stocks and Uncommon Profits.* The underlying home truth and the sparkling and distinctly crystallized wisdom that drops out of some of these books is scattered at different places and at different points. But all these books put together build towards a collective theme.

*CIO: Do you mean that Warren Buffett, Charlie Munger and Phil Fisher, put together, have had a remarkable impact on your investing philosophy?*

*BHARAT SHAH:* Yes. Charlie Munger talks less, writes even lesser (or vice-versa), which is unfortunate because he has a very sharp and fertile mind and one would like to get much more out of him. I think he is an incredible individual, especially the sheer sharpness with which he homes in onto the final truth and cuts out all the paraphernalia along the way. He has a very sharply evolved investment intellect.

There are various other titles like *Security Analysis, The Investor's Anthology by Charles Ellis, The Theory of Investment Value* by John Burr Williams and *Stocks For The Long Term* by Jeremy Siegel. Apart from books on theory and principles of investment, you learn much more by observing epoch-making events or the recounting of specific periods of economic history that are characterized by significant upheavals or significant changes. All those recounts of histories, whether it is *The Crowd or The Extraordinary Delusions* or any of that Tulipmania variety of books, remain quite illuminating.

Each of these books helps to solve a particular piece of a jigsaw puzzle. As you keep putting each of these pieces, a larger part of the picture gets illuminated before you. Yet you need to get all the pieces before you feel that you are in a state of attainment. I think one is far from that, but to so many of these books, one has a lot to be obliged to.

# Nilesh Shah

**Nilesh Shah is the Chief Investment Officer of PRUDENTIAL ICICI Mutual Fund since June 2004. Before that Mr. Shah was working with Franklin-Templeton Mutual Fund from March 1997 overlooking the investment function. Mr Shah started his career with ICICI merchant banking division managing public issues and corporate advisory assignments.**

**Mr Shah is a Gold Medallist Chartered Accountant and a Cost Accountant. He is also a topper of Global Finance Management (GFM-25) Programme at JP Morgan, New York.**

*CIO: Could you briefly tell us about your investment philosophy?*

**Discipline, process orientation and conservatism – the three pillars**

*NILESH SHAH:* The following common threads run across all our funds – a disciplined approach to investing, process orientation, and conservative fund managers.

**Supplement quantitative analysis with qualitative factors**

Our objective is to invest in companies that are growing. But the question is, growth at what price? You don't want to overpay just for the sake of the possible growth a stock offers – the lesson that we learnt in the year 2000 was fairly expensive. We identify companies that have been showing impressive growth rates both in terms of topline and bottomline. But we don't invest based just on quantitative factors. We look at qualitative factors as well. This could involve company visits, examination of the company's corporate governance track record, competitive analysis and the like. It is essentially a fundamental approach. We buy stocks at price we are comfortable at and hope that their value will grow in line with the fundamentals with time.

*CIO: You mentioned that you follow a fundamental approach. Could you explain how you go about building your portfolio?*

**A macroeconomic call a possible starting point**

*NILESH SHAH:* Well, one starting point is a macroeconomic call. This basically entails identifying the sectors to concentrate on. Let's say that the government announces fiscal incentives for availing housing finance. While this measure would directly benefit housing finance companies, there would be an indirect benefit for cement companies as well. Similarly, a petrol cess to raise resources for road construction would indirectly benefit cement manufacturers. The direct beneficiaries would of course, be engineering companies.

**A middle path to sectoral allocation**

Once we have identified the sectors that we need to concentrate on, we don't just go and invest all our funds in those sectors. As a mutual fund, we have to be conservative and remain adequately diversified. Our macroeconomic call therefore just leads us to be overweight on some sectors as compared with the benchmark market index and underweight on others. This approach ensures that we do not go to either of the two extremes of being too aggressive or too conservative.

**A bottom-up approach to stock picking**

Then comes the bottom-up analysis for picking up particular companies. For a quantitative analysis, we essentially try to input last three to five years' data in our spreadsheets, which have evolved over time. These take into account various factors, especially the accounting policies followed. In India, there are a number of inconsistencies in the manner in which accounts are presented across companies. Often there are accompanying notes that actually distort the entire accounting picture. Also, where there are subsidiaries, looking at the accounts of the parent in isolation tends to paint an incomplete picture. Therefore, we try to recreate the account on the lines of the US GAAP. This, we believe, makes the accounts more transparent and enables better analysis. At the same time, we are also aware that we are not expert auditors. Even where there are expert auditors, we know that accuracy and transparency are not guaranteed.

**Identify the critical success factors**

Based on our construction of the last three to five years' financial data, we make projections for the next three to five years. Again, we know that while a one-year forecast might be reasonably accurate, this is not so for a three or five-year forecast. Nevertheless, making relatively longer-term forecasts imposes on us some sort of discipline. Thinking three or five years forward involves knowing what factors influence the fate of an industry or a particular company. What, for instance, are the critical factors on which the success of a cement company is dependent on – Maximum selling price? Power cost? If you are investing in a metal company, do you have a view on metal prices?

**Constantly monitor forecasts and factor in unexpected changes**

We compare our forecasts with those of other analysts in the market and reason out why our forecasts are different, if so. We constantly monitor our forecasts and factor in unexpected changes that influence them. We meet the managements of the companies we are interested in periodically to gauge how their plans are materializing and to find out about future endeavours. Such interactions not only allow for better quantitative analysis but also enable qualitative evaluation. We ask companies questions relating to taxation and consolidated accounts – a number of companies actually prepare such statements but do not publish them. We also inquire about their dividend policy and ESOPs. Thus, we focus not only on the ability of the business to generate wealth but also the willingness of the promoters to share the wealth with minority shareholders.

**Create a price range based on detailed analysis**

On the basis of our detailed analysis of the company, we create a price range – a price below which we will be buyers and a price above which we will be sellers. We have a database of 75-100 companies, which we consistently track. Depending on how the critical factors impacting their success stand and their market capitalization at a particular point in time, some of these figures on our sell list while the others figure on our buy list.

*CIO: You mentioned that there are inconsistencies in the manner in which accounts are presented across companies in India. Could you elaborate?*

**In India, companies normally overstate profits, but there are exceptions**

*NILESH SHAH:* Let me point out two extreme cases. There was one multinational company that actually provided for technological down gradation expenditure, as a result of which profits were understated. Now when you include that profit in the P&L, you suddenly get a completely different picture. It makes sense for that company to understate their profits because they want to buy back their shares and ultimately de-list. However, the minority shareholder, who takes the annual report at face value, gets cheated. At the same time, there are certain companies that have not provided for deferred taxation expenditure. There are companies that have not amortized their goodwill or development expenditure at all. Once you put these numbers in line, you suddenly realize that these companies are not as cheap as they appear to be at first glance.

*CIO: You spoke about the creation of a price range. Could you tell us about your valuation process?*

**Valuation is subjective in nature**

*NILESH SHAH:* Valuation is subjective in nature and is a function of various things – historical evidence, peer group comparisons, and expectations about the direction and level of the market index. If you are in a bullish frenzy then you could stretch your valuation parameters a little. When technology companies were delivering good results one after another and their stocks were rallying, we kept saying that the stocks were expensive. However, the stocks just kept going up further. We lacked the imagination to predict that these companies could continue generating the kind of revenue and profit growth they were. Similarly, when the markets are in a bearish mood, then even a 50 percent lower valuation appears expensive. So, you have to have stretchable valuation norms. In a bullish frenzy you try to stretch it towards the optimistic side while in a bearish phase you try to stretch it towards the pessimistic side. Valuation is therefore, something that has to be done consistently.

*CIO: What valuation tools do you use?*

**Base valuations on multiple parameters**

*NILESH SHAH:* In real sense, we don't have any fixed valuation tool. We don't extensively use the DCF valuation model because our forecasts are fairly hazy beyond one or two years. Also, in emerging markets like ours we have high event risks. So, we try to arrive at valuations based on multiple parameters. The simpler ones include price to earnings, price to book value and price to cash flow. But changes in these parameters are not the only triggers to the re-rating of stocks. For success, you have to pick up the one factor that is going to lead to a re-rating. It could simply be the possibility that a particular company will begin generating free cash flows in the next fiscal year.

*CIO: Besides your price criteria, what would prompt you to exit from a stock you have invested in?*

**Consider exiting on negative surprises**

*NILESH SHAH:* If there is a negative surprise from the company, we may decide to exit. Let's say that we have gone and met the company and they have indicated a particular set of things. However, suddenly after three months we hear something that is entirely contradictory to what the company had earlier indicated. In such an eventually we would consider exiting from the stock. The negative surprise could be from the corporate governance point of view or from the business expansion point of view or even from the earnings point of view. A negative earnings surprise indicates that we have gone completely wrong on our calculations and a re-look at our forecasts is warranted. If after revising our numbers, we find that the stock is not worth holding, we would exit.

*CIO: What, would you say are the common threads that run through your portfolio of stocks irrespective of the sectors to which these belong?*

**Seek comfort in the company's corporate governance standards**

*NILESH SHAH:* Well, there are three. One, they will have a top line or bottom line growth which is in the top quartile of that particular industrial sector. If we invest in a particular company in a sector, it should be one of the top performers within that sector. Two, they should already be generating free cash flows or are expected to do so over the next 12-18 months. Any company we invest in should be able to make cash for shareholders. Three, we seek comfort in the company's corporate governance standard. Many a time, we forego a company that meets the first two criteria but doesn't meet the third. But then, many a time we have invested in companies that do not have high corporate governance standards with the hope that they will improve. If we keep strict corporate governance standards, it could result in a sharp reduction in our universe set.

*CIO: How has your investment philosophy evolved over the years?*

**Evaluate a company independently, irrespective of its pedigree**

*NILESH SHAH:* Our investment philosophy is continuously being refined. Earlier, we were more quantitative in our approach. We just put numbers from a balance sheet without actually realizing that these were not strictly correct. You have to go one step below to the notes to the accounts and figure out the right numbers. Today, we try as far as possible to use more accurate numbers in our analysis.

The second important change has been in the fixation of the price range. Earlier, we merely fixed a particular value to a business. We decided on a price to invest at and a price to exit at without considering the mood of the market. Today, the value that we attach to a business is flexible, but to a limited extent. The endeavour is to remain flexible to take advantage of the market mood but at the same time not to be unduly swayed by it. In the investment world, you have to be constantly balancing yourself.

Thirdly, earlier we did not stress on the corporate governance standard. We assume that if the company were doing well, the shareholders would also do well. A lot of weight was given to the pedigree of the promoters. A company promoted by a Tata, a Birla or a reputed multinational group was assumed to be high on the corporate governance curve. But now there is a lot of focus on the corporate governance standard and every company is independently evaluated irrespective of its pedigree.

*CIO: Typically, what is the time horizon for your investments?*

*NILESH SHAH:* As I mentioned earlier, we look at a three to five-year forecast. This effectively means that we are looking at a three to five-year investment horizon. But again, you know this is constantly changing. Suppose my investment in a particular metal company is dependent upon a particular behaviour of metal prices. However, that behaviour does not materialize. In such an instance, the investment horizon could shrink from five years to say three months.

*CIO: Do you have some sort of a thumb rule regarding the maximum allocation to a particular sector or stock in your portfolio?*

*NILESH SHAH:* This is something that SEBI has anyway imposed on us. A mutual fund cannot hold more than 10 percent of its corpus in a particular stock.

*CIO: How do you assess and mitigate risk?*

**Quantitative correlative risk measures are of little significance**

*NILESH SHAH:* Portfolio risk is quantifiable in nature. We obtain this analysis from an outside agency. The agency gives us numbers like the beta, the Sharpe's ratio, the alpha and the Treynor's ratio. However, I don't have much respect for these numbers. As the fund manager of an open-ended fund, risk means the probability that I will be unable to meet redemptions. Therefore, I try and maintain adequate cash to meet potential liabilities.

Again, from the portfolio perspective, I believe that quantitative correlative risk measures are of little significance. Although we track 75-100 stocks, we own just 30-35. Each individual stock is a separate risk to me. Thus, mitigating risk involves careful selection of the stock and closely monitoring each investment.

*CIO: A fund manager and an investor look at returns differently. How would you advise an individual investor in constructing his portfolio?*

*NILESH SHAH:* When we placed a buy order with a broker, he asked, "Why are you purchasing this stock? It is going to fall." Well, we were purchasing the stock because we believed that the fall in the stock would be much lower than the fall in the market indices. He must have thought that we are stupid. If you know that the stock is going to fall, then why should you buy it? You should look at absolute returns rather than relative returns. That's where the whole problem arises. Most investors judge us based on the absolute returns we are able to generate irrespective of whether the market is going up or down. However, we are always looking at relative returns.

If the market index is down 50 percent and the NAV of my fund is down 40 percent, I think I have done a great job. However, the investors think that I have done a lousy job. So, there is a huge conflict between absolute returns and relative returns. We try to drive relative returns whereas the salesman highlights absolute returns depending upon the profile of his clients. Personally, my desire would be to run a fund that actually targets absolute returns rather than relative returns. Unfortunately, the stage still appears to be some time away.

If I were an individual investor, I would always target absolute returns rather than relative returns. If I could generate 15 to 20 percent return on a compounded basis per year, I would be very happy. I really don't want 100 percent return in one year and then -90 percent in the following year and then again plus 200 percent return followed by say -80 percent return. I am happier with my 15 to 20 percent returns per year generated consistently over say 30-40 years. Can an individual investor do that? Sometimes you feel that probably that's not possible in this country.

Although the markets have remained range-bound for the last 10 years, there have been bouts of euphoria and depression. Therefore, the individual investor saw his portfolio multiplying several times during the bouts of euphoria and falling to a fraction of its original value during the bouts of depression. Yet, if you look at say the last 5-10 years, you would find several stocks that have consistently delivered the 15-20 percent returns. Everyone knows that Hindustan Lever produces good soap. When the average individual investor buys soap, he prefers to buy a Hindustan Lever product or may be a Nirma product. However, when he comes into the stock market, instead of buying

Hindustan Lever or Nirma, he ends up buying say ABC Company because someone has told him that the stock is going to double.

The average investor should divide his portfolio into two components. One, where he wants safe, steady returns. Two, where he wants to make speculative gains. He should apportion his funds between these two components depending upon his risk appetite. If his risk appetite is high, he should set aside a higher proportion of his funds for the second component. I believe that this is crucial. Whenever I have mixed my investment and speculative portfolios I have always lost money.

The first component is the portfolio that should generate steady returns. Here, it is important to invest in companies that are doing well and will continue to do well over the foreseeable future. Now, how does an average investor find such companies? Well, one starting point is looking into the industry he is familiar with. Let's say he works in the FMCG industry then he has first-hand knowledge of the industry. He could use this expertise to pick out the likely winners in the FMCG industry and invest in them. Perhaps his uncle is a great expert on metals. He could consult him and figure out which companies are doing well. The advice that a person with hands-on knowledge of an industry gives is generally far better than a portfolio manager.

Building such a portfolio is however, not something that can be done overnight. Let's say I am extremely bullish on Hindustan Lever. But that does not mean that I invest all my money into it at one go. Stock markets are so volatile and the business environment is such that even good companies face bad days. So, it is better to keep averaging out. You allocate from your income a certain proportion to your portfolio and then you keep on investing periodically, maybe on a monthly basis. If you are smart enough and you can time the market, there is a possibility of further gains. If you think that the markets have run up and that Hindustan Lever will be available cheaper in the next quarter, you could wait until then. But over a longer period of time, this advantage will go away.

In building your speculative portfolio, you could choose your stocks in whatever way you like – maybe you will get hot tips from brokers, maybe you just have a feeling that a particular stock will rise over the next quarter, or maybe something else. Whatever you do, don't mix your investment portfolio with your speculative portfolio. In your speculative portfolio, if you wish to employ a stop loss limit, please do that. Even when you speculative you should have some sort of discipline. You should know when to cut your losses and when to book your profits. If that discipline is employed, there is plenty of money to be made even through speculation.

*CIO: Can a rigid discipline of working on price bands work given your earlier comment on making valuation bands stretchable?*

*NILESH SHAH:* Discipline is necessary. But not blind discipline. I know it sounds contradictory – I am saying have flexibility with rigidity. How do you achieve this? Well, it comes through experience. Why is flexibility important? Let me explain. When you look at price to earnings ratios, what numbers are you talking about – historical or forward? If its forward, what numbers are your projections based on? I mean, a company that is consistently showing huge profits under the Indian GAAP, suddenly turns out to be a loss-making company under the US GAAP. So, what's the P/E of the company? Obviously, if it is a loss-making company you might not want to invest in it. But then, it is a stock that has consistently delivered returns. So, what do you do?

One has to be very sure about what kind of quantitative techniques to use and one must consistently use those techniques. Suppose you have decided that you will sell a particular stock at 20 P/E and buy at 10 P/E. you find at a particular point in time that the P/E has fallen to 10. Of course, in your analysis, you have removed the abnormalities of the accounting statements and let's say your projections are more or less accurate. But you know that the market will fall further and that the stock will be available at say 9 P/E or 8 P/E. in a matter of weeks. In such a case, should you mechanically buy the stock at 10 P/E? When you frame such rules, the intension should be to enforce the discipline to think through the pre-determined action in an objective manner when a pre-set trigger is activated and then take a decision; not to follow through mechanically.

# Ruchir Sharma

**Ruchir Sharma, Managing Director of Morgan Stanley joined the firm in 1996 and has 11 years of investment experience. Mr. Sharma is a senior portfolio manager for the Emerging Markets Equity and Global Asset Allocation portfolios. He is also a columnist with the financial daily. The Economic Times, and has been writing a regular column on global financial markets since 1991.**

*CIO: Could you briefly summarize your broad investment philosophy?*

**Valuations, dynamics and sentiment**

*RUCHIR SHARMA:* There are three cornerstones to our investment philosophy – valuations, dynamics and sentiment – that we pay a lot of attention to when it comes to analysing any asset class (or stock or market or currency). However, the weightage that one gives to each one of them is very subjective.

To be honest, though valuations are important, it is not the most crucial driver. That's simply because the key aspect that one looks at is to try and be a few steps ahead of the market, if one can. In this regard, I find that valuations are, ironically, the easiest to analyse. In other words, people know exactly what valuations are. They are not only published, but they can also be easily calculated or subjectively interpreted.

Dynamics plays a very important role, wherein you need to articulate what are the catalysts, drivers, or triggers for a particular stock (or market) and how they are moving in a particular direction. To understand what are the relevant dynamics and for which asset class, I believe knowledge of history is very important.

Sentiment is a very good reality check. Are you doing something that the consensus is already doing? Therefore, are you likely to get caught in a herd and get stampeded in the process? I think sentiment is very important from a contrarian standpoint.

In a nutshell, these are the three cornerstones of our investment philosophy. While I do pay attention to valuations, there is no doubt in my mind that dynamics and sentiment are the most important aspects when analysing any financial variable.

*CIO: You said dynamics and sentiment are fundamental to your investment process. In this regard, can you illustrate some past experiences that have helped you stay ahead of the market?*

*RUCHIR SHARMA:* Sentiment, unfortunately, is a subjective tool. How to analyse sentiment is more of a personal matter even though there are formal tracking polls on it. For instance, in the American market, there are sophisticated polls that will give you an indication of the prevailing sentiment. These can vary from put-to-call ratios or the level of exuberance in the market to surveys done for the purpose of analysing sentiment, which include your equity-to-bond allocations, cash weightage, or how optimistic you are about the market. However, its interpretation is highly subjective.

The importance and the implications of sentiment can vary across asset classes. While sentiment is an important criterion for the equity and bond markets, it is not as relevant in the currency market because currencies exhibit trends for long periods of time and they don't necessarily have any inherent value. Moreover, in stocks alone, sentiment can have different connotations. For instance, in the Indian context, sentiment in stocks is all about being early. That means discovering a good company or a cycle early. On the other hand, in the US stock markets, if sentiment pops above a certain level, you just want to sell. In other words, sentiment becomes a selling point for every bear market rally there.

Sentiment is a sort of reality check that will enable us to time our exit and entry points. For instance, if the dollar is on a continuous decline (nothing goes down in a straight line), then to be able to get some margin of safety, it pays, at times, to wait for the bearish sentiment to correct, even though you think the long-term trend is still down. Buy when sentiment has moved back up to neutral so that you have a greater margin of safety.

Similarly, the only way to have stayed out, especially towards the end of the 1999-2000 boom was to realize that sentiment was getting unusually carried away. Thus, sentiment is very subjective: At times you ignore it and at times you don't.

Similarly, dynamics is very important. For instance, currently I am fairly bearish on the dollar. I realize that a lot of people have a similar view and the dynamics are so negative. The US has a current account deficit of 5 percent of GDP and the foreigners are being asked to fund that with negative real interest rates since inflation is still above 2 percent in the US. In fact, the dynamics are so negative that, regardless of the short-term sentiment, you know the dollar is headed for a long-term decline. In a nutshell, these are the kinds of trade-offs we have to make.

However, I am a bit sceptical about valuations. One look at the tech space in our portfolio will tell you that we are always stuck with the high-value bets. I always believe that buying any second-tier tech stock could easily lead to some sort of a value trap, which is what's being played out now.

It is more or less a trade-off, although in order of importance, it would be dynamics, sentiment and, finally, valuation.

**The most important dynamic in India is management quality**

*CIO: Can you elaborate on dynamics from an Indian perspective?*

*RUCHIR SHARMA:* As far as Indian stocks are concerned, the most important dynamic is management quality, although it is hard to measure at any point in time. We will never buy the stock of a company that has a questionable management. If it is a large index stock, at times, we may be marginally close or underweight, but we will never take a big active position when we think the management is questionable. I believe that is the most important dynamic to keep in mind.

For instance, the key aspect of the investment business really is to survive. That's because the top performers five years ago may end up at the bottom of the scale very often. In our business, you have lots of shooting stars and one trick ponies. They may get one tech boom right but they fail to play the downward movement right. Or, they may end up getting one cycle right, but they can't get the second one right. In fact, they stick to that one cycle for so long that in the second cycle they get completely washed out and wiped away.

**To survive, avoid disasters**

Therefore, to survive, it is most important to understand how to avoid disasters. In fact, a rule of the investment game is that if you end up remaining, say, in the third or fourth decile (of rankings) for a consistent period of time, you will automatically float up to the top decile (or within the top quartile). I guess, that's the objective of any institutional fund manager.

In other words, if you end up being No. 1 in a particular year, it's a bit scary. Often, that means you have ended up there, because you have taken very extreme positions. In other words, generally you end up being No. 1 because of something has worked very well for you and it is very difficult to be nimble-footed and change that. Therefore, the key is how to be consistent, rather than to be great for one year, and fade into oblivion, the next. Often, I believe, the biggest drawback of the industry is that some of the shooting stars (for one or two or even three years) simply cannot sustain that performance for long periods of time. The way out is to have a basic philosophy and not to get wedded to a particular stock or a particular style, and above all, to avoid disasters.

**Avoid buying low management quality stocks**

It is very important to avoid disasters. In the Indian context, buying into an illiquid stock that comprises a significant portion of your portfolio could have a huge impact on the overall performance, if the stock did not end up performing well. How do you avoid disasters? I believe one of the key factors to avoid disasters is to discipline oneself from buying into a low management quality stock even if the momentum in that stock may be alluring. Undoubtedly, this sort of discipline may lead to some opportunity loss pain, say, for a 6-month or a 9-month time frame. However, over a 3-4 year time frame, you can be sure it would end up doing well for you.

Moreover, you can measure management quality a lot more objectively, based on return on equity (ROE), return on capital employed (ROCE), and the degree of shareholder friendliness, among other things. I believe the key is to keep a lookout on these specific dynamics, besides understanding what the business is all about. For instance, is the business highly commoditized or does it have any barriers to entry?

Furthermore, the dynamics shift from sector to sector. For instance, when it comes to buying a commodity stock, management quality is not the key criterion. While we would never ever buy a low management quality stock, it will not make a big difference (between, say, stock A and stock B), because in a commodity cycle, everything goes up and the stock that is beaten down the most ends up getting valued the most.

However, when it comes to buying a secular growth story, for instance, in the two-wheeler segment or in the banking sector, we will be very conscious of management quality. Similarly, we will not compromise on management quality in the IT sector, where a lot of late entrants have come in just to make a quick buck.

**Liquidity is important**

*CIO: What are the broad criteria you follow when it comes to buying a stock?*

*RUCHIR SHARMA:* There are a few lessons that we have learned over a period of time. I have already mentioned the importance of management quality as a key buying criteria. We actively visit companies and vice versa. Moreover, we try to run all the accounts together and the one factor that has become increasingly important to us is liquidity.

Rather, we are conscious about liquidity. On one hand, we have stayed away from some tech stocks that are highly liquid but with very small market capitalization. We believe that's an indication that there is too much speculative fervour in those stocks. On the other hand, we realize that liquidity is often an indicator of sentiment itself. For example, the popular stocks are highly liquid and, as the popularity fades, so does liquidity (occasionally). In a market where the liquidity is not too good and is very concentrated in a few stocks, we have to be conscious about liquidity, since we don't want to get stuck with positions.

In other words, buying criteria is a fine balancing act between liquid stocks and those stocks that are too liquid for our liking, due to high speculative interest in them. Moreover, given the valuations, if the market has to go up, the billion dollar companies would do very well (rather than just these small-cap private equity companies).

*CIO: How do you go about taking allocation decisions on your portfolio?*

*RUCHIR SHARMA:* We are very conscious of risks. For example, we get a risk report all the time that is circulated to us internally. The report shows us whether there are any companies we own in our entire emerging markets portfolio, which make up a very high percentage of its free float (or total equity). Although nothing stops us from doing so (there are no written rules), we are very conscious of it. That's because we are quite large and we can easily end up being a significant share of any company.

*CIO: Do you keep any conscious limits for your holdings?*

*RUCHIR SHARMA:* In our entire portfolio, there probably wouldn't be more than 3-4 companies where we'll have held substantial portion of their outstanding capital (or free float). Moreover, our portfolios are broadly uniform – there are India accounts, global accounts that invest in India, Asian accounts that invest in India – and there are just 40 stocks spread across these accounts today. In the olden days, I remember, we had 250-300 stocks at one stage. We have systematically cleaned that out. Today, the 40 stocks make up 99.5 percent of the portfolio.

While we are conscious of the index, we have to be aware of where the market is but we are not obsessed with it. While we start with the index, we try to individually assess to what extent we should be, say, overweight in a particular stock that we may like.

One very strong discipline that I have brought in is that if we buy a new stock, we always try to sell an existing one from the portfolio. That way, the number of stocks remain virtually constant in the portfolio. This has to be done (and people are learning the hard way) because the industry typically suffers from a bullish bias. It is very easy to get bullish on a stock, but very difficult to sell it. That's a big risk; I like a stock, it runs up a lot; I decide to ride along in the ensuring euphoria; if I sell it (especially at our size), it may cause some damage to the market and affect my performance.

Therefore, we are very clear that if we buy a new stock, we should sell an existing one from the portfolio, and also keep into account at what levels we book profits.

*CIO: From your explanation, one gets the feeling that studying behavioural finance is probably more important to performance than looking at valuations.*

*RUCHIR SHARMA:* Well, in companies, you come across all kinds of subjective criteria. For instance, when we meet company management, we are not interested in what their earning numbers are going to be. That to me is obvious – it is stated – and the market can be ahead of that.

Rather, when you meet a company management, you try and gauge for yourselves whether the management is talking the right language, whether they are forthright and honest with you, and then you try and match data points. I think this is the advantage of having a long institutional memory in India. Therefore, we know what they have told us in the years gone by.

*CIO: Are these archived with you?*

*RUCHIR SHARMA:* Yes. After company visits and after a buy and sell decision, the analyst generally will write a small note, listing down the findings and what the company had to say about them. These are then archived. These notes help you to crystallize your thought process ahead of the company meeting. Typically, these notes would include facts collected at the meeting, besides certain subjective findings. The process provides continuity, wherein you get to know whether your predecessors made the right decisions and whether they were actively involved in the meetings, and then you take that forward. That's been a very important role.

**Outperformance is the key to measuring returns**

*CIO: How do you measure return?*

*RUCHIR SHARMA:* Outperformance is key to measuring return. Depending on the type of account, we use different benchmarks of outperformance. For instance, in the India accounts, we use the BSE 100 because we find that BSE 100 has been the best performing index. For the global account, we follow MSCI. For the emerging market account, we follow the MSCI Emerging Market Index. The idea is to try and beat the index. The narrower the asset class, the more you try and beat. For example, as far as the India accounts are concerned, we want to beat the BSE 100 by at least 400-500 basis points. Ditto for the emerging market account. For the global account, even a 200-basis point outperformance to its benchmark is a big achievement.

**The sell discipline is the inverse of the buy discipline**

*CIO: Could you take us through your selling process?*

*RUCHIR SHARMA:* The sell discipline is very often the inverse of the buy discipline. For instance, if we find that the dynamics are getting marginally worse or sentiment is so ridiculously overextended, we just want to get out of the stock. In other words, selling is a subjective process and the inverse of the buy discipline. Moreover, the entire approach of keeping the number of stocks constant helps the sell discipline because we are being forced to push something out all the time.

*CIO: At any point of time, when you have to make a buy decision, do you know which are your bottom-three stocks and which among them can be flushed out?*

*RUCHIR SHARMA:* No, there is nothing like a bottom-three stocks. I sit down with the analysts and we figure out, OK, we like stock X and we want to add it to the portfolio, so we got to think of which one to get out of.

*CIO: Typically, would you have a price target in mind when you enter a stock?*

*RUCHIR SHARMA:* Price targets are a very touchy subject internally within the group too. I am really not in favour of price targets because I believe you really have to keep changing your view.

The Korean market is a classic example. In a time span of 6 months – from September 2001 to March 2002 – there was a 100 percent rise in the index. There was a debate about what one should do at this stage. The market had gone up a lot – it was up 100 percent. But it was still very cheap, besides you had very good valuations support and the dynamics too were looking good.

However, I knew that the sentiment for this market was over-extended. At every visit of mine to the US, people wanted to know more about Korea. They just couldn't get enough of Korea. If you closely examined Korea after that, you knew there could be certain structural issues (for instance, superfast growth, among other things, bring in their own set of problems). In the given scenario, it made sense to reduce risk exposure in such markets regardless of what happens, since sentiment was incredibly overextended. That was a sell discipline – to sell out at that point in time.

Similarly, when the US markets fell significantly some time back, the views remained fundamentally bearish on what was going on in this U.S. However, sentiment was so extreme that it made sense to at least moderate the bearish position (even if you don't want to go bullish), because prices of the S&P was around 50 percent – the most severe bear market in post-war history. Moreover, interest rates were really low and there was some valuation support coming from adjusted earnings (for interest rates). Furthermore, sentiment was very bearish on every chart that one tracked and on all the put-to-call ratios. Thus, it made sense to moderate the bearish position. These sell or buy disciplines come through when one realizes that the circumstances have gotten into very extreme levels.

**Keep portfolio turnover low**

*CIO: To have your theme played out, what kind of time horizon are you normally comfortable with?*

*RUCHIR SHARMA:* It varies across markets. For instance, as far as our Indian portfolio is concerned, if we buy a new stock, we want to keep it for around 12-18 months. Often, we keep stocks for much longer than that. The turnover of the India funds is roughly about 30 percent and I am very proud of that. One of my biggest concerns of the Indian mutual fund industry has been that the turnover ratios are so high that this can lead to problems for them. They may end up doing very well for 2-3 years but this churning process can burn them as well as the portfolio. In fact, in the US, they pay very strict attention to these ratios. In India, that discipline hasn't come through as yet.

But I would say that we want to keep the turnover at a moderate level, which is around 30 percent in the Indian context, and we want to take positions and stick to them over 12-18 months horizon. Very often, we keep them for even longer.

*CIO: Would you call yourself a bottom-up investor or a top-down investor?*

*RUCHIR SHARMA:* It has to be a blend. If you look at the way our portfolio is constructed, you will know exactly what I am talking about.

*CIO: Is it because of your size that you are prompted to focus on the market leaders?*

*RUCHIR SHARMA:* Our intention of owning market leaders has little to do with liquidity.

*CIO: What would be your bottom-up investment criteria?*

*RUCHIR SHARMA:* As I mentioned, the most important criterion is to meet the company management and figure out their views. Then we can play certain themes.

To understand the logic that goes into bottom-up investing, you will see a complete commonality of company management. For instance, we won't buy a particular stock if we don't like the management, regardless of whether we like the sector or not. It's a very difficult discipline to maintain.

**Focus on identifying long-term trends**

*CIO: Has your investment philosophy changed over the last three or five years?*

*RUCHIR SHARMA:* When I started out, it was very tempting to be contrarian. For instance, during the Asian crisis in 1997, you realize Thailand was down 50 percent – so let's buy Thailand! Over time, the one thing that I have learned is to really temper down and to be conscious of crises and the fact that trends can play for a long period of time. Therefore, I have learnt to play for long term trends. Try and identify and focus energies on figuring out secular long-term trends.

Having witnessed the Asian crisis was the biggest help to me in the current US equity market-led global downturn. You knew that once the troubles began after the boom cycle, it was not going to come to an end so easily. So, it helped you through many bear market rallies to stick with the bearish discipline, especially for our global positions. You realize that once a bust begins, the trend can be long-lasting and all pervasive, and that you have to be worried about it. That has been the biggest lesson for me—focus energies on getting trends right and don't try and play the cyclical game too much.

*CIO: Could you give us your opinion on the Indian markets in view of your understanding of emerging and global markets?*

**Global correlations rise when markets are volatile**

*RUCHIR SHARMA:* In the emerging markets, the country-specific themes are really coming back into play. In these markets, I have always argued, it is absolutely essential to get the country right.

Moreover, sectors came to play a very important role (correlation in the same sector across all the countries), which was more or less a bull market phenomenon. For instance, any sector classified as old economy, regardless of the country, was falling like ninepins. On the other hand, new economy sectors would boom. That is what the late 1990s was all about.

It was a bull market phenomenon, led specifically by the TMT boom. The TMT boom meant that whichever tech stock you brought in whichever country, it was going to go up manifold. The bust meant that whichever stock had gone up because of the TMT boom was going to get crushed, no matter what the dynamics. So, you had the complete inverted V take place out there.

However, there is a good chance that the sectoral implications across countries and the significance of that for emerging markets will reduce. Sector correlation had reached a very important extreme and a lot of people were beginning to organize themselves on the basis of just sectors. Hence, even countries did not matter. However, differences are already beginning to show up.

When markets move in a very volatile way, global correlation also tends to be very high. So, everyone rises together, everyone falls together. I think those days of very sharp rises or falls are behind us.

In this environment, countries in emerging markets are going to get a much more important role. That's because these countries diverge significantly, since they are at different stages of the development cycle.

*CIO: I have gone through your newsletter, and based on the newsletter, I have a few questions about your investment philosophy. To begin with, you have consistently maintained that the only sector where there is a misalignment between the global weight and the Indian weight is the financial sector. What do you think will be the drivers to change that?*

*RUCHIR SHARMA:* It could be retail lending. No doubt, the financial sector in India is underrepresented. Typically, when you look at a country, the financial sector is what we think of the most. But it is not so in India. Maybe there is a reason for the low representation. Maybe it is the market's way of telling you that the government finances are in a mess, so the sector will not receive a high rating here. However, even if the finances are in a mess, I doubt if India is ever going to go bust.

*CIO: Structurally do you believe that the interest rates are right?*

*RUCHIR SHARMA:* No, this partly reflects our weak growth environment. I think interest rates in India should be a bit higher. Low interest rates aren't always a good sign. It is a sign partially of the fact that the economy is growing at sub-optimal rates, at below its potential. Some fresh analysts may single out savings on interest rate costs, but that's like missing the woods for the trees.

*CIO: If interest rates are low, it's a classic Austrian school theory that low interest rates cause misallocation of capital . . .*

*RUCHIR SHARMA:* That is the problem in the US. The economy is completely lopsided. While everything else is bust, the household consumer sector is still booming away. Hence the average is still above zero. While the misallocation could be happening there, in India, I believe the problem is just that, generally, things are down.

From an Indian context, low interest rates are good since it helps you to cyclically cushion the pain of the fact that you are growing below potential. However, there are much bigger issues here than low interest rates, when it comes to achieving economic growth.

*CIO: Now that you have a clear view on the dollar, how do you think that will play out for the Indian corporate sector?*

*RUCHIR SHARMA:* I believe it is too small a game to be made into a big theme. I believe the rupee will be more or less stable against the dollar – any rupee appreciation will be negligible. In fact, the rupee will depreciate against non-dollar currencies (like the euro and the yen) since these will be rising against the dollar.

*CIO: Can you take us through some of your reminiscences – your failures and the lessons learnt from them?*

*RUCHIR SHARMA:* As I mentioned earlier, the biggest benefit to me was that I have seen big trends early and I have been wrong on them. I have realized the importance of being right on big trends. What I have really learned is this game of having greater patience. Markets can fool you all the time.

The key benefit here is about knowing history (and historical anecdotes) very well and getting facts right. Having wrong facts can be quite damaging. I have learnt from my mistakes made in the past trying to bottom-fish too early, among other things. In a nutshell, it is important to learn to have patience and to trend markets.

*CIO: What has initiated some of the most successful ideas in you? What has been the trigger point for some of the best ideas you have generated?*

*RUCHIR SHARMA:* Some ideas have come at all sorts of odd times. The only way this game can be played is to stay alive to the markets at all times. At any point in time, some market somewhere is always trading. Therefore, an idea can originate anytime, anywhere. The key aspect about our business is that there is no time. No doubt, people have this concept about working hours. We all spend time in our office because we realize that we need to do it, but I wish though that even I could think less about working hours.

**Understanding risk is of critical importance to investing**

*CIO: Based on your study of other investors globally (or in India), what in your opinion are some of the most significant characteristics of successful investors?*

*RUCHIR SHARMA:* The most successful characteristic is the concept of understanding risks. People, I believe, have a wrong understanding of risk. For instance, when you play 'teen-patti' (a card game), one of the most stupid concepts is to play blind. Since I never play blind, people feel I am hesitant to take risks. However, the fact is that this is not risk but stupidity, since the odds are stacked against you.

For many people, risk is tantamount to being macho. On the contrary, risk is about surviving. What is true for the card game is equally true for the markets. This is a free market – do not try and play every hand; you don't know whom you are playing against. So, from a market standpoint, it makes sense that you don't bet your house on everything. Risk is about surviving.

The best traders and investors in the world like George Soros and Stanley Druckenmiller ride on investment decisions half the time. They know exactly when to get out and they know when to build a position in a very meaningful way. For instance, when Soros took on the Bank of England in 1992, he knew at that point in time that it was a big trade and he had to go for it.

Then there are other ways of the market – you take many small positions and hope that they all add up to something meaningful. However, what is important is that investors must understand the concept of risk.

*CIO: Do you admire any specific domestic or global investor?*

*RUCHIR SHARMA:* I have an admiration for many international investors, some of whom I have had the pleasure of meeting myself and learning quite a few things. For instance, I used to like Nick Roditi, who used to work for the Soros group, although he is not so active today. He would take 5-6 meaningful positions a year and just sit on them for the entire year. He used to keep a low profile, operating out of some remote place in the suburbs of London and still managing billions of dollars.

In the firm, the culture inculcated with people like Barton Biggs has been the importance of history, wherein you could debate with him about what happened in 1974 or in 1932? I like people with a good knowledge of history, besides patience to see long-term trends and a high tolerance level for short-term pain.

# Zaheer Sitabkhan

**Zaheer Sitabkhan joined Lloyd George Management in 1995. Mr. Sitabkhan has managed the number one ranked LG Asian Smaller Companies Fund, LG India Fund and the long/short LG Asian Plus. Before joining Lloyd George Management, he worked on business development projects for local companies both in Moscow and Prague.**

**Mr. Sitabkhan graduated from Case Western Reserve University in 1987 with a BA and from Indiana University in 1991 with an MBA.**

*CIO: Could you start by articulating your investment philosophy?*

**Fast-growing industry, distinct competitive advantage and good management**

*ZAHEER SITABKHAN:* Our greatest successes have come when we have identified a company with the following criteria – the company is in a fast-growing industry, it has a distinct competitive and comparative advantage, the management has a track record of performance, integrity and good interaction with the investment community, the company has demonstrated sales and profit growth greater than their peer group, the company has also demonstrated a return on equity (ROE), and a return on capital employed (ROCE) greater than their peer group and, lastly, the company has paid for its capital expenditures from the internal cash flow.

Moreover, our investment process is heavily dependent on having interaction with the management. The key aspect is being able to meet management teams who can explain to us in a 45-minute meeting what it is that their business does and why are they good at it. Moreover, they should also be able to elucidate in a logical fashion what it would take them, over a three-year period, to double their sales and profits – what are the building blocks that need to be put in place to achieve those goals – in a way that we can understand.

The management should be able to clearly demonstrate where their strength is, what's exciting about the industry, and what the company needs to do to build its internal strengths and infrastructure (internal building blocks) to achieve sales and profits that is twice the current levels. If they can paint a clear picture during the 45-minute meeting, the chances of success in implementation and execution are probably pretty high. Then it's a question of you following up religiously on an ongoing basis. We used this methodology to identify Infosys. In fact, having a great success in a stock like that at Lloyd George Management, you can learn quite a few lessons about the investment process. A company like Infosys has not only helped our portfolios grow tremendously, but it has also helped shape our investment philosophy to what it is today.

Within Asia, we start with a premise that we are operating in inefficient markets. If that's true, then as a fund manager, we can create an investment edge by doing proprietary research on companies that meet the criteria in terms of our investment philosophy. That way, we can find well-managed growth companies with the kind of management team I discussed about. By closely investigating across the region, we may find another Infosys out there somewhere, which is what we try to do.

We, however, do realize that the region isn't full of Infosys'. I mean, they are few are far between. Therefore, the key point here is that if you start with the end point and work philosophically for what you are looking for, the chances your research team finding it becomes marginally higher. Moreover, while you won't find another Infosys in every single market, you'll find companies that might have some of the criteria and they will help lead you to a profitable investment. So that's a very important part of Lloyd George Management of having a defined type of company (or investment) that really excites us.

**Proprietary research and small-cap investing gives an edge**

Further, our investment philosophy has a couple of additional components. One, as I said, we believe in proprietary research where we can learn more about the business than the next person and what might change for the better. Since we are operating in Asian markets, research helps close the information gap. Two, we are looking for companies that are in an earlier stage of development than it appears. That necessarily means smaller capitalized companies. By catching a company at an earlier stage of growth, we think there are fewer people chasing these ideas and therefore we can play where others aren't. Naturally, this style of investing is fraught with risks, but this is where we decided to specialize, since we believe, philosophically, that smaller cap stocks have an advantage. Moreover, doing it time and again helps help you to focus and create an edge for yourself.

*CIO: You talked about 'competitive advantages' that you look for in a company before investing. What are the various attributes that really provide a company or a business the competitive advantage?*

**Invest on the assumption that competition will eventually come**

*ZAHEER SITABKHAN:* To begin with, if you interview a management team, you can quickly figure out the price of its services (against competition), the cost of its production (against competition), and the natural ability to distinguish its products (against competition). Therein, we are getting into competitive and comparative advantage. These are the kind of things that should be obvious during a company interview. As you decompose it though, 'competitive advantage' can become a little more difficult to identify because it will invariably invite copycats and more competition (especially in high ROE businesses).

Therefore, if we play up the scenario over a long period of time, say, anywhere from one to five years, depending on the industry, we notice that it finally rests upon the execution of the business plan. The company has to communicate the vision through the ranks and make sure that everyone in the team moves towards the same goal and executes in a similar manner. Moreover, the company has to ensure that the team has a set of cultures and values that create excellence, organizationally, and that's an intangible competitive advantage. It is something that you can only understand or realize through repeated interaction with the management.

While there are obviously the quantitative aspects of analysis, culture remains a very important component. Within the Indian context, there are certain business groups, such as Infosys and Reliance that have a business culture. This is a competitive advantage. No doubt, using a simple Michael Porter's Model, we can make a quantitative analysis of the competition and competitive advantage. For long-lasting competitive and comparative advantages, however, you have to look at something less tangible.

That's where, I believe, soft skills will propel a company higher than its competition over time. With the exception of Microsoft, in our investment lifetime, we haven't seen any true monopolies created from scratch. Therefore, we have to operate as investors with the assumption that every business that we are going to invest in will have competition. In other words, we have to identify each of our investments' competitive strengths very critically without the luxury of having monopolies. While management will try hard to integrate their businesses, create numerous suppliers and introduce better research technologies, it will remain an ongoing process, and we cannot assume that we will ever find a monopoly or monopolistic company.

*CIO: Could you elaborate on the risks underlying the investment process?*

*ZAHEER SITABKHAN:* If one decides that the greatest potential for gain is in identifying an early-stage growth company then we also have to assume that no one has a crystal ball. While it's great to imagine the future of a company, if that future does not materialize, the costs to the investment are potentially massive. Therefore, you have to do your homework well and accept that things could go wrong. In other words, there is a degree of contingency planning you have to undertake when investing in smaller capitalized companies.

There are two obvious pitfalls that we come across time and again from our experiences in Asia. One is the industry risk – you think that the industry will grow into a big size over the next few years and this assumption may turn out to be far from true. In other words, you simply get the analysis of the market size wrong. However, this is less of a problem though than analysing a single product. As you go through the product the company is producing, you try to identify why it is a competitively better product than those that are already out there. It it's a new product, then you got a whole new host of hurdles from marketing to market acceptance to quality assurance, which means that you really have to be careful of the kind of small company you pick. No doubt, it's wonderful to think that you found the next Microsoft because they got a product that's unique and will capture the market's attention (and market share), but in reality, it's just not going to happen.

Therefore, you need to really think how competitive pressures will affect a company's ability to sell its product in the marketplace globally. That is very difficult to analyse because as stock market investors, we have the misfortune of having too many options (on our plate) from cash to bank deposits to sectors within the stock market to market capitalization choices. In other words, the amount of research one can devote to managing portfolios is not as extensive as, say, a private equity investor or a venture capital investor. Therefore, the closer you get to early-stage investing, the more you are getting away from your core skill.

I have to profess that I am a stock market investor – that's all I do. One of the reasons we pay more for our stocks (price-earnings and price-to-book) is that we can sell, that is, we pay for liquidity, which is a luxury. However, the lower we go down the capitalization chain, the more we are getting away from investing in public markets. That means the more we are getting away from our skill set and the more we are stepping on the terrain of private equity and venture capital investors who have a different skill set.

So there lies a pitfall – the further down the capitalization chain you get in the companies without track records, with products that sound wonderful but yet with no market proof of acceptance, the more you are going to take on risk that you shouldn't be taking. In my experience, the stocks that have had the most problems were all those stocks, which really were the domain of a private equity investor or a venture capitalist investor. In other words, someone who is not managing pan-Asian money and is willing to take liquidity risk and is willing to forego the option of selling any time soon.

*CIO: To get to the core of your investment philosophy, you enumerated quite a few attributes that you would look for in a stock. Which of those are necessary conditions?*

**No compromise on management and industry characteristics**

*ZAHEER SITABKHAN:* That's good question. All the attributes are important for us. Among the variables that could change, I am less stringent on the front-end of the investment. For instance, a company may have a relatively lower ROE (return on equity) or ROCE (return on capital employed) than its competitors. However, if we can identify why that is the case and management can articulate what is going to change in a convincing manner that's logical, then there lies an opportunity.

I am inflexible on the type of industries we invest in. There are certain industries that just do not lead to good stock market investing. These are, generally speaking, high capital consumptive industries – the ones in which the barriers of entry are low or where there is a high degree of government regulations, since emerging markets are fraught with political risk. India is a great case in point that political risk can really cause damage. By political risk, I mean government intervention in the pricing mechanism, whereby the entry-exit functions of a market can really damage your investment prospects over the near-term. So that's something I am less flexible upon.

I am also inflexible on management integrity. If there is evidence that management hasn't dealt fairly with their investors, employees, customers or suppliers, then that really raises a red flag. We try to be careful, what with the old adage "Leopards don't change their spots." I mean, I have invested in companies where management has had a chequered past of siphoning off money from the public company or engaged in behaviour which would suggest that minority shareholders weren't really cared for. The fact is you may think that things are going to change and, maybe, they do change for a few months, but in the end they don't. In a nutshell, we don't want to take any liquidity risk in a management team that we don't have high confidence in.

Finally, there is the product risk. There has to be something visibly strong about the product. I am not interested in an industry-wide growth phenomenon. For instance, rather than buying all the companies within an industry that is growing furiously, hoping that they would all rise, I would rather do with companies that can progress nicely.

*CIO: How has your investment philosophy changed over a period of time, say over the lasts 5 (or 10) years?*

*ZAHEER SITABKHAN:* Before I joined Lloyd George in 1995, I had lived in Prague for three years where I had been part of a project to help build a start-up media company, which was involved in record production and distribution and film production and radio station operations. In effect, we were a mini-conglomerate and while the entrepreneur in-charge didn't have focus, he was, nevertheless, an entrepreneur. Therefore, my experience came from one of starting and working within a small fast-growing company.

I worked for a dynamic entrepreneur – an American who was very energetic and visionary – but we learned that there are a limited number of things one can do in a small company. You have limited capital resources, management resources, and ability to execute is impaired by doing too many projects at the same time. So that's the kind of background I came from.

When I joined Lloyd George, my first project was on the Asian Small Companies Fund. Although we hadn't crystallized the stocks then, we recognized that finding 'good' small companies could be extremely challenging and rewarding at the same time. Since we didn't know what 'good' meant nor did we understand many things, we were typically excited by the kind of things that would have excited other people.

We were probably influenced more by market fad – at least I was. That naturally led us to buy, for instance, roads in China or Malaysia, financial companies in Thailand, and retail and distribution in China (oh, what a great fad that was!). We were also attracted by the potential of size – of being the biggest. Every management who entered China was going to be the biggest. Over time, with enough disasters in these various asset categories, what you learn is that track record is a very important aspect.

**Finding good, small companies is extremely challenging**

Philosophically speaking, I managed to become a little bit more sceptical, although I still get very excited by a great story. But you learn to really want to see the logic of the business plan – how it goes from where we are today to where we are going to be, what it takes in terms of manpower strength, financial strength and marketing strength, and how do you find these people. I mean, knowing what I know about the business, if I were that CEO and if I would have to put together the business plan, how would I do it? If you can't answer the questions, well, either go back to the company (or the analyst) or go back to your books or don't buy. I have learnt to try and step away and accept that I don't understand.

*CIO: What are the factors you look at while entering into a trade?*

**Be clear on the reason for an investment decision**

*ZAHEER SITABKHAN:* Well, to begin with, there is nothing wrong with fads. The trick for you as an investor is to recognize the fad and participate with discipline. One of the things I've really learnt is to identify why you are going into a trade. As I said, the object of our philosophy is to really look for the next Infosys. But the reality is that there has been only one Infosys in Asia since I have been in the business, and that is just the fact of life.

If you have a significant amount of money to manage, you have to continue to deploy that capital. Therefore, you have to be clear why you are going into an investment. The bulk of what we do is look for these well-managed companies that we can really buy material stakes in, and see massive multiple expansion in our investment. In the other cases, you want to be clear why you are entering into a trade. Am I buying into a fad because I think it is an Infosys. If that's the case then I am off base by a long margin because the stock would go up and I would be right, but for the wrong reasons. I'd think I had found the next Infosys when in fact, I had really participated in a fad.

Moreover, I would probably make the wrong decision by buying into a market fall. In this instance, I have learnt that the market fall is telling you something. The market is putting a top on the stock. Likewise, you make a wrong decision by dabbling in a good stock in a falling market – a good company in a bad market is a bad stock. For instance, if you buy the No. 1 stock in a country like Indonesia in 1998, you're going to lose money.

Therefore, being clear why you are entering into a position and assessing the environment, not only from a stock-specific level but also from a macro-economic level will help you answer the question – why am I entering this trade? Is it because I like Indonesia or is it because I like this company? If it's because I like this company, how will the company's operations be affected by a macro change going on in the environment.

*CIO: What is the investment objective that underlies your investment philosophy?*

*ZAHEER SITABKHAN:* For the most part, we handle institutional clients and also high net-worth retail clients from around the world, mainly from Europe and the United States. What's the rationale for people investing in Asia if they are from the US or Europe? No doubt, these people have plenty of investment opportunities at home, investing in bonds and stock markets. You could say that diversification is good for the portfolio –one should have some money spread around the world. That was our old argument, but the fact of the matter is the correlation amongst stock markets in the world today is probably higher than what it was ten years ago. So, it is difficult to put forward an argument that we provide a diversified hedge for a global investor.

Therefore, what rationale do we use to say we can do something different? Well, you have to provide absolute capital gain, which has to be a significant multiple of the developed market index. Since you are trying to lure money away from a 'safe haven' like the S&P 500 or Euro stocks to Asia, you better have an ability to beat and to generate US dollar returns.

For some of the funds we manage, we can practise long and short investing – therein lies an ability to make money regardless of the market conditions. But in other cases, when times are good for the markets, your stock should really be in the top quartile of performance. When markets turn bad, you should use your discipline to exit positions and raise cash and become defensive. In bad times, capital preservation should be the objective and, in good times, you should make sure you are growing at a faster pace than the developed market.

There are many active fund managers who are restrained by their committees, trustees, mandates and guidelines. On the other hand, I had the luxury of being an active fund manager with very few restrictions, I am not truly an active fund manager. However, because I chose to compete in the active category and I have mandates that give me that flexibility, therefore I have to use my best judgment to preserve capital. It is my objective to preserve capital all the times and grow it aggressively when times are good for the markets. While, in some cases, we have done a good job over time, we have also tried to learn from our mistakes to make sure that we don't replicate them in the future.

*CIO: Don't you feel it is difficult to promise absolute returns at any point in time. Moreover, by combining that with capital preservation, will it not make life more difficult for a fund manager?*

*ZAHEER SITABKHAN:* This is an interesting point. As I said, it is the objective – it is what you strive to do. Therefore, if you start with the objective of absolute returns, at least your research decisions, your investment decisions, your portfolio construction decisions, and your cash decisions are all geared towards that goal. You may not achieve your objectives all the time (in fact, you probably won't). However, with such a mental approach, at least your chances of success could be higher. Definitely, there are people who have had good performance track records, but that's because they have a system that works for them in a certain way.

I have generated my performance and track record using this formula of operating from an absolute point of view, regardless of the indices or the magnitude of the risk I am taking in terms of industry risk or market capitalization risk (or liquidity risk). Moreover, if I don't like something, I can move to cash and hold on to it until I reinvest it.

What I admire about the best companies we invest in, is the return on capital employed (ROCE) as a criteria. If I think of my fund as a company, I would like my fund to have a ROCE that would be in line with what the best companies have invested their capital at, which is 30-35 percent per annum. So that's a huge challenge for a fund manager. I mean, what Infosys returns on their capital employed is multiples of what I can do – that's the difference between a focused business and someone who is diversified. Therein lies the rationale for what I do – try to put my money at risk, only when I see returns that are significantly high enough.

*CIO: Your position is unique compared to any other fund manager as you can actually make an asset allocation call apart from a stock call. Most fund managers only make a stock call given the tight mandates about the kind of cash that they can hold in the portfolio. What has been the key driver to your performance – your stock selection call or your asset allocation call?*

**Stock selection drives performance**

*ZAHEER SITABKHAN:* It's hard to say. Based on attribution analysis over the last 5-8 years, it's very clear our stock selection has driven our performance. Our LG

(Lloyd George) Asian Small Companies Fund – the Fund with the longest track record in existence – started in June 1992. I only joined in March of 1995.

It's a diversified fund with options to invest all over Asia and with restrictions on individual stock exposures. Of that performance, I would say stock selection was well over 75 to 80 percent of the contribution to the bottom-line. Asset allocation by country is important and is akin to what we look for in a company. One of the vital components we look for in a company is the cash flow paying for growth.

Countries are like companies too. Therefore, on a regular basis, I might analyse the countries in which to invest from a macroeconomic point of view. We try to decompose GDP (gross domestic product) growth and figure out whether GDP has grown because of consumption or investment or government spending or trade. Consequently, we try to forecast the direction of interest rates and the liquidity in the markets of that country. Then we like to look at the stock market generally – the PE ratios, the dividend yield, the book value, and the earnings-per-share growth – and then dissect the stock market into sectors to find out where do we have extreme valuations.

These help you identify anything that's interesting. For instance, your research may find a pool of stocks that fit the criteria. There is enough valuation upside for you to capitalize. But the macro just tells you no. What do you then? Well, therein you have to really look at what's your expected return. We never would have had Indian stocks during the period 1996-99. Yet some of the best contributions came from the Indian software sector because we could see events unfold that were independent of India and so we bought these scrips that did well.

However, the macro picture was never good. Remember how many governments we had. The interest rates were the highest in the Asia-pacific region and since inflation wasn't a problem, real interest rates were very high. We had no investment demand; it was basically government spending, which used to add some consumption in the GDP figures, but there was not much by way of macro investing.

On the contrary, China has been a marvellous macro story. The same analysis would tell you that you should really have lots of money in China. But my colleagues and I could never meet the companies that have the criteria that we want. So that was always a mystery to us why China can grow 7-8 percent per annum, yet profit growth never materialized, ROE never materialized. Therein lies the reason not to invest in China, despite a positive macro.

So, asset allocation is a bit funny. In the fourth quarter of 1998, I remember the Indian GDR market (the first time ever that I had seen it) was trading at a discount to the Indian local shares. And at the same time, there was really no hope for the economy, despite the good rains and some small reforms. However, we started to see some growth in industrial demand and some cement sales and therein was the macro story. We saw an excellent story to buy these discounted GDRs when we could see the rains were translating into rural demand and, consequently, cement and truck sales.

I recall we were very geared up about buying all the major blue-chip Indian industrial stocks. Now did these really fit our criteria? Not exactly. A lot of these GDR companies back into 1998 were capital consumptive type of companies. However, our reasoning was that a 25-40 percent gain was evident in these stocks. We identified the downside because of massive discounts these were trading at, as against the last 2-4 years (never at a discount, always at a premium) and therein lay an investment decision that was macro driven.

That's asset allocation. That's the way I can go to our team at Lloyd George Management and say the firm should really put x percent of the assets in India, these are the five stocks that fit this theme, and we need to deploy capital in it. That's a 100 percent macro asset allocation decision. So, it's hard for me to decompose the contribution for you.

Meanwhile, this leads me to another concept of asset allocation – it's not important how you get to the point of buying a stock, provided you have something that fits your philosophy and a sound reasoning base for doing so. For instance, recently, the semi-conductor industry, which is highly capital intensive, grew 110 percent in units sold. However, the pricing collapsed. So, it's an unpopular industry. What does it tell you? It tells you that basically it's a good industry, its fast-growing, but it's not profitable. So, what should happen? Consolidation.

The key players are American, German, Korean, Taiwanese and Japanese. What you notice is that the Japanese just couldn't go forward with this wild spending on research and development. That's interesting. Well, that means they can no longer provide technology to produce chips to people who licensed it, such as the Taiwanese. Now this is an interesting dynamic. What else happened? But for the support of the government, Hynix, one of the three biggest in the world, for all intents and purposes, was bust.

This is an interesting macro analysis – good industry, bad profitability and change is happening. In addition, with a provider of technology exiting, you are withdrawing one of the elements of competition, which is technological change. This was something we were worried about. Moreover, one company was bankrupt. So long as the government can support a bankrupt company, that makes it an asset in play. It also makes the Taiwanese assets in play. Furthermore, on doing a quick screening, it was observed that the price-to-book value was less than one –reflecting the market perception about the industry.

However, you can still sell the products. So, then you start to think yourself, if this were an industry that was consolidated and cartelized, what would that look like? Would you not pay a higher price-to-book value for an industry that may not have a great upside anymore, but certainly doesn't have the downside wherein you had prices going from $8-9 per unit to $1.50 per unit. What if they just fluctuated between, say, $3 and $6? At this point, you have the ability to make a macro decision. You come to a conclusion on what you think is cheap, what pressures the industry faces based on Porter's dynamics, and accordingly make an allocation.

That to me is a very interesting proposition and therefore it's clearly not an idea that I will want to have for the next four years. Nonetheless, I can get comfortable with the analysis. I can see my targeted returns of capital employed (ROCE) being met. I can understand a catalyst for unlocking the value in my stock and I can make a decision. While, ordinarily, I would not buy these stocks during my traditional research, I have an extraordinary case for making an investment decision based on an asset allocation to an industry, or based on our research analysts telling us something different than what the market conventionally believes. My assumption for what the market conventionally believes is based on the price-to-book values of these stocks, compared to the last 3-5 years. That's why you would buy those kinds of stocks.

Finally, you had strong incumbents taking interest in consolidating the industry. So, you had the right elements to making this work. In hindsight, it is very clear. I mean, it's not that clear when you're doing the work. But the lesson here is if you can really construct a story that meets with logic from your training and understand a catalyst to making it crystallize, you have an investment case. Moreover, what you have to realize is that it's an investment case that will have a finite end. In other words, at a certain point your story is played out and the valuations should reflect that, at which point you had your opportunity and you can exit. Therefore, you have to build self-discipline into this, because this isn't an ideal but a sub-ideal.

*CIO: Actually, some of the fund managers that I spoke to, managing Asian funds have extensively used this benchmarking concept where let's say they saw a particular company in a particular market with a x market share, y of profitability and a z market cap. And they said oh, look there are these other companies in other countries which has much superior market share, much superior growth rate, much superior profitability, but the market cap is just a fraction. You are managing multiple countries and you have the luxury of seeing companies operating across countries – have you come across any such ideas where you know they have invested* *in a similar concept in another country where may be the investors in that market have not yet realized such a concept?*

**Cross-border comparison is not always relevant**

*ZAHEER SITABKHAN:* I don't believe greatly in this sort of cross-border comparison because there are certain important services that just cannot be traded and there are lots of government regulations that change the industry structures in different countries. However, it's an interesting that might get you interested in an idea or it may be a tip for at least looking at a stock.

Let me give you a specific case study of where we do find great cross-border interest. When I was working at our Indian office, we discovered a theme, which in the mid-90s was not obvious to emerging market investors and that was the concept of capital efficiency and capital allocation within a company.

As you recall, 1993 was a boom year for the market in India. However, 1994 was a disaster – a cleansing of the excesses of all the companies that raised money from investors willing to finance it. No doubt, we were amongst those investors too. If you recall, those were the times where both the Indian capital market and the GDR market shut their doors to Indian companies, the governments kept changing, high interest rates choked investment, there was no infrastructure development whatsoever, agriculture was quite poor, and companies had excess capacity build-up from the heaps of money raised in 1992-93. The Indian economy was in a very bad condition in 1996-98.

Who prospered then and the lessons learnt from that has helped us as regional fund managers. For instance, we analysed the experiences of Hindustan Lever, Infosys, Mico, TVS-Suzuki, Hero Honda – why these stocks did so well in India when the country was doing so poorly and what was the common thread that ran through all of them. During that period, we realized that growth was clearly visible amongst using company's capital efficiently, companies that could pay for capex out of internal accruals, companies with the management teams of the highest integrity, and companies that had an ability to grow outside India.

We now apply and hold up these lessons learnt in India as a benchmark to companies we invest across the Asian region. It's quite interesting that when you look at a software company in Japan doing systems integration or ERP, you don't see the capital efficiency anywhere near to what you did in India. Therefore, you recognize why Japan is in the condition that it is today. Similarly, in China (and in Hong Kong), you see a movement towards better returns on equity. Dividends are getting paid out now. You know the movement is there, because investors are now asking questions to make the balance sheet more efficient.

That's what we found more relevant. Look at all the success factors of the Indian companies that did well in the worst couple of years of economic performance for the country. Identify why those companies prospered as stocks and see if there is a common thread. We realized there was a common thread that defined quality and therefore, we used the same standards across the Asian region (and even across the world, since we manage emerging markets money globally from London). It helps, especially, if you are practising in a smaller cap area, to identify these kinds of companies.

**Multi-baggers are bottom up**

*CIO: You've tracked multiple markets across Asia. What has worked more often across Asia, the bottom-up way of thinking or the top-down way of thinking?*

*ZAHEER SITABKHAN:* It's hard to say. The most satisfying experiences relate to finding multi-bagger and every fund manager likes that. That's purely bottom-up investing – finding a unique story that no one else believes in early enough and which results in a multi-bagger.

Whether that's in case of a micro call where you find a discounted stock, and then making that easy quick money when the market says that was mispriced. Then the industry starts to turn better, so you start to get some earnings growth. The best part is when your stock valuation expands because the markets have discovered that the industry is growing, the company is growing and the PE doesn't reflect it yet – as you know, the top of the cycle is always when the PE is the greatest. That's quite satisfying.

For me, multi-baggers are clearly bottom-up. No doubt, I have friends who have made multi-baggers on macro call. You have to recognize your strength and play to it. I know some great macro traders who have a different strategy. For instance, there are people (I admire) who played the short side of the currencies in the Asian crisis. They used good fundamental analysis to determine that there was a deterioration in ROE and ROCE in these Asian countries back in1995-96 and the reason was just diminishing returns. You can only invest so much in the same things before the returns collapse. They understood that and, obviously, the amount of money they made betting against those currencies is highly fundamental, but macro driven. In other words, they played to their strength. On the other hand, I tend to get the best out of bottom-up – looking out for a company with exciting prospects, management who demonstrate a good track record, and the day you see that that industry is as big as the management thinks it is.

*CIO: There are two elements to what you just said. One was the macro understanding about the low returns that Asia is generating, which is not sustainable* *and the other element, which is equally if not more important, is the timing, especially when you are, say, shorting a currency if you are playing a leverage game. How important is timing to your entire investment management?*

*ZAHEER SITABKHAN:* Market timing is a funny thing. Everyone claims you are not a market timer. If you do your homework, that shouldn't matter. You have to understand why you are entering the investment. For instance, ideally, if you had bought Infosys anytime between 1993 and 1995 (and you had almost two years to buy it so it really didn't matter when, in hindsight, you bought it). However, you could have made more or less along the way. Obviously, we all like to make more, and there is an element that once the stock goes up 10-20 percent, we don't want to buy it, which is absurd. My point is that you have to know what's the potential in your investment and if you end up paying a little bit more than you wanted to, what's the big deal. If your end point is so much greater, why mess around. Therefore, I don't give too much importance to market timing as long as I have understood the reason for getting in.

There are times in Asia when, for certain reasons, the market becomes illiquid. When you can see your favourite stocks offered only with no bid, you recognize a problem. Conceptually, as a fund manager, you are a financier and if you providing finance to the market, you are giving someone else an exit. Well, he is going to pay you for that in cheap stock. If it is one of your favourite stocks, you could very quickly make 20-30 percent.

Now that's a trade. While trading is a small portion of what I do, you recognize it, especially when you are indulging in it with the stocks you know, and you understand what's their potential is in the short term. You are providing the financing, you take the trade and then you exit. Therein, time is everything. So that's why I don't do it often because the chances of you executing that strategy successfully, in my opinion, decreases over time, because I am not that skilled in this kind of trading. Therefore, I limit it to one of the obvious cases.

**Selling is probably as important as buying**

*CIO: All along you have talked about what to look for before buying a stock and how do you go about buying a stock and building a portfolio. Could you tell us how to go about selling the stocks?*

*ZAHEER SITABKHAN:* I have learnt that selling is probably as important as what to buy. In fact, there are a few elements to managing your investment. One, buying the stock after carefully researching it. Two, holding a stock, which is no different than buying a stock. There is absolutely no difference between buying a stock today and holding it for five days time. It's just the same as buying it on that same day. Finally, selling the stock.

Each one of these decisions has equal weight in extracting the profits from your investment. I would love to say that I sold all my TMT stocks at the peak. I didn't. There were many stocks that appreciated handsomely, but subsequently came back to what I had initially paid for them. So, I have made many mistakes not selling when I should have.

You learn to be clear on why you entered a decision, and then regularly on a weekly or quarterly basis, depending on the holding, ask yourself why you are holding the stock? As I said, holding a stock is tantamount to buying it. If I have a stock in my portfolio today, I bought it today. Why did I buy it today? What kind of industry growth rates am I expecting? Are they changing? In other words, monitoring the reasons that are driving the growth of your stock.

On the sell side, there are certain points to consider. Anytime I buy a stock, you always think about what point you would exit. That's based on a number of factors. One, assuming that there is no valuation expansion, if earnings growth takes up the stock price to a certain level, what would the PE be then. Looking at comparables, would that be analogous or comparable to other stocks in the world? Two, you can use something more mathematical – basically some kind of valuation-cum-earnings growth mixture or price-to-book to ROE ratio. For instance, if you view a bank, for instance, like a bond, the price-to-book to the ROE ratio can tell you quite simply are you paying more or less than a bond. In other words, you can use these basic relationships to determine the final endpoint and what happens when you get there.

Once you get there, the trick is imagining what can change, what I expected to happen when I bought the stock, now that it has happened, what do I do next? For instance, let's take the case of a manufacturing company. What can happen once your share price target is hit? Well, maybe, the prices could go higher for your product or, maybe, your company gets acquired by somebody else at a higher price. You start to think what really are the logical things that can happen that will force earnings to go higher and then analyse them and say what if they did go higher.

The biggest component is imagining what can happen. That is typically why most attractive businesses are those where the constraints are less. I have one company in my portfolio this year that is involved in making online games. This company had one game when I bought it about 15 months ago at a lower PE ratio – no doubt, good cash flow. I bought it thinking that if it's a successful company in its country Korea, then it should go up with its earnings growth.

With each quarter that passed, the number of subscribers was higher than the expectations, so I held on to it, because it seemed that the earnings per share was rising with each quarter as more subscribers came. As I got to know the company better, I realized that this is a game after all, and not restricted by language. Therefore, it could work in other countries, which means more subscribers.

Nonetheless, when I did a comparison of stocks around the world that are in games, there was a big gap between a single game company and a game company with a portfolio of games. This was an interesting point. Can the company have a portfolio of games and what does it take to do that? Well, it can invent more games but that’s risky. You obviously got one hit, but the market would not pay for a one-hit wonder. They say they are going to build more games and spend R&D money, but the likelihood of getting two successes is pretty low.

However, what was interesting was that they acquired people who had started up in a successful game company in America. Now you have brought in seasoned game publishers and this game producer is now turning into a publisher. Now I look at my PE ratio and I look at the comparables of publishers in the world and I see the gap is immense – the difference between 8 times PE ratio to 60 times PE ratio. Now I see there is a lot of upside in this stock. So, do I sell as it rises? No, I don’t.

Let’s look in hindsight about the lessons on when to sell. Take Infosys, for instance. In the time period that it was ruling between Rs 9000 and Rs 13,000 a share, why did people hold it? Why did all of us hold Infosys back then? No doubt, it was a great company and it was growing fast. However, it was the most expensive on any comparison in the world. Well, we said, were they are going to acquire something? If so, logically speaking, what has to happen? What we didn’t do is to ask ourselves what would they have to acquire to make their sales and profits grow in a way that would make the valuation comparable to the other companies in the world? Basically, they would have to acquire the biggest companies in the world, which is just impossible. So, there was a clear disconnect.

Also, with companies that are traditionally valued on PE ratios and EPS growth, if the market says that by breaking up the companies’ assets into a sum-of-parts, you get a higher value, that is a sell sign. It means that you are using new methodology to justify the high share price. The bottom line is that you are justifying something that seems illogical. That’s a problem.

Another sell sign is that you have to pay attention to the popularity of the stock. You do realize in Asia that we are small markets and trades get very crowded. If you notice that you are in a very crowded area, that’s a dangerous sign. It should alert you to lower your expectations and be more disciplined. So, these are things that I have learnt over time.

But there are stocks where you have to ask yourself why you are in it in the first place. Like this game company we discussed earlier, I know why I am in it, because I see something big now. You have to recognize the possible catalysts that can get the stock to go higher. Once that happens, I have to leave the party because it's unlikely I can see the flexibility in its business process to get to higher planes.

At each point, it's like you are climbing a mountain and you have your peak in sight but with each plateau you ask yourself do you want to continue to the peak? Is it realistic to get there or not? Sometimes it is not and you just get out. One lesson I have belatedly learnt that the kind of emotional or psychological attachment to a stock is something very real, especially if the stock has made you a lot of money. It's very hard to part with it.

I keep very detailed spreadsheets now with simple numbers that show my weekly profit and loss in each investment I have. Sometimes I give these spreadsheets to colleagues who are not involved with my portfolio – they might be in the compliance department or the dealing department. They can simply point out to me where I am starting to lose money from the peak, and say what are you going to do about it. In other words, bringing in an independent auditing helps to add discipline.

*CIO: At the time you enter a stock, do you set target prices for yourself because that's the way of cutting emotion out of investment. For instance, if the catalysts you identified have been realized, do you ask yourself what is the target price that you need to achieve?*

*ZAHEER SITABKHAN:* Target prices are quite simplistic in my opinion. They are simply there to add discipline. They help you to reassess your position at a point of time. That's the most useful aspect of a target price. It enforces that discipline of refreshing yourself with the company insofar as calling on the company, maybe calling some analysts you trust, and assessing the macro environment for that company. Simple, just plain discipline.

**Risk comes from not knowing what you are doing**

*CIO: How do you measure and track your portfolio risk?*

*ZAHEER SITABKHAN:* That's increasingly a more complicated issue. Historically, we believe that risks were in investing in things we didn't know. Therefore, in companies where we didn't have several team members meet or were without regular contact (on a quarterly basis), we didn't want to take an investment or we would take a very small investment.

Companies where we had very large investments and good shareholding percentage of the total equity were those with whom we had close interaction with management, we understood the products, and things like that.

So that's where we really viewed risk the greatest, because if you are managing regional money (sometimes 11 to 12 countries), then on any given day, there could be news relating to earthquakes, typhoons, nuclear blasts, battles, riots, currency capital controls – we have seen every possibility in the last 7-8 years. Therefore, knowing how to react to news and volatility is a critical aspect to managing money in an emerging volatile market. We felt that understanding our companies well and how they should behave to changes in variables like oil prices, regulations and interest rates is vital to managing the portfolio. So that's what really matters to us. Obviously, we have also learned, with a bias towards smaller capitalized companies, that markets can be very violent towards small-cap companies, especially when liquidity dries up. Hence, we are increasingly more sensitive to the amount of small-caps, and if we have asmall-cap, the due diligence and the kind of standards that we hold these to risen when the market becomes fiercer.

*CIO: Are there any restrictions or guidelines on concentration in the portfolio in terms of stock concentration and sector concentration or any other such ways to control risk?*

*ZAHEER SITABKHAN:* We have historically just tried to keep 30-40 percent sector restriction, depending on its size. We work as a team here and, therefore, we share the responsibility in the risk of investments. Having a team like in the Mumbai office, historically, we had two or three people. I was on the India funds. If you have a few minds on the project, you can have a more focused fund. Having said that, we had periods where our fund has done poorly compared to a passively run index, only to come back in very strong form when things get better. We do accept that our methodology leads to periods of mediocre performance but we stick to our formula because it works best.

*CIO: What do you think would be the comfortable number of stocks that you hold in your portfolio?*

*ZAHEER SITABKHAN:* It depends on the kind of portfolio. If it's a regional fund, I am comfortable with anywhere between 35 to 45 positions. So, it's fairly concentrated. In a country fund, I generally like the top 10 holdings to be at least 60-65 percent of the fund, since I want clarity in research and I want clarity in where the fund is going and how it is balanced.

*CIO: How big would be your investment universe, say, for the country?*

*ZAHEER SITTABKHAN:* We do screen and we do use specialized screening formulas provided by third parties, which help restructure annual reports and balance sheets into cash formulas. This helps us to measure cash employed and cash flow returns, so we can view companies like bonds, which opens up a whole universe. We do a screening for positive return companies and negative return companies. The former makes it to the investment universe for our fund.

**Some companies require stringent updates, some less so**

*CIO: How frequently would you about updating yourself on a stock in which you have taken a position?*

*ZAHEER SITABKHAN:* It depends. If it's a well-known company with institutional structures of financing, marketing, human resources, among other things it could be once, say, the annual reports. You also have to determine how much the stock trades? Does the stock trade on monthly figures or order flow or contract approvals or winnings – figure out what drives it ahead? That tells you how frequently you have to update.

There are some companies that have long gestation periods of projects and work on long cycles, but then that's obviously not what you need. There are some companies that are early enough in development, where you want to check. They may say that the product is going to get approved for sale in a certain market or that they're going to enter a certain market. You need to check. Some companies require more stringent updates, and some less so. It depends on the kind of company, the kind of industry and mainly the variables that drives the earnings and the stock price.

*CIO: What are the valuation tools that you use in your investments?*

**Valuation tools are context specific**

*ZAHEER SITABKHAN:* We use a host of valuations. They range from something tangible like price-to-book or net asset value, which are more market-related criteria, or theoretical tools like DCF (discounted cash flow). What I have learned is that you have to try to think about which one of these tools works best for what kind of a stock and when.

Here is a case in point. China Mobile was once one of our biggest stocks in the city. Mobile companies are highly capital intensive, so free cash flow was poor but it would grow later. Therefore, DCF was always a methodology that people used but seemed to provide no real value because the stock price soon traded at multiples of DCF. So, something was strange. What was driving the share prices? What was its PE in terms of EPS? That seemed to be irrelevant because depreciation was a major factor. However, subscriber growth seemed to work. How else can you explain when you compare China Mobile with all other mobile phone companies in the emerging markets that the company had valuations parameters which were closer to NTT, DoCoMo or Vodafone in the developed markets.

What struck you is any valuation numbers you use didn't work in the traditional sense and, therefore, something else was driving the share price. Identifying the variable (maybe it is ex-post, in this case, subscriber growth) is crucial. As subscriber growth started to plateau around the world, we noticed that there was a return to revenue-per-user as a metric.

As a result, EPS and PE came back to the vernacular of these fancy stocks in 2001. That was interesting and the reason we knew that was Vodafone, the leading stock in the world in the sector, said that they were going to start culling out their low revenue-per-user subscribers. Why would they do that? It was because they were going to make the average revenue-per-user high by getting rid of the low. If you do that, it sends a signal that profitability is now the mantra. Here is a clear signal that a certain valuation metric is going to be used in the industry.

Coming back to China Mobile, here was a stock that stood out like a sore thumb in valuations and you had its comparables in the world changing the way that they would report their figures. It was time to revisit PE and EPS. The average revenue-per-head in China was $9 or thereabouts. However, your research told you that all the new subscribers coming into the system were low revenue-per-user. Why? Because it's obvious that people who first joined the system are the wealthier people who pay more. The next group has special deals, prepaid tickets, and pay less. So, if you report average revenue-per-user at the time, it was going to fall. So, you have a falling revenue-per-user and hence, falling EPS, compared to a company that was culling its low revenue-per-user subscribers.

Here we have a clear case of market expecting one thing and trends in valuation going the other way. The lesson here is to understand what are the accepted norms by the industry, check other valuation metrics and see where do they really stick out. So, in the case of China Mobile, PE and EPS would have looked pretty good in 1999 and 2000 because subscribers were growing. But then you also had to realize that PE and EPS weren't really driving the share prices. It was subscriber addition. It wasn't a valuation tool at all; it was topline or revenue.

Once you realize that valuations were coming back in the equation, you have to figure out which one works. Price-to-book value? Dividend yield? If they are not paying you dividend, what are doing with their cash? Were they reinvesting it? How were they re-investing it?

You can go through each one and, I promise you, you will find consistency eventually. If you find a premium to one variable, eventually they will all fall in, and you will see that in any case they are overvalued. Eventually it will all come right. China Mobile subsequently traded at 15 times earnings. Today it's a duopoly – its competitor is now quoted on a price-to-book multiple.

In 1998 (third and fourth quarter), many of us were still stunned by the collapse of Russia, LTCM (Long Term Capital Management), and the potential for Hong Kong to devalue. What we didn't know is Alan Greenspan opened the mother of all floodgates. Money was rushing into the system. Well, what happened? People bought assets. Debt became serviceable. Liquidity drove the stock market. Valuations didn't drive it. Nor did growth – there was no growth.

We had a bubble that popped in March 2000. So, what happened in 2001. Focus on valuations. For instance, take the Indian IT sector, during the boom, when everyone was focused on growth – contracts, business prospects, pricing – no one looked at the valuations and they were at multiples of the BSE Sensex. They were multiples of their peer groups around the world but yet they were competing in the same industry, same marketplace. So, it was pretty obvious that valuation, no matter what the companies were saying, was going to drive the share prices of those stocks in 2001.

So, you have to identify what kind of market you are in and then use your finite choices to tell you something. Back in the early 1990s, when many roads listed, they turned to DCF where the terminal value was 60-80 percent. That tells you that the risk you are taking is the gestation period of the project – will it get completed or not? You should never pay a premium to DCF, rather you should pay a massive discount.

**It's the fool who recognizes that all the fools are dancing but doesn't join the party**

*CIO: What kind of terminal value would you be personally comfortable with?*

*ZAHEER SITABKHAN:* We invest generally in cash flow companies that pay for their own capex. I am not interested in a company that values on terminal value. Of course, I did invest in dot coms like a lot of people and we made a lot of money in those scrips. But those were typically a fad. Wasn't it John Templeton who said that it's the fool who recognizes that all the fools were dancing but doesn't join the party? That's an appropriate explanation about how the years 1999-2000 turned out. However, I believe investing in projects that have high terminal value components – over 50 percent – is the domain of a private equity or venture capitalist. That's the kind of risk that they take.

*CIO: You are in a unique position in terms of shorting stocks also. Usually, a lot of what you speak is centered on investing – investments, long-term, value, and the* *like. What does it take to do shorting successfully?*

*ZAHEER SITABKHAN:* To begin with, I recognize that there is a natural tendency in stock markets to go up. Therefore, I am a very long-biased manager. In addition, short selling is contrary to my love in investing to find a multi-bagger – it is theoretically impossible to get a multi-bagger. The best you can hope for is a 100 percent gain and even that's rare. Moreover, short selling requires reducing your expected return and actively rebalancing your portfolio because bankruptcies just don't happen. Once you start to reflect the negative news, there are always people who want to come in and take the contrarian view. Your objective is to preserve those gains and come back to them.

So short selling requires far greater idea generation and inability to hold for long time periods and quick acceptance to the fact that you could be wrong. Disciplined use of stop losses is a critical element of shorting. Valuation, in itself, is never going to work, because expensive stocks can go on becoming expensive. Strong companies are not the ones to short – you have to identify an Achilles' Heel operationally, or in the income statement or the cash-flow statement. You have to believe that you found the Achilles' Heel in that system. It could very well be a company with a high valuation and meagre earnings growth, and you could ask yourself why is it case? Why is it that the stock markets think so highly of this company, yet it doesn't generate any growth? Maybe, there is a good reason – good dividend, safety, or a big index component – and maybe there isn't.

You are looking for the Achilles' Heel, whether it is in the valuation, the cash-flow statement, the income statement, or the balance sheet, and be sure that you have found it while no one else has. Then you put on the position and off you go. However, this is a more time-consuming process because you are constantly rebalancing, you cannot ride these positions nor can you actively trade. It's a very good discipline though, because when you short sell, you learn to part with a stock, you learn that stocks do not move up or down in straight lines and that things change. It's all a part of active management.

I wouldn't recommend to any retail investors to short sell because it can be very expensive, but it just keeps you aware that any point in time, markets have risk. This allows you to question your portfolio, strengthen your ability to sell across the board and reduce the risk on your portfolio.

Timing is critical. It's an important element. You may have the right idea at the wrong time, and you will still lose money. As an investor, we are privileged to have sophisticated research providers like computer screens with lots of data and you try to create an edge through technical analysis, information gathering, among other things.

*CIO: Coming to your reminiscences, could you talk about your various successes and failures?*

**You learn more from failures than from success**

*ZAHEER SITABKHAN:* I don't want to really dwell on the successes. I don't mind talking more about failures, because we do not learn so much from our successes as much as we do from our failures. Early on, I remember investing in a ceramic tiles manufacturer in Hong Kong. It had been a recently listed company, with not more than a year-and-a-half listing on the stock market. It was a small company and didn't have a capitalization of over $300 million.

It acquired, in a very short span of time, 64 factories in China. There was no doubt that China was growing quickly and construction was booming. This company felt that you needed to be near construction to serve the contractors. Therefore, they bought 64 factories and were able to cover the entire country; they were going to be the Chinese equivalent of American Standard or Johnson Tiles. A great big vision, quick to implement, and it looked like they would be the sole providers of the tile industry. Wonderful!

However, this company went bust. We lost significantly. Well, what happened? To begin with, it was just too big and too good to be true. A small company with a small management team operating in 64 cities in China simultaneously – undoubtedly, management capability was stretched beyond belief. Secondly, no matter what, there is competition and if you don't have an advantage, you can't win. What was this company's competitive advantage? Well, they claimed to be closer to their customers. While I thought about it, these were 64 local economies. It wasn't one. For all intents and purposes, each of his 64 factories was independent of the other. Maybe they could share accounting or procurement, but by and large, it was a pretty hokey argument. In other words, we failed to check the facts or test the argument.

Thirdly, we don't have consolidation of minority stakes in Hong Kong. There was no transparency. Each of these joint venture factories was loaded with debt. That's what brought the company down. So, the company showed EPS growth in the 2-3 years that it stayed alive. But the debts just killed them – no cash flow.

The lessons learnt – a small company trying to be big too early, cannot do. Moreover, competition is very much around, therefore test your competitive theory. Do they have better margins? Can they provide you with data? They couldn't. There is no industry knowledge in China. It isn't there. Furthermore, cash-flow statements are everything. Cash flow is the most important statement in the financial trio, and it tells you everything. I am sure if I go back, we would find that the cash-flow statement was pretty poor. Mind you, the company would have had an excuse that they were expanding very rapidly, modernizing factories, among other things. However, the fact of the matter was it was paying off debts.

Then there are instances of buying good stocks in bad markets. Prior to the Asian crisis, in June 1997, I clearly remember thinking that if the Thai baht devalued, then Thai interest rates could go down and the economy could grow again. I just totally ignored all the real facts that this country had over-invested in the last 3-4 years – it would take years to digest that over-investment. So not fully understanding the macro environment, no matter what quality stock I bought in Thailand, it was a money loser. Macro does matter in emerging markets. You have to pay attention to it, and if you don't, then you got to have a sufficiently long-term view. Besides, you have to be in stocks that prosper when the domestic economy picks up. Lessons were learnt in ASEAN – Thailand, Indonesia, Malaysia, and the Philippines. I do remember the disaster of following the herd. The one case I will never forget is one of the most interesting days that I experienced in Asia. That was the day, if you recall, during the month that the Hong Kong Monetary Authority (HKMA) decided to take on the global hedge funds and purchase stocks and futures that these funds were short selling.

Once it became known that the HKMA was on the other side of the trade, everyone became indignant that this was not a free market. Hong Kong, the capitalist city of all cities, was now interfering in the markets. Of course, Hong Kong acted in its own self-interest, which it should, in the best interest of its citizens, which it did. The HKMA stepped up and tried to halt this attack on its financial system.

The interesting day happened at the end of the month because the futures expire then. In a futures contract, the buyer or seller has to settle the difference at the end of the month. If you buy and it's higher at the end of the month, you get a refund to your account, because you profited. Likewise, if you bought and it's lower, then you have to pay money in.

Now, what happens on the last day? If the market goes down, the futures go down. The futures that the HKMA were buying during the course of the week from the hedge funds were huge loss-makers. At this point, the strategy would be for the HKMA to step up and buy stocks to keep the prices up. So now it's just a quick equation – who has got more? None of us could see what else to do other than get out.

From old pension funds in UK to the biggest fund manager in the world to the smallest retail guy – just about everybody lined up and sold the stock to the HKMA. I remember looking across the screen. You would see $30-50 million transactions going across the screen, which was unheard of. Well, the rest is history – basically, the herd was wrong. These are the kind of lessons that have been written by the great masters like John Templeton and Warren Buffett.

*CIO: Are there any failures in India that you would like to talk about?*

**Balance sheet analysis is as important as cash flow analysis in India**

*ZAHEER SITABKHAN:* Many. I think anybody who has managed money in India has probably lost more money than made it. It's just the nature of that market. I think a lot of the lessons that I have learnt here are there in India. In India, we have learnt the balance sheet analysis, in addition to cash-flow statements, is very important, because in the balance sheet we can start to see the motivations of the promoters and how much they are aligned to the minority shareholders. Moreover, looking for inter-group dealings, looking for ways in which money moves out of public to private companies was an early problem in India, which has since been rectified largely with the more active analyst and fund management community.

Another lesson learnt was in the participation of two hot IPO issues—companies that were clearly investing in negative ROE projects for years to come. It just wasn't satisfactory. Moreover, I too participated in the fads that were part of the TMT bubble in 1999-2000. While I got out with no write-offs, we did experience losses from the peak, which is unacceptable, because it proved that we weren't disciplined enough to recognize a fad. While we joined the fools at the party, we behaved like fools as well by holding on too long, and that was a lesson learnt. In any case, I think the lessons of failure in India are probably the longest for an India fund manager versus anywhere else in the region.

*CIO: Since you manage Asia, how do you think India is positioned for you as an Asian investor, in comparison to other markets in Asia?*

**The complexity of the investment decision process is much higher in India**

*ZAHEER SITABKHAN:* The Indian market is an interesting market. Personally, for someone who is of Indian heritage, it's a more interesting market for me. Therefore, maybe, sentimentally I tend to follow it more closely. It's interesting on a social scale – there is a huge social element analysis, there is a massive political element analysis, there is an economic analysis, and there is a corporate analysis. Unlike a lot of the countries in which we invest, the complexity of the decision in the investment process is much greater.

Moreover, the industry breadth and diversification is much greater in India, which is interesting. You can go on a trip to India and see companies in a variety of industries, whereas in many countries in Asia, you have a narrow industry spread. How is India positioned? Well, invariably what you find if you are a stock picker is the transparency you get. The clarity, the growth opportunities, the competitive strengths of the companies, the capital efficiency, the improvement in balance sheets, the restructuring stories are greater in India and easier to understand. That's because you have English language skills and a free (and fierce) press that puts the facts out to the marketplace. Therefore, it becomes a bit easier and approachable for an investor, whereas in some markets like Korea, for instance, the English language skills are not as great and promoters do not need investors. As a result, you don't have a very high confidence of investing in these markets, even though you know Korea is a terrific growth story.

I have lived and worked in Russia when I was a student. Right after graduate school, I worked for word Gorbachev's chief economist, who hatched the word Perestroika. He had a very interesting observation. The difference between Soviet and Chinese communism is basically it's like an orchestra. He said that the Soviet version of communism is like an orchestra that can read the sheet music, but doesn't know how to play its instruments, whereas the Chinese version is one where the players can play the instrument but don't know how to read their sheet music. That's true. When I go to China, I never understand how a company works by looking at the figures or meeting with the management. But somehow, they can make it happen. That's not a very good way to take an investment, because you can't feel confident. In India, you can feel more confident but you probably have more risk of diversity of the elements of your investment.

*CIO: What would you advise a global investor? How should he go about investing in India? What are the aspects he should look at, what are the pitfalls that he should be aware of, and what are the checks and balances he should ensure?*

**Don't invest in India on the basis of a macro story**

*ZAHEER SITABKHAN:* To begin with, you have to ask yourself why you are investing in India. If you are really looking at it as a macro story, experience has shown me that that wouldn't be the reason to do it. On the other hand, if you believe there are some stocks that clearly fits your criteria and that over the course of the cycle in the next 2-3 years, you could make an absolute dollar gain, they I'd say that you can go ahead.

The next step is to really be clear about what works in India and what doesn't, from a historical standpoint. Experience has shown me those companies that are shareholder responsive, transparent, high ROCE, focused business with competitive strengths, tend to do well over time. Moreover, if you can bring in the valuation element to say that they remain cheap on a global scale, you have a case.

But if you want to buy India just because it's a big growing market, with a 215-million-strong middle-class, forget it. This is not enough for you to make a macro case for the Indian market. The Indian market requires intensive research, besides quite a bit of maintenance to make sure your investment thesis remains true. After all, things change quickly in India and there is a dynamic political and regulatory process, all of which can damage or improve the prospects of your company. Moreover, investing in India requires discipline insofar as recognizing that there are points in time when you don't really want to be there. Also, recognizing when your stocks have reached valuations that just don't warrant further investments.

The Indian market provides great opportunities, at times, to buy and great opportunities to sell. I'm not saying it's a trading market, I'm saying that it requires discipline, because eventually everything has a price and India is too early in its development stages to say it's a blanket buy. I don't think there are any long-term buys in Asia, since I've learned that the region is too dynamic and changing too quickly and the effects of globalization pressure, markets and prices, and competitive advantage are so much faster that it requires the most disciplined approach to investment. Therefore, if you are a really large global fund planning to take a huge exposure, then you should be very sure of how you are going to do it and you should be on a stock-by-stock basis, not on an index basis.

*CIO: Could you tell us about any specific international or domestic investor that you really admire?*

*ZAHEER SITABKHAN:* Every investor does his or her job differently. I have many friends who are my competitors as well, and you come to admire different aspects of different fund managers you respect. Some are extraordinarily good at the due diligence process. The amount of preparation they take to go on a trip to India or visit the company and address, in a very frank manner, the issues that a company has and what they're trying to do and why it is logical or illogical, is important. That's because it strengthens your understanding and it's also an opportunity for you to give feedback to management. Taking an opportunity to do that in a methodical way is important. Therefore, some of the people I respect most are excellent at the due diligence process.

Then there are some fund managers who are excellent in the selling process and recognize that markets do not move in straight lines. Therefore, there are reasons for selling by combining the technical, the valuation and the potential growth element of the equation into the decision to sell. Moreover, recognize that the stock can go up after you sell. No one can always sell at the top. But the discipline is seeing it rise after you sell it and saying, fine, it will come back, and being disciplined to buy it again when it's fallen. So, it is an important element – it keeps you disciplined and actively engaged in your portfolio.

Then there are fund managers I respect who have discipline for stock timing. They withdraw from the markets when they do not have a clear view of what is going on. They recognize their strength and they play to it. They wait until the market lets the game come to them and then they take the opportunity. That's the most important thing I can see in some of my competitors and friends. They can sit out and let the market do what it's doing, because they don't understand it. They are not interested in chasing a market because it is going up. They will play a market that is their kind of market – that the right kind of stocks are moving, that is driven by the right kind of elements, whether it's a valuation driven market or liquidity market, buy they can see it, understand it and play it. But when you are calling up brokers and analysts and colleagues to understand what is going on, tell yourself you don't understand it. If you don't understand something, don't do it. In other words, you need discipline in engaging in the market, selling in the market and playing the market.

There are some friends who have great convictions in what they do because they have done their homework, they fight it out, they debate it, and then they put it forward with clarity. I like that.

Finally, there are some friends I admire who just can see the value in a company that no one else can see. Can see around the corners of what the company is going to do and say this is really big. These are some of the things that I really admire and what I gained by making friendships with people who practise the same trade.

Categorically, you have to like investing. You have to like the industry itself. You have to really ask yourself whether you would do this if you weren't paid for it. People who like to do the business because it provides them something to do during the day. That's critical. While you can make a lot of money doing this job if you are good, it's not the reason to do it. There are lots of ways to make money in the world but eventually you have to enjoy it. People who are good at this job over long periods of time truly enjoy it. If you meet these friends for dinner or for a drink, you might catch up on life, but eventually you are going to be talking about stocks.

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Chetan Parikh is a co-promoter of Jeetay Investments Private Limited, an Indian based regulated portfolio management firm and Jasmine India Fund, a Mauritius based fund. He is an MBA from the Wharton School of Business and a BSc in Statistics & Economics from University of Bombay. He also served as a visiting faculty at Jamnalal Bajaj Institute of Management Studies (University of Bombay) for the MBA course. His writings have been published in Business Standard, Business World, The Economic Times and Business India. His work can also be read at www.capitalideasonline.com.

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